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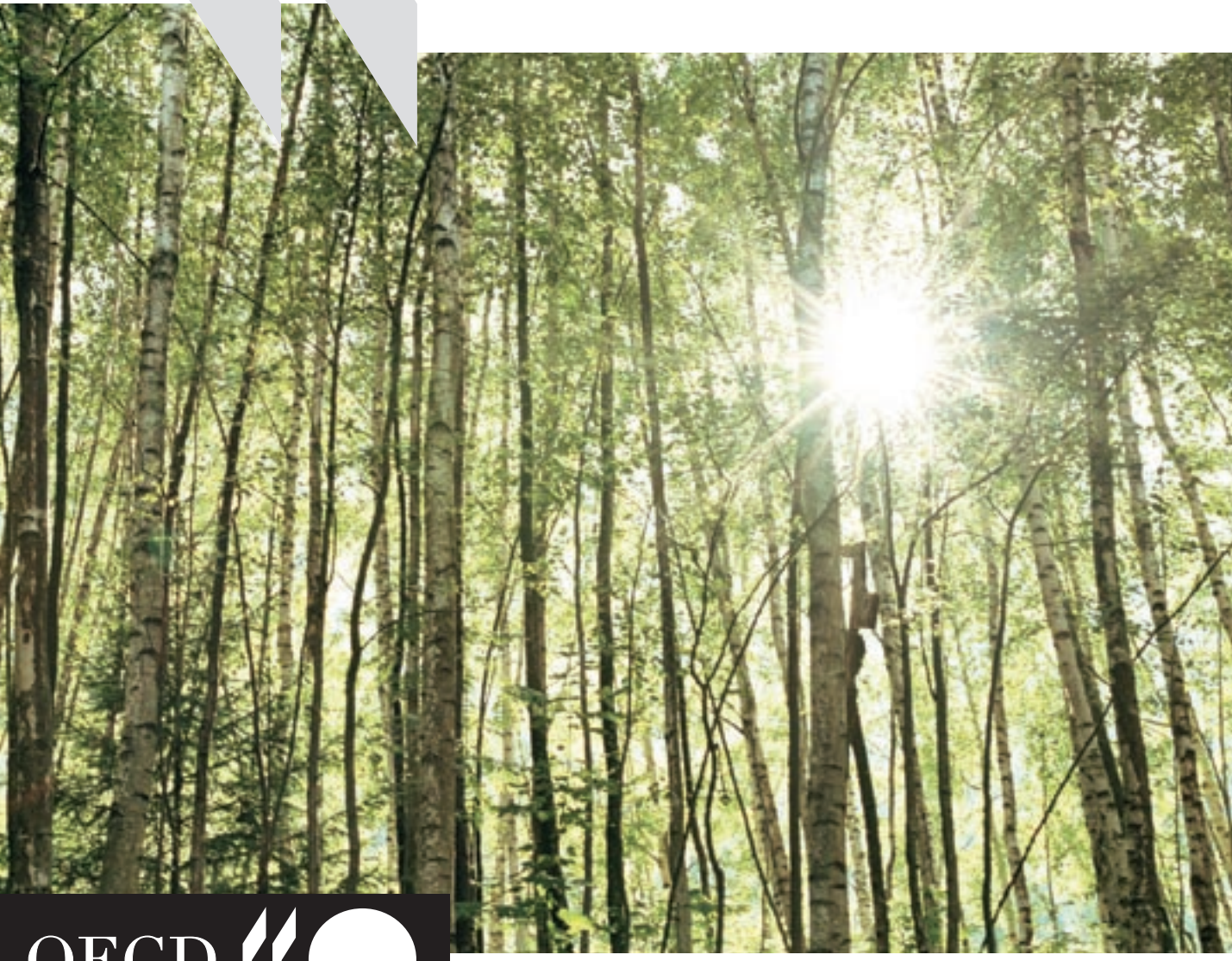

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BASIC STATISTICS OF FRANCE

THE LAND

Area (1 000 km^2), 2002	632.8
Agricultural area, excl. overseas departments (1 000 km^2), 2002	302.8

Major cities (thousand inhabitants), 1999:	
Paris	2 125
Marseille	798
Lyon	445

THE PEOPLE (2004)

Population (thousands)	62 177
Number of inhabitants per km^2	98
Average annual increase (thousands) 1990-2004	286

Total labour force, excl. overseas departments (thousands)	27 330
Percentage of employment in:	
Agriculture	3.5
Industry and construction	23.0
Services	73.5

PRODUCTION (2004)

Gross domestic product at market prices (euros billion)	1 624
Gross domestic product per capita (euros)	26 202
Gross fixed investment as a per cent of GDP (current prices)	19.5

Gross value-added by activity, at basic prices (per cent):	
Agriculture	2.7
Industry	17.3
Construction	5.3
Services (excl. FISIM)	74.7

GENERAL GOVERNMENT (2004)

ESA95 concept, as per cent of GDP:

Total expenditure	54.4
Total revenue	50.7
Gross fixed investment	3.3

FOREIGN TRADE (2003)

Exports of goods and services (% of GDP)	25.8
Main exports as a percentage of total exports (SITC):	
Food, beverages and tobacco (0 + 1)	11.5
Chemical products (5)	16.9
Manufactured products (6 + 8 + 9)	24.1
Machinery and transport equipment (7)	42.8

Imports of goods and services (% of GDP)	24.7
Main imports as a percentage of total imports (SITC):	
Food, beverages and tobacco (0 + 1)	8.4
Chemical products (5)	13.6
Manufactured products (6 + 8 + 9)	28.7
Machinery and transport equipment (7)	36.9

THE CURRENCY

Monetary unit: euro

Currency unit per $, average of daily figures:	
Year 2004	0.8049
April 2005	0.7727

Executive summary

France has high productivity per hour worked and a sophisticated social welfare system, but it also suffers from low labour force participation and high structural unemployment. This poor labour market performance contributes to a persistent budget deficit which is exacerbating, rather than alleviating, the fiscal pressures arising from ageing.

- *Rising public debt threatens fiscal sustainability. It is partly a result of insufficient public expenditure control and insufficient public understanding of the need to meet long-run challenges as well as short-term targets.*
- *Aspects of the labour code designed to protect employees, and some aspects of the system of social transfers have had some unintended but perverse consequences leading to structurally high levels of unemployment and low participation rates.*
- *Dynamism and growth of activity and employment are held back by a lack of competition in a large number of service sectors.*

Focusing fiscal policy more on transparency and long-term needs

Above all, long-term fiscal sustainability requires better control of public expenditures, including social expenditures and those of regional and local governments. It is important to reform the fiscal system, by reducing the number of organisms involved and simplifying the tax structure through eliminating those tax breaks that are insufficiently justified. This would permit reduction in some high tax rates, which currently create economic distortions.

Creating employment by improving the functioning of the labour market

Employers can not provide the degree of social protection in the labour market that legislation attempts to impose. The high level of employment protection and a high minimum cost of labour raise the cost of employing many lower-skilled people above their productivity, despite reductions in social insurance contribution on low wages. France should substantially reduce the constraints of the standard employment contract, removing the need for a variety of special contracts which generate administrative complexity with little success in reducing unemployment. An improved public employment service, but also effective measures that condition benefit levels on active job search by the unemployed and their willingness to take jobs when offered, must be the counterpart of the high level of contribution with respect to social solidarity.

Allowing competition to create new opportunities for growth and employment

International experience suggests that still substantial public ownership, the only gradual market opening in network industries, protection of some service sector professions and the absence of competition in parts of retailing in France reduce the potential for growth, innovation and employment. Reforms should give greater weight to consumer welfare as against special

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interest groups. The whole economy would benefit from stronger competition in network industries, reduction in restrictions on entry to many professions and a deep reform of controls on retailing.

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of member countries.

The economic situation and policies of France were reviewed by the Committee on 9 May 2005. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 2 June 2005.

The Secretariat's draft report was prepared for the Committee by Paul O'Brien, Stéphanie Jamet, Jens Høj, Michael Wise and Howard Oxley under the supervision of Willi Leibfritz.

The previous Survey of France was issued in July 2003.

This Economic Survey may not include an examination of certain policies that are relevant to the country but fall within the competence of the European Community. While some of these policies may be examined in the Survey of the Euro Area, other policies may not be examined by the EDRC, as the European Commission currently maintains that the Economic Surveys should be limited in their coverage. No limits apply to the policies that can be covered in the Economic Surveys of other OECD countries.

The Commission and the member States of the European Union are working actively on ways of reviewing EC and EU wide policies within the context of the EDRC.

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Assessment and recommendations

Continued economic expansion is in prospect but there are underlying problems

After a weak performance in 2000-03 output growth recovered in 2004, somewhat more strongly than in most euro zone countries. It reached 2¼ per cent but, as in the rest of the euro zone, weaker growth is likely in 2005-06, while unemployment remains stubbornly high, currently around 10%. The origins of poor labour market performance, a central challenge for French policymakers, lie in a combination of measures themselves designed to protect workers, notably a high minimum cost of labour and strict employment protection legislation, as well high tax wedges on labour; a lack of competition in a number of service sectors further inhibits employment creation. There is also a strong link with another key challenge for the authorities, a persistently high budget deficit leading to rising public sector debt: low utilisation of labour potential has a direct impact on government revenues and expenditures, while at the same time generating pressure to use short-term fiscal intervention to increase employment.

Some important reforms have been introduced, but the French economy remains in a fragile position

Aware of these difficulties, the authorities have made efforts in the last two years to restore sustainable public finances with substantial reforms of pensions and the health system and putting in place strict control of central government expenditure. Furthermore, the authorities have worked to increase potential growth in improving labour market functioning, for example by relaxing the 35 hour week legislation, increasing competition on certain markets and making the fiscal and administrative environment more favourable to enterprise development. Even so, with a low utilisation of labour potential and a still difficult budgetary position, the French economy remains in a fragile situation from which to deal with the long term challenges from population ageing.

The level of public indebtedness is high, the underlying improvement in 2005-06 is small…

The public sector deficit was reduced from 4.2% of GDP in 2003 to 3.6% of GDP in 2004 and the French authorities' objective is to bring it below 3% in 2005. A large part of the likely fall in 2005 is due to a transfer from the public-owned electricity company EDF of some 0.5% of GDP, which will not generate a sustained improvement of public finances. The deficit may nevertheless remain over 3% of GDP this year and any reduction in 2006 is likely to be small. Current OECD projections suggest that the deficit will not be under 3% of GDP in 2006. Without further measures, the deficit is likely to diverge from the government's latest stability programme

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which was itself not very ambitious in its target for the debt ratio, now around 65% of GDP and unlikely to fall rapidly in the near future. France thus risks being inadequately prepared for the long-term pressures on health and pension spending that ageing will generate, despite important recent reforms. *To make room to deal with these spending pressures, it is essential that the ratio of public debt to GDP decline strongly in the medium term.*

Significant gains from plans to restrain expenditure in 2006 will be difficult to achieve

In 2004 the government introduced measures that it hopes will produce substantial savings in public expenditure, mostly as from 2006. These included a reform of the public health care insurance and delivery schemes, as well as certain measures to reduce public sector employment. In fact, although the health reform has the potential to improve overall health care, it is not clear that it will generate as many savings in public expenditure as expected, in the short-term; meanwhile, implementation of an earlier reform of the hospital system, also intended to control public expenditure and to improve efficiency, is turning out to be slower than planned. Following through on these is particularly important because, as the experience of other industrialised countries shows, strong upward pressure on health spending will continue in the long term. As for public sector employment, despite some first steps to reduce numbers, the government has not yet taken sufficient measures for a progressive reduction in employment levels in the medium term, and increases in public sector salaries decided recently limit the ability to control the wage bill. Given the growing pressure for age-related spending, *tight control of direct government expenditure, including cuts in employment that should take advantage of the large number of civil servants currently retiring, and restraint on wages and salaries, are needed.*

Control of the overall level of public expenditure must be strengthened. The new financing framework for central government and the health reform are moves in this direction, but they have yet to prove themselves

The framework law on finance laws (*Loi organique relative aux lois de finances*, or LOLF) is to come into full effect in the finance law for 2006, whose preparation has already begun. The LOLF will allow improvements in the transparency of public sector accounts, improve the ability of the authorities to set spending priorities and increase the sense of responsibility among public managers by promoting a results-based outlook. Its implementation should reinforce control of central government expenditure. The health sector reform introduced measures aimed at reinforcing the sense of responsibility of patients and health sector workers, tools for promoting best practice, and a deep reform of management of access to health care. This reform, to be complemented by the forthcoming framework law on the financing of social insurance, includes provision for mid-year corrections if the early-warning committee (*Comité d'alerte*) observes expenditure overruns; for this to work, the government *must be ready to impose unpopular cuts in the prices of health services and goods or in health service entitlements at short notice if increases in contributions are ultimately to be avoided*. The government will also have to ensure that the tighter control mechanism is not accompanied by a relaxation in the annual expenditure targets.

Growth of expenditure in local government has outpaced that under the direct control of central government…

Central government expenditure has grown less than that of local and regional governments. This is only partly due to the government passing some responsibilities to lower levels, since there has also been underlying growth in local expenditure. Tight controls on borrowing by local government have not prevented this: some of the expenditure restraint that borrowing restrictions should generate has been undermined by the fact that central government has increasingly subsidised the apparent burden of local business taxation (the *taxe professionnelle*) by paying a substantial part of the notional tax to sub-national governments from central government revenues, with rates set by the local and regional governments themselves. *The reform of the* taxe professionnelle *must meet its objective of ensuring that the central government no longer pays local taxes on behalf of enterprises.*

… and the manner in which devolved spending responsibilities are financed may need a re-think

Some transfers of spending responsibilities to sub-national government have in recent years been accompanied by the transfer of equivalent amounts of certain specific taxes, or parts of them. However, some programmes transferred have centrally-determined characteristics, such as using part of the petroleum tax to cover the cost of certain in-work benefits. These methods, although respecting a compensation principle which reasserts the financial autonomy of subnational government, run the risk of not creating an appropriate matching of resources to needs in the long run; *centrally mandated programmes whose administration, but not design, is decentralised should be financed by direct transfers financed out of general taxation.* As far as local and regional governments own spending programmes are concerned, local taxes provide the main share of their resources. The proposed reform of the *taxe professionnelle* should improve the distribution of the tax burden between firms and better reflect the impact of economic activity on local government costs. It should also ensure that central government no longer pays local taxes for and on behalf of companies, as it does at the moment.

The general level of taxes and contributions, though too high, cannot be reduced quickly because of expenditure commitments, but reform must nevertheless be intensified

The system of taxation in France is characterised by its high visible rates, the still large number of specific taxes, the number of institutions involved in calculating, collecting and allocating revenues, and the additional complexity engendered by the large number exemptions and allowances for certain activities, sectors or agents. This also shows up in internationally high administrative costs even though they have diminished since the mid-90s. Some rationalisation and measures to reduce the burden on taxpayers have been undertaken in recent years, but a more fundamental reform of the entire system of taxation seems called for.

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… which should include institutional changes…

To start with, *it is necessary to continue efforts to reduce the number of agencies involved in calculating and collecting taxes and charges and to reduce administrative costs to taxpayers*. The introduction of deduction at source for income tax would work in this direction though there would be short-term transition problems. Some otherwise useful reform measures may be prevented by the separation between social security finance and central government finance, even though this separation is not always strictly respected (the CSG is an income tax used for social security finance). In the long-term, nevertheless, merging the collection of social security contributions, the CSG and personal income tax could produce significant cost savings.

… and a reduction in the use of tax expenditures

Reducing the use of tax expenditures would also produce cost savings, both directly for tax administration and indirectly through increased transparency of the system for tax payers. *The government should significantly reduce the use of tax expenditures, along the lines suggested by the Conseil des Impôts in 2003*. The government intends that tax expenditures be limited in time by using five-year sunset clauses. Further steps could be to restrict the introduction of such measures to finance laws, subject to the Constitutional Council's opinion, to improve initial estimates of their effects on revenues and behaviour and to ensure systematic *ex post* evaluation. *Special measures such as tax credits or deductions for specific types of company expenditure should be limited to areas where there is a strong and demonstrable benefit for society.* This is true for both the national corporate tax and for the local *taxe professionnelle*; eliminating such tax breaks would allow lower basic tax rates, stimulating entrepreneurial activity in general and reducing the need for companies (especially small ones) to devote resources to tax accounting in order to minimise their liabilities. Tax distortions between different sources of financing can also constrain the expansion of newly-created enterprises who need to raise new capital; *notably, the remaining asymmetry between the treatment of dividend and interest payments in the interaction between the corporate and personal income tax systems should be reduced*.

Structural unemployment remains high; measures to deal with it need to take account of the realities of behaviour in the labour market

The unemployment rate is currently 10% and has not been below 8% for twenty years, even at the cyclical peak of the late 1990s. There is room for discussion about the precise quantitative effects of strict employment protection and the minimum wage. But these effects, combined with the uncertainty over the cost of dismissal to the employer, and the fact that the minimum cost of labour exceeds the potential productivity of a number of low-skilled workers, appear to be responsible for a large part of the high level of structural unemployment, especially among certain groups, such as youth and the long-term unemployed. These policies are intended to place part of the responsibility for income protection and security of employment on employers. Over the years the response of employers to these increases in labour costs has been to reduce the demand for labour even though reductions over the last decade in social insurance contributions for low paid

workers have increased employment prospects for the low skilled. High employers' social insurance contributions have the same effect on the demand for labour at wage levels where these reductions no longer have an impact. On the other hand, the interaction of taxes, social security contributions and social benefits also leads to poor labour market performance by tending to reduce the supply of labour.

Improvements have been made in some areas, but more coherence is required

When comprehensive account is taken of all taxes on labour income (personal income tax, social security contributions including the supplementary social security taxes CSG and CRDS) and income-tested social benefits, it is seen that marginal effective tax rates on labour are very high in France. Measures have been taken to reduce these disincentives, targeted on low income earners, such as reductions in employers' social security contributions and the *prime pour l'emploi* (PPE), an income tax credit for people in low-paid jobs. Although the PPE has yet to be fully evaluated and would perhaps be more effective if applied to the CSG, which is deducted at source, rather than to income tax which is paid in arrears, these policies have had some beneficial effects on the labour market *and should be maintained and if possible expanded*. But increases in the minimum wage, the SMIC, such as those that resulted from the reduction in working time, work directly against measures to improve labour demand through reducing costs, although the further reductions in employers' contributions offset the effect on labour costs, at the expense of public finances. *Future increases in the SMIC should be limited to those necessary to maintain its purchasing power, in order not to reduce employability among the low skilled.*

Fiscal and other measures to improve incentives must be implemented carefully

The government must not increase unnecessarily the number of measures designed to tackle certain difficulties in the labour market, and must avoid their misuse. For example, plans to subsidise private sector employers to recruit the long-term unemployed through a "minimum activity income", the RMA, are worth implementing, but *the contrat d'avenir ("contract for the future", a parallel measure for employment in the public sector) must aim at improving employability among certain categories of the unemployed rather than to increase total public sector employment*. Furthermore, the RMA must be subject to a programme of realistic evaluation for cost-effectiveness, based on results achieved. One area where progress has been made is in reducing the incentive for people aged 55-60 to withdraw from the labour force. This progress needs to be maintained and *other programmes, such as disability benefits, should not be allowed to become substitutes for the early retirement provisions that have been abolished, as has happened in some other countries.*

Rather than multiply the number of exceptional but highly regulated types of employment contract…

Employment protection legislation (EPL) makes dismissing workers on standard employment contracts relatively difficult and expensive in France. For many firms, most of the time, this is probably a minor inconvenience. But it causes significant extra costs for

firms in difficulty or facing fluctuating market conditions and over time it has contributed to an unwillingness to hire, especially in uncertain times. The expansion of short term contracts, which represent about 13% of total employment, has allowed some increased flexibility, but conditions attached to these contracts mean that they do not often lead to long-term employment and may have encouraged a dual labour market to develop.

… it would be better to reform the labour code by shifting support for redundant workers from employers towards society as a whole

The government should work to change the counterproductive approach of placing the major part of the burden of protecting workers against economic fluctuation on employers, by relaxing EPL on the standard contract. Having a number of different types of contract, each designed to allow some flexibility but heavily circumscribed in their application, makes for costly complexity. The current situation is paradoxical: despite substantial assistance to the unemployed and strong apparent employment protection, employees feel great uncertainty over their future. A number of recent independent reports, as well as reform experience from some other countries, suggest that it is possible to reform EPL without jeopardising adequate job security. *One way to increase both flexibility and security of employment, while reducing the current complexity, would be to absorb the different contracts into a single standard contract with the degree of protection varying with length of service, while reinforcing measures to help the unemployed find new jobs*. Such a single contract would naturally have to be designed so as to maintain the gains in labour market flexibility that the development of fixed term contracts has permitted. Given the high degree of support for the unemployed in France, very strong employment protection should not be necessary if labour market institutions can adapt to help displaced workers find new jobs. Implementation of a major reform would need to deal with the problem of transition; people now employed in jobs with the current high level of employment protection would be fearful of losing out. This obstacle would make it difficult to move quickly without first developing a consensus that such a reform is needed. *The government should seek, to establish such a consensus;* the recently created *Conseil d'orientation pour l'emploi* should allow such a debate and thorough analysis of these questions.

Measures to improve job-search facilities and improve the efficiency of active labour market policies could support these reforms

The public employment service already has plans to try to simplify procedures facing unemployed people as they seek new jobs. *The government should ensure that the proposed* maisons d'emploi *do not add another layer of administration to the already numerous agencies responsible for different aspects of labour market policy, and that they lead to one-stop shops for employment services, which should provide adequate cost-effective job-search support and offer the possibility of active labour market measures targeted on individual needs*. This may not be feasible without merging some of the main institutions, notably the ANPE, the national employment service, and the UNEDIC, responsible for managing unemployment insurance. The relatively generous level of social benefits means, as mentioned earlier, that material incentives to take jobs at low pay can be quite small for an unemployed person.

Therefore, to improve labour supply, *eligibility conditions for unemployment benefits should be tightened up for those who do not actively seek work or refuse jobs offered to them too often*. Provided such measures are not implemented in an arbitrary fashion, the objection that this involves an unacceptable degree of compulsion can be countered by the argument that the obligation to take up a job (otherwise losing transfer income) is the counterpart of the obligation on society to support them when they are without a job. Such policies are successful in a number of OECD countries.

Improving competition in product markets would help to raise growth potential and employment

Restrictions on competition, such as those found in France, not only reduce productivity growth but also hinder the development of employment. Productivity levels in terms of output per hour are high in France – they are probably higher than in the United States – but this has a lot to do with the fact that the labour market excludes many low-skilled people. Thus, despite a high ranking in terms of output per hour, GDP per capita is lower in France than in many other OECD countries. Reforms to increase competition through injecting some dynamism into some over-regulated areas would allow higher GDP per capita by increasing both productivity and employment.

The legal basis for the operation of competition enforcement policy is well established, but further reforms are needed

The general legal framework for competition enforcement is good, and although there was a period in which it seemed that enforcement policy was not very active, this has improved since the late 1990s. Available indicators nevertheless point to relatively weak competitive pressures in a number of sectors, particularly in sheltered service industries. *Reforms in product markets should give more weight to general consumer welfare rather than protecting some relatively small vocal special interest groups*.

There may be insufficient clarity in the roles of the different institutions involved

In merger control and in the operation of competition enforcement policy, there is room for greater transparency. *For merger control, France would do well to follow the example of most other OECD countries, which have given responsibility for control of implementation of merger policy to the competition authorities rather than the government*. France splits competition enforcement activity between two institutions, the *Conseil de la Concurrence* and the DGCCRF (a directorate of the French Ministry of Economy, Finance and Industry); unusually, the latter combines competition enforcement with other kinds of market regulation and surveillance, including active enforcement of laws about unfair competition. *The competition framework should be strengthened either by fully transferring competition enforcement, and the necessary resources, to the* Conseil de la Concurrence, *or by a clearer separation of these functions and associated resources from responsibility for other market surveillance within the Ministry of Finance*.

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The retail sector has unnecessarily idiosyncratic provisions…

The law contains general provisions against unfair competition, including predatory pricing, but in the retail sector extra layers have been added which impose detailed price-related regulation on some areas, preventing consumers from reaping the full benefits of competition among producers and adding to annual inflation. *The government has submitted a proposal for redefining the definition of selling below cost to parliament. While this goes in the right directions, a more fundamental reform should abolish the prohibition on selling below cost and increase competition by refocusing policies towards measures focussed on preventing harm to consumers.* Current legislation has its origin in a desire to regulate relations between producers and distributors and to protect small "traditional" retailers in town centres. If such protection is felt to be necessary *it should be through general zoning laws (without the current arrangements in which the representatives of current traders have a direct voice in granting planning permission for large retail outlets), or through direct and transparent subsidies from local government, but not at the cost of restriction on retail competition*. Other measures to strengthen competition would be to remove regulated monopolies and continue relaxing relatively strict television advertising rules.

…and clear guidelines for liberalisation of network industries and governance of incumbents need to be established and enforced

The state retains quite large shareholdings in a number of companies. Continuing privatisation and "capital opening" is encouraging but the state still maintains its position as the dominant shareholder too often. As a consequence, competition is insufficient in many liberalised network industries because of the dominant position of publicly-owned companies. It is also important to improve corporate governance in public enterprises. "Capital opening" should be a prelude to full privatisation, not a means of raising capital to clean up the balance sheet or finance expansion. *Sector regulators in these industries need to have sufficient powers and independence to secure non-discriminatory third-party access to promote competition and consumer interests*. Public service obligations were previously mostly undertaken by state-owned monopolies. As these market are being liberalised, new measures to secure such obligations are being implemented. *To ensure effective competition policy must continue to see that these measures define these obligations as systematically and as clearly as possible and where possible subject them to public tender, taking into account all associated costs and benefits*.

Exceptions for many service sectors are excessive

Many parts of the service sector are subject to specific regulations that have the effect of giving unnecessary protection from competition to existing service providers. For example, entry requirements to professions should be re-examined, and those that do not focus directly on consumer protection should be removed. The practices of professions which are self-regulating should be subject to particular scrutiny. In France, as in many other European countries, services are fragmented and competition restricted by national regulations. *Policy in this area should give more weight to the interests of consumers of services, recognising that excessive protection of national providers or professional interest groups generally reduces efficiency in the service sector and increases costs for the rest of the economy*.

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Chapter 1

Key challenges facing France

This chapter outlines the key challenges facing the French economy. Although a modest economic upturn seems to be established, low growth and, especially, high unemployment characterise recent economic performance. The government has taken numerous initiatives to encourage growth and employment, but many of these will at best have only short-term effects and the need to intensify structural reforms has to be recognised. Three key challenges are identified in this chapter: i) *to ensure the medium-term sustainability of public finances while improving the structure of the tax system to improve incentives and reduce costs;* ii) *to end the insider-outsider duality in the labour market and to increase employment rates among the low-skilled and certain specific groups by reforming labour market institutions;* iii) *to improve prospects for both growth and employment creation by further reforms to promote competition.*

The government has stressed low growth and the poor fiscal situation as two of the main structural economic challenges facing France. Low growth, compared with the United States and with many European countries, is described as contributing to high unemployment as well as itself making it difficult to improve the state of public finances. High unemployment is probably the most important challenge for *economic* policy both because of the lost resources (and fiscal revenues) it represents and because it is, through its concentration among particular groups in society, one of the major risks to social cohesion, an important wider policy concern for all French governments.

After reaching a cyclical peak in 2000 along with most of the OECD, French GDP growth averaged less than 1½ per cent in 2001-03. Output growth recovered in 2004, somewhat more strongly than in most euro zone countries, but growth was only slightly above potential, and the latest OECD forecasts suggest that it will not be any more dynamic in 2005-06. Employment has not increased since 2002 and unemployment has increased over the past three years, stabilising at around 10% since 2003.

During the last upswing, unemployment reached its low point of 8½ per cent in 2001. By then it had fallen 3½ percentage points over the previous 5 years. This was partly achieved by structural measures to reduce labour costs, notably reductions in the early 1990s in social insurance contributions payable by employers for workers on low salaries. The legislation to reduce working time (the "35 hours" legislation) is credited with increasing employment, though it is difficult to separate the impact of the reduction in working time taken on its own from the impact of important accompanying measures such as wage moderation, increased work place flexibility and a further reduction in social insurance contributions which was nevertheless at the expense of public finances. OECD estimates suggest that much of the reduction in unemployment up to 2001 was cyclical, and that structural unemployment, which may currently be about 9%, could be less than 2 percentage points below its peak 1994 level and clearly above the OECD average (Figure 1.1).

Just as cyclical gains in employment during the last upswing masked the much more modest improvement in structural unemployment levels, the improvement in public finances during the second half of the 1990s masked the fact that insufficient progress was made in reducing the structural deficit. A reduction of over 4 percentage points in the general government deficit between 1993-95 and 1999-2001 barely halted the rise in the debt-to-GDP ratio and left the deficit only just under 2% of GDP in 2001, as the economy began to turn down. As regards the near future, the OECD expects a continuing recovery of the economy in 2005 and 2006, but the declines in unemployment and the government deficit will remain modest (Table 1.1).

The government balance deteriorated considerably between 2001 and 2003, as governments did not want to tighten fiscal policy in a downswing. Moreover, they had failed to make sufficient provision in the upswing. In fact, judged by the OECD's calculations of the cyclically adjusted budget deficit, there has been no progress on budget

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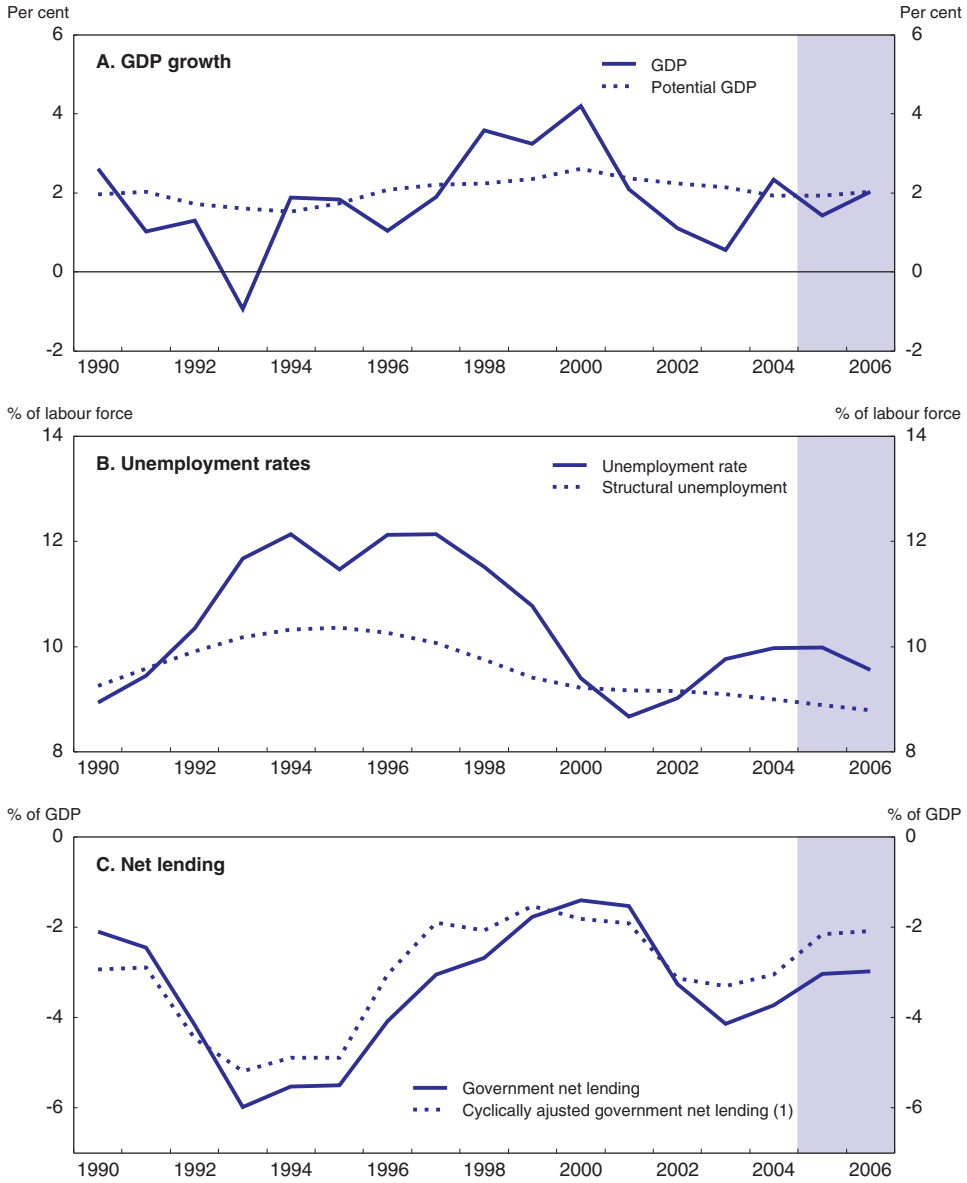
Figure 1.1. **Growth, unemployment, and the budget deficit**



1. Per cent of potential GDP.

Source: *OECD Economic Outlook* No. 77.

consolidation since 1997. This has led to the current situation where sluggish activity and some relaxation of underlying fiscal policy have produced budget deficits that have exceeded the EU Stability and Growth Pact's deficit limit of 3% of GDP for 3 years running and the public sector debt stock now also exceeds the European threshold of 60% of GDP. Fiscal policy now faces a difficult position with the need for consolidation being apparent but politically difficult given the fragility of the current recovery.

Relying on growth *per se* to relieve labour market and fiscal problems is not an option. The last attempt to boost growth using a general fiscal reflation in the early 1980s resulted

Table 1.1. **Summary of short-term projections**

Percentage changes, 1995 prices

	2002	2003	2004	2005	2006
Private consumption	1.8	1.7	2.4	1.9	1.9
Public consumption	4.6	2.6	2.6	1.4	2.0
Gross fixed investment	–1.8	0.3	3.3	3.3	2.9
General government	1.8	6.8	4.3	2.0	1.1
Household	0.7	0.8	3.1	3.3	3.1
Other	–3.7	–1.5	3.2	3.7	3.3
Stockbuilding[1]	–0.2	–0.2	0.8	0.1	0.1
Total domestic demand	1.5	1.4	3.4	2.2	2.0
Exports of goods and services	1.7	–2.5	3.1	3.3	7.3
Imports of goods and services	3.3	0.2	6.9	5.8	7.0
Net exports[1]	–0.4	–0.8	–1.0	–0.7	0.0
GDP	1.1	0.5	2.3	1.4	2.0
Employment	0.7	–0.2	–0.1	0.3	0.7
Unemployment rate[2]	9.0	9.8	10.0	10.0	9.6
Household saving ratios[3]	12.1	11.1	10.7	9.6	9.1
Current account balance[4]	0.9	0.4	–0.3	–1.0	–0.6
CPI	1.9	2.1	2.1	1.5	1.7
Core inflation	2.1	1.6	1.6	1.2	1.6
General government financial balance[4]	–3.3	–4.1	–3.6	–3.0	–3.0
General government expenditures	53.4	54.5	54.4	54.5	54.3
General government revenues	50.2	50.4	50.7	51.5	51.3
Debt (Maastricht definition)	58.2	62.8	64.7	65.7	65.5
Debt (national accounts definition)	68.7	71.1	73.2	74.2	74.0

1. Contribution to changes of GDP growth.
2. As a percentage of the labour force.
3. As a percentage of disposable income.
4. As a percentage of GDP.

Source: OECD, *Economic Outlook* No. 77.

in inflation and exchange rate depreciation without any long-lasting improvement in unemployment; the attempt to avoid the slowdown of the early 1990s led to an even larger budget deficit (see Figure 1.1). In more recent years, governments have recognised that fiscal constraints now rule out general demand reflation, but they have nevertheless looked from time to time to underpin demand. Between 1994 and 1999, for example, there was a scheme whereby the state gave nearly 800 euros to anyone trading in an old car for a new one;[1] more recently a reduction from the VAT rate of 18.8% on home improvements to 5.5% was introduced in 2000 to increase demand in the building industry (though it probably served as much to reduce tax evasion). In 2004, the government temporarily made certain donations (< € 20 000) exempt from tax and, for a short period, allowed employees to withdraw money from company-based saving schemes (which attract state subsidies through income tax and social security contribution exemptions) in which they were supposed to be "locked" for a certain period of years. It also introduced a tax credit for interest on consumer debt contracted between May 2004 and May 2005.[2] Throughout the period when these initiatives to boost consumption were being applied, a range of schemes to encourage personal saving, through tax and social security reductions or through subsidised interest rates (such as obtained on the "Livret A" for a long time), remained in place.

In early 2005, public expectation that government should intervene to reflate the economy was reflected in some quarters in the unusual suggestion that it should encourage private sector employers to increase wages so as to increase aggregate demand, as well as directly increasing wages in the public sector. While it may be that aggregate demand conditions in the euro area are less buoyant than the supply side in France would warrant, it is unlikely that these attempts at demand management can have any significant impact. It is more likely that they waste resources – fiscal resources in deadweight losses[3] and real resources in the administrative costs incurred in developing and policing such arrangements – than that it boosts output by any more than a much simpler, across the board, reduction in taxation of an equivalent amount.[4] Instead, it is more important that governments concentrate on underlying improvements in the supply side, most notably in the labour market. This is all the more true when fiscal policy is constrained by existing debt, as well as by future pension liabilities and public spending on health and dependency which are still not fully taken into account. Also, it is clear that participation in a monetary union places a premium on flexible labour markets, even when there is room for fiscal manoeuvre, if unemployment is to be reduced;

Important challenges therefore concern *public finances* and the *labour market*. While low growth and poor utilisation of resources may also occur if inadequate *competition in product markets* prevents them from working efficiently.

- For public finance, the concern is both ensuring that the medium and long-term sustainability of public budgets are assured and that the microeconomic impact of the structure of revenue and expenditure is as efficient as possible.
- For the labour market, the challenge is partly concerned with the social consequences of sustained high levels of unemployment, but also with the waste of economic resources (which, among other things, means weaker public finances) that underutilisation of labour resources represents.
- For competition policy the challenge is to strike the right balance between cases where competition needs to be encouraged and enforced and those where it may need to be channelled or constrained. In particular, it should be emphasised that stronger competition in product markets is, on the international evidence, favourable for employment, even if it seems to threaten certain protected jobs.

Putting the fiscal system on a sound footing and reducing its negative effects on the economy

The challenge of public finance in France has two related aspects. The first is to consider the "macro" problem of sustainability in the face of mounting long term pressures on pension and health spending. Mounting public debt as a proportion of GDP requires medium term action on the level of expenditure and taxation, strategic choices needing to be made to reduce public expenditures and improve the structure of the tax system. The second is to look more at the influence of both expenditure and taxation on "micro" aspects of economic behaviour, notably through their effects on incentives in labour and product markets. Links between central government and social insurance finances, and between central government and local government finances, raise a number of economic issues, too.

Achieving fiscal sustainability

The debt to GDP ratio is now over 60%. Although interest rates on public debt are low, interest does account for some 2½ per cent of GDP, more than half the 2004 general government deficit. Under the government's stability programme the debt stock will peak in 2005 but will still be above 60% of GDP in 2008 even if growth averages 2.5% and the government is successful in achieving continuing improvements in the budget deficit. While current Secretariat projections suggest that the deficit targets for 2005 and 2006 may not be met, improvements of a similar magnitude are possible, and were achieved in 1993-97 with a similar average growth rate.

For the longer term, the stability programme targets announced in 2004 (in the finance law for 2005) probably represent only the minimum level of effort needed and already look likely to slip in 2006 without further measures. The targets should be strengthened in order to build in some margin for future needs. Although the pension reform has significantly reduced implicit future liabilities for the main private sector scheme, these are still substantial and the share of GDP spent on public pension payments is still set to rise substantially over the next few decades. In the short term, the government balance will be flattered by the inclusion of at least 0.5% of GDP in the form of a payment from the state-owned electricity company EDF in 2005. This balancing cash adjustment is intended to cover the transfer of part of the company's pension liabilities to the social security, prior to EDF's partial privatisation (a similar but smaller payment was also made in 2004). This gain is only provisional and will be offset by additional public spending commitments in respect of the pensions in question. Other state-owned companies also have similar unfunded commitments in their pension schemes, which are usually much more generous than the reformed private sector scheme.[5]

Restraining expenditure

Public expenditure already absorbs some 54% of GDP, so that improving the overall balance should be achieved through a continuing fall in this share rather than through increased revenues. Control of public expenditure was covered in depth in a special chapter of the 2003 *Economic Survey* of France which made a number of recommendations, including: to take better into account the long-term pressures on spending; to increase the pressure on social security funds and sub-national government to stay within spending targets; and to rationalise the roles and spending allocations of different agencies and levels of government. Some progress has been made with regard to the state and social insurance spending, even if the measures on sickness insurance, discussed below, have yet to prove their effectiveness.

In 2001 the government introduced a framework law for the state budget (the *Loi organique des lois des finances*, known as the LOLF) which is set to become fully operational in conjunction with the 2006 finance bill. While not specifically directed to the aim of maintaining zero growth in expenditure, the bill should over the medium term help the government to make best use of the resources devoted to the state budget. The classification and planning of expenditure according to assignments rather than by administrative unit, plus the identifying of targets and performance indicators, should allow a better assessment of the costs and benefits of particular expenditures, and therefore better use of resources. However, it may take some time before the gains in efficiency are really felt.

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Another aim of the LOLF is to improve budgetary transparency, and to move public sector accounts towards the standards required of company accounts. The LOLF applies only to the state budget and to the *lois de finances*, it does not cover expenditures and revenues of other levels of government, nor does it directly cover measures which are not part of the finance bill, so its effect on total public spending could be limited. Furthermore parliament has the right to introduce fiscal measures lowering taxation outside the framework of the annual finance bill, so provision may need to be made for such measures to be brought within the framework of the LOLF. A bill to reform the framework law on social security financing has been recently approved by Parliament. In addition to clarifications specific to the way of presenting and adopting the social security financing bills, includes some of the innovations in the LOLF such, for example, as the introduction of performance targets and indicators.

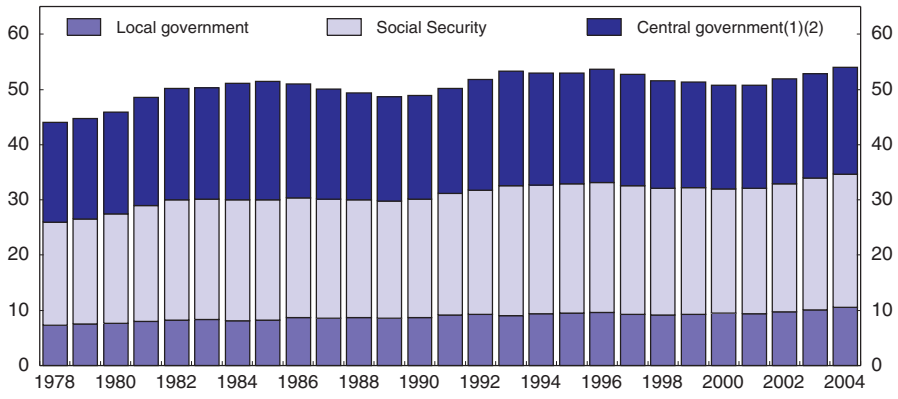
Expenditure by central government has indeed grown relatively slowly in recent years, the 2005 central government (state) budget being the third in a row that planned on zero growth in volume. Expenditure growth has rather come from social security expenditures – on health, pensions, social transfers – as well as from expenditure by sub-national governments, at the level of regions, departments and communes. Fiscal relations between these different levels of government have been evolving over a number of years, and the share of total general government expenditure that is state expenditure, under the direct control of the Ministry of Finance, has been declining (Figure 1.2). Spending by the social security administrations accounts for more than half of consolidated general government spending. Although it works within the legal framework set by central government, its administration by semi-autonomous organisations and by the social partners may have made it harder to control growth in its spending.

Reforming the health care system

The 2004 law on the reform of sickness insurance, whose provisions are being introduced progressively in 2005 and 2006, has a number of aspects that will have

Figure 1.2. **General government spending by level of government**

As per cent of GDP



1. Central government plus ODAC.
2. Excluding current transfers between public administrations (D73) and capital transfers (D9 exc. D91, D995).

Source: INSEE, Comptes nationaux annuels.

important implications for public expenditure – the reform's other objective being to improve the quality of care. The reform is in three main parts which involve: reorganising the management of sickness insurance, increasing revenue (through a rise in the user contribution) and introducing measures designed to change behaviour with regard to health spending. Concerning this third measure, the aim of the reform is to reduce the quantity of drugs prescribed by doctors and encourage the use of generic drugs, which are underused in France compared with many other countries; other important savings are planned through reducing abuses of the sick pay scheme. The reform also seeks to rationalise access to specialist health services by introducing a gatekeeper system whereby patients must, in general, see their own general practitioner before consulting a specialist, if they wish to have the cost of the visit to the specialist fully reimbursed by the state medical insurance scheme. In parallel, a computerised record keeping system is to be developed that will allow individuals' medical histories to be kept in a standardised accessible manner. These provisions taken together should improve the quality and cost-efficiency of medical care, but their impact on actual expenditures in the short run is difficult to anticipate.

Another important part of the reform with implications for expenditure is the management of sickness of sickness insurance. An early warning system has been set up under which expenditure overruns (compared with the annual target for total expenditure by the sickness insurance schemes, which is voted by Parliament) are to be detected early in the year by a newly-created Alert Committee. This body has the power to require that the insurance funds promptly propose measures to reduce expenditures. On the one hand, the creation of this mechanism is intended to remedy the weakness of controls on health expenditure up to now. For many years there have been regular overruns of the annual targets, and the solution has generally been to increase social insurance contributions. On the other, if it succeeds in preventing persistent overruns it should have the effect of improving expenditure planning by forcing the institutions to live within the targets. Although these reforms, if successfully implemented, should increase the efficiency of, and short-term predictability of, public expenditure on health, they will not reduce underlying pressures for continued growth. Monitoring these reforms remains all the more important in that there will continue to be strong upward pressure on total expenditure.

Reducing the negative effects of the tax system on the economy

Since public expenditure accounts for a high proportion of French GDP, obviously the overall level of taxation, broadly defined to include compulsory levies to finance social security and other public sector responsibilities, is equally high. In order to raise such large sums in taxation marginal tax rates are inevitably quite high and can have important effects on economic incentives. In recent years successive governments have been increasingly aware that (dis)incentive effects may be important and have introduced reforms to reduce them. Governments, and sometimes the parliament acting independently, have also used the tax system to create incentives for particular purposes. Two persistent trends in public expenditure have slowly been changing the fiscal landscape, even though there has been no fundamental tax reform. These are the steadily increasing shares of expenditure accounted for by social security and by local and regional governments; as a result, the share of taxation that finances central government expenditure has diminished. Of note in particular has been the decline in the share of indirect taxation in overall public sector revenues, due in the main

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to the increase in social insurance contributions which now account for almost half of the total. As a result, the share of indirect taxation is now around average levels for OECD countries, having been much higher two or three decades ago, while the share of direct taxes, in particular on labour, has increased.

Simplifying the tax system

Only a limited part of the tax system is designed to affect any degree of redistribution – personal income tax and wealth and inheritance taxes too. But, although moderately progressive in the basic rate structure, its redistributive effects are probably less significant than the complexity introduced by the many specific provisions for various purposes, particularly those designed to increase saving through the provision of tax subsidies and those related to family policies such as allowances for children and dependent spouses. All in all, the tax-benefit system is fairly redistributive in nature, but this is in large part because of social assistance and other benefits, in cash and in kind.

Other taxes also include many exemptions so that the French tax system has high apparent rates, a large number of specific taxes, the involvement of several government departments in the calculation and collection of tax and social insurance revenues, and the additional complexity engendered by an evolving set of hundreds of exemptions and allowances for certain activities, sectors or agents. The authorities have in the last few years begun to simplify the tax system by abolishing a lot of taxes of little import, but it does remain complex. Furthermore the frequency with which policy objectives are pursued through tax credits and exemptions adds to the complexity of the system and it makes less predictable. This latter tendency is probably partly explained by budgetary stringency which leads to tight controls on direct expenditure measures but which largely leaves aside consideration of tax expenditure measures which could be analysed and quantified rather more fully.

The *Conseil des impôts*, an independent body that produces annual advisory reports on aspects of the tax system, reported in 2003 on the phenomenon of taxation by derogation. It noted that the number of individual exemptions or rate reductions was large in relation to other comparable countries, rendering the tax structure difficult to understand and creating opportunities for accounting manipulations (*Conseil des impôts*, 2003). In addition, it found that they are rarely assessed to see if they can achieve their declared aims in a cost-effective way. The report by the *Conseil des impôts* made a number of recommendations, many of which were aimed at greater transparency as an aid to better decision-making, as well as bringing more order into their structure. For example it was proposed that such measures should be introduced only in finance laws, since at the moment any law can include a tax expenditure, though it can not normally include a direct expenditure measure unless foreseen in the finance law; the council also proposed that such measures should in principle be limited in time, as well as having their (estimated) effects on revenues and behaviour properly quantified at the outset. The government has in fact announced its intention of introducing a clause whereby new tax credits would automatically lapse after 5 years.

Thought could be given to simplifying the tax system by rolling the earmarked social security tax (CSG) which is a flat rate levy on both labour and property income, together with other social security contributions and the personal income tax into a reformed income tax. This would allow for a more consistent treatment of both incentives and assessment of ability to pay across these different forms of raising revenue from

individuals. While this would be a major simplification, it would come up against a number of difficulties, one being the constitutional and general political consensus view that social security finance is a special case and different from other programmes. Certainly, one would not want to simply incorporate social security contributions into the existing personal income tax. Doing so would risk importing into the simple CSG all the numerous particularities and exceptions attaching to income tax. These arguments make it difficult to present this as a realistic option in the near term.

Other difficulties in deciding what tax should finance what have appeared in the context of decentralisation and the reform of local taxation. Local taxes are shared among three levels of government (communes, departments and regions) each of which applies its own rate independently to each of the tax bases (residence, property and business taxes). Decentralisation is resulting in a number of formerly central government responsibilities being devolved to the regions (but with effective control often remaining at the national level) and there has been some dispute as to whether sufficient resources are made available to relevant sub-national governments to meet these obligations; a number of national taxes are now subject to revenue sharing with sub-national governments.

The local business tax (*taxe professionnelle*) has gone through a number of changes and the government is preparing a reform aimed at replacing the present system with a tax that takes better account of companies' taxpaying capacity and better reflects the costs of economic activity to sub-national governments. In addition to introducing a more economically efficient tax, the reform is also designed to ensure that central government ceases to be a taxpayer in lieu of businesses, as is at present the case because of the variety of tax breaks. However, it will be difficult for any reform to meet the twin objectives of simplifying and rendering the tax more transparent, if at the same time the government is to avoid any major group of taxpayers paying more, as it recently announced.

Reducing tax distortions

The negative influence of the tax and benefit system on labour market incentives and the interaction of these effects with the minimum wage and other labour market institutions are at the origin of a significant part of structural unemployment and low participation in France. Reducing these adverse effects is an important challenge for policymakers. Various efforts have been made in the past to address this problem. In the 1990s this was done mainly through reductions in employers' social security contributions for low-paid employees. A major extension of these reductions was introduced as part of the 35 hour week package and recently it has been announced that the government is to pursue further reductions at minimum wage level. For the unemployed, one of the main disincentives to taking a job is the number and size of means-tested social benefits which create high effective rates of taxation on additional family earnings. A number of measures have tried to reduce these implicit tax rates:

- housing grants, which used to depend on being in receipt of the *revenu minimum d'insertion* (RMI), have been reviewed;
- allowing the RMI (*revenu minimum d'insertion,* minimum guaranteed income) or special solidarity allowance (*allocation spéciale de solidarité*) to continue to be paid for the first few months after an unemployed person takes a job;

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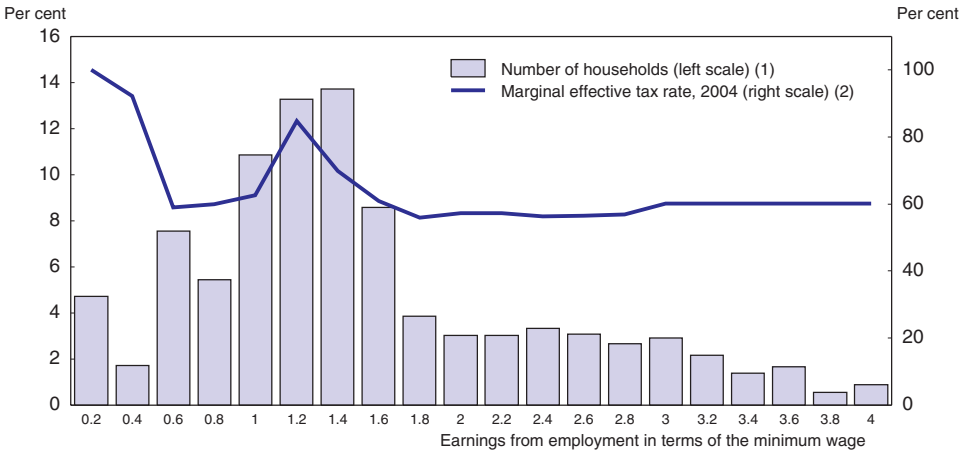
- the *prime pour l'emploi* (PPE), a personal income tax credit available to people in low-paid jobs; the *revenu minimum d'activité* (RMA), a subsidy to private sector employers who employ a person currently receiving the RMI;
- the *revenu minimum d'activité* (RMA), a grant awarded to private sector employers who take on a person currently in receipt of the RMI;
- the *contrat d'avenir* (literally, a "contract for the future") a measure similar to the RMA but which applies to jobs in the non-market sector.

All these measures have contributed to smoothing the profile of effective marginal tax rates as a function of income, at least for incomes above 50% of the full-time minimum wage. But for specific groups effective marginal tax rates have remained high (Figure 1.3). Furthermore the various measures are also costly and are not always implemented efficiently. For example the PPE is received only in the year after it accrues, and meant setting up an advance mechanism for the jobless returning to work. Also, the mechanism requires special arrangements for those not paying income tax.

Between 1985 and 1993, the corporate income tax rate was gradually reduced from 50% to 33.3% and has remained at that level since then (a temporary surcharge introduced in the late 1990s is to be completely phased out in 2006). While this rate is lower than in the United States and Japan, it is relatively high compared with many European countries, though the tax base is reduced by depreciation allowances and specific tax breaks. However, a reduced 15% rate has applied to SMEs since 2000. Dividends enjoy a reduction of 50% which de facto eliminates the double taxation of dividend income (replacing the previous tax credit system). On the other hand, the different treatment of both capital gains and interest income means that the system is not neutral as between financing investment through new equity, retained profits or debt, in some cases causing potential problems for new firms which may wish to rely more on equity finance.

Figure 1.3. **Effective marginal tax rate, one-earner households with two children**



1. As a percentage of all one-earner households with two children.
2. For definition see Chapter 2.

Source: Ministry of Finance.

The government has recently announced that it will set up a "Green tax" commission to consider the use of tax measures in environmental policy. Although France has a number of taxes and charges related to environmental issues, they are not generally well targeted on quantified externalities. Such a commission could well recommend an expansion of the use of environmental taxes, which would be welcome as long as they provide incentives commensurate with the environmental impact of the taxed activity. Such taxes should not, however, be introduced with the intention of using them as a substantial source of revenue. Their prime purpose is to shift the level of consumption and pollution to the socially optimum level (at which marginal damage is equal to the marginal cost of pollution reduction). In addition, to maintain the competitiveness of certain sectors, compensation for the increase in taxes may be sought for heavy polluters (such as paying back tax revenues), though such compensation must not make the tax less of an incentive and should not, therefore, be assessed on the basis of ordinary pollution. These exemptions can legitimately produce variations in *average* tax rates among polluters which look unfair or arbitrary, and an attempt to introduce a carbon tax foundered in 2000 before the *Conseil constitutionnel* for just such reasons.

Improving the functioning of the labour market

While a large part of current unemployment is structural – in the sense that increasing aggregate demand for labour would be likely to absorb it only at the cost of accelerating inflation – this does not mean that it is entirely structural in its origins. Downswings can create cyclical unemployment that turns into structural unemployment if people remain unemployed for so long that they begin to lose their employability. Some policies that may not seem particularly costly when employment levels are high or rising, may therefore have a negative and long-lasting impact in more difficult times, and subsequently make the economy less able to absorb labour during upturns. Such "hysteresis" effects need to be dealt with by structural measures which deal with particular aspects of the labour market, even if an improved conjuncture would obviously help too.

Since France has both low activity rates and high unemployment, it is necessary to look at both sides of the labour market – the supply of labour as well as labour demand – in order to understand the origins of the problem and how to deal with it (Figure 1.4). Wages affect both supply and demand; income taxes and employees' social security contributions have their initial effect on the supply side, those paid by employers affect the demand side. But it can be difficult to separate their ultimate effects, since they are all likely in the end to influence wage costs and output prices; hence the whole tax "wedge" between the net wage received by employees and the gross labour cost to employers is the best summary indicator. In addition to direct monetary costs, there are other costs that can influence employers directly, notably those created by employment protection legislation and restrictions on flexibility that legislation, for example on working time, imposes. Income support and other policies also affect the incentive to supply labour, even when they are well designed; if they are not, perverse results are likely.

Wage bargaining is more flexible than commonly supposed

The most important element in employment costs is wages. Wage bargaining in France has in the past had a reputation for being rather centralised, with little scope for firm-level bargaining: sectoral or inter-sectoral agreements can readily be extended to large numbers of firms that played no part in the negotiations. However, although the basic

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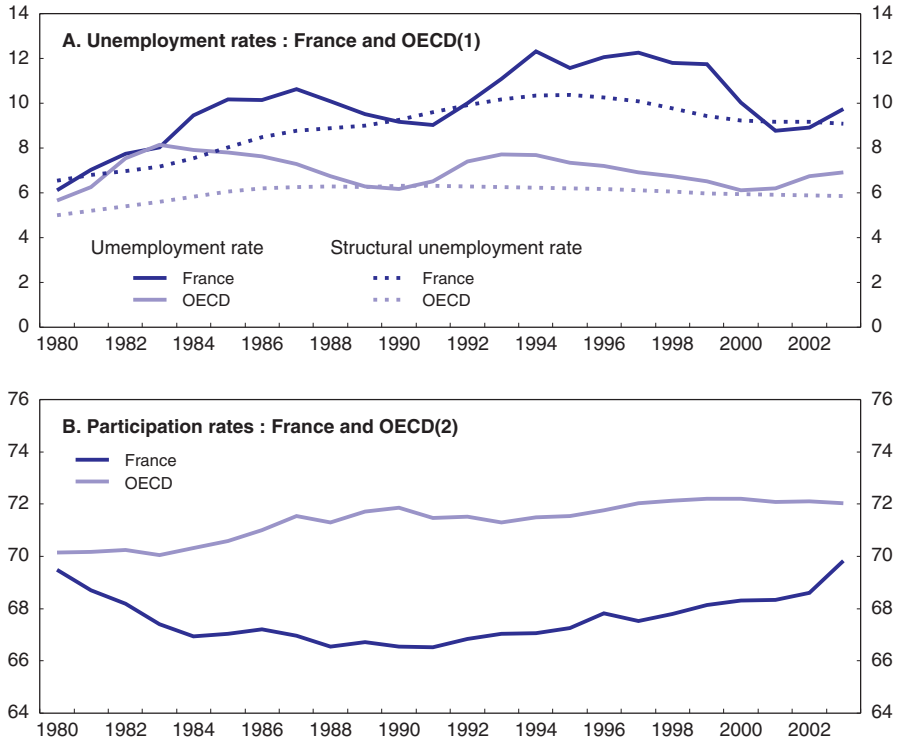
Figure 1.4. **Unemployment and participation***



* Owing to a change in survey method, the participation rate for 2003 is not comparable with that for earlier years.
1. As per cent of the labour force.
2. As per cent of the working age population.

Source: OECD, ELS database.

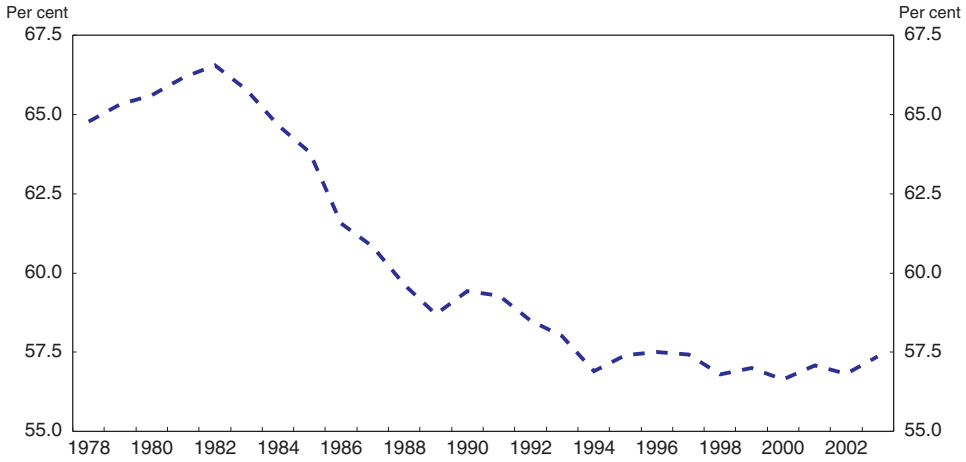
institutional arrangements are unchanged, evidence for the 1990s shows much more flexibility than this picture would suggest. There is also evidence that there is now a considerable amount of firm level bargaining, independent of sectoral or inter-sectoral agreements, whose extensions have much less practical impact, although some downward rigidities continue to exist.

There has also been a degree of overall wage moderation over the last two decades, at least in the sense that the share of wages in GDP declined from the start of the 1980s to the mid-90s, (Figure 1.5). Such aggregate wage "moderation" might be expected given the high unemployment rate throughout the period. Along with evidence on some downward flexibility of earnings, this suggests that wage bargaining institutions in the private sector in general may not be a major source of labour market problems.

But minimum wages and other policies constrain outcomes

However, while it would appear that wage bargaining *per se* allows a degree of flexibility for adapting to changes in circumstances, two mechanisms modify the balance of interests in bargaining and the legal outcomes – employment protection and minimum wages. High levels of social security contributions and their interaction with various means-tested or conditional benefits also affect the balance of supply and demand for labour. A national legal minimum wage (the *Salaire minimum interprofessionnel de croissance*,

Figure 1.5. **Share of wages in value added**[1]



1. For business sector. The wage share, measured by total compensation including employers' contributions, includes imputed remuneration of the self-employed on the basis of the average wage

Source: INSEE, Comptes trimestriels.

or SMIC) puts a floor on any downward adjustments. Some arguments suggest that a minimum wage does not necessarily cost many jobs, mainly when it is set in sectors where employee bargaining power is minimal so that their productivity is much higher than "freely" negotiated wages would be. But in France the minimum wage applies to all sectors and ages of workers, and is set at such a high level relative to average wages (about 13% of workers are paid the minimum wage which is about 60% of the median production worker's wage) that it is probable that, despite the reductions in social insurance contributions, a significant number of lower-paid jobs are simply eliminated (or pushed into the informal economy), not converted into higher-paid ones. Experience with reducing social security contribution rates for low-paid workers confirms this.

With the level of ambition set as high as the SMIC (however low it may seem in absolute terms, it is clear that the SMIC is high relative to the potential productivity of a significant part of the workforce), even quite radical measures to reduce the tax wedge may nevertheless not succeed in reducing structural unemployment to the level of the best OECD performers. Of course, if productivity potential could be increased, notably through an education system that gives better results among the disadvantaged, the task would be somewhat easier. The link between education reforms and the job market is an important one, although one that is not developed in this *Survey*. The link certainly works both ways: poor educational outcomes are partly a result of poor motivation among students, which high rates of unemployment reinforce.

Suggestions that the SMIC itself is too high are politically very sensitive in France, however. The SMIC is perceived as playing an important role in the French system of social protection and social justice, through its effect on reducing poverty. The authorities have, during the recent period, favoured an increase in its real level. The imposed reduction in standard working time from 39 to 35 hours caused a considerable increase in the SMIC relative to average wages, whereas wage bargaining at levels above the SMIC has probably kept increases in monthly wages since the 35 hours legislation somewhat lower than they

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would have been without the hours reduction. However, pursuing redistributive objectives by having a relatively high minimum wage is problematic and not very effective. In some countries, quite high levels of inequality in gross incomes are rather compensated for by the tax and social transfer system, with no greater post-tax inequality than in France (Figure 1.6) and also higher employment. Figure 1.6 also highlights the importance of the tax-transfer system, despite the minimum wage, in reducing poverty in France.

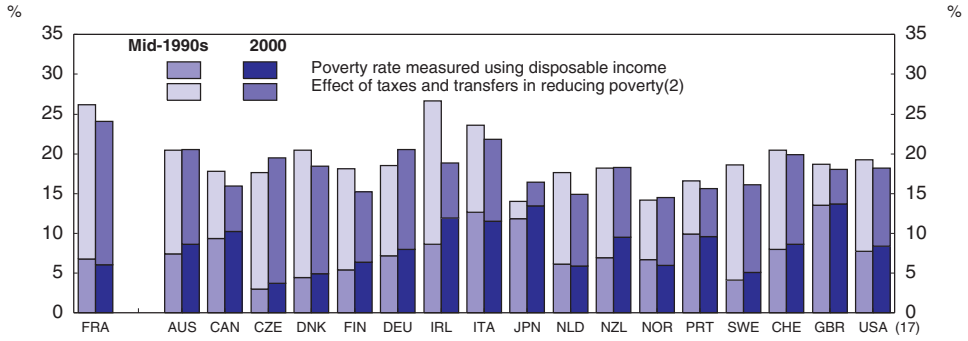
The 35 hours legislation has been controversial since the beginning, and its overall results are hard to assess, particularly because there were a number of different measures (such as rebates on employers' social security contributions – which are to the detriment of public finances – and more flexibility in working practices). So while there are estimates that the changes increased employment by as much as 2%, such estimates are difficult to verify; they are also consistent with the possibility that reductions in hours themselves cost jobs, but that the reductions in contributions and increased flexibility more than offset this effect.

The measures taken recently by the government to relax the constraints of the original legislation are welcome. Their essential effect is to convert what was initially a compulsory reduction in working time without loss of pay, into optional reductions. However, there remains an element of compulsion through the obligatory payment of an overtime premium after 35 hours work rather than the previous 39 hours, and through the limit on the total annual number of overtime hours (although this has recently been relaxed compared with the original legislation).

Employment protection legislation is rather strict

To oversimplify the Labour Code, the normal contract between an employer and an employee should be of indefinite duration, and can only be ended by the employer if the employee commits a serious error or if a court of law decides that such a termination is necessary to avoid the firm closing. Even when this is the case, the firm cannot choose

Figure 1.6. **Effects of taxes and transfers in reducing relative income poverty**[1]



1. The poverty rate is the proportion of the total population living in households where per capita income is below a poverty threshold. This threshold is calculated based on 50% of median incomes adjusting for family size. The disposable income threshold for France, for 2 adults and 2 children, was € 14 722 in 2000; for details, see Forster and Mira d'Ercole (2005), Annex 2.
2. For example, in France the poverty rate calculated using the distribution of income before taxes and social benefits was 24% in 2000; the effect of taxes and transfers reduced the poverty rate to 6%.

Source: OECD, Forster and Mira d'Ercole (2005).

freely which workers are to be dismissed, and must also do what it can to help them to find new jobs, despite itself being potentially in a struggle for survival. If a firm wishes to restructure to increase profitability, or to prepare for future developments, it can do so but will have to negotiate individual agreements with the people it wishes to dismiss.[6]

The purpose of these provisions of the law is to protect workers from the excessive vagaries of a free market. It reflects an idea that the role of a firm is not to serve only the interests of its shareholders or providers of capital, but that it has a duty to provide continuing employment for its existing employees, even when its owners or managers believe there are better uses for its capital and workforce. Under these circumstances, a firm which is uncertain about its future, or which knows that it is in a fairly cyclical sector, is likely to be hesitant to recruit new workers.

With the objective of reducing the rigidities engendered by the employment protection afforded under the standard indefinite contract, short term contracts for up to 18 months are allowed. However, the legislation makes these contracts difficult for employers to use for anything other than a rather short period. Despite these restrictions the share of temporary contracts in overall employment has increased significantly, from 5% in 1985 to 14% in 2002, an illustration of the restrictiveness of the standard contract. However, although temporary contracts have allowed activity to develop in areas for which the standard contract is not well-adapted, the outcome is more like a dual labour market than an increase in overall flexibility. Relatively few people (less than 30% the first year) make the transition from temporary contracts to permanent contracts, though it is hard to say whether this is due to the restrictions on short term contracts *per se* or to some other effect, such as the low accumulation of human capital – on average – on temporary jobs.

Rightly concerned with the problem of dual labour markets and the difficulty many people – especially the young and low-skilled – find in obtaining employment under indefinite contracts, successive governments have introduced various kinds of special contract. But so far there has been no attempt to eliminate the duality by modifying the protection under the standard contract. A number of recent reports have proposed ways to do this, for example by abolishing the clear distinction between temporary and indefinite contracts and substituting a standard contract where the degree of protection increases progressively with length of service.

Labour supply: work incentives are low for some groups

While an unwanted side-effect of employment protection and minimum wage legislation is a reluctance among employers to recruit, a number of different benefits generate disincentives to take work if it is offered. A complete analysis of all of them is difficult, partly because many are delivered by local government in ways that can vary from one area to another. Nationally, however, the most important ones are unemployment insurance, the minimum income guarantee (RMI) and housing assistance. One which is relevant only for women is a benefit paid for mothers who do not return to work after the birth of a child (payable for up to three years when there are two or more children). Consideration of the proportion of a person's extra earnings that is taken in tax and social security contributions and lost benefits over a range of earnings levels close to the SMIC, shows that marginal tax/withdrawal rates at these levels are as high as, or higher than, at much greater levels of income, and that they fall, up to a certain threshold, as income rises. To some extent this is inevitable since targeting benefits on those who need them most – as a way of keeping costs down – means withdrawing them when they are not "needed"

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and hence high effective rates of taxation/withdrawal which can easily approach 100%. The uncomfortable fact is that it is impossible to avoid strong disincentive effects at the same time as keeping fiscal costs down.

Whenever benefits are dependent on the recipient being unemployed, this itself is a major disincentive to taking a job in the first place, and would be even if marginal tax/withdrawal rates for an employed person were not very high. For example, non-working mothers of young children receive a benefit, withdrawn if the mother takes a full-time job, or partially withdrawn in the case of a part-time job. When the coverage of this benefit was extended in 1994 there was an immediate and visible drop in the female participation rate. Other benefits have a more positive effect on female participation, for example subsidised childcare places provided by local government are typically more generous for, or restricted to, working mothers. All in all, the female participation rate is higher than the average in other countries.

In recent years, governments have recognised the problem of maintaining the inactivity "traps" that certain social security benefits create. They have tried to move in the direction of emphasising in-work benefits, but have not moved so far as a number of other countries, such as the United Kingdom, Denmark and the United States.

Employment rates are also well below the OECD average for older workers. Their high propensity for early withdrawal from the labour market was in the past actively encouraged by the government and social partners, in a mistaken attempt to create jobs for young people. These programmes have now been tightened or withdrawn, and the pension reform aims to gradually raise both the minimum age at which a full pension can be received and the effective retirement age. But the idea that subsidies for early retirement are harmful may nevertheless not yet be fully accepted – either by employers or by employees. Employers' attitudes to employing older workers may have to change as well, but measures to achieve this need to be thought through carefully: there is a supplementary contribution to unemployment insurance levied on employers who dismiss workers over the age of 50, which has had the unintended but predictable effect of making it more difficult for such people to find a job.

Public employment services are fragmented and conditions to take jobs are not very strict

Three main groups of organisation are responsible for administering unemployment insurance benefits and registration. To be effective, active labour market policies need a considerable degree of co-ordination between these different functions and this has rarely been satisfactory in France. Follow-up on individuals' progress is not strong either, despite the introduction of measures such as the personalized action plan (PAP). Although the PAP requires that the unemployed person undertakes active job-search in exchange for the payment of unemployment benefit, no additional resources were allocated for monitoring job-search behaviour compliance when the contracts were introduced.

In Denmark, for example, although these functions are also divided among a number of agencies, there is quite strict conditionality such that even though the monetary incentive to take a low-paid job may not always be very great, if unemployed people refuse such job offers too often, their unemployment benefit is likely to be cut. In France, achieving this might require a further change of outlook. For the moment, the UNEDIC, which runs the system on behalf of the unions and employers, does not have to power to impose this kind of compulsion.

A co-ordinated strategy that takes proper account of market-based incentives is lacking

The structure of the labour market and income support policies in France has evolved significantly over the past two decades. The underlying philosophy appeared in the past to be to eliminate poverty by forcing employers to pay quite high minimum wages, in the hope that productivity increases would follow so as to avoid unemployment. The realisation that this does not happen automatically, and that labour demand falls when wages are forced up in this way, led to the successful introduction of reductions in employers social security contributions. As for labour supply, recent measures to improve labour supply incentives without cutting social benefits, such as the RMA, are going in the right direction. However, the overall system of financial incentives to work is still lacking in consistency.

Improving competition in product markets

Markets for products (and services) in France are differentiated according to the degree to which competition is circumscribed or regulated. A large part of the exporting industrial sector operates in a highly competitive international environment, with many successful and profitable companies. On the other hand, as in many other OECD countries, regulatory and other barriers limit competition among domestic providers in many service sectors and can also protect providers from international competition.

Network industries are frequently still state owned near-monopolies and, even where there has been privatisation, remain dominated by the historic incumbent company. For example, as Chapter 4 shows, competition in the telecoms sector remains less strong in France than in many other countries, even though the ART (*Autorité de régulation des Télécommunications*, the regulator for telecoms in France) is very independent. Liberalisation of network industries is being pursued but with some apparent reluctance, and certainly against the opposition of significant sections of public opinion; this is particularly true of the workers in such firms, who are some of the main beneficiaries of the monopoly rents. The retail distribution sector is regulated by a number of laws which are more restrictive than in other OECD countries, have the effect of impeding competition and are unlikely to be serving the interests of consumers.

Empirical work, including that by the OECD, suggests that restrictions on competition such as many that are found in France, not only reduce productivity growth but may also hinder the development of employment. Productivity levels in terms of output per person hour are quite high in France – they are probably higher than in the United States – but this has a lot to do with the fact that the labour market effectively excludes low-skilled persons. Also, average hours worked are relatively low, so that, despite a high ranking on output per hour, GDP per capita in France is lower than in many other OECD countries. Reforms aimed at stimulating competition, by injecting some dynamism in certain over-regulated areas, would augment *per capita* GDP by increasing both productivity and employment.

The competition framework and division of responsibilities may by suboptimal

French competition law is now based on provisions which are for the most part broadly similar to those common in most OECD member countries, partly under the influence of EU competition law (in whose development France of course participated). Enforcement of provisions banning anti-competitive practices was less enthusiastic in France than in many other countries until the late 1990s but has since become more

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vigorous. However, consumer activism is less common in France than in some other countries, particularly compared with English-speaking countries. While the interests of people as producers (especially in "strategic" industries or "national champions") or workers are frequently defended by regulation, their interests as consumers appear less prominent on the list of priorities; this is even true for the framework of regulation that covers the retail distribution sector.

Responsibility for the implementation of policy is divided between two bodies, the competition department (*Direction générale de la concurrence, de la consommation et de la répression des fraudes*, DGCCRF) of the Ministry of Finance and a separate Council for Competition, *le Conseil de la concurrence*. Broadly speaking, as far as promoting competition is concerned, the DGCCRF deals with enforcing competition and some regulatory policy, while the *Conseil de la concurrence* has some similarities to a court of law and decides on contentious cases.

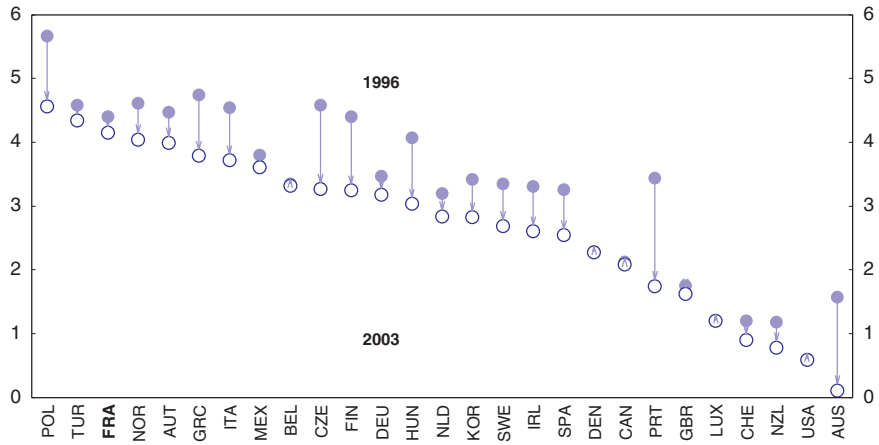
This division of responsibilities is fairly clear, but nevertheless gives rise to some difficulties. For example, the *Conseil de la Concurrence* has limited investigative resources of its own, even if it can call on those of the DGCCRF as and when necessary. But not having direct control or responsibility for these resources makes it difficult to use them most efficiently. Since January 2005, however, the details of this co-operation have been laid down in a charter. In fact, most of the regular work of the DGCCRF is concerned more with enforcing regulations (*e.g.* those *restricting* competition in the retail sector, discussed below) rather than promoting competition. There is an argument that such regulatory activity should be more clearly separated from competition policy enforcement in order to promote a fully competition-oriented outlook among the civil servants charged with its promotion.

France is also very unusual (along with only Spain among OECD member countries) in leaving full responsibility for merger policy (under the threshold above which EU institutions are responsible) with the government (the minister for economics, finance and industry), rather than with an independent merger body whose decisions can be overturned on publicly explicit grounds by a minister. In France, the principles guiding decisions on mergers sometimes seem to lack consistency, even though the analyses are in the public domain. Decisions that may not appear consistent with earlier ones make it difficult to look at precedents to assess whether possible mergers will be accepted (forthcoming adoption of guidelines aimed at giving clearer form to the decision-making practice. It also leads to concerns that the Economics and Finance Ministry may sometimes find it difficult to decide issues on pure competition grounds in the many cases where the interests of the State as a shareholder or tax collector may be affected.

Public ownership remains high in some areas

Compared with many OECD countries, the share of the economy accounted for by publicly-owned companies is high, despite a certain number of privatisations (Figure 1.7). In fact, privatisation frequently encounters a considerable amount of political opposition and outright privatisations are rare. Instead, common practice is to sell off a minority shareholding (in what is called an *ouverture du capital*, a capital opening), without any clear timetable for when the state will relinquish its controlling stake. This approach may have some advantages: allowing the company time to adjust to the prospect of being fully in the private sector, perhaps allowing more efficient valuation of the state's holdings, allowing workers time to adjust too and thereby perhaps defusing some potential opposition.

Figure 1.7. **Relative size of the public enterprise sector**[1]



1. Index 0-6 scale from lowest to highest share of public enterprises, index based on the extent of state ownership and (gross) proceeds from privatisations.

Source: OECD, Products Markets Regulation indicators.

While these advantages may exist, there are definite disadvantages, too, though their costs are difficult to evaluate. One of the most important is the conflict of interest that can occur between the state's role as a promoter of efficiency in the economy as a whole and the monetary value of its shareholdings in a period when budgetary constraints are very tight: there is an incentive to delay the introduction of competition in sectors where state or semi-private monopoly power have generated economic rents. The government has set up an agency to manage state shareholdings (the *Agence des participations de l'État*, APE), under the direction of the Treasury department of the Ministry of Finance. The line ministries have nevertheless preserved some powers with respect to the exercise of shareholder rights and corporate governance duties.

Sometimes notions of safety or national security get mixed up with the role of the state as shareholder and can be misappropriated to justify or cover anti-competitive behaviour. The case of the airport company ADP (*Aéroports de Paris*), which is wholly state-owned, is perhaps one of these. Matters such as slot allocation and tenders for airport handling services have often been resolved in favour of Air France (now 18.7% owned by the state, down from 55% in 2003) rather than in such a way as to maximise the benefits from competition, or even revenue for ADP itself.

Consumer interests are under-represented

One of the consequences of the extent and form of state ownership is that the interests of the consumer often appear to be insufficiently weighted relative to those of the state as shareholder or to those of owners and employees of (current and) former public enterprises. In many cases employees are the fiercest opponents of privatisation. This is partly on genuine, if frequently misplaced, fears that important public services would be undermined if not provided by publicly-owned companies. Equally and probably more important is the fear of loss of jobs and of advantages such as shorter working time, generous pension schemes, high wages and benefits in kind; this is understandable but is

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at the same time indicative of the existence of the economic rents that have been generated by the absence of competition, much of which has been captured by the workforce.

Especially in policy on retail distribution

The amount of attention given to the interests of the consumer is conspicuous when one looks at the development of legislation on the retail sector. From the point of view of competition and economic efficiency, one of the important functions of this sector should be to provide a link between producers and consumers where the former are induced to compete, on price and quality, with each other to provide the best value for money. Retailers themselves should compete to keep overall distribution costs down and to provide services that consumers want, including facilitating informed choice between competing products.

A complication that has arisen in many countries involves the interaction of economies in scale in retailing and the consequences for the location of retail outlets. France was a leader in the development of large hypermarkets and their popularity led to fears about "desertification" of traditional areas of small retailing in town centres. Dealing with this problem is particularly difficult since most consumers will declare both that they wish to preserve traditional shopping centres and at the same time that they want access to out-of-town hypermarkets: there is no ideal solution. The French approach to this problem has been costly for the consumer, however, since in seeking to protect small shopkeepers it has in practice resulted in relatively high retail prices. This is done by legislation (described in detail in Chapter 4) which suppresses competition and generates high economic rents among the large scale retailers. Such rents stem in part from the requirement (in the 1996 law known as the *Loi Raffarin; Loi Royer*) that new large-scale stores have to be approved by committees on which representatives of the existing retailers take part in land-use planning decisions concerning the location of large-scale stores.

Competition policy often relies on detailed prescriptive regulation

A mechanism that also serves to maintain higher-than-necessary prices for many manufactured products is a prohibition on re-selling at a loss. This provision has been in French law for a long time but had become relatively unimportant because its definition was imprecise. This was changed in 1996 by the *Loi Galland*, which applied a precise but mechanistic definition, since when a number of otherwise obscure accounting concepts have become important parts of the policy debate. Various provisions designed to ensure fairness and transparency in the operation of the law have had the effect of hindering competition among producers and legitimising (and even encouraging) behaviour that in some ways mimics that of price-supporting cartels.

A bill amending the *Loi Galland* has been put before Parliament. The ban on selling below "cost" is likely to be retained, but the "cost" could be redefined so that the price of the goods concerned might possibly fall by a few percent, even if calculating the said "cost" could become more complicated than at present. The bill also contains provisions concerning the confidentiality clauses which are perhaps just as important inasmuch as they would make surveillance of the pricing policies of competing producers more difficult and could, therefore, result in increased price competition. While the restrictions on the retail sector's overall supply would remain, the increased competition between producers could well lower the level of the economic rents, the bulk of which goes to existing large

retailers, some to manufacturers, and only a very small amount to the small retailers whom the system is supposed to protect.

Some network industries, and a good many professional services, are still protected from full competition

Some network industries combine the problems of public ownership, or former public ownership, and insufficient stress on structural separation in their regulation. Though France has progressively liberalised, this has largely been following rather than leading the implementation of European Union directives, often rather reluctantly. This is true of electricity, as well as of telecoms discussed earlier. In transport too there is a considerable degree of regulation. Opening of the railways to competition has barely begun (though it is true that successful models of deregulation are hard to come by, so that a careful approach is understandable) and most rail passenger transport is highly subsidised and is notably protected from competition from long-distance buses.

Other services are also protected by quantitative restrictions on entry. Many of these have legitimate origins in the desire to maintain quality of service but have evolved – especially where existing members of the profession are responsible for setting entry requirements – to become, in practice, a way of protecting existing providers from new competition. This particularly concerns accountants, lawyers, notaries and architects where, again, there appears to be insufficient focus on consumer welfare.

Notes

1. This policy was in place from 1994 to 1997, with a hiatus in 1995 while it was first removed and then reintroduced at a somewhat more generous level; new car sales fell 21 per cent when it was removed (Évolution de la consommation des ménages depuis 40 ans : marché automobile, Insee Première n° 844 – mai 2002). Adda and Cooper (2000).
2. The value of the tax credit is limited to € 150 per taxpayer.
3. Such deadweight losses in terms of the examples given, include subsidies on cars that would have been bought anyway, tax expenditures on home improvements that would have been made anyway, and tax credits on consumption that would have occurred anyway.
4. Such a tax reduction would be very small. But to argue that measures on specific sectors are more effective, by virtue of their visibility, is to argue that they induce consumers to change their overall expenditure by more than is warranted by the real change in their income.
5. The LOLF's aim is to bring central government accounting practices closer to best business practices. It is arguable, for example, that the accounting treatment recommended by Eurostat for the payment by EDF as a counterpart to the transfer of its pension liabilities would not be in compliance with the LOLF. Because it is a payment to the pension administration, and not to central government, it is not subject to this law.
6. Dismissals for economic reasons are justified only if necessary to preserve the firm's competitiveness.

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Chapter 2

Making the fiscal system sustainable and more efficient

Over the past two decades public debt as a percentage of GDP has risen almost without pause, and the shares of public expenditure and revenues in GDP remain among the highest in OECD countries. Control of expenditure has been particularly difficult in the social and health insurance sector. The tax and social security contribution systems are rather complex creating high administrative costs and a number of distortions to incentives. This chapter recommends: i) *continuing efforts to control health and other expenditures, and reviewing the way in which some expenditure responsibilities and associated financial resources are decentralised;* ii) *simplifying the structure of personal income and other taxes;* iii) *consideration of a closer link between collection and calculation of personal income tax and collection of social security and CSG contributions;* iv) *the continuation of efforts to remove distortions in a number of areas, from high marginal tax rates on low incomes to the favouring of different sources of finance in capital taxation.*

Achieving fiscal sustainability

While reform of public expenditure management and of the structure of taxation is needed in order to improve economic efficiency, these issues have to be seen against the background of one of the main challenges for French fiscal policy, which is to halt and reverse the upward trend of public debt as a share of GDP. This needs to be done now in order to make room for the pressures stemming from the ageing of the population without jeopardising long-term sustainability.

It should be recalled that the roots of current fiscal problems were laid in the past. Indeed, over the past two decades general government budgets and also cyclically-adjusted budgets always remained in deficit. Significant consolidation efforts were made, however, after the mid-1990s which reduced the cyclically-adjusted deficit from around 5% between 1993 and 1995 to 1.5% in 1999. But this policy was abandoned in 2000 – despite the strengthening of the economy – and the cyclically-adjusted deficit increased to around 2% in 2000-01 and, after a further policy easing in 2002, to above 3% in 2002-03, according to OECD estimates. During this period of economic weakening cyclical effects added to the structural deficit so that the total deficit increased to over 4% of GDP in 2003. In 2004 the government started new consolidation efforts although the fiscal improvement remained moderate with the cyclically-adjusted deficit falling by only ¼ of a percentage point to 3% and the total deficit by 0.5 percentage point to 3.6%.

The main measure of the new consolidation strategy is holding real spending in the central government (State) budget constant over the medium-term, as it has been since 2002. With spending on health insurance rising on average by 2.1% and of local authorities by 1.8%, real general government spending is expected by the government to increase by 1.2% over the medium term. Assuming a growth rate of 2.5%, the government's stability programme projects that total public spending will then fall as a share of GDP from 54% in 2004 to 51.7% in 2008. Assuming also a more or less constant revenue share the deficit would then fall accordingly, to 0.9% in 2008 and the cyclically-adjusted deficit will be reduced every year by 0.5 percentage point to below 1% in 2008. Even with these projections, the ratio of debt to GDP, though declining, would remain over 60% in 2008.

However, there are some uncertainties about the stability programme projection. With more moderate assumptions about economic growth and – especially – the strictness of the spending constraint, the OECD Secretariat expects the deficit to decline less rapidly, remaining nearly 1 percentage point higher in the medium term than projected by the government. Both the government projections and the estimate by the OECD assume no major tax cuts in the near future although the political pressure for such cuts could rise with the presidential election in 2007.

It is difficult to assess the likelihood of future fiscal slippages. In the past, deficit overruns were the rule rather than the exception but this cannot simply be extrapolated into the future. Indeed, in 2004 the deficit outcome was close to the budget plan; spending

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increased faster than anticipated, but so did tax revenues, in particular from the corporate tax and the value added tax, preventing fiscal slippage. But fiscal consolidation can not depend on economic developments, it needs a firm government commitment. For example, the habit of treating revenue overruns as a jackpot (*cagnotte*) to be spent immediately, rather than to be taken into account in planning for the following year's budgetary planning, has led both to a tendency to miss targets for structural or cyclically adjusted fiscal deficits and to spending on one-off items not integrated into long-term planning. Under a new provision in the LOLF, however, the government is now required to say in advance what use it will make of any tax revenues overruns in relation to the finance bill. Implementing structural reforms in labour and product markets as suggested in the other chapters would enhance growth and employment and – together with strict spending controls – would make it more likely for the government to meet its fiscal target.

The structural fiscal deficit is relatively high and the relatively weak economy is posing additional stress on government budgets. Furthermore, future spending pressures on pensions and health costs are looming with population ageing raising the risk of ongoing fiscal imbalances and excessive burdens on future generations. Closing fiscal imbalances by raising taxes would be problematic as taxes are already relatively high and appear to have adverse effects on growth potential and employment. If anything, tax distortions should be reduced to make the economy more dynamic (see below). Reducing both fiscal imbalances and tax distortions requires very tight spending controls over the medium and longer-term and substantial structural reforms.

The government has taken various measures to limit spending. However, while spending appears to be better controlled at the central budgetary level, this is less the case for local authorities. Some of them complain that their higher spending is caused by a shift of spending obligations, under the heading of decentralisation, from central government budget onto their budgets, even though part of their higher spending is financed by the central government through transfers which, according to the authorities, have for some years complied with the principle, of constitutional import, which establishes an obligation of strict financial compensation. These transfers are partly recorded as a decrease in central governments receipts (in the case where the central government bears the costs of tax relief measures of other government levels) and are therefore not affected by the central government spending constraints. In order to improve spending controls it would therefore be better either to record all government transfers to other levels of government as spending, or to extend spending constraints to other government levels *e.g.,* through a national stability pact. In addition, the target for the structural fiscal balance should exclude one-off measures.

The share of public employment in total employment is high in France, reaching 22.8% in 2004, more than the average of OECD countries (14.4%) and efforts from the government to control this source of spending have been very limited up to now. The share of public employment kept growing until 1997. It decreased until 2001 as a result of strong economic growth that was favourable to private employment but has since stabilised. The upward trend of public employment since 1980 mainly comes from the increasing role of local administrations with the "decentralisation" process, while the share of public employment in social security has remained stable and that in central government has decreased. Since 2000, employment has been constant in the central government but has grown strongly in local governments and social security. Although it can be considered that the increase in employment in local governments was unavoidable because of the "decentralisation"

process, it should have come in line with a corresponding decrease in employment in the central government, which has not been the case up to now. The increase in employment in social security mainly comes from the hospital sector and is thus difficult to avoid given the ageing of the population and changes in health practices. As a result, the government needs to concentrate its efforts on reducing employment in the central government, which still represents 50% of public employment. Efforts in this direction have been very weak up to now. The rule set by the government is the non-replacement of one civil servant getting retired upon two, but in practice, the rule is far from being followed. The budget law for 2005 foresees that most retirees will be replaced, which represents 7 188 job losses (out of a total of more than 2 million jobs in the central government).

The ageing of the population poses a continuing risk for fiscal sustainability. While France has a higher fertility rate than neighbouring countries, over the coming years the baby boomers who were born after World War II will retire; with an effective male retirement age of 59, which is among the lowest, and life expectancy at retirement among the highest in the OECD, the ratio between inactive and active persons will increase rapidly. Earlier work by the OECD has shown that in France the ageing of the population is likely to increase the combined expected funding shortfalls of the pension and healthcare systems by between 6.5 and 9% of GDP over the coming decades (before taking into account the pension reform and sickness insurance reforms adopted in 2003 and 2004). As deficits accumulate, so will interest payments, reinforcing the shortfall (see *OECD Economic Survey of France*, 2003 p. 43). It is obvious that policy makers had to take action to prevent such an outcome. Indeed, in 1993 and again in 2003 the government implemented major pension reforms and it is currently engaged in reforming the health care system. These reforms have the potential to significantly reduce the fiscal burden stemming from ageing populations but unless there is a significant increase in the employment rate, it is doubtful whether they will be sufficient.

Reforming pension systems

Since the 1990s France has implemented various reforms to ease the pressure of ageing on its public Pay-As-You-Go (PAYGO) pension system (see Table 2.1). Strong public opposition to reform has prevented steps being taken as quickly as would have been desirable from a long-term point of view. The first major step was the 1993 reform (*Réforme Balladur*) which affected, however, only pension systems of private employees while public sector pension schemes remained more generous. The reform reduced newly assessed pension benefits by changing their calculation and their indexation. The level of pensions was calculated on the basis of wages over the average of 25 years with the highest pay instead of 10 years as previously, while the minimum period of contribution required for receiving the full pension at age 60 was lengthened from 37½ to 40 years. Furthermore, pensions were indexed to prices instead of wages (which had been the case *de facto* since 1987). As a result the total net replacement rate (benefits as per cent of the last net wage) is expected to decline, for an average worker in the private sector with a full work career and who also receives a (compulsory) complementary pension from AGIRC or ARRCO schemes, from 84% in 2000 to 71% in 2020 and 67% in 2040. It was, however, explicitly mentioned that the government could take additional measures to raise benefits, for example in periods of strong economic growth.

In 2001 (based on the social security financing law of 1999) a pension reserve fund (*Fonds de Réserve pour les Retraites*) was created. The aim was not to set-up a fully-funded

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Table 2.1. **Main changes in the French pension system introduced in 1993 and 2003 by scheme**

	General scheme (wage and salary earners in the private sector)			Public sector	
	Before the 1993 reform	Changes introduced by the 1993 reform	Changes introduced by the 2003 reform	Before the 2003 reform	Changes introduced by the 2003 reform
First age at which retirement is possible	60 since 1983	No change	56 in case of long career (55 if disabled) from 2004	55 or 60 according to categories	56 in case of long career after 2008
Mandatory age of retirement	60	60	65 except derogation	65 (55 or 60 in strenuous work)	No change
			65 except for derogation by agreement within a given profession		
Age or duration conditions for retirement at full rate	60 and 37.5 years of contribution or 65 without condition on contribution period	Duration condition raised progressively to 40 years in 2003	Contribution period increased by 2 quarters by year from 2008 to reach 41 years in 2012 and about 42 years in 2020[1]	55 or 60 years and 37.5 years of contribution	Contribution period increased by 2 quarters by year from 2004 to reach 40 years in 2008, 41 years in 2012 and about 42 years in 2020[1]
Pension level at full rate	50% of the average of wages over the 10 best years of ones' career (social security ceiling)	Idem but the average over the best years raising progressively to reach 25 years in 2008	No change	75% of the last monthly wage during the 6 last months	No change
Reduction for retirement before reaching the full rate	Prorating effect plus a reduction of 10% per missing year (5 years maximum)	No change	Prorating effect plus a reduction after 2004 to reach progressively 5% in 2014 per missing year (5 years maximum)	Prorating	Prorating effect and introduction in 2006 of a reduction that will reach 5% per missing year in 2020 (5 years maximum)
Increase for retirement after reaching the full rate	None	No change	3% from 2004 for each additional year of contribution	None	3% from 2004 for each additional year of contribution
Indexation	Price	Price	No change	Wages	Price

1. Linked to changes in life expectancy at age 60.

pension system but to create a reserve using social security surpluses and other ad hoc resources until 2020 so as to reduce the need to raise pension contribution rates or reduce the level of pensions between 2020 and 2040. However, the pension reserve fund, is included in the calculation of the public sector balance; furthermore, some revenues scheduled for this fund (from privatisation and surpluses of other funds) have not materialised. Other measures were taken to encourage personal savings, particularly by employees, with the help of tax exemptions. However, so far, savings in private pension funds have remained low, though they have been rising due to concerns over the decreasing level of state pension provisions.

Another major step was the 2003 reform (*Réforme Fillon)*. This reform addressed two main issues, first the substantial inequalities between private and public pension systems and second, the large disincentives in the pension system for working longer. Inequality between the pension systems was reduced by basically extending the measures taken in 1993 for systems covering the private sector to public sector pensions. There remain, however, a number of exceptions as some public sector schemes continue to be more generous, such as those for employees of the national railroads, the electric and gas company (EDF-GDF) and Parisian public transport.

Concerning incentives to extend working lives the formula for calculating the pension was changed in two ways. First, the minimum contribution period for receiving a full pension period will be increased between 2009 and 2012 from 40 years by one quarter per year reaching 41 years by 2012. Thereafter, the minimum contribution period will rise further as needed to keep its ratio to the average payout (retirement) period constant, which implies de facto indexation of the minimum contribution period on average life expectancy. It is expected that this will increase the contribution period to 41.75 years by 2020, if the trend increase in life expectancy continues as at present. This measure will provide an incentive to continue working until the minimum contribution period has been reached as retiring earlier reduces the benefit replacement rate. The second measure to increase incentives to work longer was the introduction of benefit accruals for workers who continued working after the statutory age of 60 and beyond the contribution period required to obtain a full pension. Before the reform the replacement rate remained constant for these workers although they continued paying contributions, so that they lost net pension wealth by continuing to work. The reform introduced a 3% benefit accrual for each additional year of work beyond the statutory retirement age of 60 and the required contribution period.

At the same time, however, for those who retire before the minimum contribution period the rate by which benefits are cut has been harmonised between the main systems already reformed in 1993; it will be lowered from 10% for each missing year to 5% (to be progressively reached by 2013); an identical benefit reduction rate is soon to be introduced for public sector employees. While this measure facilitates earlier retirement it does bring the system closer to actuarial neutrality. Furthermore the 2003 reform also enables people who began working at a young age (between the age of 14 and 16) and who had worked for 40 years, to retire at age 56. Civil servants are also to benefit from this measure as of 2005. These measures will increase early retirement in the short-term and it is expected that between 2004 and 2008 this measure will enable about 500 000 persons to retire before the age of 60. Another measure of the 2003 reform which made the system more favourable for the low-paid was to raise the minimum pension for workers with a

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full working career earning the minimum wage, from 81% of the net minimum wage in 2003 to 85% by 2008.

Both the 1993 and the 2003 pension reforms aimed at achieving the solvency of the pension system without major increases in contributions, which are already relatively high. Nevertheless a small increase in the pension contribution rate by 0.2 percentage point (from the current 16.35%) was decided in 2003 to be made effective in 2006. It is expected that the combined effect of the measures will keep the PAYGO system solvent until 2020. According to estimates by the *Conseil d'Orientation des Retraites* the 2003 reform reduced the implicit debt of pension systems from 150% of GDP to about 100% of GDP which corresponds to a permanent reduction of the annual structural deficit of 1% of GDP (according to the authorities, the equivalent lasting reduction in the deficit could reach 1½% of GDP by also taking into account the favourable impact the reform is expected to have on participation rates). In order to keep the system solvent after 2020 it is envisaged to raise the pension contribution rate but at the same time reduce the contribution rate on unemployment insurance so that the total social security contribution rate will remain unchanged. This assumes that by that time unemployment will have declined sufficiently to enable a cut in unemployment insurance contributions.

With these reforms France has made important steps to put the pension system on a sounder footing. Nevertheless some risks remain. The cost of the system remains relatively high, and will increase further after 15 years, unless further measures are taken. The incentive to continue working may have been increased, but the overall effect on participation rates near to the retirement age has yet to be confirmed; the 3% accrual rates may, perhaps, need to be raised. The cost of minimum pensions could rise further too, especially if increases in the minimum wage are not kept down. Finally, there are still alternative pathways into early retirement and the government has to ensure that these are not unwittingly subsidised by other policies such as disability schemes.

Reforming health care

Sharply rising health spending

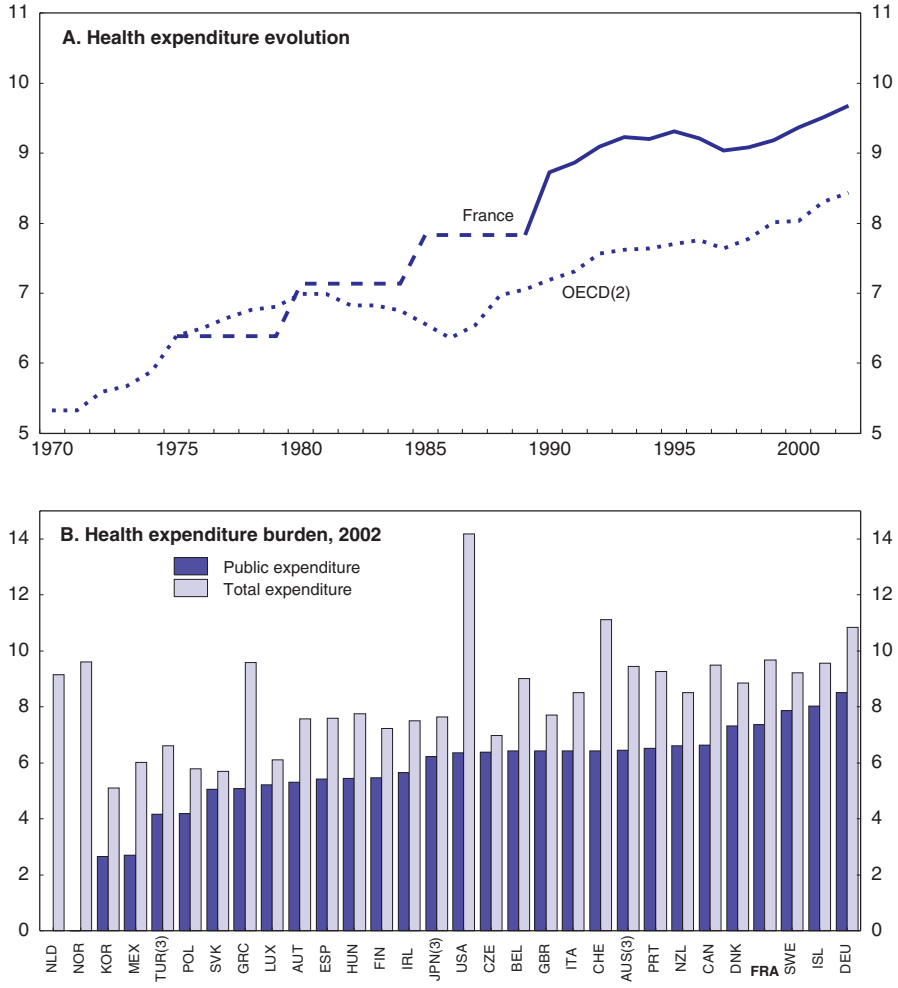
Since 1990, total (public and private) spending on health has been rising at over 4.5% per year on average and accounted in 2002 for 9.7% of potential GDP, more than in many other countries (Figure 2.1). This steep increase has weighed mainly on public expenditure, the share of financing by complementary insurance and by patients being relatively small (Figure 2.2). In 2002, more than 14% of public expenditure was on health. If such spending were to continue rising at its recent pace (7% in 2003), it would account for 10% of GDP in 2010, *i.e.,* 2 points more than in 2003. With the rate of increase in public healthcare spending having slowed somewhat in 2004, the sustainability of public finances depends on this expenditure being kept under lasting control.

Public health spending targets regularly exceeded

In 1996, in an effort to control the rise in public healthcare spending, the authorities introduced a national sickness insurance spending target (ONDAM – *objectif national des dépenses d'assurance maladie*), which restricts expenditure and reimbursements by all of the basic compulsory schemes. Since, however, the ONDAM does not represent a reimbursement ceiling, it is not binding and is therefore regularly exceeded (Figure 2.3).

Figure 2.1. **Health spending**

As a percentage of potential GDP(1)



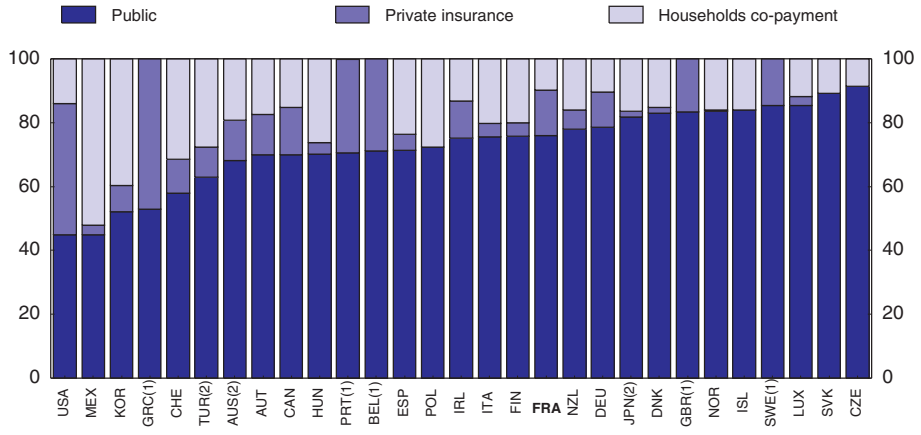
1. As a percentage of GDP for the Czech Republic, Hungary, Korea, Luxembourg, Mexico, Poland, the Slovak Republic and Turkey.
2. Unweighted average.
3. 2000 for Turkey and 2001 for Australia and Japan.

Source: OECD HEALTH DATA 2004, 3rd edition, *Economic Outlook*, No. 76.

The items responsible for ONDAM overspending are numerous. Mainly involved are the fees of certain health professions and spending on drugs. Daily allowances and medical transport have recently been another cause of the steep rise in healthcare spending, although daily allowances have come down since 2003. Lastly, expenditure by healthcare establishments accounted for one-third of overruns in 2003.

Figure 2.2. **Funding of health expenditure, 2002**

As a percentage of total expenditure

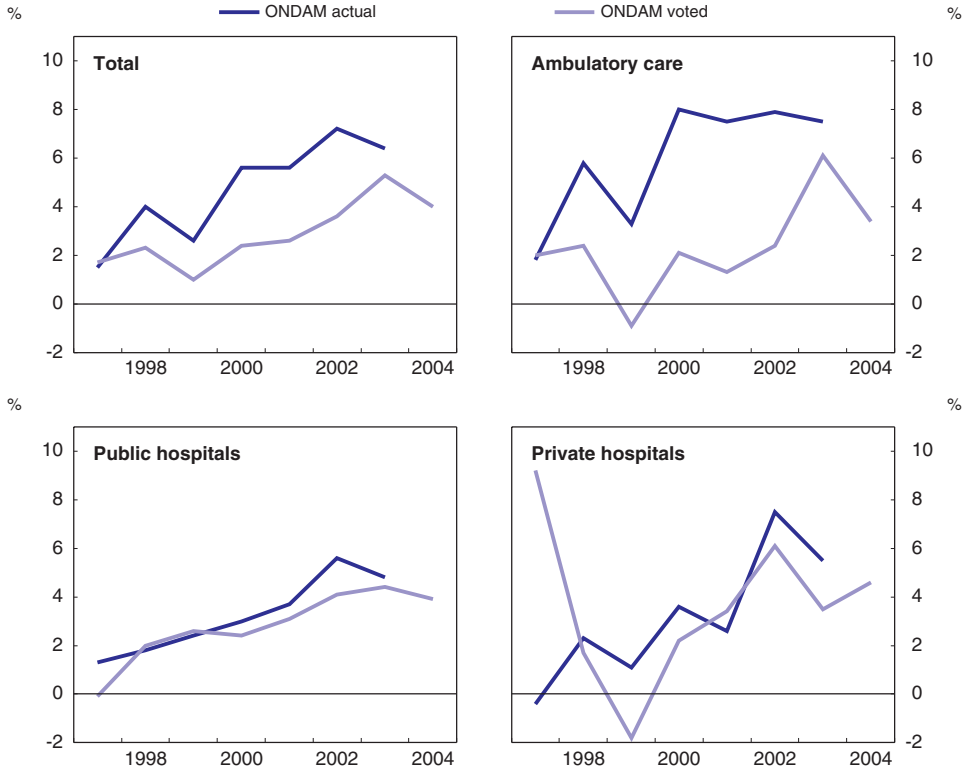


1. No data available on the share payable by households.
2. 2000 for Turkey and 2001 for Australia and Japan.

Source: OECD HEALTH DATA 2004, 3rd edition.

Figure 2.3. **Overruns on sickness insurance spending targets**

Annual growth rate



Source: Reports on ONDAM outturns, CNAM.

Health insurance is going to have to contend with rising expenditure

As in many other OCD countries, healthcare spending in France is increasing and will continue to do so for structural reasons such as demography, population ageing and technical progress. Technical progress in the healthcare field accounts for the bulk of the increase in health spending, especially in hospitals and on drugs, and this factor will continue to play an important role in the future. Existing studies conclude that the demographic impact of ageing, *i.e.*, the conjunction of the increased proportion of elderly people and the fact that health spending goes up with advancing years, is responsible for very little of the past increase in spending on health care (Annex 2.A1). Even so, the demographic effect is going to weigh heavily on health spending in the coming decades. This is because the number of deaths is bound to rise as the generations born immediately after World War II get older. Since health spending is high as death draws nearer, the increase in the number of deaths will prompt a rise in expenditure on health. Changes in practice, especially in terms of ambulatory care for persons well short of their life expectancy, would also play a very important role. So it is important to continue updating the incentives and to rationalise the healthcare system so as to achieve savings and cope with the increased demand.

The sustainability of health spending means controlling healthcare supply and demand

Apart from these characteristics which are shared with other countries, the French system is notable for having a very high reimbursement rate and, as a result, for offering few incentives to reduce healthcare demand:

- private complementary insurance usually reimburses the whole of the patient's contribution (co-payment) under the basic scheme, thereby neutralising its moderating effect;
- the cover provided by public schemes is extended to 100% for certain types of care and certain categories of patient (long-term disabling ailments, pregnancy, patients with disability pensions). These categories consume a very substantial proportion of health care because of the steep increase in the number of persons with long-term ailments;[1]
- in contrast with many other countries, access to specialists is not restricted.

The incentives to reduce the supply of ambulatory care are likewise inadequate. Care provided by doctors is on the basis of payment for treatment. While codes of good practices have been developed, there are few incentives to limit prescriptions for antibiotics, or to increase the share of generic drugs.

Little is done to stop people abusing the system. There are very few checks on patients when they are on sick leave. People with long-term ailments are often reimbursed in full for all the care they receive, whereas this should be the case only for treatment relating to their long-term complaint. Prior to the 2004 reform of sickness insurance (see below), doctors too were liable to very few checks on the prescriptions and medical certificates they issued when, in fact, their medical behaviour varies considerably.[2]

The way that medical establishments are currently organised does not ensure compliance with the ONDAM. This can be explained by the fact that the responsibilities of those in the system are not clearly defined (OECD, 2000). They are split between different actors (sickness insurance funds, representatives of health professionals and the State) who are all defending their own objectives which do not necessarily involve efficient management. The State deals solely with hospitalisation (public and private) and drugs, whereas the *Caisse nationale d'assurance maladie* (CNAM) is responsible for ambulatory care

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excluding drugs and has to keep the increase in the fees charged by doctors in private practice and by other paramedical professions within the budget voted by Parliament. The CNAM can propose corrective measures, but its role is actually limited in that it does not have responsibility for the whole of the system and the government often negotiates directly with doctors and other health professionals.

Reforms have been introduced to contain health spending

The authorities have tried on several occasions to control health spending by introducing more rationalisation in the system rather than by shifting a portion of public expenditure to private expenditure (OECD 2000 and Annex 2.A2). For the time being these reforms have not succeeded in containing expenditure for any length of time, no doubt because they did not deal comprehensively with the causes of the overruns and because they did not bring about any far-reaching changes in the incentives that determine microeconomic behaviour. Since these attempts at regulation, two reforms have recently been introduced with the object of producing in-depth changes in what governs behaviour: the Hospital 2007 plan, introduced in 2003, with the gradual implementation of activity-based payment in healthcare establishments and the 2004 reform of sickness insurance.[3]

The hospital reform should improve resource allocation…

Prior to the implementation of activity-based payment, the State exerted direct control over hospital expenditure by means of universal grants. While this method of funding did ensure that the ONDAM was respected in 1998 and 1999, it failed to eliminate big disparities in the budgets of hospitals with identical activities and did little to encourage efforts to improve efficiency and modernize, thus generating rents, resource allocation inefficiencies and the risk of increased spending in the long term.

Funding by universal grants does lend a certain predictability to hospital spending, but it does not ensure sustainability. The fact is that hospital spending has not stopped accelerating and there have been overruns since 2002, these being particularly high in 2003. These trends stem partly from wages, which account for 70% of hospital spending and are very much dependent on civil service pay trends. In addition, the recent sharp rise in hospital spending and part of the initial ONDAM overruns are due to the introduction of the legislation on the reduction in working hours (RTT) which was accompanied by a plan for the recruitment of hospital staff (53 000 jobs created between 2002 and 2005) and the application of the 1993 European Directive resulting in hospital doctors' on-call hours being incorporated in their weekly working hours.

All in all, any hospital reform which does not concern wage determination has little room for manoeuvre in terms of budgetary savings, especially in the short term. On the other hand, the introduction of funding tied to activity and the shift towards homogeneous financing of public and private hospitals should end the rent situation enjoyed by some establishments, cause costs to converge and prompt establishments to seek efficiency gains and contain costs. If it is to bring the expected benefits in terms of reorganisation, this change in the method of financing has to be coupled with the introduction of the instruments needed for reorganisation: an information system with appropriate accounting, critical assessments of resource utilisation, an improved purchasing policy (responsibility for which is in the hands of the *Mission d'Expertise et d'Audit Hospitalier-MEAH*), and enhanced decision-making powers for hospital directors. Also, the upturn in

investment in health establishments, encouraged by the *Mission d'Appui à l'Investissement* which helps them to develop new technologies and to propose joining forces, ought to generate savings in the long term.

… but doubts still remain

While the "Hospital 2007" plan is a move in the right direction, there are still a number of question marks and problems.

- The plan appears to be being implemented only rather slowly and progress on activity-based payment is proving very gradual. For 2005, the target is to achieve activity-related funding in public hospitals equal to just 25% of expenditure and, in early 2005, hospitals were still lacking information on what their budgets were for that year.
- The system of funding tied to activity was introduced in March in the private sector, having been somewhat delayed; ONDAM overruns in this sector have been high. Lastly, cost-coding will not apply to all public hospital activities, which is likely to mean that the different systems of payment in private and public hospitals will persist, whereas one of the aims of the reform was to set up a single funding/reimbursement system.
- Some of the difficulties facing public hospitals stem from the staff's civil servant status, which is responsible for cost rigidities and is holding up the modernisation of the system because staff mobility is very reduced. Hospital reform will not change the status of the staff, so that rigidities will persist. Nor will the reform ease the strains caused by the application of the 35-hour week and staff shortages.
- Some rigidities are also due to hospital governance which attaches considerable importance to political factors in decisions concerning hospitals. The impact on hospital governance of the changes scheduled by the reform of sickness insurance (see below) is uncertain.

The object of the reform of sickness insurance is to contain expenditure on ambulatory care

With only limited leeway for making savings on healthcare establishment spending in the short term, the authorities are for the time being focussing mainly on controlling ambulatory care expenditure. The four main features of the latest reform of sickness insurance are (see Annex 2.A2):

- The introduction of incentives which should prompt changes in behaviour on the part of both patients and doctors: increase in co-payment, introduction of the need to see a general practitioner to rationalise access to specialists, introduction in 2006 of personal medical files.
- The undertaking by doctors to control expenditure on drugs: reductions in prescriptions of antibiotics, certain drugs, sick leave certificates and medicalised transport, development of generic drugs and good healthcare practices and improved compliance with the regulations concerning non ALD-related expenditure.
- Increased monitoring and control of the use of the system by patients and doctors.
- Institutional reform (details of which are given in Annex 2.A2): creation of a warning committee responsible for preventing any excesses, improved participation by all sickness insurance actors in managing the ONDAM.

Moreover, a reform of the framework law on social security funding was also adopted in May 2005. It extends the scope of the social security financing law and gives it a multi-annual dimension. Parliament will vote the balance on the main sickness insurance systems and the impact of the ONDAM vote will be strengthened by virtue of a detailed discussion of its component parts. Like the LOLF, it introduces a "targets – results"

approach and now prohibits repayment of the social security debt borne by the CADES being carried forward any further.

… but the impact of the reform is hard to assess

In the short term, the reform of sickness insurance is liable to generate a number of costs. The introduction of personal medical files, for example, promises to be relatively costly. Also, to have the reform accepted by doctors, the *Union Nationale des Caisses d'Assurance Maladie* had to agree to substantial increases in fees under the January 2005 agreement. While these mainly concerned specialists, general practitioners were also involved with the introduction of a fixed rate for doctors treating patients with long-term ailments. For specialists who apply fees in excess of the statutory rate, the possibility of choosing the co-ordination option, *i.e.,* of committing themselves to limiting their excess fees in exchange for a reduction in their social security contributions, is a fresh source of expenditure for the sickness insurance system. All in all, the reform contains a series of provisions designed to improve the quality and efficiency of health care, but it is difficult to say what savings can be expected in the short term.

In the medium to long term, the reform's success will depend on its ability to change people's behaviour. The success of the healthcare process is very much bound up with the behaviour of general practitioners, a large proportion of whom are at present against the reform. If the general practitioner is simply going to refer patients to specialists without reducing the number of visits, expenditure in terms of doctors' fees, which accounts for 20% of the ONDAM, is not going to be contained. It could even increase faster since fees have been increased under the new agreement put in place as part of the reform. The reform's success will also depend to a great degree on the effectiveness of the agreement on medicalised containment of spending trends, which itself rests on a commitment on the part of doctors. While the reform does allow for recourse to penalties, the key factor is whether doctors are going to agree to "play the game". Where patients are concerned, if demand for health care is to be reduced, co-payment will have to increase and this will depend on the behaviour of complementary insurance providers. If the complementary providers were to take responsibility for co-payment, the reform would indeed realize the savings generated by the fall in sickness insurance refunds, but it will not go any further than these savings, whereas a change in behaviour would. What is more, the result would be to switch part of public expenditure to private expenditure, which is not in the spirit of the reform. The authorities have made it clear that they do not want complementary providers to take any such responsibility for co-payment, even if they cannot intervene directly in this matter.

The "warning committee", which is independent of the authorities, is supposed to track trends in sickness insurance expenditure and sound the alarm when there are signs of probable overspending. In such cases, health system actors must take corrective measures such, for example, as cutting back on reimbursements or lowering tariffs. While setting up the committee is a useful measure, it is very difficult to know whether it will have any real practical impact. Similarly, while the reform of the framework law on social security funding is a step in the right direction, its impact is difficult to assess.

Finally there are other factors, also responsible for certain excesses, which are not in the reform. Payment per treatment is maintained, even though it encourages repeated visits. It might also be thought that an overall reform of the hospital system and ambulatory care would have been preferable to two separate reforms. Lastly, the question

of health professionals' remuneration is not tackled, even though it accounts for nearly 50% of the ONDAM.

Simplifying the tax system and reducing its negative effects on the economy

The level of income tax and social insurance contributions is high in France and it is impossible to raise such amounts without having some effect on economic incentives. So long as the share of public spending in GDP remains high, average tax rates – and the corresponding effects on incentives – also have to be high as well. Careful design of the tax system is therefore required to minimise distortions, and this section considers how well the French tax system avoids such distortions, given the underlying need for large amounts of revenue.

One aspect of the French tax system is its complexity, in terms of the number of taxes, the number of exemptions and special allowances, the number of bodies involved in calculating and collecting taxes. This leads to questions about transparency and consistency, efficiency and administration costs. Another aspect of the system has been the trend over the past two or three decades to increase the share of income tax and social insurance contributions that is levied on labour, mainly as a result of the expansion of the largely payroll-tax-financed welfare system. This has led to concern about the impact on employment and inactivity traps, and is linked with the discussion of labour market issues in Chapter 3.

The challenge for French tax policies is to make the tax system less complex and more transparent and to reduce tax distortions where these are most pervasive, without putting fiscal sustainability at risk. After outlining the main trends in the overall structure of taxation, this section first examines some aspects of its complexity and the cost of tax collection. It then analyses the impact of labour and capital taxation on incentives and briefly discusses issues in the area of environmental taxation. The section ends with a discussion of some policy options to improve efficiency. The main characteristics of the French tax system and its development over time are described in Annex 2.A3.

The tax system is complex and administrative costs remain relatively high

The French tax system appears to be very complex, which gives rise to high costs, both for the tax administration and for tax payers. There are economic and political reasons why tax systems can be rather complex. One reason is that, apart from raising revenues, governments try to achieve many other goals which are thought socially or economically desirable. Sometimes measures are taken on an *ad hoc* basis without giving sufficient consideration to how they may interact with other parts of the tax system or with other policy objectives. Complexity may also arise from the existence of different levels of government and public institutions which are entitled to raise their own taxes with different tax bases. Finally, many small taxes may exist simply because they have been inherited from the past even though their net return for the government is low. These factors are all at work in France.

The main sources of government revenue in France are social security contributions, income taxes, value added and other indirect taxes. Although there are some variations in payroll taxes and in value added tax rates, the main taxes used for purposes such as redistribution or creating tax incentives, are those on personal and corporate income. Environmental taxes are at the other end of the scale, *i.e.,* the revenue they raise is largely incidental to their task.

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About two thirds of the revenue from taxation of personal income comes from a proportional tax first introduced in 1991 to supplement social security revenues; however, it is not referred to as an income tax but as a generalised social security contribution – the *contribution sociale généralisée* (CSG). Taxation of personal income is quite progressive, with a top marginal rate on dividends[4] of about 56% and 57% on earned income (including CSG, and the *contribution pour la reduction de la dette sociale* – contribution for the reduction of social insurance debt – CRDS). The personal income tax itself has a large number of exemptions and deductions, as can be inferred from the fact that the CSG, imposed at a flat rate of 7.7% (11%[5] on property income) and with no exemptions or deductions, raises more revenue than the personal income tax with a top rate of 48%. Only about half the population pays any income tax, though it is imposed at the entry rate of 6.8% where family income per head exceeds about € 4 000.[6] Although the rate structure is highly progressive, some other aspects are not, but upper limits are scheduled. In particular, the main reductions are due to allowances for dependants, whose value increases with income up to a ceiling (see Annex 2.A3). Other important taxes based on wage costs are the social security contributions, most of which are paid by the employer on top of the gross wage. Social security contributions are regressive, with lower rates at higher income levels, but there are now also reduced rates at low income levels.

In addition to the redistributive element of the personal income tax, and despite the relatively large number of people who do not pay any significant amount, this tax is quite frequently subject to modifications intended to influence behaviour. For example the employment premium (*Prime pour l'emploi*, PPE) is a non-wastable income tax credit for employees on low incomes that has both an employment and a social objective: conditional on employment, it improves incentives to work and thus helps people to get out of the poverty trap. Measures are also used to encourage various forms of saving. Other recent uses have included encouraging employers to link employee earnings to company results, encouraging home improvements, employment of home helps or encouraging property owners to rent to tenants on modest incomes. Sometimes particular measures can work in opposition, as for example in 2004 when, despite the panoply of tax subsidies to various kinds of saving, a tax credit was offered for people who took out consumption loans.[7] Other measures which could be thought paradoxical include a tax credit to encourage low-income people to take out complementary health insurance schemes, the result of which, for these people, is to neutralise the effect of a specific insurance tax to which these schemes are subject.

As far as company taxation is concerned, there is also a number of specific measures such as measures in favour of research and development expenditures (exemption for firms taking part in a research project in the future competitiveness centres, easing of the tax credit for research expenditure), measures to avoid delocalisation (with the creation of advantages for firms operating in areas in great difficulty or which relocate to France), and measures in favour of apprenticeship contracts.

Indirect taxation is also used for policy purposes to some extent, though with less frequent changes. The most important recent change was to charge the reduced rate for home improvements, partly in an effort to boost the construction effort, but also because this sector composes a significant part of the informal economy, this in turn being partly because of the high rate of value added tax imposed. This example has generated pressure to extend this treatment to hotels and restaurants, particularly as food consumed off these premises is charged at the lower rate.

While all countries use the tax system to modify behaviour to some extent, a report from the *Conseil des Impôts* suggests that the practice of introducing special exemptions that result in tax expenditures may be excessive in France (*Conseil des Impôts*, 2003). Partly this is because they are inadequately evaluated: of some 400 individual tax expenditures[8] the revenue impact is estimated only for about half of them, and in about half of these cases the estimates are based on inadequate information; even less are any of the measures which are intended to have specific impacts evaluated for cost-effectiveness. Many such measures are introduced as amendments to non-finance legislation, where an equivalent voting of funds would not have been possible. The *Conseil des Impôts* made a number of recommendations for reducing the extent of tax expenditures including providing better information, restricting the creation of tax expenditures to finance legislation, requiring such measures to have sunset clauses, suppress measures whose effect is very limited, require measures to be justified in terms of specific objectives. For the moment, few of these largely reasonable suggestions have been implemented.[9] The government recently pledged that tax expenditures would from now on be time-limited, lapsing automatically after five years.

In France, the number of taxes which are collected by or attributed to different levels of government also appears to be relatively high. Quantitative international comparisons are difficult because of institutional and definitional differences between countries, but it can be seen that New Zealand and the United Kingdom, for example, have a more simple allocation of type of tax to level of government than France, and that the number of different taxes that are allocated (or partly allocated) to social security finance in France is particularly high (Table 2.2). This does not necessarily mean that each tax is itself necessarily complicated for the taxpayer; it may mean that decisions over levels of individual taxes are more difficult, however.

Where taxes are shared between levels of government and each level can set its own rate, as for example local taxes, for which communes, departments, regions, and a number of specialised agencies set their own tax rates, there are some grounds to believe that there will be an upward bias in the overall level of taxation (Flochel and Madiès, 2002). On the other hand, competition between neighbouring districts may limit or offset this bias. There does indeed seem to be evidence that electoral competition (in the case of residence and property taxes, though not for local taxes on companies) does affect rate setting (Madiès and Rocaboy, 2005).

Tax administration is more fragmented than in most other countries. Within the Ministry of Finance there are by tradition significant organisational divisions between the different tax functions: calculating tax liabilities is mainly the task of the *Direction Générale des Impôts* (DGI), while tax collection is the responsibility of the *Direction Générale de la Comptabilité Publique* (DGCP). However, reforms were recently implemented with the object of reducing administrative costs and giving taxpayers a single department to liaise with. Thus, 2002 saw the creation of a specialist national agency for large firms, which deals with assessment and collection, while a similar mechanism came into being for small and medium-sized firms at local level in 2004. Social security contributions are collected and administered separately by a number of different agencies. Also, France is one of the few OECD countries which does not have a withholding tax system, or deduction at source, for the income tax on wages and salaries; social security contributions and the CSG are deducted at source, however. Since 2002, income tax payers can file and pay taxes online on the websites created to this end – a procedure which is enjoying real success. For those,

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Table 2.2. **Tax revenues by sub-sectors of government**

2002

	Central Government					Local Government					Social Security Funds				
	France	Finland	Denmark	New Zealand	United Kingdom	France	Finland	Denmark	New Zealand	United Kingdom	France	Finland	Denmark	New Zealand	United Kingdom
Taxes on income															
Individuals	•	•	•	•	•		•	•			•				
Corporate	•	•	•	•	•		•	•			•				
Social Security Contributions															
Employees	•	•	•				•				•	•	•		•
Employers	•	•	•				•				•	•	•		•
Self-employed or non-employed											•	•			•
Taxes on property															
Recurrent taxes on immovable property	•				•	•	•	•	•	•					
Recurrent taxes on net wealth	•	•													
Estate, inheritance and gift taxes	•	•	•	•	•										
Taxes on financial and capital transactions	•	•	•	•	•	•									
Taxes on goods and services															
Taxes on production, sale, transfer, etc	•	•	•	•	•	•	•	•	•		•				
General taxes	•	•	•	•	•										
Taxes on specific goods and services	•	•	•	•	•	•	•	•	•		•				
Taxes on use of goods and perform activities	•	•	•	•	•	•	•		•		•				
Other taxes															
Paid solely by business	•		•			•					•				
Other	•	•													

Source: OECD Revenue Statistics.

however, who are unable or unwilling to use this new technology the procedure is more cumbersome. The self-assessment of wage income also leads to a significant time lag between income and tax payments. Some people who are newly unemployed can thus find themselves still having to pay income tax on the previous year's income; this delay also makes measures that make use of income tax incentives (such as the PPE) less likely to be effective, at least in the short run, and to increase the deadweight losses associated with them. Simplifying the tax system and rationalising tax collection would certainly help reduce administrative costs. Introducing a withholding system for the part of personal income that relates to wage income would probably meet some resistance from the business sector, since the information to be processed would probably be more complex than in the case of social security contributions and the CSG. Some wage-earners could also be reluctant because of the information that would have to be brought to the attention of their firms, although there are other countries where this does not seem to be a problem. Rectified tax returns would remain necessary in many cases.

An informative measure of the complexity of the tax system and its administration is the resource cost of collecting taxes. In international comparison France remains among the countries with relatively high costs per unit of collected revenues and also has relatively high tax arrears, even though the cost of tax collection has fallen appreciably since the mid-1990s. This is illustrated by the indicators shown in Table 2.3 although the numbers should be interpreted with considerable care as they are affected also by factors which are not related to the efficiency of tax administration. Administrative costs of tax collection appear to be particularly high for the income tax, the net wealth tax and local taxes, as those taxes are difficult to administer and have a relatively complex tax base.

Tax effects on economic performance

There has been a long debate among economists on the effects of taxes on the economy and its rate of growth and the question remains controversial. An overall assessment also requires consideration as to how tax revenues are spent. Nevertheless, it has become clear that taxes can affect the economy via different channels and some of these effects can be very significant. Furthermore, there is also a reverse causality as poor economic performance creates pressure to raise social security spending which triggers an increase in labour taxes which could cause a vicious circle with higher taxes and lower growth and employment.

While a comprehensive assessment of the effects of the French tax system and its changes on the domestic economy would go beyond the scope of this paper we focus on a few areas where such effects are, perhaps, important and where reforms may be needed. These are taxes on labour, parts of capital taxation and of environmental taxes.

The ratio of tax and social insurance contributions to GDP has been stabilized at a relatively high level

After rising rapidly during the 1970s and the first half of the 1980s, the ration of tax and social insurance contributions to GDP has remained broadly at a level of 44% over the last 20 years. France thus belongs to the group of OECD countries where the level of tax and social insurance contributions is relatively high. The longer-term increase in the overall tax ratio was mainly accounted for by the rise in tax and social insurance contributions on labour and capital while the tax burden on consumption declined somewhat (see Annex 2.A3) In recent years governments have implemented a number of measures to try to reduce some of the main difficulties that result from high average levels of taxation,

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Table 2.3. **Indicators of administrative costs in tax revenue collection and tax arrears**

	Administrative costs as a % of collected revenue	Number of citizens per full-time staff	Number of labour force per full-time staff	Reported gross tax arrears as a % of net tax collections
	2002	2003	2003	2002
Australia	1.19	1 016	512	9.3
Austria	0.72	929	450	9.6
Belgium	1.00	476	207	14.6
Canada	1.20	810	425	8.4
Czech Republic	2.08	700	351	49.7
Denmark	0.73	651	348	4.9
Finland	0.67[1]	820	415	6.6
France	1.44	788	358	16.1
Germany		665	324	2.6
Hungary	1.35	768	309	
Ireland	0.95[1]	625	282	4.5
Italy		1 202	510	
Japan	1.62	2 260	1 199	
Korea	0.85	2 804	1 359	3.0
Netherlands	1.76[1]	629	320	
New Zealand	1.17	853	425	4.0
Norway	0.59[1]	716	374	4.0
Poland	1.32	751	339	8.6
Portugal	1.68	778	402	43.5
Slovak Republic	1.46	929	458	39.7
Spain	0.78	1 680	745	5.9 (2001)
Sweden	0.42[1]	985	494	1.9
UK	1.15[1, 2]	730[3]	360[3]	17.2[2]
USA	0.52[1]	2 261	1 445	16.1

1. Revenue base includes social contributions.
2. IRD.
3. IRD and C&E.

Source: Tax Administration in OECD countries: Comparative Information Series (2004), OECD Centre for Tax Policy and Administration.

notably in reducing labour taxes for low earners and bringing down the statutory rate of company tax in line with corporate tax reforms in many other countries.

Despite recent reductions effective tax rates on labour remain high and create inactivity traps

Taxes on labour are relatively high in France and yield around 55% of total revenues, including income tax and social security contributions (paid by employees, employers and self-employed), other payroll taxes (tax on salaries, tax for apprenticeship, tax for professional training) and (since 1991) the flat-rate tax on income, CSG (*Contribution Sociale Généralisée*) which is also levied on transfer income and capital income (which yield about a quarter of total CSG revenue). The contribution of the CSG has risen rapidly since its initial introduction. The rate of the CSG was raised various times in the past and its tax base was broadened, over a period in which health insurance contributions were reduced. The CSG is earmarked for social security finance and its revenues (together with those

from certain related taxes) are now about one third higher than revenues from the personal income tax.[10]

The link between labour taxation and employment is complex and has been explored in many studies, including some by the OECD.[11] There is still some debate about the size of these effects - with some studies claiming that labour taxes have no significant impact on unemployment whereas others explain most of the rise in unemployment in Continental Europe by labour taxes.[12] Most theoretical and empirical work suggests, however, that labour taxes can have important adverse effects on labour markets although the effects largely depend on labour market institutions which determine the degree of tax-shifting into labour costs. Thus, tax-shifting and hence negative employment effects appear to be lower in countries where labour markets and product markets are more flexible and higher where they are less flexible. In a study for France, Cotis *et al.* (1996) found virtually full shifting forward of taxes. A study of OECD countries by Tyrväinen (1995) for the OECD Jobs Study found high shifting forward in Germany and Canada and low shifting-forward in the United States, the United Kingdom and Sweden. Daveri and Tabellini (2000) found that higher taxes lead to higher gross wages in continental Europe (but not in the United States or in the United Kingdom) while Arparai and Carone (2004) found only a relatively small effect of the labour tax wedge on real labour costs in the EU as a whole.

In France the average and marginal tax wedges (including social security contributions and income tax) of the average production worker are relatively high despite some reductions in recent years (Figure 2.4). The effects of labour taxes are compounded by income-related social benefits. The additional disposable income by entering employment or increasing work efforts is reduced by labour taxes and the (partial or full) withdrawal of social benefits. If the overall marginal effective tax rates (METR), as defined by the proportion of additional labour costs that is paid as tax, is very high, this leads to inactivity and poverty traps; these might be mitigated if people take a longer-term view and start working or work harder, despite limited short-term income gains, in the hope of escaping the poverty trap by moving up the income ladder and achieving higher lifetime income.

In France when taking-up a relatively low-paid job, high METRs used to arise from the withdrawal of the minimum social benefit (*revenu minimum d'insertion*, RMI) and the payment of labour taxes. The RMI was from the beginning subject to *intéressement*, meaning that a person could continue to receive the benefit for some time after taking a job, but the conditions for this were very restrictive in practice, until greatly relaxed in 1998. This relaxation reduced the METR on taking a job, spreading it through time as the *intéressement* is phased out. A further step was the introduction in 2001 of the employment premium (*Prime pour l'emploi*, PPE), an in-work benefit paid as a non-wastable tax credit for low-income earners at a maximum basic rate of 4.6% of the gross wage.[13]

Rebates on employers' social security contributions for low-income employees also reduce METRs. As a result of these measures, the METR is below 100% for workers earning as little as half of the SMIC (part-time workers), but they are quite high nevertheless and increase quite steeply in the range of incomes over which the income-related benefits – PPE and employers' contribution rebates – are withdrawn (Figures 2.5 and 2.6). Other "spikes" in METRs are caused by the withdrawal of housing benefits and school benefits at incomes around 2 to 2.4 times the SMIC (if the person has children). Above this, METRs increase gradually because of the progressive income tax, although from the employers'

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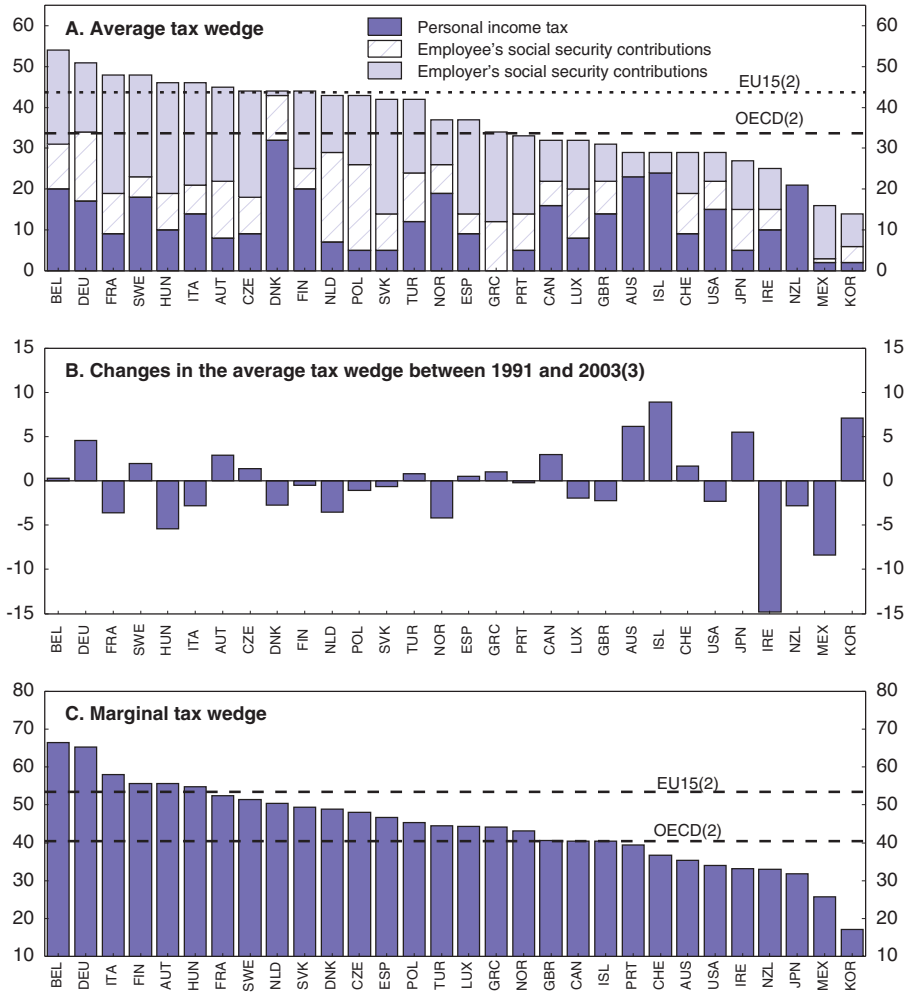
Figure 2.4. **Tax wedges on labour, international comparison**[1]

As per cent of gross labour costs, 2003



1. For a single individual without children at the income level of the average production worker on estimated wage levels of the average production worker.
2. Weighted average using 2000 GDP and Purchasing Power Activity.
3. 1991 or the earliest year available.

Source: OECD, *Taxing Wages*, 2003.

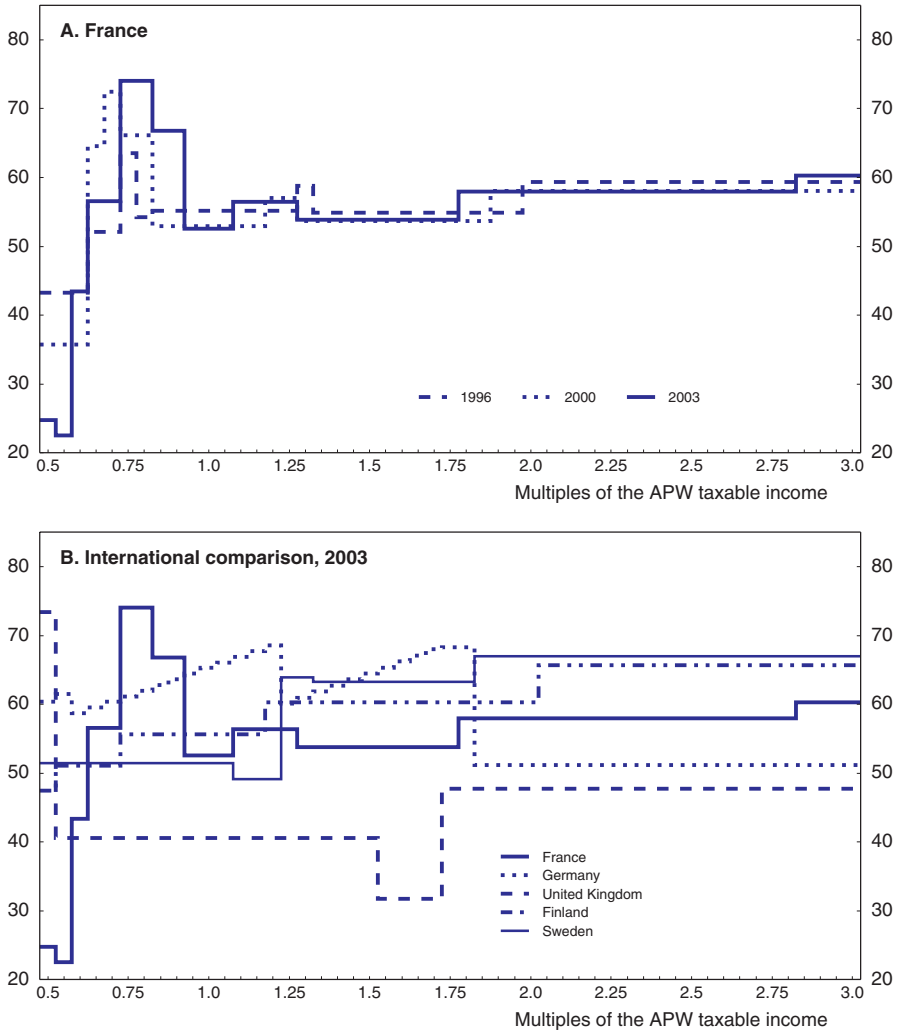
side there are offsets since employer contribution rates decrease somewhat at higher income levels.

Statutory and effective tax rates on corporate income have declined

In France as in many other OECD countries, statutory corporate tax rates have been reduced in the past while the tax base has generally been broadened. These reforms aimed at improving framework conditions for firms in the light of lower economic growth and higher international capital mobility. The rate-cut-cum-base-broadening policies made tax

Figure 2.5. **Marginal tax wedge on labour**[1]

For a single person with no children, per cent



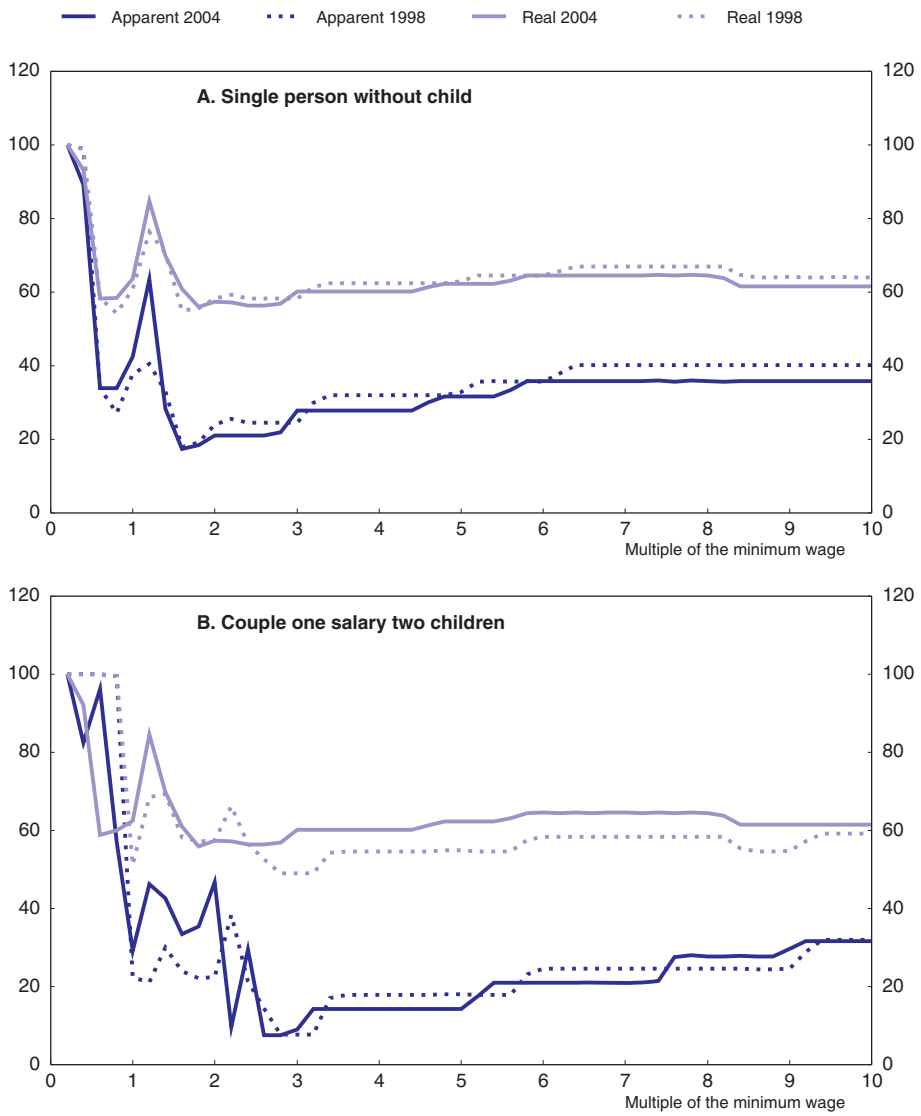
1. Tax wedges, between labour costs to the employer and the corresponding net take-home pay of the employee, are calculated by expressing the sum of personal income tax, employee plus employer social security contributions together with any payroll tax, as a percentage of labour costs.

Source: OECD, *Taxing wages*, 2003.

systems more neutral by reducing distortions between different types of investment and sources of financing. In France the corporate tax rate remained at 50% (for retained profits) between 1965 and 1985 and was then reduced in various steps to 33.3% by 1993 (Figure 2.7). It rose again after a surcharge was imposed in the second half of the 1990s; this surcharge is in the process of being phased out, and the rate will return to 33.3% in 2006. Other countries have cut tax rates as much or more as France, and some of them are planning further cuts (see Annex 2.A3).

Figure 2.6. **Marginal effective tax and withdrawal rates**[1]

Per cent



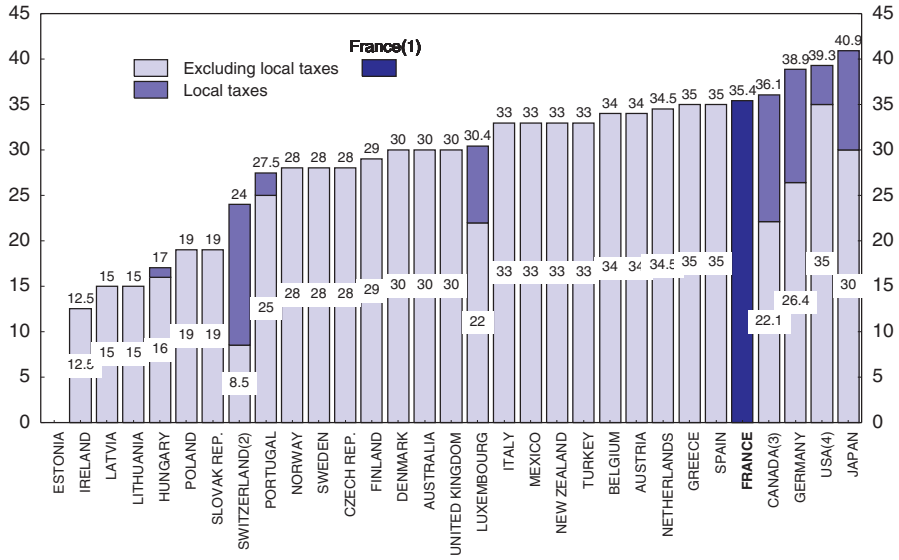
1. The "apparent" METR is calculated using marginal taxes and contributions paid by the employee, plus partial withdrawal of social benefits. The "real" rate is the apparent rate with the addition of the marginal impact on employers' contributions.

Source: Ministry of Finance.

The statutory corporate tax rate is, however, insufficient to assess the impact of corporate taxes on investment as the latter is also affected by the tax base. In the literature various indicators have been constructed to measure *effective corporate tax rates* as impact measures on business investment and it has been shown that in France as many other OECD countries effective marginal and average tax rates declined over the past two decades (Devereux, Griffith and Klemm, 2002).

Figure 2.7. **Statutory corporate income tax rates, 2004**

Per cent



1. Excluding local business tax (taxe professionnelle) but including the 3% surtax. The surtax will be eliminated in two steps in 2005 and 2006.
2. Zurich.
3. Ontario.
4. State of New York.

Source: OECD and German Ministry of Finance.

With the reduction of statutory corporate rates tax systems have become more neutral with respect to different sources of financing. However, in order to get a full picture of the impact of taxes on capital formation one also has to consider taxation at the level of savers (see King and Fullerton, 1984). In France the overall tax wedge (considering taxation both at the corporate and household level) for investment financed by new issues of shares is relatively high compared to other sources of investment financing (by debt or by retained earnings). According to simplified model calculations it also higher than in most other European countries (Eykmans, 2004).[14] This is so despite the fact that the tax relief on dividends *de facto* eliminates double taxation. The reason is that receivers of dividends are faced with relatively high marginal income tax rates (the top marginal tax rate on personal income being currently 48% and including the CSG around 58%). Most other countries either have lower top marginal income tax rates or have a flat tax on capital income, which is the case in France only for interest income (flat rate tax of 25% excluding CSG) but not for dividend income.[15]

From these considerations one could conclude that the French tax system may be a constraint for the development of newly-established firms which may wish to rely more on new equity financing than older firms. However, there are numerous tax-favoured saving (such as life insurances or other saving schemes including venture capital funds) which significantly reduce the effective tax burden on an investment financed by equity held in

these schemes, below the level suggested above. A large proportion of personal equity wealth is in fact held through such schemes. Although they therefore reduce the effective tax rate they create significant transactions and information costs for investors, as well as introducing distortions of their own as individual savers and/or investors may benefit to a different degree from such schemes.

Corporate tax reforms also contributed to a decline of the tax burden on inward FDI. Work by OECD on the tax treatment of foreign direct investment found that in 2001 the French tax burden as measured by effective marginal and average tax rates was close to or even slightly below the OECD average (Kwang-Yeol Yoo, 2003). Tax reasons alone should thus not put too much pressure on companies to shift activity to other countries through outsourcing/off-shoring, even if some countries do attract FDI through even lower taxes. Nevertheless, as differences in statutory tax rates between countries, particularly in Europe, remain relatively large, multinational firms may still be tempted to shift profits by manipulating prices in intra-firm transactions (transfer-pricing) or financing arrangements with their subsidiaries in low-tax jurisdictions. While such behavior does not affect investment and employment it reduces domestic tax revenues. Although the OECD and the EU have designed measures to prevent the allocation of profits to low-tax countries through transfer pricing, preventing such practices remains a big challenge for tax administrations (Davies and Gresik, 2003).

The local business tax has been subject to a number of changes in recent decades

There is not space here to cover all aspects of sub-national taxation in France, though a number of changes have been made in recent years, especially in the decentralisation of a number of functions from the State to the regions. But the local business tax, *taxe professionnelle*, has caused difficulties over a number of years. The *taxe professionnelle* is an important source of revenue for local government along with residence and property taxes paid by individuals. It originated in 1975 as a tax based partly on the firm's physical assets (including machinery and equipment) and partly on the payroll, replacing an earlier tax based entirely on property. While local governments were initially free to set the rate they wished, restrictions were introduced whereby the rate could not be changed in any year by more than the local residence and property taxes were changed. These rules were recently relaxed to allow the *taxe professionnelle* to be changed by up to one and a half times the change in local household taxes. With effect from 1999, the payroll-related part of the tax was gradually removed and local government was compensated by transfers from central government funds, because it was felt that this penalised labour-intensive companies. In addition, a ceiling on the tax was introduced such that no firm would have to pay more than a ceiling of between 3.5 and 4% of its value added. By 2004, nearly 40% of the revenue from the *taxe professionnelle* derived from firms taxed on their value added and the whole of the payroll part of the tax was paid by central government. This means that the tax is now essentially an adjunct to the VAT as far as many firms are concerned, its effective structure being entirely different from its notional one.

Seeking to rationalise the tax, and to promote both employment and investment (a difficult task) and to avoid penalising industry, a commission was set up in 2004 to propose a new structure. The Fouquet commission recommended a structure that combines elements of all earlier versions of the tax. It would rest on a mixed base consisting of the rental value of the buildings and the gross value added deriving from the firm's accounts. Value added would be shared locally on the basis of the workforce and property rental

values. The rate of the new tax would be fixed by each commune, department and region, but within a national framework. If adopted, a revised tax would probably be phased in over a number of years.

Environmental taxes may be under-utilised

Compared with a number of other European countries, France makes relatively little use of environment-related taxes. Their overall weight, as measured by their share in GDP or in total taxes, is lower than average for European countries but similar to that in Belgium and only a little below Germany. But the range of taxes is relatively low, being largely restricted to petroleum-related taxes, water and water treatment charges (which are earmarked directly for the regional water management agencies), certain nitrogen oxide and other emissions, and pesticides. Only petroleum taxes (*Taxe Intérieure sur les Produits Pétroliers*, TIPP) and water taxes and charges raise any significant amounts of revenue (although revenue raised is not a good measure of the effectiveness of an environmental tax). In general, environment-related taxes are not particularly well-aligned on known pollution externalities.

The TIPP remains an important source of revenue however, which is largely socially accepted and is now partly allocated to regional, departmental and local administrations; provided there is European Union agreement, regions are to be given some power to vary the rate charged. Water charges too have been related less to environmental costs than to the meet the financing needs of the water agencies (see Lenain and Vourc'h, 2001). The pesticides tax, however, is better designed to reflect differences in pollution damage of the products.

There is no carbon tax even though the French authorities have always placed a high priority on action against climate change. In 2000 it was planned to extend the general pollution tax (*Taxe générale sur les activités polluantes*, TGAP) to intermediate consumption of energy by industry. This tax groups together a number of the old special-purpose taxes formerly allocated to the *Agence de l'Environnement et de la Maîtrise de l'Énergie* (ADEME). As initially proposed, this was a fairly straightforward tax based on the carbon content of different fuels and the final legislation contained a large number of exemptions and rebates to reduce the burden on certain energy-intensive sectors. The constitutional council declared that the resulting law was inconsistent with the constitution and it was abandoned. One of the reasons for this was that what firms would have paid was not proportional to their CO_2 emissions, in the sense that heavy emitters could end up paying less tax than firms with lower emissions. This is potentially a problem for pollution taxes because what matters for their environmental efficiency is the tax paid on marginal emissions, not the average tax; legislators may want to limit the overall tax bill in order to avoid penalising past investment decisions that were made when the tax did not exist. The introduction in 2005 of a European market for CO_2 emissions permits for industry and energy production means that the advantages of this sort of tax are now more limited. The EU CO_2 emissions trading system will in fact have results that are in some respects similar to the abandoned TGAP, since heavy emitters who reduce their emissions below their allocated level will be able to sell them to other companies, the net cost or benefit to companies participating in trading will be related to changes in their emissions, but will have no direct link to their actual emissions.[16]

The constitutional principle of fairness in taxation will therefore have to be applied in a manner better adapted to environmental taxation which has developed internationally in a

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way that, implicitly, is willing to sacrifice some aspects of fairness in order to optimise the trade-off between overall abatement costs and environmental gains. In any event, it already takes into account the aim of the legislation, and differentiating between taxpayers is warranted on these grounds. The recent incorporation of an environmental charter into the constitution may facilitate this balance, though the notion of potential conflict and trade-offs between environmental, economic and social objectives is not very strongly presented.

Policy considerations for making the tax system less complex and more efficient

As pointed out earlier, relatively high marginal tax rates are inevitable given the high level of public spending to which successive French governments remain committed. The administration is rightly concerned to try to minimise disincentives to employment and investment, but there are few reforms available that achieve both these aims for the majority of taxpayers while at the same time maintaining the level of overall revenues: under such a constraint, tax reforms are to a considerable extent (though not entirely) a zero-sum game. It follows that governments should avoid pursuing reforms that benefit particular sectors or interests, since the burden of taxes in one area can only be relieved by moving it elsewhere.

There exist numerous measures which are not very effective in providing incentives but are relatively costly in terms of foregone revenues. Many such measures are discussed in the annual report of the *Conseil des Impôts* for 2003 and the recommendations of that report are a step in the direction of a more rational tax system. Eliminating many small measures in this way would simplify the system for taxpayers, reducing the need for them to spend resources looking for tax breaks, and reduce the government resources needed to design and police them. Removing some of the many exemptions for the main taxes would doubtless cause difficulties for some sectors, but broadening the tax bases in this way would contribute to establishing a level playing field and allow statutory rates to be reduced; it should be a medium-term aim.

Social insurance and health benefits, in principle financed straightforwardly by employee and employer contributions based on earnings, are in reality now financed by a more complex system which adds a number of earmarked indirect taxes, a universal income tax (the CSG), and direct transfers from general taxation through the central government budget. At the same time, the central government has passed certain tasks to sub-national government, notably the implementation and finance of some aspects of social assistance and active labour market policy (the RMI, RMA and *contrats d'avenir*, for example (see Chapter 3), but the rights and obligations under these programmes are still determined by central government.

Tax administration costs remain relatively high in France. This is probably partly due to the complexity of the tax system, but also to the traditional separation of entities responsible for assessing and collecting (but often with insufficient co-ordination between these two functions). Certain reforms now under way do aim at simplification, notably by introducing the idea of a single agency to contact for tax purposes. Income tax and assessment in France has, however, become somewhat anachronistic, with nearly all countries deducting income tax at source, with annual assessments needed only for *ex post* adjustments, as opposed to self-assessment with payment in arrears in France. Switching to deduction at source would be feasible – it is already used for the CSG – and would probably improve overall efficiency, though transition arrangements would need to be devised. Certain obstacles, in particular the possible reluctance of employers and

employees, could perhaps be overcome by drawing on other countries' experience in this area.

Ultimately, consideration could be given to merging the CSG and personal income tax. Concerns that the CSG, a relatively "good" tax, in the sense of having a very simple structure, low collection costs and high yield, being contaminated by the income tax (the exact opposite in all these dimensions) are not to be dismissed lightly, however. Even if there is no obvious economic justification, the objection that the two have to be kept separate in order to guarantee the separation of social insurance funding from funding of the state budget has some grounding in current constitutional arrangements (though this has not prevented transfers from the state budget to offset reductions in employers' contributions). The authorities find that the distinction between the two taxes to some extent maintains the system's political transparency in a context in which the said taxes correspond to different decision-making processes and budgetary appropriations. The income tax structure and system of collection should be reformed, however, even if it is decided to keep it separate from the CSG.

The efforts that have been made to remove inactivity traps and generally reduce marginal rates of tax and benefit-withdrawal at low income levels have been ingenious and appear to have had some success in making employment of low skilled people more attractive both to employers and to the low-skilled themselves. The set of measures that has been constructed over time increasingly resembles a negative income tax for those on incomes below a level somewhat above the minimum wage. It does not fully match a negative income tax because that would be prohibitively expensive given the high level of the SMIC. (It may be noted that the nearer the system gets to a negative income tax, the less the need for a high minimum wage, which puts part of the burden of poverty alleviation on firms.) Measures targeted more on those who are affected by the various inactivity and poverty traps, by reducing their marginal effective tax rates, are probably necessary given current budgetary constraints; but this very targeting is increasing the degree of complexity of the system, sometimes because measures with different purposes conflict with the general aim of increasing employment and participation rates. Better co-ordination of certain social policies, including a clear definition of their aims and how these may relate to labour market aims, is required, notably in the area of family policies.

Overall, given the level of ambition in supporting those on low-incomes, relatively high marginal effective tax rates will remain a fact of life. Part of the burden of improving labour market outcomes will have to be taken on by tightening requirements for taking up work and/or for participating in training programs. This system – known as Flexicurity (*en français:* Secuflex), meaning security plus flexibility – exists in Denmark and other countries (such as Germany) are also moving in this direction. This is discussed further in Chapter 3.

One possible radical reform, though not currently under consideration, is to switch financing of social insurance from an income base to an expenditure base. For this sort of reform to be favourable, however, the disinflationary effect of the reduction in social insurance contributions would have to outweigh the inflationary effect resulting from the rise in indirect taxation, which is not guaranteed in the case of France. Also, the authorities are afraid that such a far-reaching reform of the funding of welfare expenditure might result in less attention being paid to controlling this spending. Lastly, it is important to note that, while the share in

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Box 2.1. **Summary of recommendations**

Ensuring fiscal sustainability

- Increase incentives for fiscal discipline at all budgetary levels and if this proves difficult extend spending controls through a national stability pact to regional and local authorities. The aim should be to halt and reverse the upward trend of public debt as a share of GDP in order to make room for pressures stemming from the ageing of the population without jeopardising long-term sustainability.

Continue with pension reform

- Carefully monitor the effects of recent reform measures on labour participation of older workers and, perhaps increase incentives to continue working by further raising pension accrual rates.
- Ensure that alternative pathways into early retirement are not subsidised by other policies, such as disability schemes.

Continue with health care reform

- Reduce excessive demand by higher co-payments or other measures aimed at making patients more responsible.
- Improve cost-efficiency in the hospital sector and improve hospital governance by reducing political influence on decisions.

Reforming the tax system

- Continue to reduce the costs of tax collection and, insofar as is possible, consider ultimately merging the main tax collection systems.
- Reduce labour tax distortions by further reductions in social security contributions for low paid workers and reduce the withdrawal rate for in-work benefits, financing these measures preferably through reductions in other public expenditure.
- Simplify the personal income tax, widen its base to permit lower top rates while increasing overall revenue, and switch it to a system of deduction at source.
- Reduce capital tax distortions by cutting the corporate tax rate and widening the tax base and reduce the number of special incentives for certain kinds of activity. Reduce the persisting bias against financing investment by new issues of shares rather than by borrowing.
- Increase the role of "green" taxes with a view to efficiency gains rather than significant sources of revenue, at the same time seeking to justify such measures so as to secure a favourable opinion from the *Conseil Constitutionnel* on questions of tax "equality".
- Ensure that tax reform measures together are revenue-neutral since in current circumstances medium term budgetary sustainability is in question - do not spend anticipated gains from reforms until they materialise.

GDP of the tax and social insurance contributions on labour intended to finance the social security (social insurance contributions, CSG) has increased since the 1970s, that of the taxation of personal incomes and corporate profits in GDP remains below the OECD average and that of indirect taxation higher than in some OECD countries. In the end all taxation is paid for out of incomes, whether collected directly on incomes or on expenditure, even if there may be a case for reconsidering the balance between the different types of taxation with the aim to reduce the impact of tax distortions on employment and growth.

By reducing the statutory tax rate and broadening the tax base past reforms have improved the allocation of capital. Compared with other European countries, the corporate tax rate is still relatively high (although lower than in the United States and Japan). It could be further reduced while at the same time broadening the tax base. Reducing the corporate tax rate would also reduce incentives for firms to shift taxable profits to low-tax countries by transfer-pricing or financing arrangements. Further rate-cut-cum-base-broadening would further improve the allocation of capital and would also make the system more neutral between capital and labour intensive sectors, by benefiting the latter.

Reducing the tax on dividend income would be an additional step towards making the system of capital taxation more neutral by reducing the tax wedge for investment financed by new issues of shares which is currently higher than in most other countries. The reason is that in France dividend income is taxed by the progressive income tax with a top marginal tax rate (including the CSG) of almost 60%. Most other countries have either lower marginal income tax rates or have a separate flat tax rate on dividend income which is lower than their top marginal income tax rate. If France would make its highly progressive income tax flatter this would automatically reduce the tax wedge on dividends and hence on new equity-financed investment. Otherwise a separate flat tax on dividends could be introduced which is already the case for interest income. Making the income tax flatter would make the tax system more neutral but would at the same time raise equity issues as the tax burden is redistributed towards the more affluent households. A third, radical, solution (and one which no country has yet adopted) would be to abolish corporate income tax altogether, integrating capital gains, interest and dividend income into the personal tax regime on the same basis.

Notes

1. Any person resident in France on a steady and regular basis for 3 months is guaranteed access to basic sickness insurance, whatever his contribution (universal health cover, or CMU de base). Depending on their means, households may be entitled to free complementary health cover (CMU complémentaire).
2. According to a CNAMTS study, the average prescription issued by the 10% of the most "economical" general practitioners was € 50, whereas in the case of the most "extravagent" practitioners it was € 105, after making adjustments for client-related differences.
3. See Annex 2.A2 for the details concerning these reforms.
4. The 56.3% divide up into 48.09% (income tax) plus tax and social insurance contributions, part of which is deductible. Taking account of corporation tax and the mechanism lessening double taxation in respect of dividends received up until 2004, the higher overall rate applying to dividends is 57.7%; on interest it is 33.2%, of which 25% income tax.
5. In fact this 11% is made up of four separate levies, not just the CSG.
6. The threshold for 2004 is € 4 334 per adult equivalent in a family where the first two children count as half an adult, and subsequent children as equivalent to an adult.

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7. At the same time, the terms attached to company-based tax-exempt saving schemes were relaxed for a short period, to allow withdrawals without any tax penalty. Within a three month period, savings equivalent to about 0.4% of GDP were withdrawn from such schemes. In some cases it was possible to reinvest these withdrawals immediately, attracting an additional tax subsidy.
8. The notion of tax expenditure used in the report is taken literally and includes, for example, tax credits used to avoid double taxation of dividends.
9. In some cases this is for constitutional reasons. It is thought to be difficult to restrict the freedom of parliament to attach tax expenditure clauses to any legislation it wishes, for example.
10. In 2003 the CSG (with the "social tax", the "additional contribution" and the "contribution to reducing the social debt") yielded € 63.62 billion and the personal income tax € 47.28 billion.
11. See e.g. Leibfritz *et al*. (1997) and OECD (1999).
12. Nickel, S., (2003), "Labour market institutions and unemployment in OECD countries", CESifo DICE Report 2, 2003.
13. When first introduced the PPE was only 2.2%. Received in arrears, its initial incentive effect was probably not very great – the tax authorities wrote to about 2½ million people inviting them to apply for it; about half of them (90% of those who replied) received it. Since then the rate of subsidy has increased, its budgetary cost has quadrupled, and over 8 million households receive it.
14. It is assumed that dividend recipients are in the highest income bracket and therefore have to pay the top marginal income tax rate.
15. For example separate taxation of dividends exists in Germany, Belgium, Finland and Denmark and Greece, the Netherlands and Slovakia have eliminated individual taxes on dividends.
16. So that a company with relatively high emissions may be paying less, or even actually receiving net income from sales of permits, than one with lower (but increased) emissions. This kind of example was used by the constitutional council to explain why the TGAP extension was unconstitutional.

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ANNEX 2.A1

Ageing and healthcare expenditure – what connection?

More than half of all expenditure on ambulatory and hospital care derives from patients aged 55 and over, so it may be thought that increased life expectancy and the growing proportion of elderly people increase healthcare spending mechanically. The connection is not so simple, however, since ageing is both a cause and a consequence of the growth of healthcare expenditure, greater life expectancy being partly attributable to access to care and to preventive policies. Other more solid reasons for the rise in health spending that can be put forward include (according to CNAM, 2003) the following:

- Medical consumption increases as death draws closer, but consumption prior to death falls sharply when the age of death increases. So this effect tends rather to reduce healthcare expenditure in the present context of an average age at death which is rising.
- In the case of persons deceased between 1996 and 2002, the pattern of medical consumption at the end of their lives altered very little, which is also true of hospital consumption. Medical consumption prior to death is tending to increase slightly.
- It is apparent that, among persons not exposed to a vital health risk, the new generations consume more than their predecessors. This is no doubt partly due to technical progress.

These findings are completely consistent with the econometric analysis carried out by Dormont *et al*. (2005). The study in question uses different factors to explain the growth of health spending: the purely demographic effect (the increase in the proportion of elderly people, bearing in mind that health spending increases with advancing years), the change in morbidity (sickness rate) at a given age, and the change in practice at a given age and morbidity level. The authors show that the purely demographic effect has little impact on the growth of healthcare spending. Changes in morbidity give rise to a downward trend in the pattern of health spending, but this downward trend is more than offset by changes in practice which result in an increase in medical consumption.

ANNEX 2.A2

Recent reforms to the health care system

France has introduced a number of reforms to the health system aimed at improving quality of care while permitting better control of public spending. Sustained deficits in the social security system have led the government to introduce major changes in the way that the existing budget control mechanisms are organised and operated. A key feature is a clear desire to integrate all of the major actors in the decision making process to help avoid spending above established ceilings. In addition, a number of measures have been taken to attempt to counterbalance the costs of a system that remains largely marked by the incentives of fee-for-service payment arrangements and a tradition of extensive prescription of pharmaceutical drugs when compared with most other OECD countries.

Major reforms to the arrangement for controlling health care spending

The 1996 Juppé reforms put in place greater parliamentary oversight of the social security system, which up to then had been almost entirely governed by the social partners. A constitutional amendment gave Parliament legislative authority over health spending, *via* the law on the financing of the social security which is passed every year, like the budget. The social partners continue to be involved in the management of the system but the key decisions are now taken by Parliament and implemented by the government. Each year Parliament sets a national health spending target (ONDAM) based on revenue estimates and the national health goals defined by the National Health Conference. The fact that the national spending target is voted by Parliament means that the nation's elected representatives make the desired amount of healthcare spending explicit. However, the budget is indicative rather than binding. Initial attempts to introduce claw-back measures – largely in the ambulatory care sector – established in the original reforms were declared unconstitutional.

Since the ONDAM has been repeatedly exceeded, the authorities have reorganised, in the 2004 reform of the social security law, the way that the ONDAM is to be constructed by broadening the range and the role of stakeholders in the system. The key points of the changes area as follows:

- The health insurance system will participate in developing the ONDAM through the *Union national des caisses d'assurance maladie* (UNCAM)[1] that will regroup the three major social insurers: the CNAM, CANAM and the MSA.[2] Each of the three insurers will present a budget proposal by the middle of the preceding year and the measures to ensure that the budget balance of the multi-year budget framework set by Parliament will be met.[3]

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- A greater consultative role is given to new organisations regrouping health-care professionals (*Union national des professionals de santé*, UNPS) and private insurance and *mutuelles* providing complementary insurance (Union des organismes de protection sociale complémentaire). These will give their views on the decisions of the UNCAM as regards the reimbursement rates and the care covered by the insurers.
- An "Early-Warning" committee (Comité d'alerte) has been established that will follow spending developments and will warn the Parliament, the government and the social insurers when spending exceeds the ONDAM by 0.75%. In this case, the social insurers will be required to propose corrective measures and the *Comité* will assess whether the measures appear sufficient within the following two weeks. The authorities foresee that these adjustment measures will essentially take the form of reductions in reimbursement rates.

Rationalising health care supply and demand in the ambulatory sector

Against this background of changed institutional arrangements, the authorities have also put in place a number of additional reforms that are intended, partly, to limit the increase in public spending on health care:

- The introduction of an electronic personal medical dossier or file is aimed at improving the quality of care. According to the authorities, doctors should have – *via* this mechanism – a better overview of the health problems of the patient, reduce the risk of redundant care and permit treatments to be better tailored to patient needs. This is expected to reduce costs, but the key emphasis is on an expected improvement in the quality of care.[4] This will be introduced by mid 2007.
- With 15% of the population with chronic diseases representing roughly half of spending on health care of the social security system, greater attention will be paid to:
  - Establishing up to date treatment protocols based on evidence-based medicine for these groups (largely heart and circulatory disease, diabetes, cancer and mental disorders) by the newly established Superior Health Council (la Haute Autorité de santé, HAS, see below).
  - Identification of fraud and abuse of the system for those with chronic conditions and on sick leave.
  - Improving the regional management of health risks, illness patterns and care needs at all levels through agencies made up of the regional services of the UNCAM and the ARH, the goal being to adapt national policies to local conditions.
  - Better control of patient trajectories in the ambulatory sector. The reforms establish a family doctor (médecin traitant) to oversee the trajectory of the individual through the care system and ensure the co-ordination of care. The family doctor will receive a basic amount for a person with chronic disease who chooses the doctor (€ 40 per year).[5] While freedom of choice of doctor will be maintained, individuals not accessing a specialist through the family doctor will face lower reimbursement levels that will not be picked up by complementary insurance. Greater attention will be placed on ensuring that the specialists inform the generalists. Specialists are encouraged to provide specialist diagnosis and treatment – through a fee of paid € 40 – while the family doctor will be in charge of the follow-up.

– Greater incentives to prescribe generic drugs through the system of "tarif forfaitaire de responsabilité" (TFR), a reference price arrangement. This system, established in 2003, will be extended with drugs being reimbursed on the basis of the TFR, which is fixed near the price of generics in that group.

– Improving the oversight of doctors' prescribing and practice behaviour using a number of indicators. For example, doctors who over-prescribe without any obvious reason will be informed of the risk of sanctions – for example through the suspension of the right to over bill patients or a refusal to pay part of their social security contributions that would normally be picked up by the State.

– Increasing cost sharing through a Patient contribution for each care episode (*e.g.*, generalist or specialist consultation, biology test, etc.) of € 1 up to a limit of € 50 per year. Pregnant women, children under 18 and those covered by the CMU are exempted.

The responsibilities of the Haute autorité de santé (HAS)

In an effort to consolidate the existing arrangements and to give further impetus to the drive towards higher quality, the 2004 reform of the social security law also establish the HAS. This is an independent public body of a scientific nature governed by 8 "wise men". Its main operational ambit covers:

- The periodic evaluation of the service provided by health goods (pharmaceutical drugs, medical apparatus) and treatment and the impact on health outcomes;
- Establishing protocols of care and recommendations for high-quality care;
- Assessment of the quality of care of practitioners and the certification of health-care establishments;
- Implementation of the evaluation and accreditation of practitioners.

The HAS will take over the role of a number of existing institutions: the *Agence nationale d'accréditation et d'évaluation en santé* (ANAES) (which essentially undertook accreditation of hospital providers); *la Commission de transparence*; and, *la Commission d'évaluation des produits et des prestations* (CEPP) which evaluated the effectiveness of new medicines and medical apparatus.

The HAS will therefore have a considerable power over pharmaceutical drugs and, while the prices will continue to be set by the *Comité Economique des Produits de Santé* (CEPS), they will be strongly influenced by the opinions of the HAS concerning the services they render. The authorities expect that the consolidation of quality issues in one body will enhance its impact on the system and improve policy coordination

The reform of the hospital system

The French hospital system comprises a public hospital system which is financed through capped budgets (*Dotation globale annuelle*) and a system of private hospitals (often referred to as clinics) which are paid for on a fee for service basis but subject to overall constraints on the value of the services they can provide (*Objectif quantifié national* OQN). The system of capped budgets in the public sector has not provided incentives to improve the efficiency of the health care system (and may have actively hindered it), while the relative prices for private clinics proved not to be uniform over the country as a whole and do not necessarily reflect the costs of the activities performed.

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Public hospitals have also been constrained by excessive regulation and red tape. (For example, the appointment of a hospital doctor required the signature of the minister.) The incentives in the system have led the private hospitals to specialise in those treatment areas where the difference between the fee schedule and costs are the widest. This system has also contributed to sharp differences in the apparent efficiency between the two sectors. While the populations typically treated in the two sectors are not the same (with selection effects), the private clinics have been more nimble in providing elective care to low-risk individuals and have taken a large part of this market even though the costs to the patient can often face supplementary expenditures. Public hospitals have a larger share of "social" cases and patients with multiple pathologies and chronic conditions that tend to be high cost. Costs in the hospitals are estimated to be 30 to 40% higher than in the private sector. A large part of this difference in cost comes from differences in staff density.

At the end of 2002, the Ministry of Health introduced a reform of the hospital sector (*Le plan Hôpital* 2007. This programme proposed a number of measures aimed at rectifying a number these problems in the hospital sector. The key reforms are:

- Additional investment funds have been provided to counter the progressive run-down of existing physical plant and materials in the hospital sector. These total € 6 billion over the period 2002 to 2007. The investment of these funds are organised/overseen by a national agency (*Mission d'Appui à l'Investissement*).
- The progressive introduction of a new financing method for public and private hospitals to bring them closer in line with each other.
- The public hospital sector[6] will move from a capped budget system towards pricing based on activity *(Tarification à l'activité* or T2A). The rates of payment are built upon the existing cost-based information system (PMSI) used to assess the activity levels in individual hospitals.[7] The French system will allow for greater refinements in the price to allow, for example, for greater severity in certain cases. For the public system, over 60% of the budget will be paid for on this basis, the rest will take the form of grants related to a number of identified "public services" such as training (university hospitals) emergency wards or certain activities which continue to be financed by grants (psychiatry, follow-up care and re-education).
- In contrast to current arrangements (fee-for-service arrangements accompanied by a total cost ceiling (OQN), the private sector will only be paid on the basis of this prospective payment system on the basis of activity.

The authorities hope to achieve a harmonised system of payment for the public and the private sectors by 2012. However, there are already delays in the introduction of the new system in the private sector and the current expectation is that no more than 50% of total hospital costs will be activity based.

- The system of hospital planning through the Regional planning frameworks (*Schéma regionale d'Organisation Sanitaire* or SROS) will permit greater local flexibility in planning (*e.g.,* local needs will no longer be constrained by national targets). The authorisations for different types of medical buildings and equipment will be fixed every 5 years (in line with the lifetime of the SROS). The SROS will be overseen by the Regional Hospitalisation Agencies (*Agences Regionales de Hospitalisation* or ARH) and the need for ministerial authorisations will be reduced.

- Greater efforts will be directed towards: the establishment of alternatives to hospitalisation, improved care for the mentally ill and palliative care. Currently the establishment for new centres (*e.g.*, for outpatient surgery) needs to be balanced by a significant reduction in hospital beds which has in the past reduced incentives to provide new types of services. A separate plan for psychiatry will be established in the SROS and greater attention will be paid to establishing centres for palliative care.
- The law will also permit greater co-ordination and collaboration between different providers through co-operation agreements (*Groupements de coopération sanitaire*) between hospitals, clinics and providers in the ambulatory sector.
- Rules for purchasing will be made more flexible, in the first instance by aligning current rules on those in the EU.
- Finally, the governance of individual hospitals is being modified such that greater powers are given to the hospital director *vis-à-vis* the governing board, whose role will be limited to establishing the overall orientation of policies. Within the hospital, individual services (general medicine, opthamology, etc.) will be replaced by "centres of activity" and there will be a greater role for internal contracting in governing internal management of the individual hospital.

Notes

1. Union Nationale des Caisses d'Assurance Maladie.
2. CNAM: caisse nationale d'assurance maladie; CANAM: Caisse nationale d'assurance maladie des professions indépendantes ; MSA : protection sociale du monde agricole et rural.
3. The UNCNAM will propose a list of treatments that are covered, sets the reimbursement levels and negociates the contractual arrangements with the medical professionals. The reforms of the social security law also redefines the role of the governing bodies of the social insurers and strengthens their role with regard to the price setting for drugs and other medical goods and a new council overseeing developments in the hospital sector (see the description of the hospital reforms).
4. For example it has been reported that studies of heavy or atypical consumers of medical drugs had treatments that were inappropriate in just over 60% of the cases. (CNAM (2004), Rapport sur l'exécution de l'ONDAM, 2003).
5. All individuals aged more than 16 will need to choose their family doctor. The family doctor can be a specialist but is more likely to be a generalist.
6. In fact the public hospitals plus private hospitals having a public sector role.
7. This will only cover the services of Medicine, Surgery and Obseretics). Financing of, for example, psychiatry will follow existing arrangements. And local hospitals will temporarily be excluded from the the new financing system.

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ANNEX 2.A3

Main characteristics and developments of the French tax system[1]

The tax-to-GDP ratio has been stabilised at a relatively high level

With a ratio of tax and social insurance contributions to GDP of around 44% over the last 20 years, France belongs to the group of OECD countries with relatively high tax levels. A number of other European countries (Austria, Finland, Norway, Belgium and Italy) also have tax levels at a similar order of magnitude (between around 42 and 46% of GDP) and only Sweden and Denmark have significantly higher tax levels (around 50% of GDP). The high tax burden in these countries is mainly caused by the scope of their welfare systems, in particular the financing of a good part of old-age pensions and health care services within the government sector (for a description of government spending in France see OECD(2003a)) (Figure 2.A3.1).

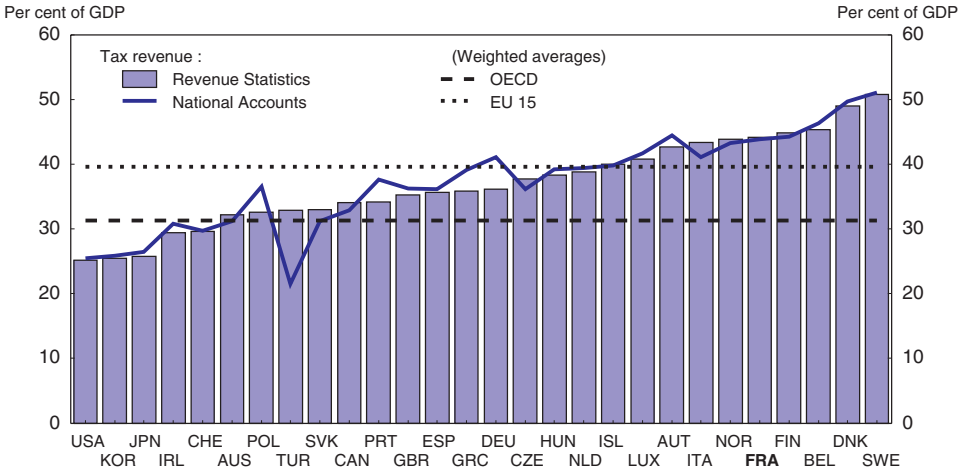
Despite relatively high level of taxation government revenues have never been sufficient to fully cover spending. As a result the level of public debt increased from 31% of GDP in 1985 to 65% now (on a Maastricht definition). Government deficits were particularly high between 1993 and 1995 when they reached around 5½ to 6% of GDP and on a cyclically-adjusted basis around 5%. After a short period with declining spending levels (as a percent of GDP) and buoyant revenues the deficit declined to 1½-1¾ per cent in 1999-2001 and the cyclically-adjusted deficit to 1½ per cent in 1999. Since then, public spending increased again while taxes were reduced at the same time. Perhaps the temporally high output elasticity of taxes of above 2 during the economic recovery in 1999 and 2000 (OECD, 2001) had created an illusion of a permanently high tax elasticity although according to recent OECD estimates the long-term output elasticity of total taxes is only 1 (Girouard and André, 2005). As a result the deficit increased to above 3% between 2002 and 2004 (both with and without cyclical adjustment) and therefore exceeded the 3% ceiling of the treaty of Maastricht The fiscal deterioration over the recent past now limits the room for further major tax cuts in the near future (Figure 2.A3.2).

The tax burden has shifted more onto labour and capital and away from consumption

The increase in the ratio of tax and social insurance contributions to GDP until the mid-1980s was mainly caused by the rise in social security contributions although taxes excluding social security contributions also increased somewhat. Since the mid-1980s the share of social security contributions in GDP declined somewhat while the share of other taxes continued to increase until 2000 and declined slightly since then. Among taxes

Figure 2.A3.1. **Tax to GDP ratio in OECD countries**

2003



1. Tax revenues from OECD National Accounts are not fully comparable with the information found in OECD Revenue Statistics. The divergences are due to a variety of general and country specific factors. The most important are the following: *i)* differences in accounting periods and methods; *ii)* voluntary social security contributions, which are fairly large for some countries (including Germany), are included as tax revenues in the National Accounts but not in the Revenue Statistics; so are the employer social security contributions for government employees; *iii)* imputed government contributions are not included in the Revenue Statistics; *iv)* inheritance and gift taxes are not considered as taxes in the National Accounts while they are included in the Revenue Statistics; *v)* for EU countries, VAT and customs revenues are shown net of the amounts transferred to the European Commission in the National Accounts while the Revenue Statistics show gross data.

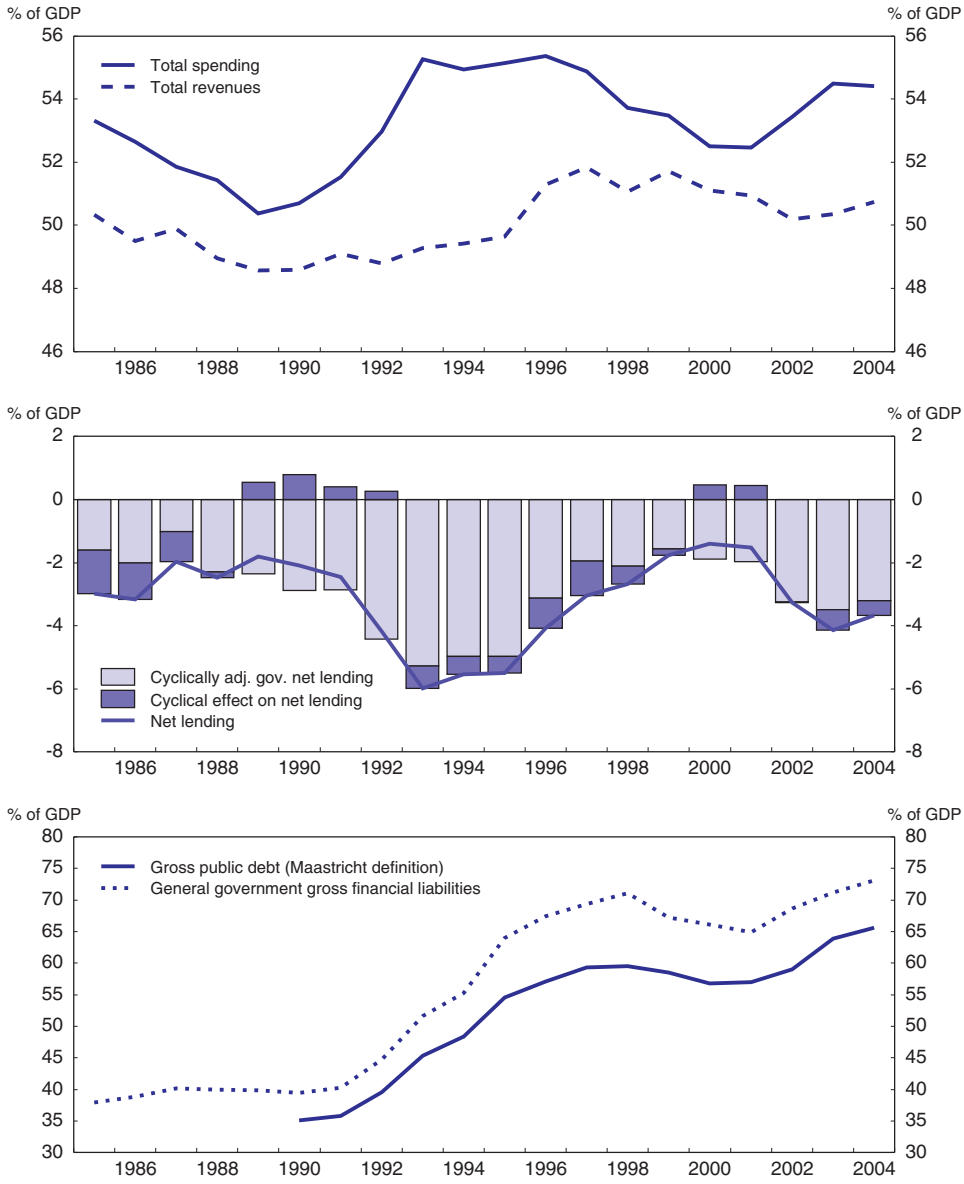
Source: OECD National Accounts; *OECD Revenue Statistics*, 1965-2003.

excluding social security contributions, taxes on goods and services became somewhat less important which was in contrast to the development in other countries. Instead the shares of taxes on personal income, including the CSG, on corporate income and on property increased both in GDP and in total taxes (Figure 2.A3.3, Tables 2.A3.1 and 2.A3.2).

The trend of shifting the tax burden more on labour and to shield consumption can also be seen if tax revenues are grouped according to economic criteria and expressed as a percentage of the relevant macroeconomic tax bases, resulting in implicit tax rates (ITR). In France the implicit tax rate of labour increased significantly over the past 25 years, and the ITR on capital also increased while the ITR on consumption has marginally declined. The trend of a rising implicit tax rate on labour and capital was also observed in the OECD area as a whole but was less pronounced than in France while the ITR on consumption did not decline in the OECD like in France but increased slightly (Carey and Rabesona, 2004). The government has taken various measures to limit the tax burden both on workers and firms. More recently, in France the trend of rising implicit tax rates on labour has been brought to a halt while the increase in the ITR on capital has continued and also the trend of a moderately declining tax rate on consumption. The implicit tax rates on labour and capital remain somewhat higher in France than on average in the EU 15 and the implicit tax rate on consumption remains somewhat lower (Table 2.A3.3).

The size and development of the implicit tax rate on capital contrasts with the average effective corporate tax rate as mentioned in the main text above. There are a number of reasons why these indicators differ. While the implicit tax rate on capital is based on actual

Figure 2.A3.2. **General government spending, revenues, financial balances and debt levels**

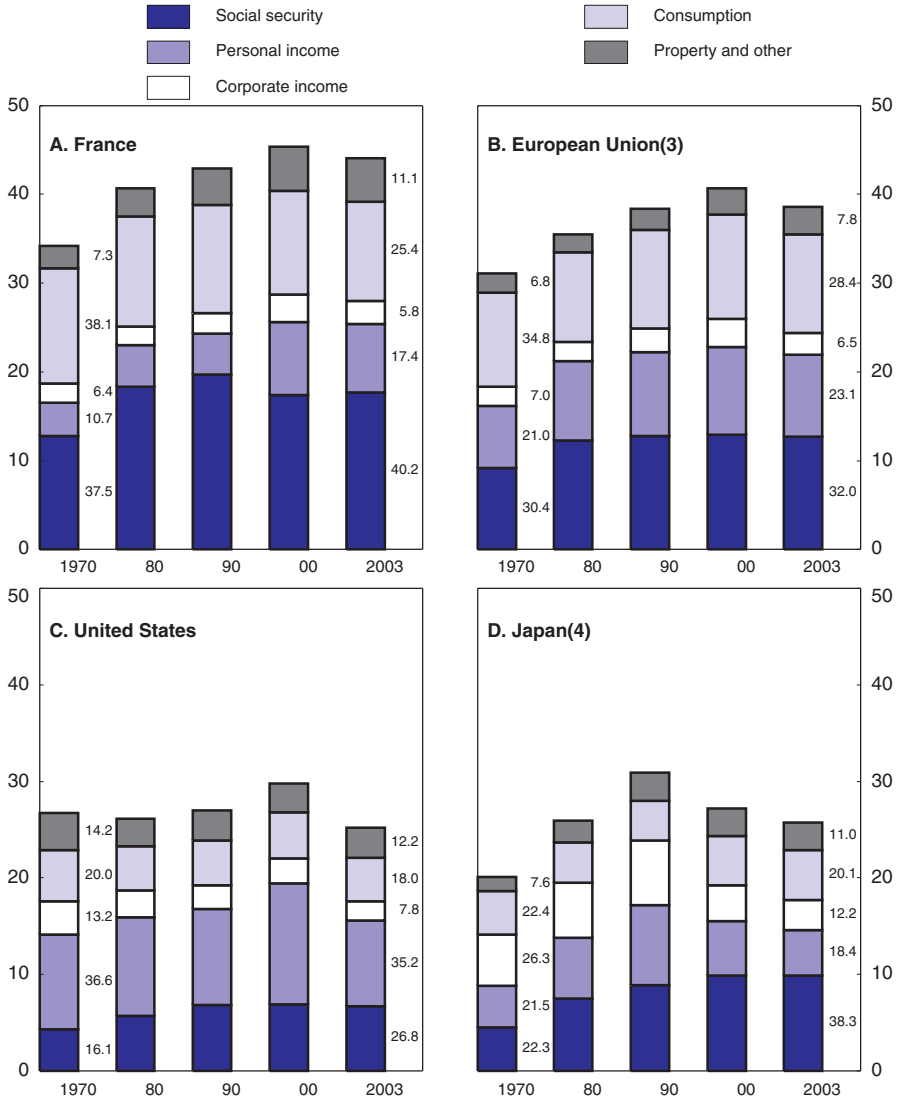


Source: OECD, *Economic Outlook*, No. 77.

tax payments which are affected by the history of profits and other factors which have affected past annual tax payments, the effective corporate tax rate relates to the corporate tax only and is based on tax parameters which affect investment decisions of a hypothetical firm. It is thus forward-looking and probably better suited as an impact measure for investment decisions. Furthermore the denominator of the implicit tax rate is estimated from National Accounts Statistics while for the effective tax rate it is based on model assumptions. In any case, care is needed with the interpretation of both indicators as they are unable to show the final incidence of capital taxes on the economy with mobile capital.

Figure 2.A3.3. **The evolution of the tax mix**[1]

Per cent of GDP[2]



1. The breakdown of income tax into personal and corporate tax is not comparable across countries.
2. Data along the bars are shares in total revenues.
3. Weighted average.
4. Last year available: 2002.

Source: OECD, Revenue Statistics database.

Social security taxes are high and have been supplemented by a social tax on total income

A large part of the French welfare system (such as health insurance, old-age pensions, unemployment insurance and family allowances) are funded *via* earmarked social security taxes. These amount to above 20% of GDP and to almost half of total taxes. Social security contributions are paid by both employers, employees and self-employed of which the lion's share (around 70%) is paid by employers. Given the financial constraints contribution rates

Table 2.A3.1. **Structure of tax revenues as % of GDP**

	1970	1980	1985	1990	1995	2000	2002
Total tax revenue							
France	34.1	40.6	43.8	43.0	43.9	45.2	44.0
EU 15	30.5	36.0	38.8	39.4	40.3	41.8	40.6
OECD	28.3	32.0	33.6	34.8	35.9	37.2	36.3
Social security contributions							
France	12.4	17.4	19.0	18.9	18.6	16.2	16.3
EU 15	7.1	10.3	11.1	11.1	11.8	11.5	11.4
OECD	5.5	7.4	7.9	8.2	9.3	9.3	9.3
Total tax excluding social security contributions							
France	21.7	23.3	24.8	24.0	25.3	29.0	27.7
EU 15	23.4	25.8	25.7	28.3	28.5	30.3	29.2
OECD	22.8	24.5	27.8	26.7	26.6	27.9	27.0
Taxes on personal income							
France	3.7	4.7	5.0	4.6	5.0	8.1	7.6
EU 15	8.5	11.0	11.3	11.0	10.8	10.9	10.8
OECD	8.3	10.4	10.4	10.6	10.0	10.0	9.8
Taxes on corporate income							
France	2.1	2.1	1.9	2.3	2.1	3.1	2.9
EU 15	2.1	2.1	2.6	2.6	2.7	3.8	3.4
OECD	2.3	2.4	2.7	2.7	2.8	3.7	3.4
Taxes on property							
France	1.6	2.0	2.5	2.7	3.4	3.3	3.3
EU 15	1.7	1.5	1.5	1.7	1.8	2.1	1.9
OECD	1.9	1.6	1.7	1.9	1.9	2.0	1.9
Taxes on goods and services							
France	13.0	12.4	13.0	12.2	12.0	11.6	11.2
EU 15	10.9	11.0	12.0	12.2	12.3	12.4	12.3
OECD	10.0	10.0	10.8	10.8	11.4	11.6	11.4

Source: OECD Revenue Statistics.

have been raised in the past (particularly for unemployment insurance) and income ceilings for the assessment of contributions have been abolished. At the same time, contribution rates have been reduced for low wage earners. Furthermore, new kinds of contributions have been introduced to broaden the base of financing. In 1991 a flat-rate income tax earmarked for social security, known as CSG (*Contribution Sociale Généralisée*) was introduced and in 1996 another levy, known as CRDS (*Contribution au Remboursement de la Dette Sociale*). Revenues from these new flat rate taxes are now larger than revenues from the personal income tax.

The personal income tax is highly progressive but has a narrow base

The personal income tax applies to income of persons (individually or jointly) including those enterprises which are not liable to corporate income tax. The personal income tax has been particularly affected by redistributive objectives. The rate structure is highly progressive. The earned income threshold where there is payable income tax is relatively high and the bottom marginal tax rate is relatively low (6.8% and including earmarked social taxes 14.6%) while the top marginal rate is relatively high (48.09% and including social taxes 55.9% for taxable earned income up from around € 48 000 in 2004).

Table 2.A3.2. **Structure of tax revenues as % of total tax revenues**

	1970	1980	1985	1990	1995	2000	2002
Social security contributions	36.3	42.7	43.3	44.1	42.4	35.9	37.0
France	24.2	29.2	28.9	28.4	29.5	27.7	28.1
EU 15	19.4	22.4	22.2	22.4	24.8	24.6	25.4
OECD							
Employee's social security contributions							
France	6.9	11.1	11.8	13.2	13.2	8.9	9.3
EU 15	8.0	8.9	9.3	9.4	10.2	9.1	9.1
OECD	6.2	7.1	7.5	7.8	8.4	8.0	8.3
Employer's social security contributions							
France	26.6	28.4	28.0	27.2	26.1	24.7	25.3
EU 15	13.8	18.6	17.2	16.7	16.4	15.9	16.3
OECD	11.0	14.0	13.3	13.2	14.3	14.3	14.6
Taxes on personal income							
France	10.7	11.6	11.5	10.7	11.3	17.9	17.3
EU 15	25.2	28.8	22.7	27.0	26.0	25.4	25.8
OECD	27.8	31.2	29.7	29.4	27.0	26.0	26.0
Taxes on corporate income							
France	6.3	5.1	4.5	5.3	4.8	6.9	6.6
EU 15	6.8	5.8	6.4	6.7	6.8	9.2	8.6
OECD	8.7	7.6	8.0	8.0	8.0	10.0	9.3
Taxes on property							
France	4.8	4.8	5.8	6.3	7.8	7.3	7.5
EU 15	5.8	4.2	3.9	4.4	4.6	5.1	4.9
OECD	7.1	5.3	5.2	5.7	5.5	5.5	5.5
Taxes on goods and services							
France	38.1	30.4	29.7	28.4	27.3	25.7	25.4
EU 15	36.4	31.1	31.6	31.5	31.0	30.1	30.8
OECD	35.8	32.4	33.7	32.0	32.4	31.7	31.9

Source: OECD Revenue Statistics.

Among OECD countries only Denmark has a higher rate top marginal tax rate (59%) while Sweden has a similar rate (including local taxes 56.5% for taxable income up from around € 48 000). In addition, in France large tax allowances prevail for families with children. Those benefit in particular from family income splitting ("*quotient familial*") which reduces tax liability for married couples with unequal income and for families with children.[2]

As a consequence the income tax base has been eroded and half of potential tax payers don't pay income tax and the shares of personal income tax revenues in GDP and in total tax revenues is relatively low. It yields less than 7% of total taxes and around 3% of GDP which is lower than in most other developed OECD countries. Tax brackets are adjusted for inflation, a measure which has become less important than in the past as inflation has come down. In contrast to other OECD countries and unlike social security contributions and the CSG, the personal income tax is not collected as a withholding tax for employed persons. It is instead collected in three installments in the year after the income is earned.[3] An option exists, however, for monthly payments in the current year, assessed on income earned in the past year with an adjustment at the end of the year to consider differences in income. About 45% of taxpayers use this option.

Capital gains are in some cases included in taxable income (either wholly or partially) and in other cases subject to a separate flat tax rate. The rate of tax on capital gains

Table 2.A3.3. **Implicit tax rates (ITR) on labour, capital and consumption**

Revenues as a % of the relevant tax bases

	Average 1995-2002	Change between 1995 and 2002 in percentage points
ITR on consumption		
France	18.1	–0.8
EU 15 base weighted	19.6	0.0
arithmetic average	22.3	0.8
ITR on labour		
France	42.7	–0.3
EU 15 base weighted	37.3	–0.9
arithmetic average	37.1	–0.1
ITR on total capital		
France	35.5	5.6
EU 15 base weighted	27.9	4.0
arithmetic average	27.5	5.8
ITR on capital and business income		
France	18.8	4.4
EU 15 base weighted	19.5	3.3
arithmetic average	19.7	4.5
ITR on corporate income		
France	22.9	9.7
EU 15 base weighted	20.8	6.6
arithmetic average	17.0	3.2
ITR on capital and business income of households and self-employed		
France	13.6	0.3
EU 15 base weighted	14.9	2.4
arithmetic average	11.6	0.5

Source: Structures of the taxation systems in the European Union, European Communities (2004).

obtained after selling bonds or shares is harmonised with the rate of withholding tax on interest income (27%), (it has been recently increased with the rise of the CSG to finance the social security deficit.) Since the 1st January 2004, capital gains on real estate are no longer included in taxable income, but taxed at a flat rate of 26%, (now 27% for the same reasons) with a tax threshold set at € 15 000 (as in the case of securities). Capital gains on real estate are completely tax exempt for assets which have been held for more than 15 years.

Capital transfers by inheritances and gifts are treated in much the same way, but the granting of the gifts is encouraged by tax deductions that depend on the age of the donor. For children and spouses the marginal rate of tax (after the personal allowances) is between 5 and 40%.

Corporate income tax rate has been reduced

Corporate income tax (*impôt sur les sociétés*) is levied on limited companies, (*societés anonymes*), most limited liability companies (*sociétés à responsabilité limitée*), limited partnerships with shares (*sociétés en commandite par actions*), permanent establishments (branches) of foreign companies, and cooperatives. The taxable profits of the company are net profits, calculated from gross profits, general expenditures, amortisations, provisions and loss carryovers. Companies subject to the corporate tax are liable to an annual lump-

sum tax (minimum tax) even if they obtain no profits. *Dividend income* receives a tax allowance of 50% (which replaced the former tax credit or *avoir fiscal*). When the corporate tax rate was 50%, the tax credit of 50% of cash dividends eliminated half the double taxation, but with the corporate tax rate of 33.3%, it completely eliminated double taxation.

The rate of the corporate income tax was 35.4% in 2004 (34.33% without the social contribution on companies) and will slightly fall in 2005 and 2006 as the extra 3% surcharge on corporation tax which was introduced in 1995 and 1997 (at a rate of 10%, reduced to 3% in 2002) is removed in two stages. The overall corporate tax rate will thus fall to 33.3% in 2006. This rate (both for retained and distributed profits), which was 50% in 1965, came down in various stages (for retained profits) as from 1985. However, other countries also have cut tax rates and sometimes more than France and the tendency to reduce corporate tax rates as a form of tax "competition" seems to continue, at least in Europe. Small and medium-sized enterprises pay a lower rate of 15% and since 2003 special tax incentives are provided to young (less than eight year's old) firms with a certain share of R&D activity.

… and corporate tax revenues have increased as a share of GDP

Despite the cuts in the statutory rate over the past decades the revenues from taxes on corporate income increased over the past decades from around 2% of GDP to around 3% of GDP. Their share in total taxes increased from the mid-1980s (after a decline before) until 2000 to almost 7% and declined to 6.6% in 2002. The reason for the trend increase in corporate tax revenues as a per cent of GDP is that the share of profits in GDP has increased over time and that the strategy of tax-cutting has been accompanied by base-broadening measures.

An important element determining the corporate tax base is depreciation allowances. In France the standard type of depreciation is the straight-line method but accelerated depreciation on a declining-balance basis with a switch-over to straight-line is allowed for equipment with a useful life of at least three years and for buildings having a useful life of below 15 years. Special investment incentives are provided for various purposes, such as investment in special regions, research and development expenses, antipollution investment. Furthermore (since 1988) companies are entitled to set up a tax-free reserve for investment in commercial establishments abroad under the condition that this is for the purpose of the marketing of products made in France by the enterprise. As a result of base broadening measures depreciation allowances have become less generous. However at the same time the lowering of inflation has worked in the opposite direction as it has reduced the disadvantage stemming from the fact that depreciation allowances are based on historical cost of the asset rather than being indexed to inflation. This has cancelled part of the negative effect of base-broadening measures as can be seen from the development of depreciation allowances (with time specific inflation rates) (Table 2.A3.4). As for industrial buildings standard depreciation has remained constant over time, the lowering of inflation has increased the present value of depreciation allowances (with time specific inflation rates) over time (for buildings only the base case with constant inflation is shown in the table). Overall it appears that in France the base-broadening measures have been more limited than in some other countries, such as the United Kingdom, Ireland, Canada and Austria, although most of these countries had before more generous depreciation allowances than in France.

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Table 2.A3.4. **Corporate Income Tax Parameters**

Year	Statutory corporate tax rate in %[1]	Present discounted value of depreciation allowances in %						
		Base case with constant inflation rate				Alternative case with time and country-specific inflation rates		
		Plant and machinery		Industrial buildings		Plant and machinery		
	France	Average of other countries[2]	France	Average of other countries	France	Average of other countries	France	Average of other countries
1982	50	47	85	81	38	48	78	76
1990	37	40	80	76	38	40	80	73
1991	34	39	80	75	38	39	80	73
1992	34	37	80	76	38	38	81	75
1993	33	35	80	77	38	39	81	77
1994	33	36	80	76	38	38	82	77
1995	37	36	80	76	38	37	82	77
1996	37	36	87	75	38	35	88	77
1997	42	36	80	75	38	35	82	78
1998	42	35	80	76	38	34	83	79
1999	40	35	80	76	38	34	83	79
2000	38	34	80	76	38	34	82	77
2001	36	33	77	76	38	33	80	77
2002	35	33	77	75	38	33	80	77
2003	35	33	77	74	38	33	80	76

1. Including local taxes.
2. Unweighted average of 18 OECD countries (Australia, Austria, Belgium, Canada, Finland, Germany, Greece, Ireland, Italy, Japan, Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, United Kingdom, United States).

Source: Devereux, Griffith and Klemm (2002).

The local business tax is under permanent reform pressure

The *local enterprise tax (taxe professionnelle)* was introduced in 1975 (replacing the traditional "*patente*") and its tax base originally comprised the part of the wage bill and the rental value of the fixed capital stock. Its rates are set individually by the three levels of local authorities (regions, departments and communes) and vary within the limits set by national law.[4] The tax is deductible from the corporate income tax base and there are also numerous exemptions. As a result, among the 3.6 million potential tax payers, only 2.7 million (75%) are actually paying the tax. To avoid an excessive burden, various reliefs were granted and a ceiling was set up so that the amount of the tax cannot exceed 3.5 to 4% of the value added, depending on the size thereof. The central government covers the financial losses of these relief measures to local authorities so that the tax burden of the firms amounts only to around two thirds of the funds received by local authorities. This has contributed to the relative buoyancy of local authorities' *vis-à-vis* central government's net revenues.

Originally the tax base was (after considering the tax-capping) relatively equally distributed to capital and labour (in 1998 with 53.5% falling on capital and 46.5% on labour) (*XVe rapport du Conseil des Impôts*). However, between 1999 and 2003 the salary part was removed from the tax base in order to reduce cost pressures for firms and to increase their labour demand thus transforming the *taxe professionnelle* basically into a tax on business capital.[5] Thus large capital-intensive firms are most affected by this tax so that the tax

burden is unequally distributed across firms. Furthermore, as the tax is not related to the profit situation of firms, the tax burden (in relation to profits) increases if the return on capital falls, which tends to increase cyclical fluctuations of investment. However, the government has sometimes taken measures to counteract negative cyclical effects. The most recent stimulatory measure was to give firms tax relief on new productive investment carried out between 1st January 2004 and 31 December 2005.

Given the various exemptions and relief measures administrative costs for collecting this tax appear to be relatively high. By fixing the tax rates only at post after information about the base is available helps local authorities to stabilise their tax revenues over time but it makes tax liabilities less predictable for firms and it could also increase the tax burden during recessions if tax rates are increased in response to a fall in the tax base.

Revenues for local authorities from the *taxe professionnelle* increased over time from round 1% of GDP in the mid 1970s to around 2% in the second half of the 1990s and fell slightly to 1.8% in 2003. However, if one considers tax relief measures, including the cap as a share of company value added and also the deductibility from the corporate income tax base, the final tax burden for business and the net revenues for the general government are almost 40% lower (in 2003 1.1% of GDP) than revenues for local authorities.

Despite recent reforms this tax remains controversial as it is highly concentrated on larger companies, in particular in industry. It also leads to relatively large disparities of tax revenues between local authorities despite the equalisation scheme which has been set up to reduce imbalances. Furthermore, as the central government compensates local authorities for revenue losses from tax relief it is faced with a growing fiscal burden. The government is now planning a new reform and has established a Commission to find a replacement for the *taxe professionnelle* under the conditions that the new tax preserves the link with local economic activity, does not shift the burden on households and maintains financial autonomy of local authorities and facilitates the development across communes.

This commission[6] suggested replacing the current tax base of the *taxe professionnelle* by a tax base with two components: first the gross value added deriving from the firm's accounts which is – for firms with different locations – allocated by shares in employment, and second the rental value of the firm's real estate (*valeur locative foncière*). (Already in 1989 the Tax Council had suggested transforming the *taxe professionnelle* into a tax on local value added). Furthermore, local authorities should have the power to fix tax rates within a band of a minimum and a maximum rate. The commission also suggested to re-examine the exemptions and special allowances related to this tax in the light of the constitutional principle of equal tax treatment (*égalité devant l'impôt*). Special tax breaks which do not conform with this principle and also lead to unfair competition should be abolished. It is expected that this new tax would have many advantages, such as making the distribution of the tax burden more equal across firms, creating less economic distortions (as capital is taxed less) and improving firm's international competitiveness, better reflect the costs of firm's activity for local authorities (equivalence principle) and reducing administrative costs. One could, perhaps, argue that taxing local value added would go backwards as by taxing wages and salaries, which are the largest part of value added, labour would be taxed again and perhaps more than before the recent reforms. However, one also has to consider that for many (mainly large firms) the *taxe professionnelle* is already a de facto tax on value added, with fairly different methods of calculation, as their final tax payment has an upper

limit determined by that value added; while these firms represent only around 5% of all tax payers, they pay almost 40% of the total net revenues of this tax.

Property taxes are another important revenue source for local authorities

Besides the *taxe professionnelle,* local property taxes are the main local taxes. Local property taxes have been rather buoyant over the past decade as tax rates have been raised and the number of buildings increased. There are two property taxes, the land tax, (with two components on land and buildings, the *impôt foncier non bâti* and *the impôt foncier bâti*) and the tax on occupied housing (*taxe d'habitation*). Where the property tax is paid by firms (impôt foncier) it is deductible from the corporate income tax base. The tax on occupied housing has to be paid by dwelling occupants, whether they are tenants or owners. It is collected at two levels: municipal and departmental, the regional part having been abolished in 2000. The tax base is the rental value of the dwelling and the rates are set every year by the different local authorities. There are tax allowances for dependent persons and old people and poor people are also often exempt. This tax has been criticised for a number of reasons (such as inappropriate tax base, unfairness, high administrative costs) which may lead to further reform.

Besides the local taxes on property there exists a personal net wealth tax on large properties (*impôt sur les grandes fortunes*). It was first introduced in 1981 but again abolished in 1987. In 1989 this tax was re-introduced with a new name (*impôt de solidarité sur la fortune*, ISF). Only personal wealth is taxable. Business wealth, works of art and antiques are not taxed. The tax rate is progressive, with marginal rates between 0.55 (in 2003 for wealth above € 720 000 and in 2005 above € 732 000) and 1.8% (in 2003 for wealth above € 15 million and in 2005 above € 15 255 000). For many years, the tax brackets remained unchanged, but inflation was taken into account for the 2005 tax year, whereas some people had advocated the abolition of this tax to follow the example of many other European countries and avoid capital flight. In 2003 this tax was paid by around 300 000 tax payers (up from around 180 000 in 1997) and its yield amounted to around € 2.3 billion or around 1% of central government net taxes.

The share of consumption taxes in government revenue has declined over time

The relative size of taxes on goods and services has declined over time. In 2002 their share in GDP amounted to 11.2% and their share in total taxes (including social security contributions) to 25.4%. In 1990 the respective shares were 12.2% and 28.4% and in 1965 13.2% and 38.4%. Both taxes on general consumption and on specific goods and services contributed to this decline.

The Value Added Tax has a standard rate of 19.6 % which corresponds to about the average of the EU member states (including the new members). The rate has been raised by 2 percentage points since the end of the 1980s, with the latest increase in 1995 from 18.6% to 20.6% before its reduction to the current rate in 2000. There are also reduced rates (2.1% and 5.5%) for food products and a number of other consumption items, such as pharmaceuticals, passenger transport, hotel accommodation, books and newspapers. While differentiated rates and exemptions reflect social or other policy objectives, they may also distort competition and have the effect of changing consumption patterns (Joumard, 2001). Furthermore, international differences in VAT rates may affect cross-border shopping in boundary areas, as is the case in the Northern part of France as gasoline

prices are much lower in Luxembourg, mainly because of lower VAT and excise taxes than in France. In recent years, the emergence and rapid expansion of e-commerce and the increased risk of fraud, for example by declaring fictitious intra-Community deliveries, are putting additional pressure on tax administration and the EU Commission has made various proposals to improve international co-operation and make VAT systems less vulnerable to fraud. As a result of various exemptions, the reduced rates and other special regimes, the gap between the statutory standard tax rates and the implicit tax rate on final household consumption, as calculated by dividing VAT revenue from household consumption by its macroeconomic base (*i.e.,* consumption exclusive of consumption taxes) was estimated in 2000 to be 4.4 percentage points, or 22% of the standard tax rate which was higher than on average in the EU 15 and much higher than in Denmark, Finland, Sweden, Austria and Germany (Table 2.A3.5).

Environmentally related taxes are relatively low apart from petroleum taxes

Taxes on petroleum products (TIPP) remain relatively high in France (although they have been reduced recently) and account for the bulk of environment-related taxes, although heating oil and gas are also taxed. The new laws on decentralisation have changed the distribution of TIPP revenues. Since 2004, part of the revenues from these taxes has been transferred from the central government to local authorities (departments) (together with the insurance tax, TCA) to cover the fiscal costs of new spending responsibilities (for the two social benefits, the RMI and the RMA). It is planned to extend the revenue sharing of TIPP to the regions and also to give them the power to fix tax rates (within certain limits) which is not possible for departments.

Table 2.A3.5. **Implicit VAT rates and statutory standard VAT rate in 2000**

	Implicit VAT rate for final household consumption	Implicit VAT rate	Statutory standard rate	Gap standard *vs.* implicit rate	Gap standard *vs.* implicit rates, as a % of the standard rate
	(%)	(%)	(%)	(%)	
Belgium	16.3	16.9	21	4.1	19
Denmark	NA	25	25	0	0
Germany	14.1	14.7	16	1.3	8
Greece	12.6	14.2	18	3.8	21
Spain	10.8	10.9	16	5.1	32
France	14.7	15.5	19.9[1]	4.4	22
Ireland	16.0	15.2	21	5.8	28
Italy	14.8	15	20	5.0	25
Luxembourg	10.5	11.1	15	3.9	26
Netherlands	13.3	14.6	17.5	2.9	17
Austria	16.5	17.3	20	2.7	14
Portugal	12.8	13.2	17	3.8	22
Finland	19.4	19.9	22	2.1	10
Sweden	20.2	21.4	25	3.6	14
United-Kingdom	13.9	13.7	17.5	3.8	22

1. 19.6% and 20.6%.

Source: EU Commission.

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Taxes on petroleum products which have initially been introduced for fiscal purposes do in their current form not adequately reflect the pollution content of fuels. For example diesel which has higher environmental costs is lower taxed than unleaded premium which encourages the shift towards diesel engines in cars (see main text above). An earlier plan of the government to reduce the tax differential of diesel fuel to the average European level within seven years was – after two years of reductions – suspended in 2000 when oil prices increased sharply and it has not been resumed**.** Furthermore, a number of tax exemptions or relieves are provided to certain sectors and activities in order to protect them against losses in competitiveness (OECD, 2001a).

Various taxes and charges on polluting emissions or products have been introduced since the early 1980s. Most of these taxes were at the time allocated to the budget of the Agency for Environment and Energy Management (ADEME) and were earmarked for pollution cleanup expenses and not intended to provide an incentive proportional to pollution costs. Among them the tax on air pollution (*taxe parafiscale sur la pollution atmosphérique, la TPPA*) was introduced in 1985 on sulphor dioxide (SO_2) emissions, and extended in 1990 to encompass nitrogen oxides (NO) and hydrochloric acid (HCI) emissions and then, in 1995, emissions of volatile organic compounds (VOC). The revenues from the tax were earmarked for subsidies for abatement investments or for research and development. It was estimated that this tax had a significant negative impact on VOC and SO_2 emissions but not on NO emissions (Millock *et al*., 2004). However, according to this study the subsidy seems to have increased emissions to such an extent that the impact of the tax on pollutant emissions was greatly reduced. The authors explain this by output effects (which were, however, not directly measured) so that even if emission coefficients were reduced by the abatement subsidy, the installation of modern end-of-pipe abatement appeared to have increased total production enough to reverse the effect on absolute emission levels.

In 1999 all these taxes, including the TPPA, were grouped under a general pollution tax (*taxe générale sur les activités polluantes*, TGAP) and were initially assigned to the general budget and in 2000 to the social contribution reform fund (*fonds de financement de la réforme des cotisations patronales de sécurité sociale,* FOREC) that finances tax relief for employers on their welfare charges, specifically in the context of the introduction of the 35 hour working week. In 2004 this fund was dissolved and its transactions were included in the budget. The TGAP is thus currently assigned to the general budget.

Notes

1. For an overview of the French tax system see also Laurence Blotnicki and C. Heckley (1998).
2. Taxable income is divided by a coefficient that varies according to the number of family members and the family status. The tax rate is then applied to the resulting income and the tax so computed is then multiplied by the same coefficient. For example the splitting coefficient for married persons without children is 2, with one child it is 2.5, with two children it is 3 and it rises by one for each additional child.
3. Two equal instalments on provisional assessment are paid in February and May, the third within two months after receiving notice (usually in September). A 10% penalty based on the tax liability is levied in the case of late payment.
4. There is ceiling for local rates as they cannot be higher than the double of the national average. Commission de réforme de la taxe professionnelle, rapport au Premier ministre, (présenté par Olivier Fouquet, président de la commission, 8 Juillet 2004).

5. The tax base consists of three parts: 1) the sum of the cadastral value of the business buildings (tax base of the land tax), 2) the sum of 16% of the acquisition costs of business fixed assets, and 3) any rent paid for other business equipment. Furthermore, many smaller firms are taxed according to a minimum tax base, which is derived from the inhabitant tax (taxe d'habitation).
6. Commission de Réforme de la Taxe Professionnelle, report to the Prime Minister, (presented by Olivier Fouquet, Commission chair, 21 December 2004.

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Chapter 3

Improving labour market performance

With high unemployment, low participation of specific groups such as the low-skilled and those nearing retirement age, and relatively low average hours worked, France is far from using its full labour potential. Improving the labour market situation would not only increase living standards and growth potential but also reduce social exclusion and ease pressures on public spending. This chapter discusses the need for a comprehensive reform of the labour market aiming at: i) *shifting the burden of social protection in the labour market away from employers towards the state by reducing and streamlining employment protection legislation;* ii) *removing incentives that lead to early withdrawal from the labour market;* iii) *allowing employers and employees more freedom to negotiate working hours; and iv) improving efficiency in job placement services.*

Despite some improvements in the labour market situation during the 1990s – with estimated unemployment[1] declining from its peak of 12% in 1997 to 8.7% in 2001 and employment increasing by 14% between 1993 and 2003, the high level of unemployment remains a major policy concern. France also has one of the lowest rates of utilisation of labour potential among OECD countries (OECD, 2004a). This not only reduces living standards and growth potential but it also reduces government revenues and increases expenditures on the non-working population.

The low utilisation of labour potential is mainly caused by four factors:

- high structural unemployment;
- low labour market participation among the youth;
- early exit from the labour market by older workers;
- a relatively low number of annual hours worked per worker.

The main challenges therefore are to:

- reduce impediments to labour market adjustment such as unduly strict employment protection legislation (EPL) and high tax wedges;
- reduce or remove inappropriate incentives that lead to early withdrawal from the labour market for particular groups such as the young, the old and mothers of young children;
- ensure that social legislation does not unduly impinge on the ability of workers and employees to negotiate working hours;
- maximise cost efficiency in job placement services.

Past policies have addressed some of the challenges, sometimes successfully. Changes have mainly focused on active labour market policies and on lowering taxes for low income earners, leaving other labour market rigidities unchanged. Some of these policies are costly for the budget and there may be more cost efficient measures available. In addition, some measures went in the wrong direction, in particular the introduction of early retirement programmes, the increase in EPL from an already relatively high level and also the compulsory reduction in working hours. Although the tax wedge declined for low paid workers, it remains high for average and higher-skilled workers. In addition, benefit entitlements for some groups of unemployed increased and the implicit tax on continuing work for older workers, though it has fallen, remains very high. Hence, despite the reforms carried out in recent years, France has continued to lag behind many other OECD countries in implementing Jobs Strategy recommendations (Brandt *et al.*, 2005). Therefore, it seems of crucial importance for France to further reduce barriers to employment by comprehensive reforms which address problems on both the demand and the supply side of the labour market.

This chapter argues that reform of the labour market needs to combine measures to restore incentives for firms to hire workers and for workers to stay as long as possible on the labour market, ensure that employers and employees have greater ability to negotiate

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working time, and improve the efficiency of services for employment so as to reduce long term unemployment. The main areas addressed here are employment protection legislation, constraints on working hours, wage formation, taxation of labour, the public employment service and policies that lead to withdrawal from the labour market.

The development of the labour market over the past decade

Despite recent improvements structural unemployment remains high while employment and participation are low

After deteriorating in the beginning of the 1990s, the labour market improved in the second half of the 1990s. Both actual and structural unemployment are below their mid-1990s peaks although actual unemployment increased again during the recent cyclical downturn (Figure 3.1). The employment rate increased in France by 4 percentage points after 1996 while the OECD average remained unchanged. In contrast with the earlier

Box 3.1. **Summary of recommendations to improve labour market performance**

Reform employment protection legislation

- Reduce the strictness of EPL and the difference between permanent and temporary contracts by introducing a single contract with lower protection that increases with the length of employment. Otherwise, or as a temporary measure, the cost of "economic" dismissal could be reduced and the use of temporary contracts eased.
- Reduce the cost of the obligation on firms to help their employees to find a new job.
- Suppress or further reform the Delalande contribution – the penalty paid by firms for dismissing workers more than 50 years old.

Ensure that employers and employees have the ability to negotiate working hours

Continue reducing the cost of unskilled and part-time labour

- Limit future increases in the minimum wage and renounce the use of "coups de pouce" for a certain period.
- Ensure the stability of policies of cuts in social security contributions so as to enhance their efficiency by avoiding uncertainty generated by frequent changes.

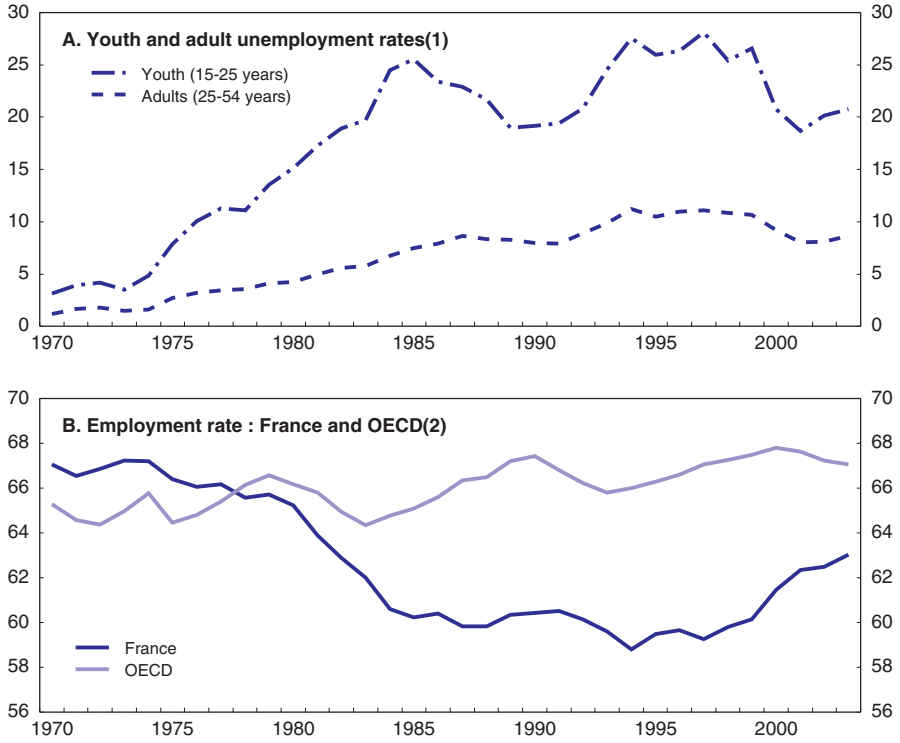
Improve the efficiency of the public service for employment

- Improve markedly coordination between the job placement agency (ANPE), the unemployment insurance administration (UNEDIC) and other agencies.
- Create a one stop shop service system for the unemployed.
- Improve monitoring of job search and make use of systematic evaluations of these policies to improve efficiency.

Continue reducing inactivity traps

- Carefully evaluate the aim of family policies and avoid inappropriate disincentives to employment.
- Phase out early retirement programmes and increase older workers' obligations to look for a job.

Figure 3.1. **Unemployment and employment from a long-term perspective**



1. As per cent of the age group labour force.
2. As per cent of the working age population.

Source: OECD, ELS database.

period, this growth came largely in the private sector (Figure 3.2). Employment also kept up quite well when GDP growth slowed in the early 2000s.

Up to the mid 1990s, growing unemployment had been largely at the expense of the least educated, whose share in employment declined steadily. These trends have been halted and reversed as unemployment among the least educated workers decreased markedly in France after 1992, while it increased in many other OECD countries (Figure 3.3). Youth unemployment has also fallen significantly since 1998.

Despite these improvements France continues to belong to the group of OECD countries with relatively poor labour market performance (Figure 3.4). Moreover, since 2002 long-term unemployment has increased more markedly than the OECD average, and more so than in many euro-area countries (Figure 3.5). Although young people are perhaps the most heavily affected by unemployment, the unemployment rate for prime age workers is also high. Employment rates are also well below the OECD average for older workers.

Working hours have declined significantly

Annual hours worked per capita are among the lowest in the OECD and this is the main source for the gap in GDP *per capita* and for its widening *vis-à-vis* the best-performing countries in the OECD (Figure 3.6). GDP per hour worked is relatively high in France, higher than in the United States. However, this good productivity performance is largely due to

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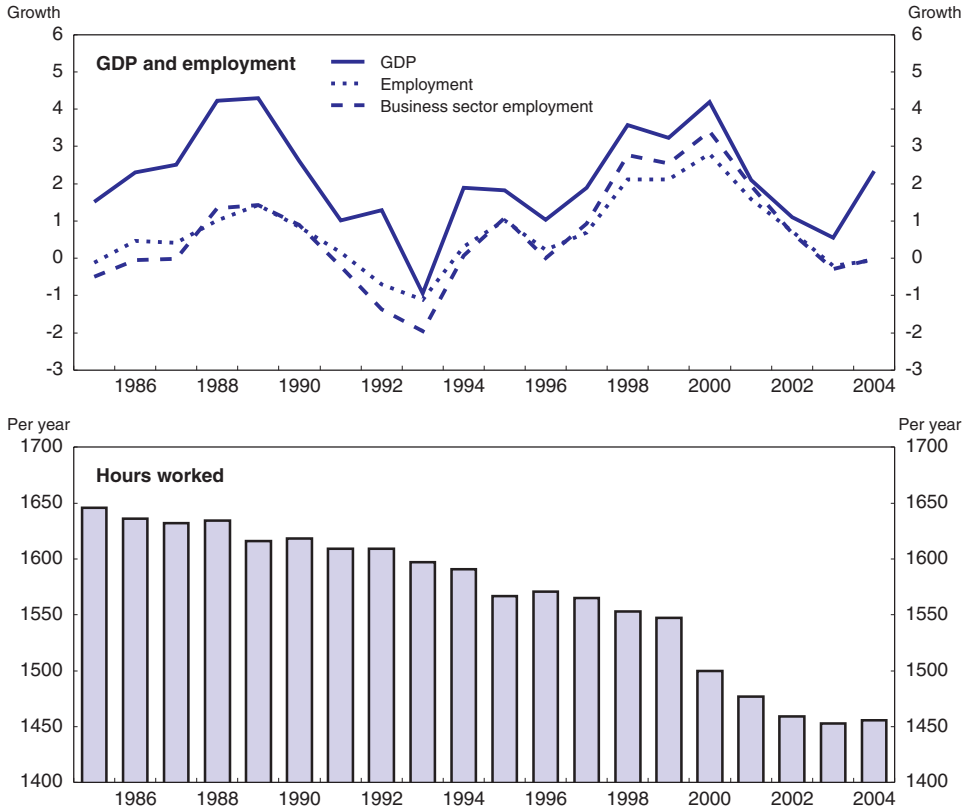
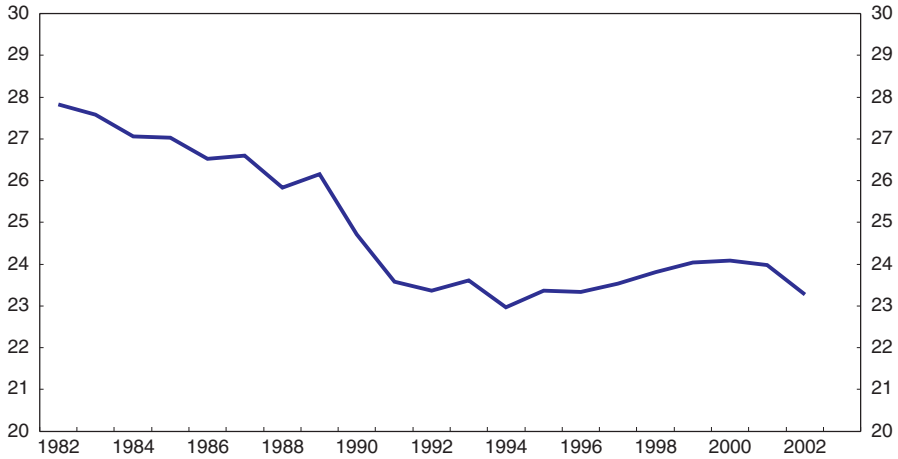
Figure 3.2. **GDP, employment and hours worked**



Source: OECD, *Economic Outlook* No. 77.

Figure 3.3. **Share of low-skilled employment**[1]

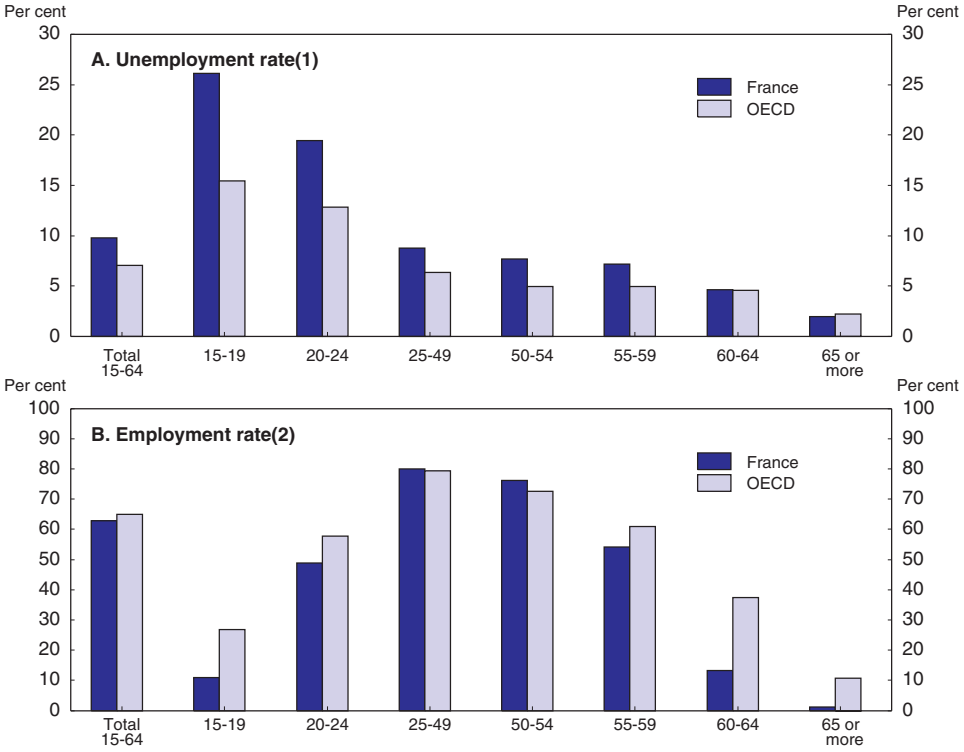
As per cent of total employment



1. Low-skilled employment is defined by the job.

Source: INSEE, Enquêtes emploi 1982 to 2002.

Figure 3.4. **Unemployment and employment rate by age, 2003**

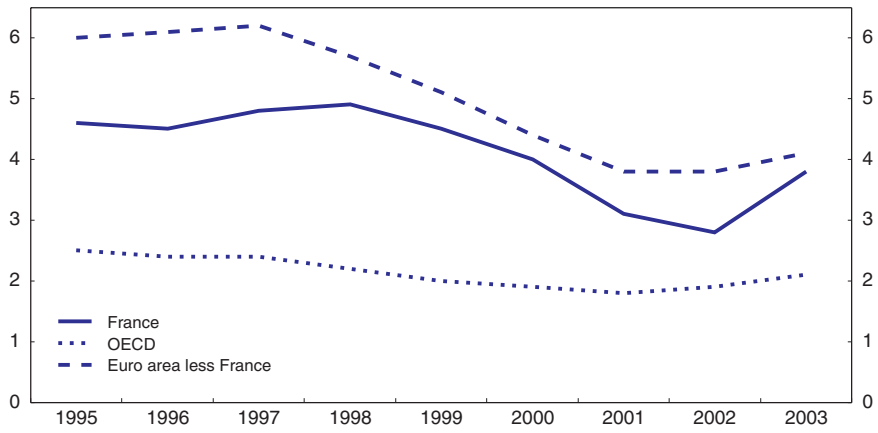


1. As per cent of the labour force in the corresponding age group.
2. As per cent of the age group population.

Source: OECD, ELS database.

Figure 3.5. **Long-term unemployment**[1]

As per cent of labour force



1. One year or more.

Source: OECD, ELS database.

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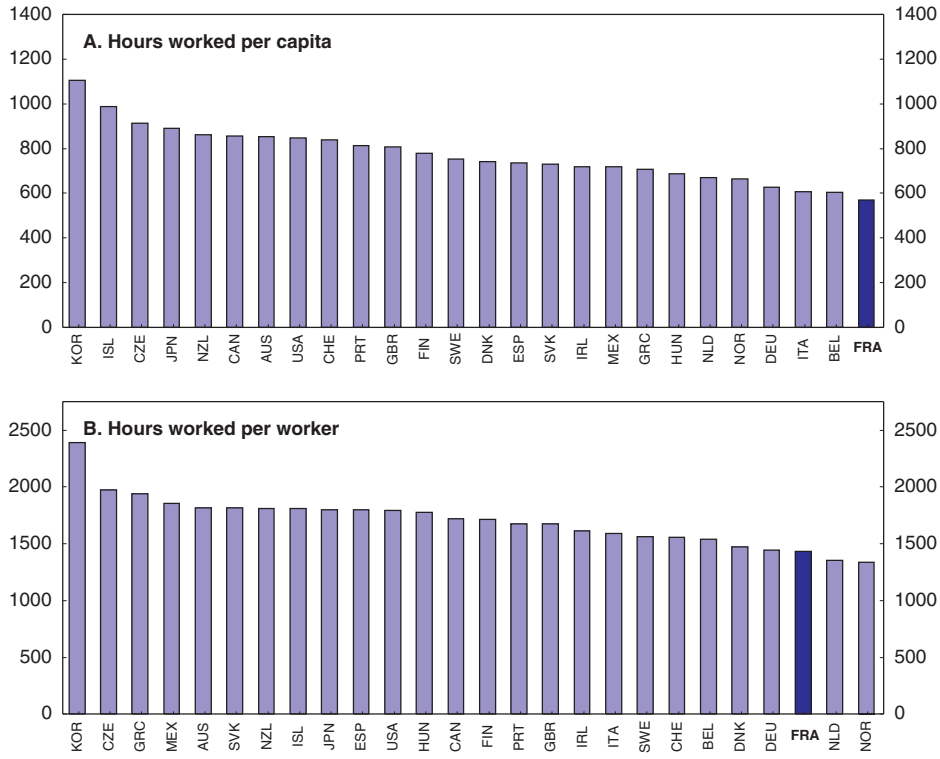
Figure 3.6. **Annual hours worked, 2003**



1. 2002 for Iceland and Switzerland.

Source: OECD, Productivity database.

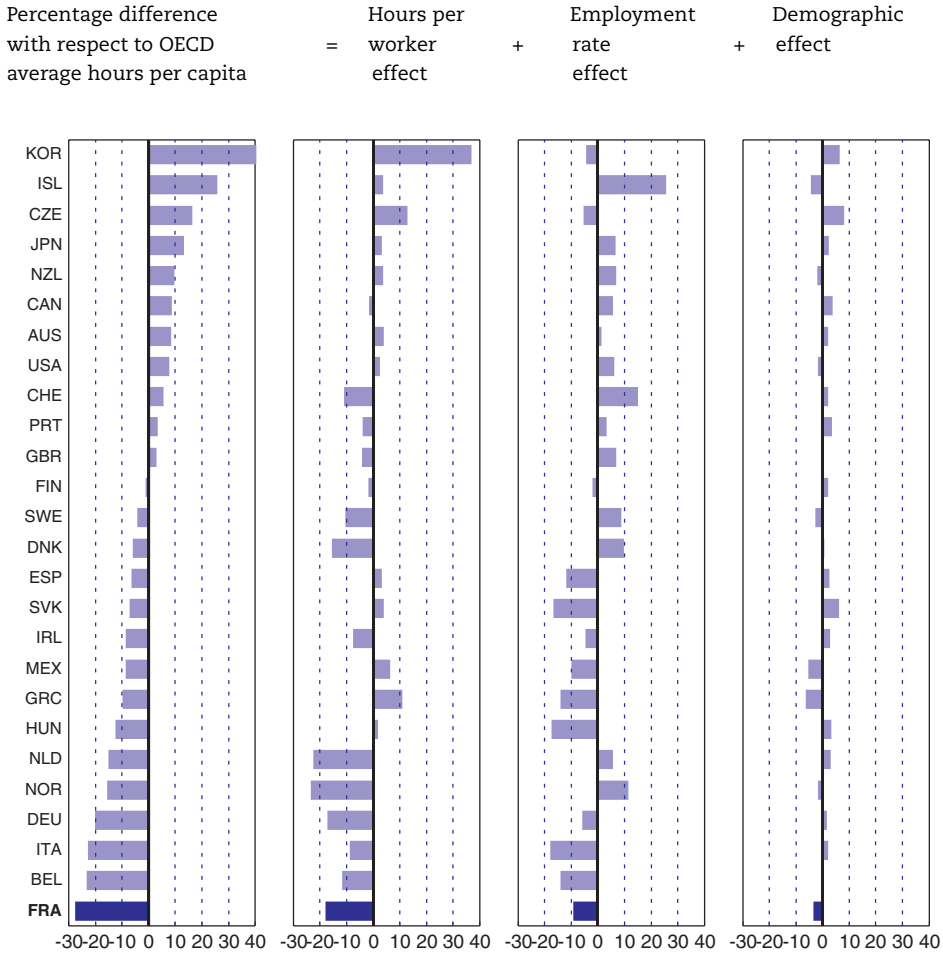
the exclusion of large parts of the unskilled labour force from employment in France (Artus and Cette, 2004). This low utilisation of labour potential is mainly due to low hours worked per worker, in particular the low working-time of full-time workers although the low employment rate also contributed.[2] The same factors contributed to the decline of labour utilisation over time (Figure 3.7).

Labour market problems are mainly structural

The persistence of labour market problems through a number of cycles shows that they are structural and deeply rooted. Various factors may be at work, among them, institutions, certain aspects of wage bargaining, work incentives, and job search.

The rest of the chapter examines these various aspects of labour market practices and institutions. These institutions provide a high level of protection to workers, especially workers on permanent contract, which may lead to the perverse effect of curbing hiring. The legislation on hours is also quite restrictive, which could have a negative impact on output in the long-run. The chapter then analyses the system of wage setting. While wage formation is constrained for low paid workers because of the minimum wage (SMIC, *salaire minimum interprofessionnel de croissance*), it appears to be relatively decentralised and unconstrained for the rest of the wage distribution. Nevertheless, the high level of unemployment suggests that this wage flexibility is not sufficient to clear the market. One

Figure 3.7. **Low hours per capita reflect both low hours per worker and low employment, 2003**



Source: OECD, Productivity database.

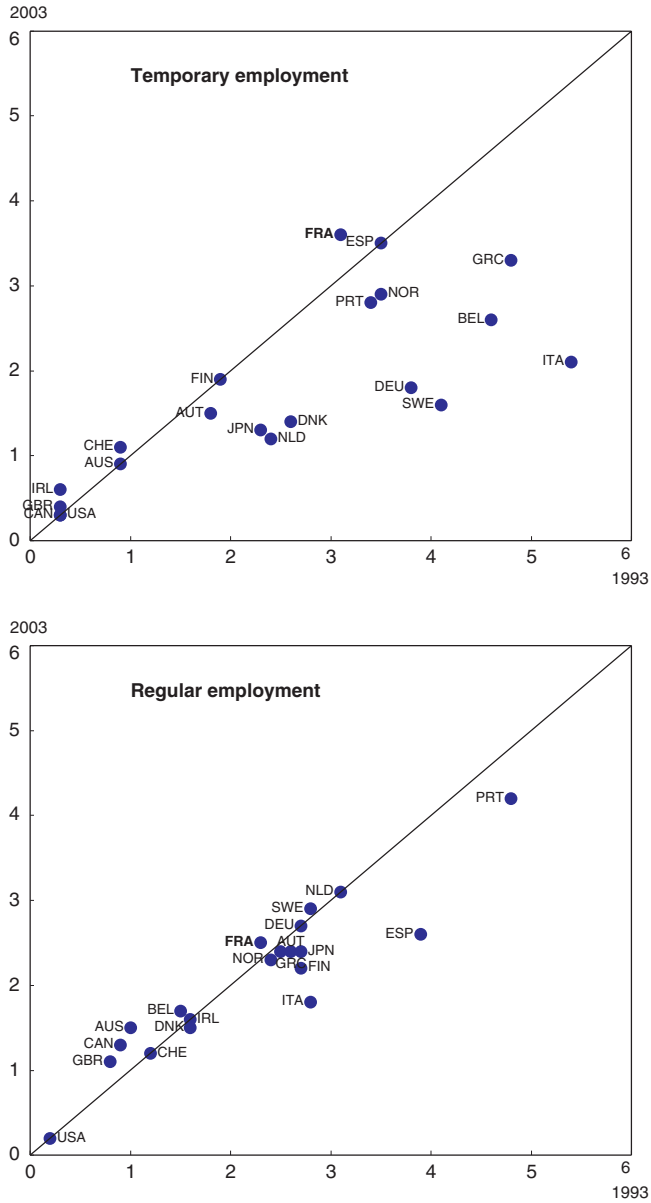
possible factor at work is the high level of social security contributions, despite some reductions. To assist policies to reduce rigidities and costs, efforts also need to be made to improve the efficiency of the public employment service and to stimulate labour supply, especially among certain groups.

The Labour Code, jurisprudence and administrative procedures provide high protection to workers

Employment protection is rather strict and has strengthened

According to OECD indicators, EPL is relatively strict in France (Figure 3.8). This is largely due to highly restrictive dismissal procedures laid down in the Labour Code for permanent contracts – which is the standard form of contract allowed by the law, and is presumed when there is no written agreement. Temporary contracts, which ought to allow some flexibility around the constraints of the standard contract, are in turn highly constrained in their application (Box 3.2). Surprisingly, temporary contracts in the public administration are less constrained.

Figure 3.8. **Overall strictness of EPL according to OECD indicators**



Source: OECD, ELS database.

Legal provisions concerning permanent contracts mainly cover how to terminate them. Severance payments are not particularly high in France, representing half a monthly wage for an employee with 5 years of seniority in case of a dismissal for "personal" reason and 1 monthly wage in case of a dismissal for "economic" reason. For an employee with 15 years of seniority, severance payments reach 1.3 monthly wage for a dismissal for "personal" reason and 2.7 monthly wage in case of a dismissal for "economic" reasons (Figure 3.9). However, the procedure to be followed in case of a dismissal for "economic" reasons is very complex and increases employers' costs considerably. Moreover, firms also

Box 3.2. **Main characteristics of employment protection legislation**

Rights and obligations are defined in the Labour Code, which provides a minimum guarantee for workers' rights but collective bargaining agreements can achieve more favorable conditions for workers. There are two types of contracts, permanent or temporary (temporary contracts with the employer directly or with an agency), but the full time permanent contract is the reference one.

Permanent contracts

Provisions concerning permanent contracts mainly cover how to terminate them. There are three categories identified: dismissal, retirement or resignation. Dismissals can take two broad forms, dismissal for "personal" reasons or for an "economic" reason.

Dismissal for "personal" reasons can take two forms, either for "real and serious" reasons, including refusal of a change in the labour contract or the inability to meet objectives set by the employer, or for "fault". In the latter case, the employer does not have to pay severance payment.

A dismissal for economic reasons can be "individual" if it concerns a single worker or "collective" for two or more workers. In both cases, allowable justifications for such dismissals are strictly defined. It should not be inherent in the person but caused by economic difficulties or technological changes. Moreover, the 1995 jurisprudence has further narrowed the reasons for an economic dismissal (see Annex). It can be used only if it is necessary to preserve the competitiveness of the firm *i.e.*, it cannot be used to improve competitiveness or profitability.

Administrative procedures for layoffs for economic reasons are complex and long, more so when the layoff concerns many workers:

- General provisions: the employers must respect a mandatory notice period and have interviews with the worker. Employers are obliged to help employees deal with changes in their jobs and finding another job. Firms also have to negotiate with the enterprise committee in the case of a collective dismissal.
- A dismissal of more than 10 workers. An "employment preservation" plan (plan de sauvegarde de l'emploi), which includes measures such as encouraging the search for jobs outside the firm, creation of new activities, training programmes, etc, must be put in place.
- Firms with more than 1 000 employees have to offer a "reclassification leave" which is a 4 to 9 month period before the employee is dismissed during which firms have to provide their employees with training and other help to find a job.

Severance payments depend on the number of years spent in the firm and on the reason for the dismissal:

- For an employee with less than 10 years of experience in the firm: 1/10 of monthly wage by year of seniority and 2/10 in case of dismissal for economic reasons.
- For an employee with more than 10 years of experience in the firm: 1/10 of monthly wage by year of seniority for the first 10 years and 1/15 of monthly wage by year of seniority after 10 years. In case of a dismissal for economic reasons, the rates are respectively 2/10 and 2/15.

Dismissed workers have priority in any re-hiring done by the firm. Employees can bring the case before a court (the "Prudhommes") if they contest the reason for the dismissal or the procedures followed. If the reason for the dismissal is not serious and justified according to the court, firms have to pay the worker an allowance equal to at least six months.

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Box 3.2. **Main characteristics of employment protection legislation** *(cont.)*

Temporary contracts

Temporary contracts cannot be used to fill a permanent job linked to permanent activity of the firm. Therefore, their use is restricted to specific situations:

- to replace an employee on leave;
- temporary increase in firm activity;
- seasonal jobs or jobs in specific sectors with a lot of fluctuations in their activity. In the latter case, they are called "common use temporary contract" and there is a list of sectors which can use them.

The framework of the contract is strictly set:

- the duration of the contract must be written in the contract. It can be renewed once only;
- maximum duration is 18 months (including renewal), 9 months in certain cases, and 24 months for very specific reasons.

After a dismissal for economic reasons, for a period of six months it is not possible to hire a worker on temporary contract for temporary increases in activity or seasonal tasks.

A worker on a temporary contract cannot be paid less than a worker on a permanent contract in the same firm with equivalent skill and position. Firms have to pay the employee a premium of 10% of the gross monthly wage when a fixed term contract expires and is not transformed into a permanent one.

Public sector

The State is not subject to the same restrictions on short term contracts. In theory, temporary contracts can be used only in specific situations: when no civil servants have the skills needed to do the job (which is the case of computer scientists for instance) or for an occasional need. In practice, these contracts are easily used. They may be of three years and can be renewed indefinitely. The salary can be less than that of a civil servant doing the same work, and most other advantages enjoyed by civil servants are not granted.

The use of temporary contracts in the public sector is not consistent with the 1999 European directive. The State has planned to restrict the use of these contracts and to transform some of the existing temporary contracts into permanent ones. Efforts in these directions have been very slow up to now.

have to help displaced employees to find new jobs. This is costly and likely to be particularly difficult when the firm itself is in difficulty.

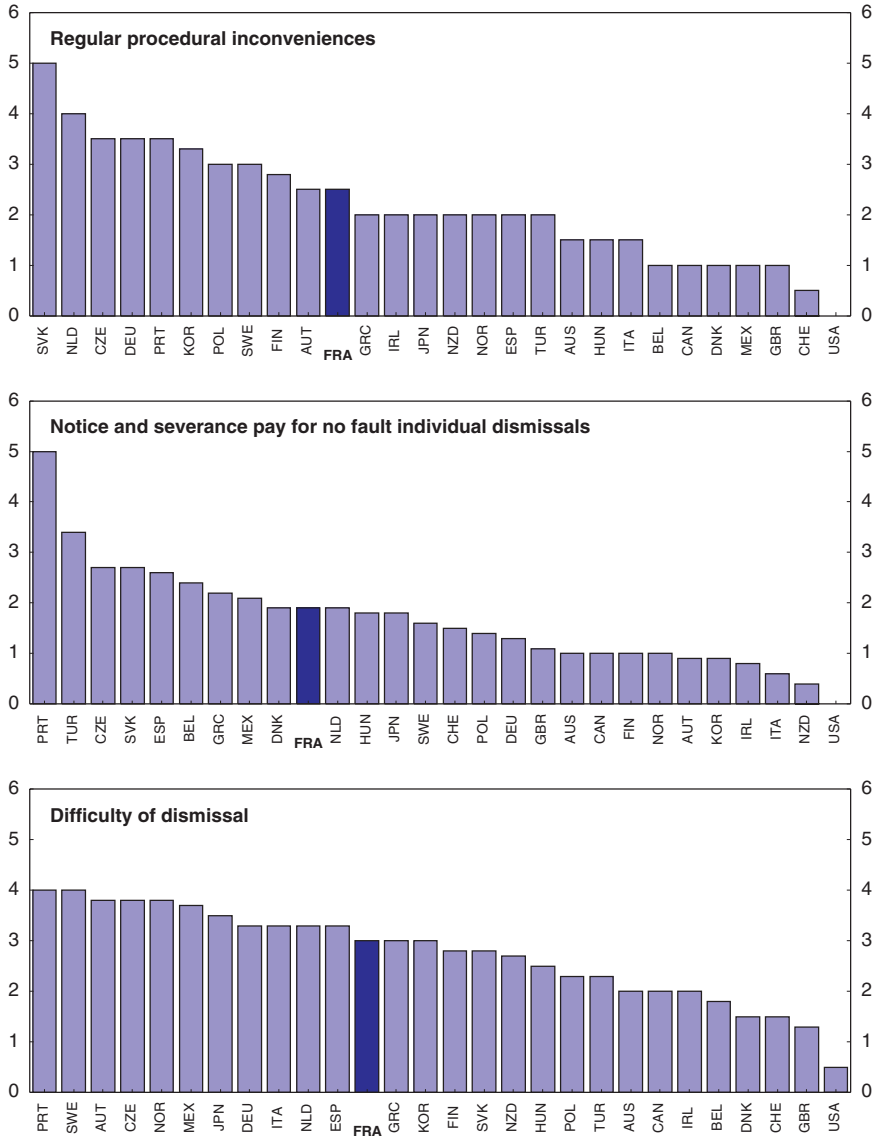
France is one of the few OECD countries where EPL concerning permanent contracts has increased from the mid 1970s to 2002,[3] due both to new legislation and to jurisprudence (see Annex 3.A1). EPL has tightened in three areas:

- Procedures for economic dismissal have become more complex.
- Legal restrictions on economic dismissals have tightened.
- The burden of the obligation to help redundant workers to find new jobs has increased.

The previous government introduced the Social Modernisation Law in 2002, significantly tightening the constraints on dismissal of more than 10 employees. But in 2003 the new government suspended some of these provisions before introducing another

Figure 3.9. **Indicators of strictness of EPL for regular employment**

2003



Source: OECD, ELS database.

law in 2004 which, while moderating some aspects of EPL, increased the obligation on employers to try to find alternative jobs for employees under threat of collective dismissal.

Firms are reluctant to dismiss workers on permanent contracts

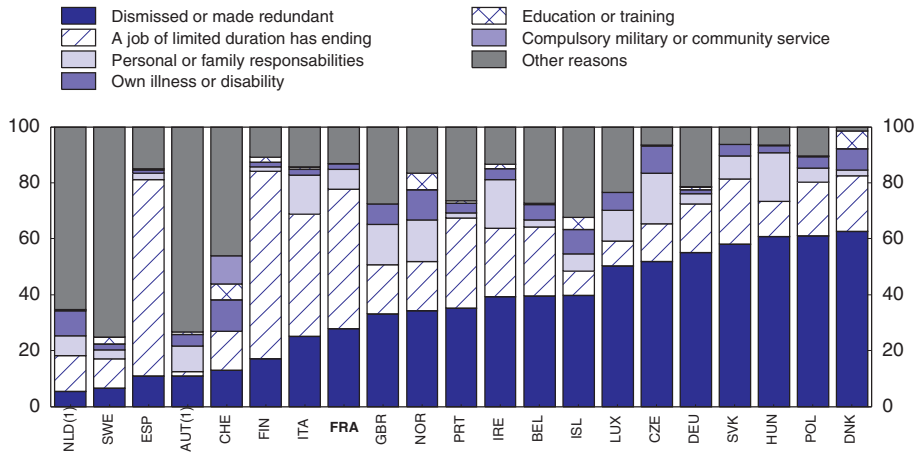
The law permits "economic" dismissal only if it is necessary to preserve the competitiveness of the firm. Financial rationalisation by the management is not sufficient justification. Moreover, in 2002 the Social Modernisation Law added a provision requiring that the financial position of the group to which the firm belongs should be taken into

account, which means that an economic dismissal is not legally justified if the group is healthy. These provisions prevent firms from undertaking practically any reorganisation to increase productivity that might ensure the survival or faster growth of the firm in the future, if it involves job losses. The assessment of whether the economic situation of the firm justifies economic dismissals is made by a judge. The number of cases brought before the courts is high compared with other OECD countries (OECD, 2004a). In a study relating to the year 1995, it was reported that employers lose 74% of these cases, compared with 48% in Canada, 51% in Italy, and 38% in the United Kingdom (Bertola *et al.*, 2000).

As a result of this strict EPL, job termination does not often occur through dismissal for "economic" reasons (Figure 3.10). Dismissals for economic reasons increased only moderately despite the fall in profitability after 2001 (Figure 3.11). Labour market weakness in this period was reflected first in a big increase in the termination of temporary contracts and, secondly, through an increase in dismissal for other reasons including those for "personal" reason, which are considered less costly by firms than dismissals for "economic" reason. Indeed, in the case of a dismissal for "personal" reasons, an agreement is often signed between the employee and the employer that ensures that neither will contest the procedure of the dismissal, and severance payments are negotiated. The cost of such agreements suggests that the constraints of EPL are costly to firms. Kramarz and Michaud (2004) estimate that the average cost of dismissing a worker represents 14 months wages but is significantly higher for a collective dismissal. Although this kind of job termination is easier for firms, it has three negative aspects. First, it leads to very unequal treatment between employees, with some receiving very high severance payments while others do not (Cahuc and Kramarz, 2004). Second, since it absolver firms of their obligations to help workers find a new job, the help that is presumed to have been given by firms is in fact never provided to these dismissed workers. Finally, a possible consequence of this kind of employment adjustment is that high productivity workers quit the firm while low productivity workers remain in the firm with negative implications for productivity.

Figure 3.10. **Reasons for leaving a job and becoming unemployed**

2002

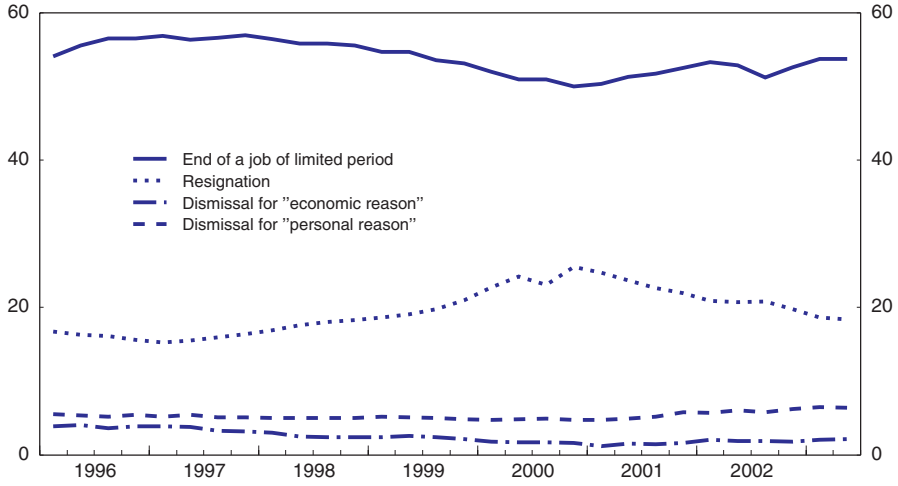


1. 2001.

Source: Data from Eurostat.

Figure 3.11. **Evolution of the reasons for ending a labour contract**[1]

Share in job termination (%)



1. Source and definition are different from the ones of Figure 3.10.

Source: Dares, DMMO-EMMO.

Temporary contracts have developed strongly

Despite the constraints on their use, temporary contracts developed markedly during the 1990s (Figure 3.12). It is likely that some firms also manage to by-pass some aspects of the law, especially the one according to which it can be renewed only once (*e.g.,* by creating another, similar, job). Thus, these contracts are more flexible and therefore attractive to firms. While they represented less than 5% of dependent employment in the mid 1980s, their share reached 14% by 2002, slightly above the OECD average. The contribution of temporary contracts to employment growth since the mid 1980s has been significant.

Temporary contracts in France are of very short duration, less than 5 months in most sectors (Table 3.1). The most frequent duration in other countries is between 6 months and a year (OECD, 2002). The short duration does not seem to be a consequence of the limitation on the maximum duration of those contracts, which is 18 months, much longer that the average effective duration. It is more likely to be a consequence of the fact that the employer must pay for the entire duration of the contract even if the job is terminated before the date specified in the contract.

As a result of restrictions on fixed term contracts, they are mainly used for seasonal tasks with well known duration. They are less suitable when employers do not know precisely how long they need someone. For instance, they are appropriate neither for medium term projects nor for periods during which the recovery seems uncertain. Hence, temporary contracts often correspond to low skilled jobs of short duration with poor prospects for human capital accumulation. It is difficult for workers to obtain temporary contracts of good quality, not restricted to seasonal tasks that will help them to remain employed afterwards.

Labour market dualism has increased

Despite the fact that temporary contracts are often used for seasonal tasks, they provide flexibility to firms, helping them to rapidly adjust their workforce to changing

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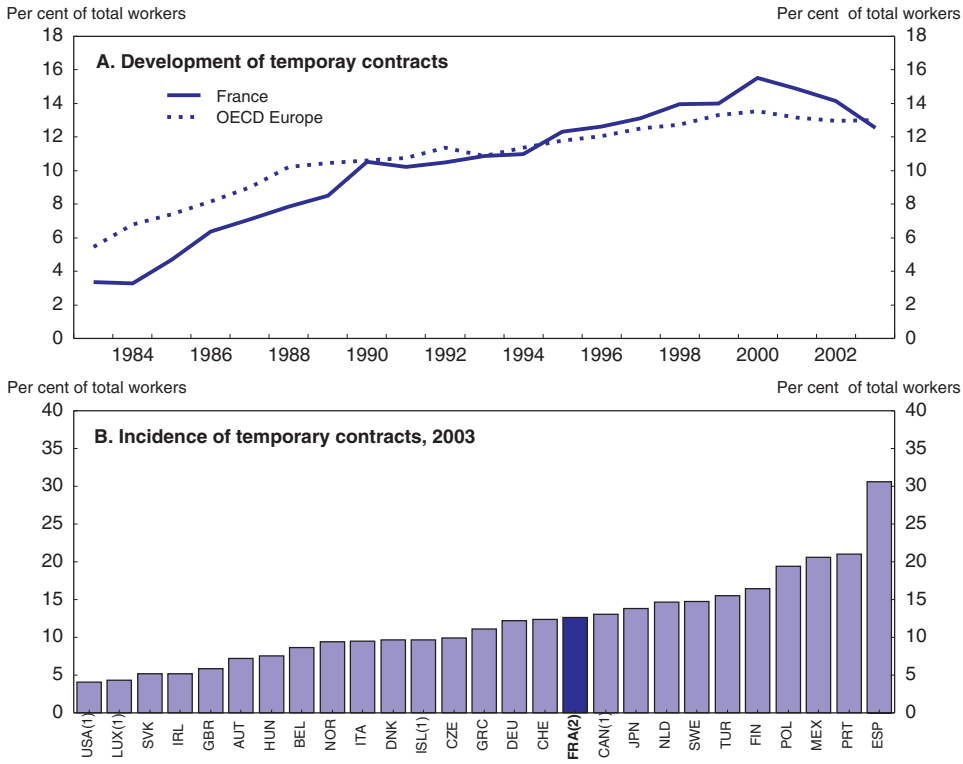
Figure 3.12. **Incidence and developments of temporary contracts**



1. USA: 2001; Iceland, Luxembourg and Canada: 2002.
2. Including the so-called "contrats aidés".

Source: OECD, ELS database.

Table 3.1 **Average duration[1] of temporary contracts by sector (in months)**

	1996	1997	1998	1999
Total activity	**2.7**	**2.6**	**2.6**	**2.6**
Industry, including energy	3.6	3.4	3.5	3.7
Construction	4.2	3.9	4.2	4.2
Services	2.4	2.4	2.4	2.3

1. Data exclude workers employed on a temporary contract through an agency, where the average placement is of shorter duration. The duration is unknown for 18% of the sample population.

Source: DARES, DMMO/EMMO.

conditions while the probability that a temporary contract is transformed into a permanent one is low (the probability being greater for workers employed directly, at 1 chance in 3, than for those under contract to an agency, for whom the probability is only 1 in 4). Such behaviour can also be observed in other OECD countries where strict employment protection of permanent workers tends to increase the incidence of temporary work (OECD, 2004a). As a result, labour market dualism is increasing with the majority of workers benefiting from permanent contracts and high employment protection, while a growing number alternate between unemployment and short temporary contracts.

Overall strictness of employment protection legislation should be eased

The effect of employment protection on labour markets is a controversial subject and the literature highlights positive and negative effects on labour market performance (OECD, 2004a). However, there seems to be a consensus on two points. First, while strong EPL and low unemployment initially coexisted, circumstances have changed and the interaction between economic shocks and EPL can explain part of the increase in unemployment and unemployment persistence (Blanchard and Wolfers, 2000). Second, EPL does not affect groups in the same manner and is likely to have negative effects on youth, prime age women and older workers (OECD, 2004a). Some arguments seem to be relevant for France:

- The purpose of EPL is to protect existing jobs. At the same time, it increases the present value of the cost of hiring. Moreover, for low skilled workers and young workers with low education levels, the minimum wage already makes this high, despite the reductions in social contribution rates on low salaries. Taken together, these measures significantly lower the chances of these workers finding a job.
- The impact on wages depends on opposing factors. On the one hand, EPL might increase wages by increasing insiders' bargaining power, but, on the other hand, it could reduce the reservation wage because it reduces risk. Moreover, by reducing the hiring rate, it should decrease the reservation wage for new entrant workers. However, as the minimum wage puts a floor on the wages of new entrants, the effect on reservation wages is reduced or eliminated. As a result, EPL on permanent contracts is likely to reduce wage flexibility.
- Theory suggests that differences in the strictness of EPL on temporary and permanent jobs produce high turnover in temporary jobs, since high firing costs for permanent contracts induce firms to use temporary contracts in sequence rather than converting them to regular contracts (Blanchard and Landier, 2002, Cahuc and Postel-Vinay, 2002, OECD, 2004). As a result, easing the use of temporary contracts would foster both hiring and firing with unclear implications for overall unemployment. This might be the case in France where one-year and two-year mobility of workers on temporary contracts towards permanent ones is low relative to other European countries (OECD, 2002). Nevertheless, temporary contracts give some low productive workers the opportunity (that they would not have had otherwise) to enter the labour market and to acquire some skills that may improve their employability.

The objective of a reform in EPL is to increase the likelihood that unemployed workers find a job and stay employed, avoiding long term unemployment. A possible reform to increase employment could include:

- easing the use of temporary contracts so that they can be used for permanent activity in risky sectors, which should incite firms to take more risk and to create jobs that, if matched with the right workers, would ensure human capital accumulation and increase productivity;
- reducing the cost of dismissal on permanent contracts in order to increase employers' willingness to hire on permanent contract or to transform temporary contracts into permanent ones.

A number of reports have made suggestions on possible ways to make these changes:

- The de Virville report (2004) suggests relaxing the legislation on temporary contracts by enlarging the access to "common use temporary contract" (contrat d'usage), which

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already exist for specific sectors and whose use has already been extended, through the jurisprudence, to other sectors (See Annex 3.A1);

- Blanchard and Tirole (2003) and Cahuc (2003) suggest reforming EPL on permanent contracts by reducing the burden of administrative procedures, lowering the cost to firms of helping dismissed workers to find another job, and limiting the judge's power. They suggest introducing, at the same time, an experience rating system under which employers' contributions are made an increasing function of the frequency with which they dismiss workers;
- Cahuc and Kramarz (2004) suggest abolishing the difference between permanent and temporary contracts by creating a single contract, with severance payments increasing with the length of service. Another suggestion is that firms pay tax to public authorities that will finance actions to help dismissed workers to find a job. In exchange, the procedures and the allowable reasons for "economic" dismissal would be smoothed.

The creation of a single contract is likely to be the most efficient solution, as it should not only increase effective labour demand but also reduce labour market duality and improve fairness between workers. Since implementing such changes may be politically difficult, gradual reforms could be introduced that would at the same time ease the use of temporary contracts and reduce EPL on permanent contracts. But some suggestions, such as designing further special types of employment contracts, are likely to increase administrative cost and reduce transparency, without a significant impact on reducing duality. In any case, the authorities should consider propositions to relieve firms of the obligation to help dismissed workers find a new job, making them contribute to financing the public employment service instead.

Legislation has significantly reduced hours worked

As mentioned above, working hours per worker are relatively low in France. Annual hours worked per employee are now 8% below the EU average and around 20% lower than in the United States, Japan, Australia or New Zealand (Figure 3.6). This is not caused by a particularly high incidence of part-time work but rather by the low annual working time of full-time workers (Table 3.2). Largely as a result of past and recent policy measures, the standard working time per week and per year is now significantly lower than in most other industrial countries.

Over the past decades France has legislated significant cuts in standard working hours per week which has also reduced the actual working time per year. In 1982, legal working time (*i.e.,* standard hours in employment contracts, above which an overtime premium must be paid) was reduced from 40 to 39 hours per week. In 1996, the *loi de Robien* offered reductions in employers' social contribution rates to create new jobs or preserve existing ones through work-sharing by reducing working time, and in 1998 the first *loi Aubry* announced the reduction of the legal working week from 39 to 35 hours with effect from January 2000 for firms with more than 20 employees and from January 2002 for others. Firms were encouraged to reduce hours worked before 2000 through cuts in social security contributions that were made conditional on a 10% decrease in hours worked and the creation of 6% more jobs. The second *loi Aubry* (2002) confirmed the new legal working time and introduced new cuts in social contributions for firms reducing hours worked. This time, these cuts did not depend on the amount of the reduction in working time or on job creation.

Table 3.2 **The anatomy of a typical work year for full-time dependent employees, 2002**

Decomposition of average annual hours actually worked by full-year equivalent into its components

	Annual hours of work	Average weekly hours on all jobs	Usual weekly hours of work in the main job	Extra hours on main job = Overtime + variable hours (*e.g.* flexible hours) + others	Hours on additional jobs	Annual weeks worked	Holidays and vacation weeks	Absences due to non holiday reasons
	(a) = (b)*(f)	**(b) = (c)+(d)+(e)**	(c)	(d)	(e)	(f) = 52 – [(g) + (h)]	(g)	(h)
	Hours	Weekly hours worked				Weeks worked/not worked		
Austria	1 657	41.9	40.1	1.5	0.4	39.5	7.3	5.2
Belgium	1 600	39.8	39.3	0.3	0.2	40.3	7.1	4.6
Switzerland	1 875	44.1	40.9	2.9	0.3	42.6	6.1	3.3
Germany	1 679	41.3	39.9	1.3	0.2	40.6	7.8	3.6
Denmark	1 597	40.5	39.1	0.8	0.6	39.4	7.4	5.2
Spain	1 712	40.7	40.4	0.1	0.2	42.1	7.0	2.9
Finland	1 589	40.9	39.2	1.4	0.4	38.9	7.1	6.0
France	1 569	38.6	37.7	0.8	0.1	40.7	7.0	4.3
Greece	1 851	41.5	41.0	0.1	0.3	44.6	6.7	0.7
Hungary	1 821	41.5	40.9	0.4	0.2	43.9	6.3	1.8
Ireland	1 755	39.9	39.5	0.2	0.2	43.9	5.7	2.3
Iceland	2 022	50.7	47.3	1.8	1.6	39.9	6.2	5.9
Italy	1 594	38.8	38.5	0.1	0.1	41.1	7.9	2.9
Luxembourg	1 680	40.1	39.5	0.5	0.1	41.9	7.5	2.6
Netherlands	1 604	40.5	38.9	1.4	0.2	39.6	7.6	4.8
Norway	1 517	41.1	38.5	1.8	0.8	37.0	6.5	8.5
Portugal	1 729	41.3	40.3	0.3	0.8	41.9	7.3	2.8
Sweden	1 503	41.8	39.9	1.3	0.6	36.0	6.9	9.2
United Kingdom	1 805	44.2	43.3	0.7	0.2	40.8	6.6	4.6

Source: OECD (2004).

The 35 hours legislation[4] prompted an increase in pay (for overtime) after 35 hours worked and decreased maximum allowable overtime (Table 3.3). It also introduced a guarantee for the monthly earnings of minimum wage earners in order to prevent a fall in their real income as a result of working fewer hours (see below).[5]

Other aspects of implementing the cuts in working hours were left to collective bargaining between firms and trade unions. These negotiations introduced greater working time flexibility so that firms can ask for longer or shorter hours per week according to their needs provided that the average annual work week is 35 hours. This increases firms' ability to respond to seasonal and cyclical fluctuations of production, and has been favourably appraised by employers (DARES, 2003). Negotiations also led to wage moderation for two or three years (Pham, 2002). Wage moderation, productivity gains through organisational changes and cuts in social contribution were the three pillars of the measures that were designed to limit the increases in firms' costs that the working hours reduction would have caused.

The driving force for the reduction in working hours in France (and some other European countries) was in particular to create more jobs by "work sharing" (on the

Table 3.3 **Evolution of working time legislation**

	Before the 35 hour week	Aubry laws (1998-2002)	Fillon law (2003)	Act of 21 March 2005
Standard working time.	39 hours per week.	35 hours per week.	35 hours per week.	35 hours per week.
Level of overtime before a rest period is compulsory.	130 hours per worker per year.	130 hours per worker per year, but more during the transition period.	Fixed by branch level agreement. Otherwise, 180 hours.	220 hours except in case of branch or firm level agreement.
Overtime premium.	25% between 40 and 43 hours and 50% above 43 hours.	25% between 36 and 43 hours[1] and 50% beyond 43.	Premium can be negotiated at the branch level between 10 and 25%, 25% otherwise.	Fillon's framework extended until 2008.
For firms with less than 20 employees.		10% between 36 and 43 hours.	10% between 36 and 43 hours.	
"Leave" account (*i.e.,* to store accrued but unused leave).	Did not exist.	Can be used for leave or training only.	Part of unused leave can be paid (5 days per year max.) or stored (22 days per year max.) and used within five years.	A collective branch level agreement can decide that the leave account can be paid (with no limit on the number of days); otherwise, used for leave or training. Repeal of the annual ceiling of 22 days.

1. During the transition scheme, premium between 35 and 39 hours was limited to 10%.

assumption that insufficient aggregate demand rather than high costs was at the origin of unemployment) rather than to provide workers with more leisure by distributing part of productivity gains as more free time. In France it has also been justified as a way to improve the efficiency of cuts in social security contributions on the argument that firms had to hire workers in order to avoid a reduction in output (DARES, 2003). Many employers opposed this legislation as they feared an increase in labour costs although the measure was accompanied by fiscal incentives and wage moderation.[6] The policy of shortening working hours came under additional attack when it was extended to smaller firms and also when hospitals claimed that the 35-hour week had led to severe staff shortages.

This paved the way for reconsidering the policy of mandatory working time reductions and introducing instead more flexible arrangements, in particular by the *loi Fillon* (OECD, 2003), by the collective bargaining reform (see Annex 3.A2), that introduced the possibility for enterprise agreements on hours worked to be less favourable to employees than sectoral ones, and by the new arrangements of 2003 and 2005 (Table 3.3). However, except for some firms facing specific problems where hours have been increased and wage moderation continued (Bosch, Doux, Seb); few firms have so far used the possibility to increase hours (Bilan de la négociation collective, 2004). While the relaxation measures taken since 2003 have cut firms' overtime costs sharply (especially between the 36th and the 39th hours), the situation probably stems from the recent weak economic outlook. Another reason could be that employers fear that the advantages of increased flexibility and wage moderation, which had come in exchange of reduction in hours worked and after long negotiations, could be lost again.

It is hard to evaluate the overall impact of the reduction in working time, the associated reduction in social security contributions, related negotiations at firm level on working practices and wage increases that were moderated for a certain period. It is fairly clear that the simple imposition of reduced working hours, with a compulsory overtime

premium and a binding ceiling on total hours worked, would have been costly for the economy. A necessary condition for the 35 hours week legislation to have had a positive impact on employment was that productivity gains should be higher than the increase in the unit labour cost.

- Some estimates have evaluated the firm-level impact of the 35 hours week legislation by comparing job creation in firms that reduced working hours with that in similar firms that maintained the 39 hours. This methodology relies on the possibility of comparing behaviour of similar firms, which is very difficult task and was not possible once the legislation was fully implemented since only small firms with specific characteristics maintained a 39 hour week. Such estimates conclude that the 35 hour week legislation increased employment by 6% for firms eligible for incentive provisions (the *loi* Robien and the first *loi Aubry*) and by roughly 3% for other firms shifting to a 35 hour week (the second *loi* Aubry) (Jugnot, 2002), meaning that productivity gains, wage moderation and cuts in social contributions were able to offset cost increases for businesses. This result is consistent with survey studies in which firms consider that 6% of employment was generated by the 35 hours week legislation (Bunel *et al.*, 2002).
- Empirical studies all agree on the fact that the legislation was differently appraised among firms. While large firms say they are happy with the changes in working practices, notably on the flexibility on week-to-week or month-to-month allocation of working time, that they were able to negotiate in exchange for an early move to the 35 hours week, smaller firms were not able to undertake re-organisation and thus were more affected by the increase in labour cost (and even if the 35 hour week was introduced for SMEs later on).
- The overall impact on employment of the 35 hour week legislation is difficult to estimate. Assuming that the legislation did not affect production negatively in the short term, and adding the different firm-level job creations, Jugnot (2002) finds that the overall impact is a 310 000 net creation of jobs in the short term. This estimate also assumes that firms that maintained the 39 hour work week were not affected by the legislation, which may not be true since the SMIC grew more rapidly in the first few years of implementation of the legislation. This was because the SMIC is linked to the average *hourly* wage, which accelerated as working time reductions concerned more and more workers, because *monthly* wages were very often kept constant when working time was reduced.
- The long-term impact of the 35 hours legislation is also very uncertain (Pisani-Ferry, 2003). No studies have taken into account the cost of financing the 35 hours week legislation that, in the end, is very likely to require higher taxes. This cost includes the cuts in social contributions that were made during the introduction of the legislation and also those that came after 2002, during the period of harmonisation of the different minimum wages, to offset the increase in wages that this harmonisation caused. Furthermore, while the increased flexibility has further increased growth of labour productivity per hour, this was not enough to prevent a clear deceleration of growth of productivity per employee (Figure 3.13). This is likely to have reduced growth of potential output and (material) living standards. Finally, no studies have taken into account the fact that reducing working hours may have led to an underutilisation of the capital stock that could also have a negative impact on growth.

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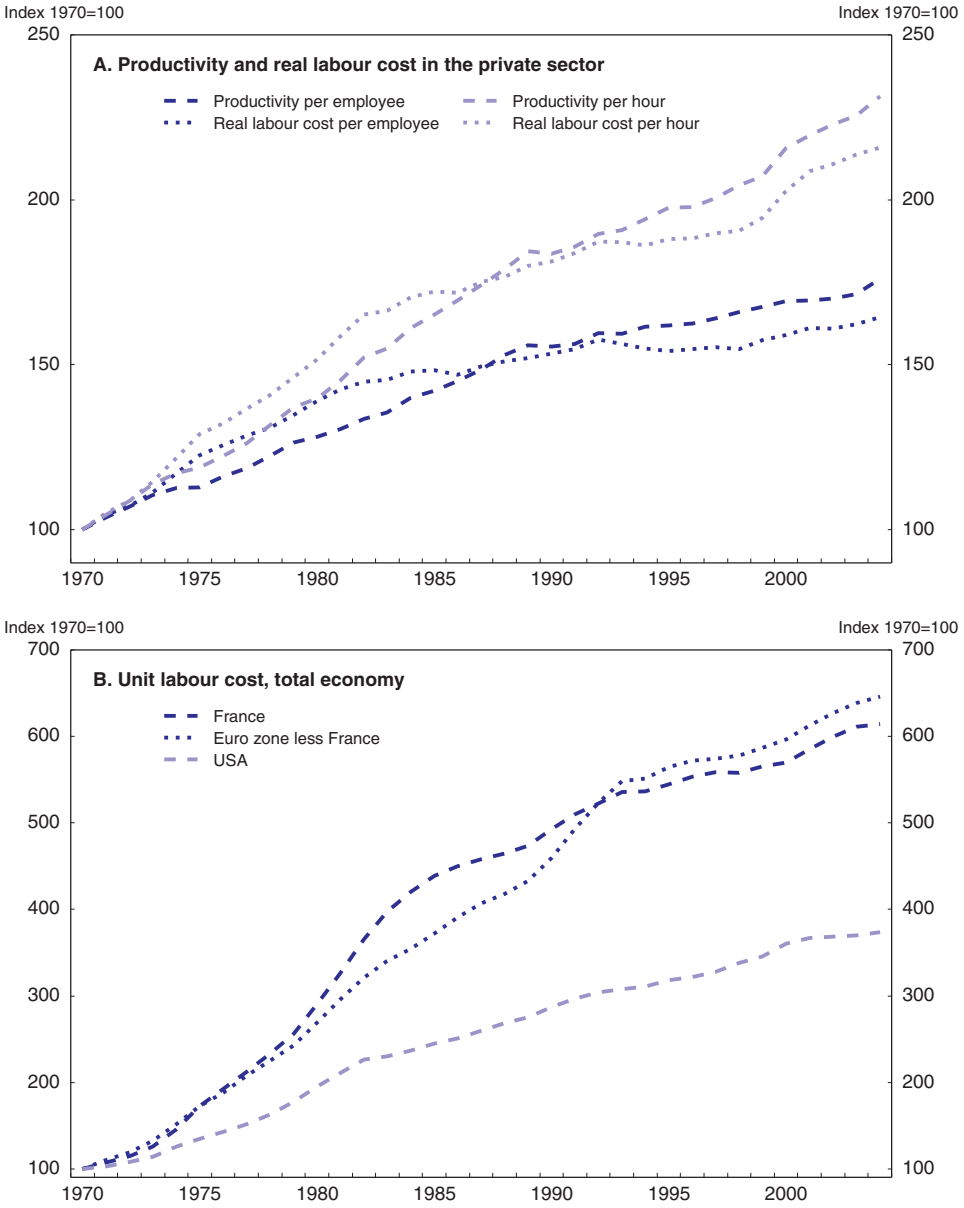
Figure 3.13. **Productivity and labour cost developments**



Source: INSEE, Comptes trimestriels and OECD, *Economic Outlook* No. 77.

Wage setting is constrained for wages close to the minimum wage but is relatively decentralized otherwise

The minimum wage has increased as a consequence of the 35 hours legislation

The Labour Code specifies a legal minimum wage. Before 2002, there was a single minimum wage, the SMIC, indexed to inflation and half the increase in the purchasing power of the average wage, with occasional discretionary increases. When the legal workweek was reduced from 39 hours to 35 in any particular firm, the monthly earnings of minimum wage earners were maintained at the level applying in the year in which the firm

reduced hours. As a result, the 35 hours workweek legislation created several hourly minimum wages, according to when a worker's employer signed a 35 hours workweek agreement (OECD, 2003). By July 2005, these different minimum wages will be harmonised and there will be a single SMIC, as before. During the period of harmonisation (from July 2002 to July 2005), the average real minimum wage (excluding employer contributions) will have increased by 6.5%. The way the SMIC will evolve after 2005 has not yet been decided, while this year the SMIC is to revert to its usual method of indexation.

Wage formation appears to occur mainly at firm level

Collective bargaining takes place at various levels in France: national, inter-professional, sector, section of industry and firm level. Five unions are officially considered to be representative of employees, having an "indisputable presumption" that automatically involves them in bargaining (CFDT, CFTC, CFE-CGC, CGT, CGT-FO).[7] Other unions have to prove their representative character at the level of the bargaining unit. There are no constraints on the side of employers. Bargaining covers various issues apart from wages. Sector-level collective agreements are very often extended to all employees of the sector. The OECD index of legal extension of sector-level collective agreements is thus high for France (Brandt *et al.*, 2005).

In practice, however, enterprise level bargaining has developed strongly and this tendency has been reinforced with the 35 hour week legislation; the relevance of having branch level bargaining is regularly questioned and the number of branch agreements is decreasing. One of the reasons is that, because of the large discretionary increases in the minimum wage, minima negotiated at the industry level have been overtaken by the SMIC. In 2003, the sector level minimum was below the national one in 78% of the branches. Furthermore, almost all agreements on wages and part of the extensions in fact aim to raise the sector-level minimum wage up to the level of the national one. As a result, intermediate level negotiation on wages does not seem to play an important role in wage setting. There are reasons for expecting that this move towards more decentralised wage bargaining should reduce structural unemployment (OECD, 2004a).

Nominal wages show downward flexibility and average wage growth has been moderate

Empirical studies also conclude that wages seem to be mainly determined at firm-level. Theoretically, firm-level wage setting should allow firms to adjust workers' wages to changes in their productivity. As it is difficult to measure individual productivity, studies have first measured flexibility by the existence of negative adjustments of wages and the absence of a spike at zero in the frequency distribution of wage changes. According to this definition, employee-level data display wage flexibility (Goux, 1997, Biscourp and Fourcade, 2003). Each year, one quarter of workers who do not change employer experience a decrease in their annual wage and 20% of them a decrease in their hourly wage. This result has been shown on different sets of data from 1991 to 2000. Since the Labour Code tends to protect workers from decreases in their basic wages (Bonnechère, 2002), adjustments come from decreases in variable pay schemes, as offsets to improvements of working conditions or changes of jobs inside the firm. When flexibility is measured as the reaction of wages to positive and negative shocks to firm activity, flexibility appears to be less "perfect" (Biscourp and Fourcarde, 2003). Wages seem to react more to a positive shock than

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to a negative one. Part of the explanation must be that the minimum wage constrains downwards adjustments.

Slowdown of average real wage growth, that can be observed at the aggregate level from 1985, with wages accounting for two thirds of the reduction in labour cost growth between the periods 1970-85 and 1986-2003 (Table 3.4).

Real wage growth has remained moderate in recent years, without falling below that of productivity, and as a result, wages have on the whole kept stable as a percentage of corporate value added since the mid-1990s.

Labour taxes have been cut for low-paid workers but labour cost at the level of the SMIC remains high

Taxes on labour are high in France compared to other countries (see chapitre 2). Beginning in 1993, the government introduced rebates on social security contributions for wages close to the minimum wage. Both the range of wages concerned by these rebates and the size of the rebates has increased with time. Between 1998 and 2002, the rebates were larger for firms that decided to reduce hours worked. Since 2003, the aim has been to offset the increase in the minimum wage generated by the harmonisation of the various minimum wages created by the 35 hours week legislation. With those rebates, taxes on labour now represent 46% of the net wage for a worker paid at the SMIC rising to 80% of the net wage for a worker on 1.6 times the minimum wage (Figure 3.14). As a result of these measures the tax wedge has strongly decreased for low paid workers but has remained unchanged for an average productivity worker. Although it is difficult to estimate precisely the number of jobs created by such a policy, employment of low skilled workers has strongly improved and total net job creation has been strong since the introduction of these policies. Econometric estimates of the effect of the reduction of social contribution rates between 1993 and 1996 vary from 100 000 to 500 000 jobs.

Despite these tax reductions, unemployment of low-skilled workers is still high while at the same time, the trend towards reducing the labour cost of low-paid workers has been halted since the late 1990s. Given the limited fiscal room for manoeuvre, the only way to further lower low-skilled unemployment is likely to be to reduce the SMIC relative to the average wage, *e.g.,* by blocking any real increase in the SMIC in the coming years.

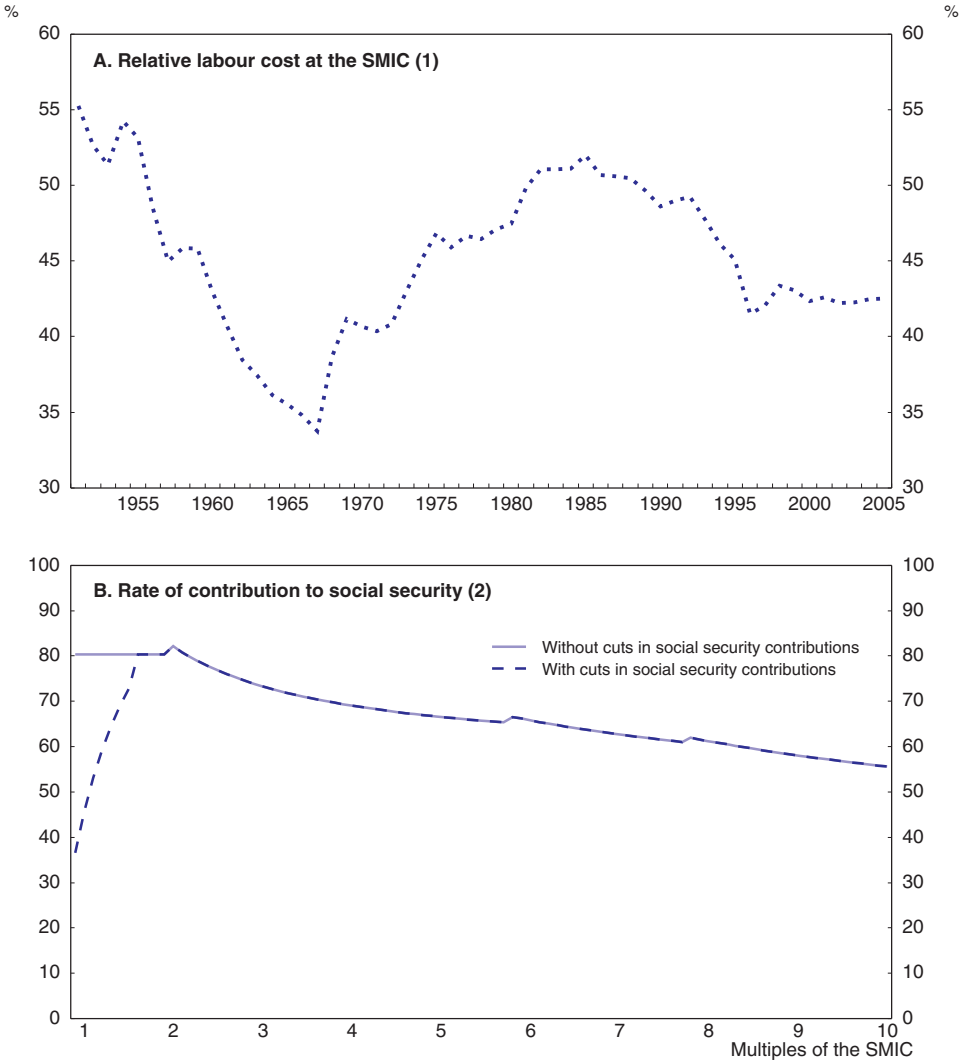
Up to now, the framework for social security contribution rebates has been unstable. The wage threshold under which social contributions are reduced has changed almost

Table 3.4 **Decomposition of real labour cost growth between real wage and social security contributions**

Average annual growth

		Contribution of real wage growth (%)	Contribution of social contributions growth (%)	Total real labour cost growth (%)	Share of real wage growth in total growth (%)
1970-1985		2.1	1.0	3.1	68
1986-2003		0.8	0.3	1.1	76
	1986-1992	1.2	0.5	1.6	72
	1993-1997	0.4	0.1	0.5	80
	1998-2003	0.8	0.2	1.0	83
[1986-2003]-[1970-1985]		–1.3	–0.7	–2.0	63

Figure 3.14. **Relative labour cost and social security contributions at the level of minimum wage**



1. Labour cost including social charges of hiring a worker at the SMIC as a per cent of the same costs for an APW.
2. Total social charges (employer and employee) as a percentage of the net monthly wage expressed as a multiple of the monthly SMIC at 35 hours per week.

Source: OECD calculations using INSEE data.

every year, starting from 1.2 times the SMIC in 1993 to 1.6 as from 2005. The uncertainty both on the durability of the rebates and on their shape may have limited the positive impact on labour demand. Hence, the government should pursue more stable policy to ensure that firms' anticipations expectations can be more firmly anchored. Moreover, when changes in the range of wages concerned by these policies are made, the trade-off between targeting the policy on specific groups and increasing steeply marginal tax rates over the range where the rebates are phased out should carefully be taken into account.

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The unemployment benefit system has been reformed but inactivity traps remain

While reducing labour cost further for low paid workers and easing EPL would stimulate labour demand, efforts are also needed on the side of labour supply in particular by ensuring that public employment services provide efficient counselling and monitoring of the unemployed and that inappropriate incentives to withdraw from the labour market are removed.

The organisation of the public employment service is complex

With more than 3% of GDP, France is one of the OECD countries with the highest spending on labour market programmes. Of these spending, 1.25% is used for active labour market policies. However, despite this spending, long-term unemployment remains high. Many reports have questioned the efficiency of the French public employment service.

In France, various authorities are responsible for the evaluation, placement and payment of job seekers as has been highlighted in the Marimbert report (2004). The three main authorities are:

- The Assedic (federated in the UNEDIC, *Union nationale pour l'emploi dans l'industrie et le commerce*) handle the administration of the unemployment insurance and, since 1996 of the registration of any unemployed (before, it was the *Agence nationale pour l'emploi*, ANPE). They are private associations administered by social partners from both the employer and employee sides.
- The ANPE, a public institution, until recently had a legal monopoly on job placement for the unemployed (the Act of 18 January 2005 abolished this monopoly). It is made up of several hundred agencies and secondary offices whose purpose is to gather job offers and requests and to provide advice to the unemployed in their job search. However, since 1986, other institutions, if recognised by the ANPE, may also offer placement services.
- The regional and departmental *Directions du travail, de l'emploi et de la formation professionnelle* are part of the Ministry of Labour and are in part responsible for the implementation of government labour market policies.

In addition to those three main actors, a national agency (the *Association nationale pour la formation professionnelle des adultes* (AFPA)) is in charge of adult training and another (the *Agence pour l'emploi des cadres* (APEC)) looks at matching job supply and demand for white collar workers. Moreover, the ANPE out-sources part of its activity to various external operators (Balmary *et al.*, 2004). As a consequence of this complex organisation, job seekers may have to deal with several organisations. For instance, the financing of some special programmes for unemployed may depend on all three main authorities.

This complexity generates several problems:

- Resources are wasted by the multiplication of administrative structures.
- Job seekers can be discouraged by the complexity of the system.
- The monitoring of job seekers is inadequate (Marimbert, 2004, see below).
- Evaluation of the performance of authorities in charge of the placement is made difficult because of the number of entities in charge of it. As a result, evaluation is very rare (Balmary report, 2004).

Improvements have been made with the institution of the *plan d'aide au retour à l'emploi* (PARE, plan to help to bring people back to work) in 2001 that bring the ANPE and the Assedic closer. Despite this improvement, the system is still handicapped by the multiplicity of agencies. A further bringing together of those various services is still intended as part of the Social Cohesion Plan (Box 3.3). The proposition to create "houses for employment", places where all the agencies of labour market policy should be gathered, goes in the right direction. However, given the limited number of those houses scheduled, it seems unlikely that they could cover all the unemployed. The important point is that those houses be made one-stop-shops for the unemployed, gathering all the actors of labour market policy. If they only add more complexity to the system, the objective will be completely missed. The question is whether effective one stop shop services are possible without merging the institutions.

The fact that a large number of various programmes give young and low-skilled workers the opportunity to find a job by reducing the labour cost paid by firms (OECD, 2003) is another source of complexity and inefficiency of the Public Employment Service (SPE). The government plan to consolidate a number of these specific programmes to improve their performance is to be welcomed. The fact that more resources will be allocated to specific programmes in the public sector is more questionable since experience with this kind of jobs has been unconvincing in terms of providing people with lasting employment.

Job seekers follow-up has increased but control is low

The unemployment benefit system was reformed in 2002. Conditions that need to be fulfilled to receive unemployment benefit, which depend on the length of affiliation and on the recipient's age, are now more restrictive but still relatively generous. The maximum

Box 3.3. **The Social Cohesion plan**

The social cohesion plan is an ambitious plan that aims at reducing both structural unemployment and social exclusion. Provisions concern employment, housing and providing equal opportunities. The main measures regarding employment are the following.

Public employment services

- Opening of placement services to competition, which in fact already exists in practice, with a number of obligations (exemption from payment for the unemployed, free access, non discrimination). In return, the ANPE is allowed to make firms pay for its services.
- Bringing together the State, the ANPE and the UNEDIC through a 3 year convention. In 2006, each unemployed should have a single file to which every organization should have access.
- Creation of 300 "houses for employment" with a mission to provide access to the services of all of the agencies involved.
- Improvement of the services offered to the unemployed will go with an obligation of active job search and an increase in monitoring. The unemployed have to participate in any action proposed by an agency. Unemployment benefits are to be suppressed if the unemployed refuse job offers that match their skills are appropriately paid and that do not lead to mobility inconsistent with their family situation. The possibility of reducing the unemployment benefit is introduced.

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Box 3.3. **The Social Cohesion plan** *(cont.)*

Active labour market policies

Specific programmes have been simplified leading to a halving of the numbers of programmes (from 14 to 7). Programmes depend on the type of employer (public or private) and on the person (recipient of a minimum subsistence income or not):

- Recipient of a minimum subsistence income – employer in the private sector: minimum activity income (RMA). This is a part time job contract for six months (which can be renewed up to 36 months), during which training is provided. It is paid the hourly minimum wage but firms only pay the difference between the part-time minimum wage and the RMI.
- Recipient of a minimum subsistence income – employer in the public sector: "contrat d'avenir". Same as the RMA except that jobs are in the public sector, on two-year contracts. In addition, employers are required to take support measures.
- Other people facing substantial difficulties to find jobs (older workers, long term unemployed, disabled) – employer in the private sector: "Contrat Initiative Emploi" (CIE). Temporary or permanent contract with State help and with the obligation for the firm to provide training.
- Other people facing difficulties to find jobs (older workers, long term unemployed, disabled) – employer in the public sector: "Contrat d'Accompagnement dans l'Emploi" (CAE). Same as the CIE except that jobs are in the public sector.

Some of the other specific programmes (mainly those for the youth) remain:

- "Contrat de professionnalisation": on the job training programmes that should lead skill acquisition. Workers can be paid below the minimum wage if they are less than 26 years old. Firms benefit from cuts in social security contribution.
- "Contrat jeune en enterprise": part-time or full-time permanent contract in the private sector for low skilled youth between 16 and 25 years old. Firms benefit from cuts in social security contribution.
- "Contrat emplois jeunes": programmes for youth in the public sector. New entries were stopped in 2004. These programmes should gradually disappear.

Other

Help to firm creation by unemployed.

Cost of the employment part of the plan

Million of euro constant, 2004 prices

	2005	2006	2007	2008	2009
Houses for employment	120	405	530	375	300
Action for youth	235	452	525	513	468
Programmes for long-term unemployed	423	1 199	1 365	1 365	1 200
Development of on-the-job training programmes (apprenticeship)	169	297	402	512	629
Firm creation by unemployed	114	154	193	220	247
Total	1 061	2 507	3 015	2 985	2 844
Total, % GDP	0.1	0.2	0.2	0.2	0.2

Source: Social Cohesion Plan.

duration has fallen from 60 months to 42 months. The minimum length of affiliation that gives access to the benefit has increased from 4 months to 6 months. Unemployed people who no longer receive unemployment benefit can receive another benefit for two years; this benefit, the ASS, (allocation de solidarité spécifique), is designed to support the long term unemployed and is lower than unemployment insurance benefits.

Policy on monitoring unemployed job seekers was reformed in July 2001. On the one hand, unemployment benefits no longer decreased with duration of unemployment. On the other hand, individual follow-up has been made systematic, and more services are offered to the unemployed. The aim is to encourage active job search and increase its efficiency. A personalised action plan (part of the PARE) is now offered to any newly unemployed person, in the form of a contract between the unemployed and the unemployment institutions (Assedic and the ANPE). The former commit themselves to look for a job while institutions pay them the unemployment benefit and help them to find a job. An interview is now compulsory for any newly-registered unemployed person and recurs at least every six months. The purpose of the interview is to decide the degree of assistance and the type of services that the unemployed need.

At the moment, little is known about the impact of the personalised action plan (PAP). One study by Crépon *et al.* (2004) has attempted to evaluate its impact. The authors focus on the impact of specific support that concerns only 17% of the unemployed. This reinforced support is made up of four types of help: basic skill assessment, project assessment which is a deeper skill assessment, job search support and project support for people who have to change profession. The author's results depend strongly on the statistical technique used but are consistent with theoretical results. With a statistical correction for unobserved heterogeneity, only job-search support significantly reduces unemployment duration and increases the exit rate from unemployment to employment. Project assessment, job-search support and project support are found to decrease the exit rate from employment to unemployment. Hence, supporting the unemployed improves the quality of jobs found by the unemployed and thus decreases the probability of their becoming unemployed once again. Since the PAP is available only to a minority of the unemployed its macroeconomic impact would, however, appear to be small.

Although the monitoring of job search *per se* has not been shown to decrease unemployment duration (Fougère, 2000), an increase in the monitoring conditional on more specific follow-up and help to the unemployed is likely to have a more positive effect on job search. The report of the *Cour des Comptes* (2003) has pointed to the lack of monitoring of job seekers as being also the result of the complexity of the system. In contrast with other countries, the monitoring of job searchers was not increased on the introduction of the PAP. The proposal in the "social cohesion plan" (see Box 3.3) to increase job search obligations and the introduction of the possibility of reducing the unemployment benefit[8] may address these deficiencies to some extent and could thus increase exit from unemployment into jobs when these obligations are not fulfilled.

Inactivity traps remain for certain groups

Relatively generous transfers including a relatively high replacement rate for the unemployed, a long duration for receiving unemployment benefits, a minimum subsistence revenue (RMI), family policies, and various local transfers (Anne and l'Horty,

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Box 3.4. **Policies that discourage female labour force participation**

Some aspects of the family policy and of the tax system discourage female labour market participation (see Artus and Cette, 2004).

Family policies

Family policies are very complex in France but some of the measures have been unified very recently. Main measures are:

- The PAJE (prestation d'accueil du jeune enfant) that aims at giving women "free choice of activity". The *Paje* lasts 6 months for a woman with one child and three years for a woman with more than one child. So as to be eligible, a woman must have worked two years during the last two years if she has one child, two years during the last four years if she has two children and 2 years during the last 5 years if she has more than 2 children. The amount is € 512 per month if the mother does not work, € 390 if she works on a part-time job lower than 50% and € 295 for a part time job between 50% and 80%.
- Assistance to lone parents (API). This allowance depends on the income of the person. Its maximum is € 542 for a person with one child and € 722 for a person with more than two children. This allowance lasts 3 years. If the person takes a job, part of the allowance can continue to be received.

Tax system

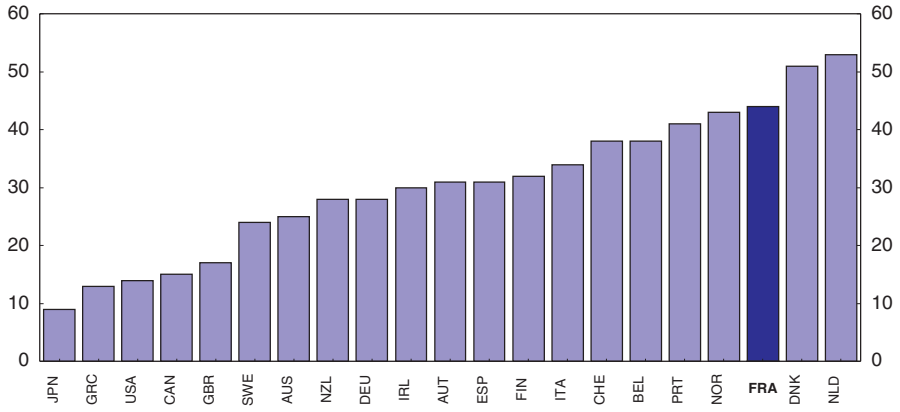
In a family, income tax depends on the income of the household, not of the individual. As a result, for a couple whose incomes are very different, the marginal tax rate for the person with the lowest income can be much higher than for a single person on the same income. Taking into account the cost of child minding, hardship of work or loss of leisure, the reservation wage can be higher than the gain of taking a job.

2002) may discourage job search (Figure 3.15, OECD, 2004b). So as to provide incentives to take a job, the government introduced the possibility of taking a job while at the same time keeping the rights to some social benefits. Housing allowances and local residence taxes were reformed to alleviate aspects that could discourage people from returning to work. The government also introduced an in-work benefit in 2001 (the employment premium, in the form of a tax credit), which has been increased and extended in order to make part-time jobs pay. Finally, housing allowances and the local residence tax (taxe d'habitation) have been reformed to reduce disincentives to taking jobs.

Despite the introduction of these in-work benefits and other changes, there is still little incentive for one person of a household with two children to take a job paid at the minimum wage (Anne and l'Horty, 2002), because marginal effective tax rates are high. Certain family policies also give low paid women with children an incentive to withdraw from the labour market. When the allowance of "free choice of activity" (Box 3.4) was broadened to women with two children in 1994, the employment rate of women with two children (with one child younger than 3 years old) immediately fell by 11.2 percentage points (Piketty, 1998). The marginal effective tax rate is also high for part-time work at the minimum wage, even for a single person.

Where the unemployment rate is high and the minimum wage is binding, so that employment may depend more on labour demand than on labour supply, the gains from

Figure 3.15. **The OECD summary measure of benefit entitlements, 2001**



Note: The OECD summary measure is defined as the average of the gross unemployment benefit replacement rates for two earnings levels, three family situations and three durations of unemployment. For further details see OECD (1994), The OECD Jobs Study

Source: OECD, 2004, Benefits and Wages: OECD Indicators.

stimulating labour supply are uncertain. However, some analysis shows that part of the unemployment and low activity rate of certain groups, especially women with young children, may be explained by low incentives to take a job (Piketty, 1998; Laroque and Salanié, 2000). Since mainly low-skilled women are concerned, the risk of falling into a long-term inactivity trap is high. It may be that this is necessary if the aims of family policy are to be effectively pursued. It is not clear, however, that these aims have been carefully specified (for example, analysis of the impact of these policies on the children concerned is lacking), or the economic consequences of the policies have been properly assessed and considered.

Older workers are another major group for which the low employment rate is partly explained by low incentives to take a job (Box 3.5). Early retirement programmes have been developed in a context of high unemployment in a largely mistaken attempt to facilitate young workers' entry into the labour market. As a result, the employment rate of older workers plummeted between 1980 and 1985. Most early retirement schemes are being phased out. However, there is evidence that those schemes are effectively being replaced by specific schemes for workers who occupied physically demanding or stressful jobs.

The labour market needs a global reform

To summarise, specific characteristics of the French labour market tends to produce high structural unemployment and is particularly harmful for specific groups of workers.

- The high level of unemployment among prime age workers is the result of strict EPL and the high tax wedge that discourage firms' labour demand and of the poor efficiency of the public service for employment that increases the risk of becoming long-term unemployed.
- Young and low skilled workers are particularly affected by EPL (OECD, 2004a) whose negative impacts on labour demand are reinforced by the relatively high labour cost at the level of the SMIC. These workers would need a very efficient public service for employment, capable of counselling them towards specific programmes that will at the same time improve their skill and provide them with a valuable first job experience.

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- Low skilled women with children also suffer from restrictive EPL and high labour cost at the level of the SMIC. Moreover, incentives to withdraw from the labour market when their children are young are strong, with very negative consequences on their future employability.

Box 3.5. **Policies to improve employment of older workers**

The employment rate of older workers is among the lowest of OECD countries. Part of the explanation of this poor performance comes from the development of early retirement programmes in the 80s that were introduced hoping to reduce unemployment and facilitate restructuring. Although the government has ended most of these policies, problems on the labour market for older workers remain. These issues are discussed in depth in OECD (2005). The main points and main recommendations of this study are the following.

Improving the incentives to continue working

- Early retirement programmes have been tightened since 1990 for programmes provided by the State and since 2000 for programmes provided by the social partners but programmes provided by firms have also emerged and seem to have developed markedly. Remaining fiscal incentives for firms and employees to develop and to accept firms' early retirement programmes should be suppressed. Negotiations between the social partners should take remedial action to alleviate strenuous working conditions, giving no encouragement to early retirement.
- Mutual obligations to job seekers and to the public service for employment should be gradually re-established. Reform the exemption form looking for work that is available almost automatically to unemployed people after the age of 57 and half and to many after the age of 55.
- Adjust the retirement age according to demographic trends. The average effective retirement age should rise gradually in parallel with the increase in contribution periods for a full pension, in line with increased expectancy – when the average effective retirement age is well over 60, the statutory minimum age and the compulsory retirement age should also be raised in line with life expectancy gains.
- Promote possibilities for benefiting from the bonus, the premium for people continuing to work after reaching the full pension entitlement, which is up to now limited to 65 years old.
- Implement good practices with regard to older public sector workers by reconsidering the very early retirement ages that exist for certain categories.

Stimulating labour demand for older workers

- Adding to general EPL, there is an additional penalty for firms dismissing workers older than 50 years (the Delalande contribution). Although the number of cases of exemption has increased, this penalty creates an entry barrier and reduces inter-firm mobility by increasing the cost of older workers. Moreover, there is no empirical evidence that this penalty decreases the number of dismissed older workers. Hence, it should be, either removed or reformed so that it really becomes an experience rating system.
- Age profiles of earnings are very steep in France, which has a negative impact on labour demand for older workers, especially for low productive ones. Collective bargaining should consider linking wage evolution to skills rather than to age.

Box 3.5. **Policies to improve employment of older workers** *(cont.)*

Promoting the employability of older workers

- On the job training opportunities are few in France compared with northern Europe countries. The 2003 inter-professional agreement should be implemented as soon as possible. On the job training at every stage of the career needs to be encouraged.

Helping older worker to find a job and to continue working

- Although specific programmes already exist for more than 50 years old unemployed, employment policies have mainly concentrate on the youth. PES initiatives to help job seekers over 50 back into work should be stopped up.
- Make gradual retirement attractive and accessible to all. Support financially the switch to part-time work, though only for older workers on low income.

- Older workers have also strong incentives to early withdrawal from the labour market. Moreover, EPL is particularly strong for older worker due to an additional penalty for firms dismissing workers older than 50 years (the Delalande contribution), even if the penalty was relaxed in 2003.[9] Research has shown that the penalty has had no positive effect on the employment of older workers (Behaghel *et al.* 2004, Bommier, *et al.* 2003). Hence, it creates an entry barrier and reduces inter-firm mobility by increasing older workers cost, which is already high because wages developments are strongly linked to age. Policies to reduce incentives to early withdrawal need to come along with active labour market policies for the less skilled and with less restrictive EPL to incite firms hiring such workers.

The labour market therefore needs a global reform that should combine easing EPL with reduction in labour cost for the low paid, improvements in the efficiency of the public employment services and suppression of the incentives to withdraw from the labour market. Although the authorities seem to be aware of the need of a global reform, judging by their actions in various fields (relaxation of some aspects of the social modernisation law and of the 35 hours legislation, improvement of job search monitoring), policies seem to continue to concentrate on some aspects of the reform, mainly on ALMP at the moment and less on more fundamental reform that addresses the unintended perverse effects of EPL. Policies also leave aside the problem of inactivity traps caused by an inconsistency of family policies and employment objectives. Finally, policymakers have difficulty in convincing the public that increases in the real level of the minimum wage are more likely to create unemployment than to increase aggregate demand.

Notes

1. Defined as the unemployment rate at which inflation is stable.
2. The differences in hours worked per capita (across countries and over time) can be decomposed into: 1) differences in hours per employee; 2) differences in the employment rate (the ratio of

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employment to working-age population); and 3) differences in demography (the ratio of working-population to total population). Hours worked per employee depend on the incidence of part-time work and on working time for full-time workers.

3. Except for the suppression of the prior administrative authorisation for dismissal for economic reason in 1986.
4. The "35 hours legislation" is generally considered to be the set of the three laws, the loi de Robien, the first and the second loi Aubry.
5. M. Durand and J. Martin, The 35-hour week, Portrait of a French exception, in: OECD Observer No. 244, September 2004.
6. In 2000, monthly earnings were kept constant for 98% of those workers who passed to the 35 hour week. (Pham, 2002).
7. CFDT, confédération française du travail; CFTC, confédération française des travailleurs chrétiens; CFE-CGC, confédération française de l'encadrement – confédération générale des cadres; CGT, confédération générale du travail; CGT-FO confédération générale du travail – force ouvrière.
8. Before that, only a suppression of the benefit was possible. As a result, the sanction was rarely imposed.
9. The firm is exempt from the contribution if the worker in question was over 45 when hired and was hired after May 2003.

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ANNEX 3.A1

Evolution of the employment protection legislation

Despite some exceptions, the rigidity of EPL has gradually increased since 1970:

		Legislation on temporary contract	Legislation on permanent contract
1973	Law		The burden of proof in the case of a dismissal is shared between the employer and the employee.
1975	Law		Introduction of prior administrative authorisation for dismissal for economic reasons.
1982	Ordonance	The permanent contract is legally the reference contract. The use of temporary work is restricted. Introduction of a premium imposed on firms when a fixed term contract expires and is not transformed into a permanent one.	
1986	Law		Reinforcement of the dismissal procedure: increase in the notice period, consultation of enterprise committee (works council), obligation on the employer to have an interview with the employee. Suppression of the prior administrative authorisation for dismissal for economic reasons.
1989	Law		Definition of a strict framework for dismissals for economic reasons. An economic dismissal is a dismissal for a reason which is not inherent to the person but is caused by economic difficulties or technological changes. An economic layoff gives right to have access to a reclassification program, with a priority to be re-hired. Reinforcement of the procedure: Obligation for the employer to inform the enterprise committee about employment developments over the next year.
1990	Law	Statement that temporary contracts should not be used to fill a permanent job linked to permanent activity of the firm and definition of the case in which they can be used. Strict definition of the framework of the contract (duration, payment).	
1991	Law		Framework for the employee to have legal advice.
1992	Jurisprudence		The reason for an economic dismissal can be a reorganisation of the firm. The firm needs to adapt employees to the evolution of their jobs.
1995	Jurisprudence		The notion of an economic dismissal justified by a reorganisation of the firm is abandoned, replaced by the notion of competitiveness safeguard.

		Legislation on temporary contract	Legislation on permanent contract
	Jurisprudence		Obligation in the case of a dismissal of more than 10 workers to put in place a "plan social", that should include precise measures so as to ease the reclassification of workers and avoid the number of dismissed workers.
1997	Jurisprudence		A financial rationalisation of the management does not justify economic dismissal.
1998	Act of 30 December 1998		It is in the power of the judge to assess the seriousness of the reason of the economic layoff.
1999	Jurisprudence		The burden is on the employer to prove that he met his obligation to find another job for the worker.
2000	Jurisprudence		The employer should put in place all the measures, within the means of the firm, in order to maintain the level of employment and to facilitate internal re-assignment.
2002	Law (see below)	Increase in the premium.	Reinforcement of the procedure for economic dismissal. Reinforcement of the measures that should be taken by the employer to avoid dismissals. Narrowing of the reasons that can justify economic dismissal (summary of the jurisprudence).
2003	Jurisprudence	Ease of the use of "common use temporary contract". In case of a dispute about the recourse to "common use temporary contract", the judge should only check that it is common practice not to employ a worker on a permanent contract for that job.	Suspension of some articles of the 2002 Law (see below).

In 2002, the strictness of EPL has been reinforced by the "Loi de modernisation sociale", but part of the provisions has been reformed in 2003 and 2004 and new ones have been introduced by the "Plan de cohesion sociale". Main points introduced since 2002 are the following ones:

Legislation on dismissal (permanent contract)	
Reassignment actions	
Before putting in place a collective dismissal (more than 9 workers dismissed), firms should:	
– have implemented working time reduction;	Suppressed
– have started a "plan de sauvegarde de l'emploi", which consists of efforts to re-assign the worker to another job of the same category or of a lower category (with the agreement of the worker) in the group to which the firms belongs. The employer also has the obligation to do his best to train and to adapt the worker so that he is able to cope with job changes. Offers made to the worker should be written and precise.	Maintained
A dismissed worker has priority to be hired in the firm for a period of 12 months.	Maintained
Firms with more than 1 000 employees have to offer a "re-assignment leave" (congé de reclassement) during which the worker can be re-assigned without any interruption in his contract. It lasts between 4 and 10 months during which a unit must be set up in the firm to take charge of the re-assignment of workers. The employee receives an allowance, which is at least 65% of yearly gross wage (and can not be less than 58% of the SMIC). It is paid half by the firm, half by the state (the *Fonds national pour l'emploi*).	Maintained
Firms with more than 300 employees have to negotiate every three years on the evolution of employment and skills among the firm.	Introduced by the Social Cohesion Plan (SCP)
A "re-assignment leave" is created for any employee in a firm with less than 1 000 employees, managed by the PSE and the houses for employment and financed by the firm, the unemployment insurance system and the State.	Introduced by the SCP
Re-hiring if asked by the judge when the procedure has not been correctly followed can not be required if the firm has closed or if there is no job availability.	Introduced by the SCP

Legislation on dismissal (permanent contract)	
Procedure	
The Law states the number of meetings with the enterprise committee (works council) and the periods between them. The joint production committee has a right to be advised by an expert and to oppose the dismissal plan.	Suppressed
In firms with more than 50 salaries, the procedure includes regular consultation of the enterprise committee.	Maintained
In case of disagreement in the termination of a firm activity that implies the dismissal of hundred workers, a mediator should intervene and make a proposal to both parties.	Suppressed
When a collective dismissal leads to a reduction in activity that, in return, impacts a subcontracting firms, those firms should be informed.	Maintained
In the case of a termination that implies the dismissal of more than a hundred workers, the employer must present the social and territorial consequences of the termination to the Labour Inspectorate (à vérifier).	Suppressed
The procedure for a dismissal for economic reason can be defined by contractual agreements.	Introduced by the SCP
Some delays of the procedure are shortened.	
Definition of a dismissal for economic reason	
When examining the legitimacy of a collective dismissal, the administration can take into account financial position of the group to which the firm belongs.	Maintained
Professional quality can not be a criterion to decide which worker is going to be dismissed.	Suppressed
Legislation on temporary contracts	
Premium that is paid by the firm on expiry of the contract (if the contract is not converted to a permanent one) increased from 6% of gross wage to 10%.	Maintained, but if social partners agree and if the worker is given access to special training, the premium is 6%
An employee can terminate a temporary contract if he has found a permanent one.	Maintained
Firms have to inform employees on a temporary contract about permanent jobs offers.	Maintained

ANNEX 3.A2

Collective bargaining reform – April 2004

Collective bargaining has been reformed in 2004 with two major innovations. First, the principle according to which an agreement can only improve the employees' rights laid down in an agreement of a higher level was relaxed in certain cases, in particular in respect of hours worked. (The hierarchy consists of intersectoral agreements, sector agreements and company level agreements.) Second, it changed the majority principle: it is not sufficient anymore for an agreement to be valid that it has been signed by just one trade union with representative status.

New relationships between norms

The principle of favourability to the employee according to which an agreement can only improve the employees' rights laid down in an agreement of a superior level is modified. A sector-level agreement may deviate from the provisions of an intersectoral agreement unless such derogation is expressly forbidden by that intersectoral agreement. A company-level agreement may, in turn, deviate from all or part of a sector-level agreement, again unless such derogation is expressly forbidden at the higher level. There are also other restrictions on the right for lower-level agreements to depart from higher ones. The favourability principle is retained for minimum wages, job classifications, supplementary social protection measures, and multi-company and cross-sector vocational training funds.

The previous "hierarchy of norms" in terms of collectively agreed provisions remains in force for agreements reached before the new law came into force.

Validity of agreements and majority principle

The legislation introduced a "majority principle" for collective agreements to be regarded as valid. Previously, it was sufficient for an agreement to have been signed by at least one trade union with representative status. The new majority principle will be applied differently depending on the level of negotiations:

- At intersectoral-level, an agreement is valid in the absence of opposition by a numerical majority of trade union organisations with representative status.
- At sector level, two variations of the majority support principle are suggested, and the social partners must choose one of them in a sector-level agreement. The first model that of the intersectoral-level. Under the second model, the agreement must be signed by one or more unions representing the majority of the employees in the relevant sector.

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If there is no agreement stipulating conditions for the validity of sector-level agreements, the opposition of a majority of unions is applicable to the sector.

- At company level, two different variations of the majority principle are available, and the social partners have to choose between them and enshrine this in a sector-level agreement. In the first model, in order to be valid a company-level agreement must be signed by one or more unions that received at least 50% of the votes cast in the first round of the most recent works council or workforce delegate elections. If no union holds this majority, the agreement must be approved by a majority of employees in a vote. In the second variant, an agreement is valid if not opposed by non-signatory unions that received at least 50% of the votes cast in the first round of the most recent works council or workforce delegate elections.

Collective bargaining in SMEs

To facilitate the conclusion of collective agreements in small and medium-sized enterprises (SMEs) with no trade union delegates, the law allows the social partners to reach agreements on methods in each sector that enable firms to conclude agreements with elected staff representatives or with employees designated by a representative union.

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Chapter 4

Product market competition and economic performance

France is catching up with best practice in competition policy reform. However, other policy considerations often hamper the emergence of effective competition. Relatively weak competitive pressures obtain in a number of sectors, particularly in sheltered service industries. Restrictions on competition reduce productivity growth and hinder job creation in regulated sectors. Policy must focus on giving more weight to overall consumer welfare in the face of opposition from relatively small but vocal special interest groups. This chapter discusses reforms that would increase competition by: i) *strengthening institutions and better clarifying their responsibilities with respect to competition enforcement;* ii) *reinforcing the ability of sector regulators to improve non-discriminatory third-party access and other aspects of competition in the network industries* iii) *abolishing overly prescriptive regulation in the retail sector;* iv) *removing unnecessary protection in some professional services.*

French labour productivity levels are among the highest in the OECD. However, the high productivity partly reflects a much lower rate of labour utilisation – especially of low-skilled workers – whereas a number of other OECD countries achieve high aggregate productivity while employing a much larger share of the working age population. Unemployment remains uncomfortably high and much of it is structural. Raising labour utilisation while maintaining high productivity calls for reforms in both the labour and the product markets. The OECD Growth Study and other empirical work have shown that competitive pressures are likely to stimulate productivity growth, particularly through innovative activity. Moreover, product market reform can also directly contribute to employment growth.[1] Thus, more intense product market competition could help in maintaining productivity performance even as higher growth increases the employment rate of low-skilled workers. The same process also helps to sustain the internationally exposed sector. Naturally, sustained growth results from the interaction of a large range of policies. This chapter examines the scope for competition-increasing product market reforms in France, while other policies, notably labour market policies, are analysed in other chapters.[2]

In France, policies to promote competition have started to have an important impact on business conditions, but they have often been implemented later than in other European countries and they have on a number of occasions been subordinated to other policy concerns. Over the past decade product market reform has been extensive but, as broad reforms were also implemented in other countries, French product markets remain relatively regulated, even if the level of regulation has moved closer to the OECD average. In particular, state control over business sector activities is still relatively heavy and barriers to entry are still higher than in best-performing countries (Figure 4.1).

The chapter begins with a short review of the growth performance over the past decade and its possible links to the state of competition. Next, indicators of product market competition are examined to gauge the strength of competitive pressures. This is followed by an assessment of the general framework for applying competition law and its role in promoting competition. Attention is then turned to a number of sectors where regulatory policies inhibiting competition can be expected to have particularly large overall impacts. The chapter concludes with recommendations for further regulatory reforms aimed at increasing competition and estimates of their possible effects on macroeconomic outcomes.

Macroeconomic performance and indicators of competition

Economic performance has been dragged down by protected domestic sectors

The French economy has expanded at around two per cent per annum over the past decade, which is somewhat below the best performers in the EU, who have all implemented wide-ranging reforms to boost product market competition (Table 4.1). During this period, there was strong productivity growth in manufacturing, but nevertheless overall productivity developments were subdued, reflecting particularly weak productivity growth in the service sector. This partly reflects the increased participation of

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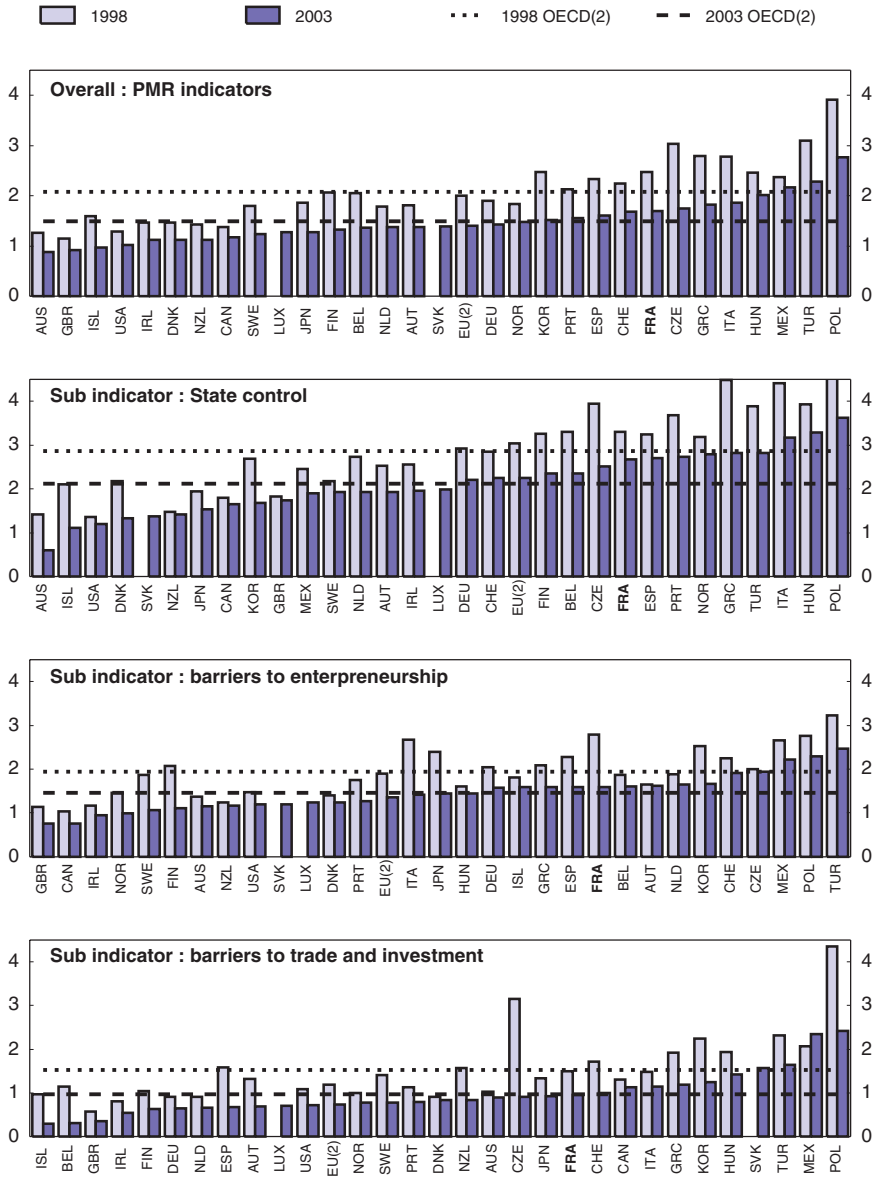
Figure 4.1. **Changes in product market regulation**[1]



1. Sorted by 2003 values. The scale of indicators is 0-6 from least to most restrictive.
2. Simple average.

Source: OECD, PMR indicators.

low-skilled employees. Nevertheless, GDP per hour worked remains high in an international context, although this in part reflects relatively low labour utilisation, which drags down GDP per capita to the EU average.

Exposure to international competition through trade and foreign direct investment has contributed to the good productivity performance in the manufacturing sector. For example, the increasing integration of European markets has contributed to the openness of the economy being roughly in line with the predictions from analyses which takes into account the size of the economy and transportation costs (Engel and Rogers, 2004).[3] Similarly the presence of foreign affiliates in manufacturing tends to be higher than in

Table 4.1. **Output, employment and productivity**

	France	Germany	Italy	United Kingdom	Netherlands	Sweden	United States	Japan	OECD	EU 15
A. Growth decomposition, 1992-2002										
Average GDP growth *of which:*	2.0	1.3	1.6	2.9	2.7	2.5	3.2	1.0	2.6	2.1
Productivity	1.1	1.1	1.3	2.0	0.7	2.5	1.8	1.2	1.1	1.3
Employment *of which:*	0.9	0.2	0.3	0.9	2.0	0.1	1.4	–0.2	1.5	0.8
Unemployment[1]	0.1	–0.2	–0.0	0.6	0.3	0.1	0.2	–0.3	0.0	–1.3
Labour force	0.8	0.4	0.3	0.3	1.6	–0.1	1.2	0.2	1.5	0.7
B. Labour productivity growth, 1992-2002[2]										
Agriculture[3]	3.0	4.8	4.0	1.7	2.0	3.5	1.5	0.4		
Total manufacturing	3.6	2.1	1.6	2.6	2.5	7.0	3.9	3.2		
Food products, beverages[4, 5]	–0.9	1.3	0.8	0.9	3.0	2.6	–1.7	–0.1		
Printing and publishing[5]	1.1	1.4	0.4		3.0	3.3	–1.8	0.1		
Machinery and equipment[5]	7.3	2.1	1.7	4.4	1.9	13.2	11.2	5.6		
Electricity, gas and water	2.1	5.4	5.5	7.6	3.7	1.8	1.2	2.5		
Construction	–1.1	–0.2	–0.1	1.9	–0.9	0.6	–0.2	–2.6		
Total services	0.2	1.0	0.9	2.1	0.5	1.7	1.6	0.9		
Wholesale and retail trade[5]	0.6	–0.8	0.9	2.4	0.8	3.4	3.8	0.7		
Communication[5]	2.7	7.6	3.4	5.1	3.5	3.9	2.3	1.3		
Financial services[6]	–1.0	3.3	2.8	1.3	0.5	4.9	4.1	4.6		
Other services	–0.2	0.2	0.2		–0.2	–2.4	0.0	0.4		
Memorandum items:										
GDP per capita[7]	75.8	71.8	71.1	77.5	80.5	75.7	100.0	74.2	74.6	72.9
GDP per hour worked[7]	103.5	100.9	105.0	79.2	105.8	85.0	100.0	72.4	80.6	91.5
VA per hour in manufacturing[7]	97.3				96.3	86.1	100.0	80.3		

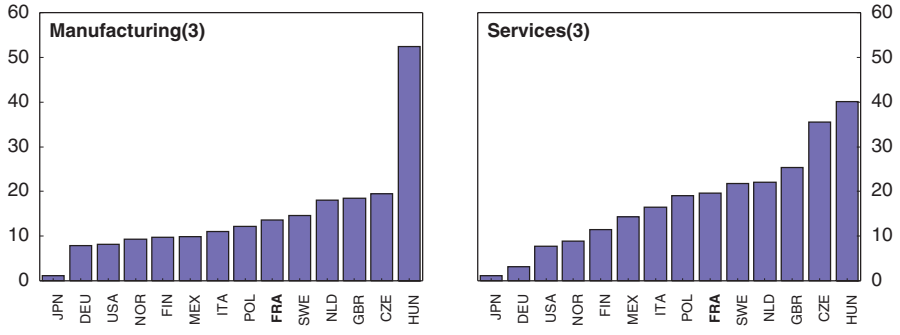
1. A positive sign indicates that unemployment has declined and contributed to boost output growth.
2. Or latest available year.
3. Including hunting and fishing.
4. Including tobacco.
5. 1993-2002 for Sweden.
6. Including non-financial services for the United Kingdom.
7. 2002 levels, PPP-based. United States = 100.

other countries of comparable size (Figure 4.2). Indeed, import barriers are lower than in most other EU countries and there are relatively few direct restrictions on inward FDI. (Figure 4.3). But it is possible that inward FDI may be somewhat hampered by the perception of political influence weighing on certain investment decisions – a perception which is perhaps fuelled by merger control not being the responsibility of the competition authority.[4] The relatively weak performance observed in some domestically oriented industries, like food processing, perhaps reflects weaker competitive pressures in downstream sectors, such as retail distribution (see below). The productivity performance in the service sector does not benefit from international competition to the same degree as in the goods sector because international trade in services is much lower than in manufactured goods and because the presence of foreign affiliates in services tends to be lower than in other countries.

The most significant drag on French productivity growth has come from the non-manufacturing sector (Table 4.1). Services productivity has hardly expanded as the weak performance in retail and, especially, banking and business services has weighed on overall performance. Even in better performing sectors, such as in the electricity and communication sectors, productivity growth has been more subdued than in most other OECD countries. For example, the poor performance in the electricity sector has led to a negative productivity gap *vis-à-vis* the United States of 20 and 13% in generation and distribution, possibly reflecting substantial overcapacity in France (McKinsey & Company, 2002). A common and important element behind the relatively poor performance in the service sectors is the relatively slow implementation of regulatory reform. OECD data suggests that liberalisation of network industries has lagged behind, even with respect to other large continental countries (Figure 4.4). Indeed, in 2004 France had the highest transposition deficit of EU directives, including the postal services and the telecommunications directives (which have just recently been transposed), among the old (15) members of the European Union (European Commission, 2004a).[5] Moreover,

Figure 4.2. **Turnover of foreign affiliates in manufacturing and services,[1] 1990's**

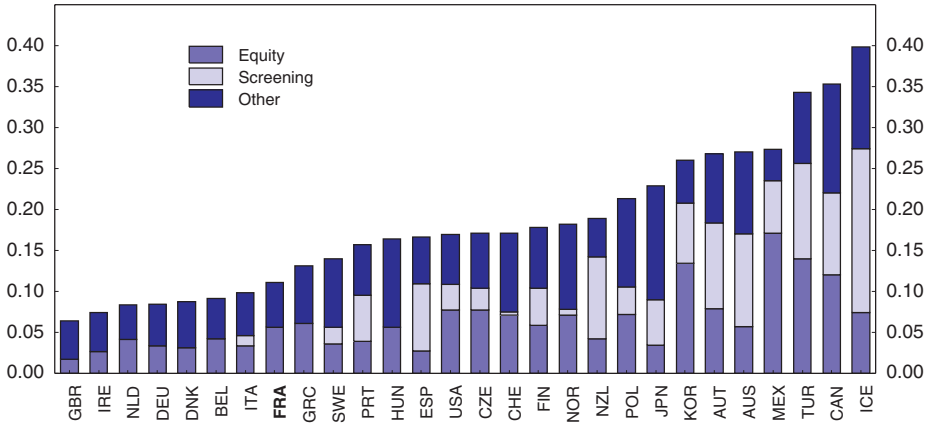
As a per cent of business sector value added[2]



1. Activities of foreign affiliates are classified into industries according to the principal activity of the affiliate. Data are means over available years.
2. Value added is total value added (gross domestic product) in the reporting country.
3. Turnover of foreign affiliates in manufacturing is an aggregate corresponding to Total Manufacturing (ISIC Rev. 3), in services is an aggregate corresponding to Total Services (ISIC Rev. 3).

Source: OECD, WP No. 359, Policies and international integration: Influences on trade and foreign direct investment.

Figure 4.3. **Breakdown of FDI restriction by type, 1998-2000**[1]



1. The indicator ranges from 0 (least restrictive) to 1 (most restrictive). The most recent year for which data are available varies across countries between 1998 and 2000.

Source: UNCTAD and OECD.

competition in retail and business services is impaired by restrictions on entry and business operation and the self-regulation of professional service associations.

Economy-wide productivity growth has also been held back by the disappointingly low rate of diffusion of ICT. While manufacturing productivity may have been sustained by a relatively high share of R&D spending in GDP, overall ICT investment has been below average and the growth contribution of ICT has been relatively weak (Figure 4.5). International evidence shows that ICT investment has generally been higher in countries where the regulatory environment promotes competition.[6] Moreover, an important factor in the diffusion of new technologies is the formation of new SMEs, which is hindered by start-up costs and red-tape (Bassanini *et al.*, 2002). The administrative burden of starting a new company has been reduced since the late 1990s, in particular since the adoption of the measures contained in the 2003 *loi pour l'initiative économique* (loi Dutreil),[7] and remains at the OECD average.

Firm creation may also be discouraged by inappropriate bankruptcy policies. Complicated and drawn out procedures (completion of bankruptcies typically take about 7 years as compared with less than 3 years in most Anglo-Saxon countries) increases the cost (actual and psychological) of bankruptcy, which tend to increase the risk-averseness of entrepreneurs, hampering new entry as well as preventing entrepreneurs' entry into other entrepreneurial activities. This has been linked to the lower turnover of business relative to the population in France as compared with many other countries (Boston Consulting Group, 2002). Recognising the above issues, the government has proposed to ease bankruptcy procedures and reduce the financial risks associated with providing additional credit.[8]

Measuring the strength of competition is not straightforward. Nevertheless, a survey of available indicators may, individually or in combination, convey useful information on the strength of competitive forces in the economy. The evidence emerging from such an exercise confirms that competitive pressures are relatively weak in domestically-oriented and sheltered sectors. *Concentration* is fairly high in a number of service sectors. This is

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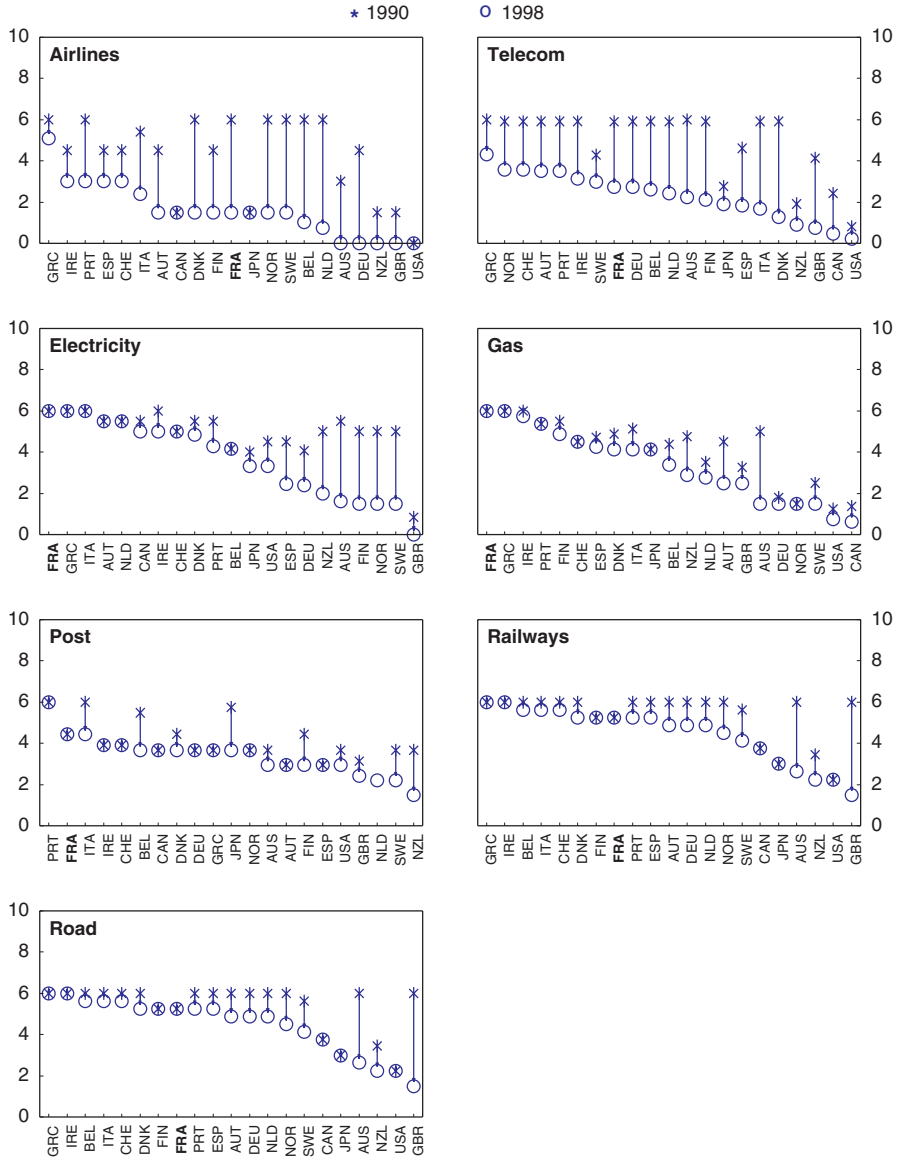
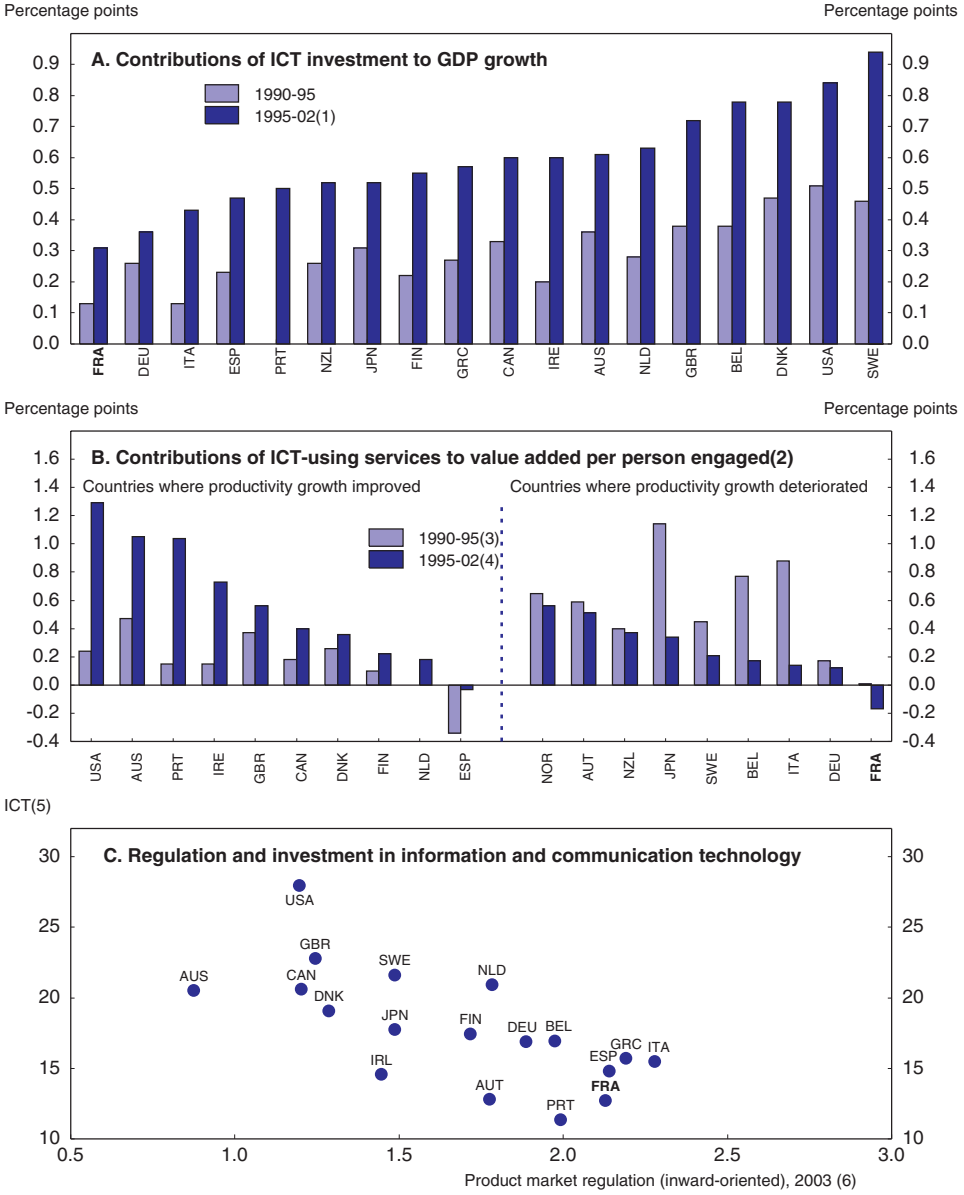
Figure 4.4. **Regulatory reform in non-manufacturing industries, 1990-1998 (from most to least restrictive)**



Source: OECD regulatory database.

particularly the case in the newly liberalised network industries, such as the energy and communications markets, which continue to be dominated by (state-controlled) incumbents. Concentration is also high in inherently competitive industries such as retail distribution, where entry regulation has been a factor in increased concentration over the past decade. In the domestic passenger transport market, concentration in air transport has increased as the government-controlled incumbent has purchased competing domestic rivals. The restrictions on long-distance bus transport have meant that concentration in land passenger transport has not been diluted, as in other countries, through intermodal competition. *Mark-ups* are not particularly high in general (Figure 4.6),

Figure 4.5. **ICT investment, diffusion and contribution to growth**



1. 1995- 02 for Australia, Canada, France, Germany, Japan, New Zealand and the Unites States; 1995-01 for other countries.
2. ICT-using services are defined as the combination of wholesale and retail trade (ISIC 50-52), financial intermediation (ISIC 65-67) and business services (ISIC 71-74).
3. 1991-95 for Germany; 1992-95 for France and Italy; 1993-95 for Korea.
4. 1995-99 for Korea and Portugal; 1995-00 for Ireland, Spain and Switzerland, 1995-01 for Australia, France, Germany, Hungary, Japan, Mexico, Netherlands, New Zealand and Norway.
5. 2001 or the latest available year, as a per cent of total non-residential gross fixed capital formation.
6. Indicator of economy-wide regulation excluding barriers to international trade and investment. The indicator ranges from 0 to 6, from least to most restrictive.

Source: OECD Productivity database, December 2004.

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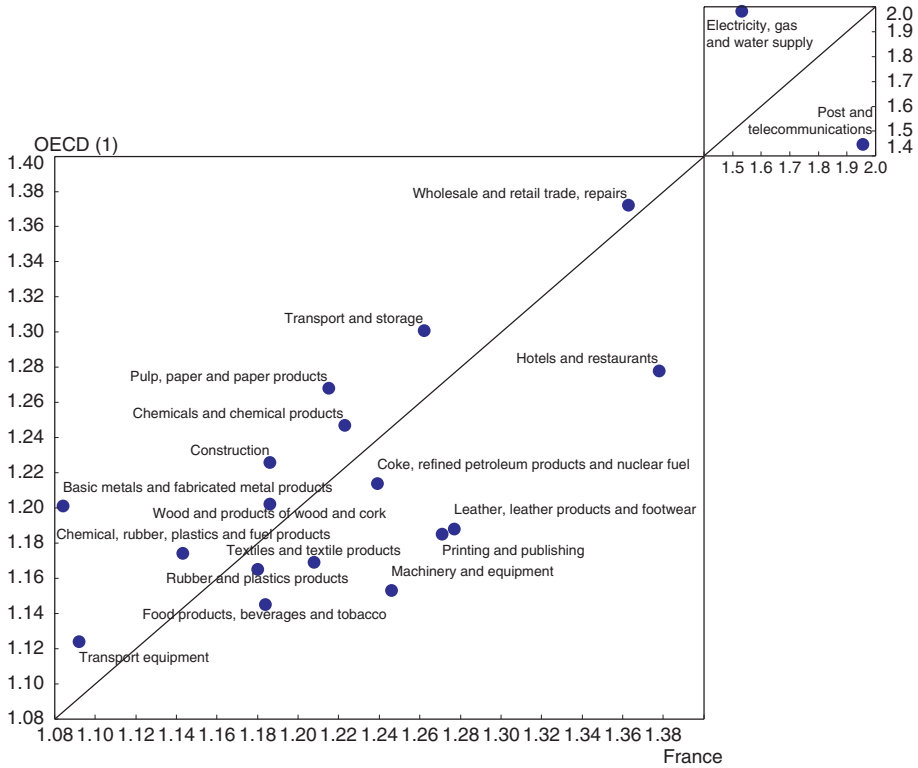
Figure 4.6. **Industry-level mark-ups in France and other OECD countries**



1. Average of Austria, Belgium, Canada, Finland, Germany, Italy, Japan, Netherlands, Norway, United Kingdom and United States.

Source: OECD, STAN database.

although in relatively domestically-oriented sectors such as the food and beverages producing sector they are estimated to be higher than in other countries, possibly helped by regulation that increases the sector's negotiating power *vis-à-vis* the retail sector. Mark-ups are also relatively high in the newly deregulated post and telecommunications sectors, possibly reflecting the market power of the incumbents. The surprisingly low mark-up in utilities may be related to over-investment in electricity generation. Similarly, the *price level* in France corresponds to expectations, although the relative price of services tend to be higher than in other countries when taking into account the income level (OECD, 2005).[9] For instance, in terms of purchasing power parity, prices for communication services are considerably higher than the EU average.

Competition law

France has had a modern competition law for nearly 20 years, but enforcement has become a priority only recently. (Box 4.1). Concerns about buyer power and unfair competition are prominent, focused on prescriptive regulation, particularly in the retail sector (see below). There are two competition law institutions, the independent *Conseil de la concurrence* and the *Direction générale de la concurrence, de la consommation et de la répression des fraudes* (DGCCRF), which is located in the Ministry of Economy, Finance and Industry.[10] The DGCCRF also has principal responsibility for administering rules concerning buyer power and unfair competition. There are shared responsibilities in network industries

Box 4.1. **French competition policy and enforcement**

The competition law was comprehensively codified in the 2001 *nouvelles régulations économiques* (NRE – new economic regulation), which added a pre-merger notification requirement, stronger sanctions and a provision for leniency. Many of these latest measures follow procedural developments and requirements from EU law and enforcement practice. With its 1986 *Ordonnance*, France was one of the first in Europe to adapt its national competition law to the EU rules (in contrast to the late implementation of EU directives for opening network sectors to competition). Unlike most other members, though, France has detailed rules about buyer power and unfair competition in its competition statute. Since the 1996 *loi Galland,* the *Conseil de la concurrence* has expanded powers to address abusively low prices, and the 2001 NRE strengthened the sanctions against abuse of economic dependence.

France's two competition law institutions occupy different positions and to some extent represent different approaches to organising the implementation of competition policy. The *Conseil de la concurrence* is a collegial decision-maker with the status of an independent administrative authority and processes that resemble those of a court. Private parties can complain against other firms directly to the *Conseil de la concurrence*, and appeals from its decisions are taken to the Court of Appeal of Paris. The *Conseil de la concurrence* is relatively large, with 17 (mostly part-time) members and a staff of about 120, of whom about 40 are permanent *rapporteurs*. DGCCRF, which is part of the system of public administration subject to the administrative law jurisdiction of the *Conseil d'état*, has a staff of several thousand stationed across the country, most of whom are occupied with other tasks of market oversight and consumer protection. Thus, resources allocated to competition issues are probably adequate, but too much emphasis is placed on issues that do not obviously contribute to general consumer welfare. DGCCRF devotes less than 10% of its resources to competition issues and "restrictive practices" and brings each year thousands of small-scale proceedings to enforce the rules about restrictive practices, compared to at most a few hundred matters about anti-competitive practices. The antitrust cases usually demand more resources and strenuous investigation methods. Still, DGCCRF is also pro-active in tracking down alleged violations whose effects on market competition are more ambiguous, initiating many cases about below-cost pricing because firms are reluctant to complain to the *Conseil de la concurrence* for fear of retaliation – and, perhaps, for fear of futility, as the *Conseil de la concurrence* has been sceptical of such competitor complaints. DGCCRF is paying increasing attention to horizontal cartels, most of the successful cases concerning public procurement contracts. DGCCRF can initiate enforcement proceedings in the courts or at the *Conseil*. Most of the decisions and sanctions handed down by the *Conseil de la concurrence* come in the wake of proceedings initiated by the Ministry following a DGCCRG inquiry.

The Ministry of Economy, Finance and Industry is responsible for decisions about merger control. In addition, any order prohibiting a merger or imposing conditions on it must be issued in conjunction with the minister responsible for the sector concerned after the *Conseil de la concurrence* has given its opinion. The latter has to be consulted in connection with injunctions and bans. The decisions taken are published and the reasons given whenever a breach of competition has been detected. Decisions can be referred to the *Conseil d'État*. The role of the *Conseil de la concurrence* is merely advisory and for most transactions, the opinion of the *Conseil* is not sought. Such systems are often criticised for non-transparency. By not referring a potentially anti-competitive transaction to the *Conseil* for study, a Minister could shield it from scrutiny in order to promote other policy goals.

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Box 4.1. **French competition policy and enforcement** *(cont.)*

Provisions for sanctions are adequate and flexible. A multifactor balance means sanctions may not be strictly proportional to gain or harm. Sanctions are generally well below the cap, which for firms is 10% of total turnover. But they are often a substantial fraction, or even a multiple, of the firms' turnover in the market actually affected. Criminal penalties are also possible, even involving some prison sentences. Judged by recent developments, there may be increased willingness to apply criminal penalties as exemplary punishment for particularly egregious violations. The *Conseil* has asked prosecutors to consider criminal charges against the ring-leader of a cartel that tried to fix the price of bread; such measures are also taken by the DGCCRF. Processes for applying the law are improving, but more could be done. Enforcement against clandestine cartels should be helped by the recent authorisation of a leniency programme. Delays in the process of reaching a full decision at the *Conseil* have improved as the number of pending cases has declined. Nevertheless, cases filed at the end of 2003 could expect to reach final decision in about 26 months, down from a previous average time of three years or more. Advisory opinions and decisions about interim relief are much quicker, averaging about 3 months. An accelerated process for *de minimis* cases was put in place in March 2004, so it is too early to evaluate how well it is actually working. Private lawsuits are a potentially important supplement to public enforcement, as public action against construction bid rigging has been followed by private damages claims for hundreds of millions of euros.

There are no significant sectoral exemptions from the general competition law. In principle, competition law applies to public-service and government-related entities, but applying competition policy in the context of infrastructure public services can involve subtle distinctions concerning the jurisdictions of the private law institutions and the administrative law that governs public entities. The public service functions themselves are also subject to a form of competition policy oversight, but this is applied by the *Conseil d'état*.* These jurisdictional distinctions complicate processes, but they have not yet produced substantive conflicts, which potentially could adversely affect competition. The *Conseil de la concurrence* consults regularly with the sectoral regulators for energy and telecoms, whose jurisdictional and administrative positions are similar, and the *Conseil d'état* has consulted with the *Conseil de la concurrence* on occasions when its administrative law cases required application of concepts that have developed under the general competition law.

* The *Conseil d'état*, the supreme administrative court, has a two-fold role, of advising the government and of acting as the ultimate judicial authority in the administrative jurisdiction responsible for the performance of public service functions and those implying a public power prerogative. In these functions, it is increasingly involved in competition issues as network sectors are being liberalised. Its primary judicial roles involving competition policy issues are deciding appeals of ministerial decisions about mergers and of some decisions of sector regulators, such as those imposing fines.

between the *Conseil* and sector regulators. Merger control rests with the Ministry of Economy, Finance and Industry, possibly encouraging the perception that merger decisions involve considerations other than competition policy.

In merger control and in the operation of competition enforcement policy, there is room for greater transparency. *For merger control, France would do well to follow the example of most other OECD countries, which have given responsibility for control of implementation of merger policy to the competition authorities rather than to the government.* If policy factors other than effects on competition are to be considered, those should be defined separately and subject to a different process (if those issues are not also included in the competition body's

jurisdiction). This approach is increasingly being adopted in countries whose merger control system had resembled that of France. France splits competition enforcement activity between two institutions, the *Conseil de la concurrence* and the DGCCRF (a directorate of the French Ministry for the Economy, Finance and Industry); unusually, the latter combines competition enforcement with other kinds of market regulation and surveillance. The framework of competition law needs to be reinforced, either by fully transferring competition enforcement, and the necessary resources, to the Conseil de la concurrence, or by more clearly separating the responsibilities and resources attaching to the other market surveillance activities within the Finance Ministry.

Public ownership

The government has divested shareholdings equivalent to some 2% of GDP since 1998, of which more than 1% since 2002, through its ongoing privatisation programme. Nevertheless, public ownership remains relatively high (see Figure 1.7).[11] Publicly–controlled firms are particularly active in network industries – such as energy, post and telecommunications, and transport. In these industries, incumbents are vertically-integrated companies that hold dominant positions and operate in both natural monopoly and (downstream or upstream) competitive markets. The well-known regulatory issue of securing non-discriminatory third party access for new competitors to the networks is complicated by public ownership, because ensuring a level playing field is made more difficult by the possibility of "softening" the budget constraints of public enterprises. This may involve special fiscal arrangements (as was unveiled by the proceedings initiated by the EC in connection with tax relief which, in its opinion, had been granted to EDF in 1997) and/or explicit and implicit financial guarantees on the companies' liabilities (including those related to special retirement schemes for their employees). Related to this issue is the granting of state aid, which distorts competition *vis-à-vis* private companies, by for example, allowing financially distressed publicly-controlled firms to retain all their assets (as recently in telecommunications). In this context, there is a heightened risk of cross-subsidisation of competitive activities from monopolistic market segments aimed at putting competitors at a disadvantage. Recent examples of such strategic behaviour include for example France Telecom's repeated setting of abusively high ADSL wholesale fees. Moreover, while the competition law applies to publicly-owned companies, the deterrence effect of sanctions may be less effective for public companies since the fines are, ultimately, paid by the public purse.

As pointed out by international experience in the area of structural separation of network industries, it is unlikely that the mere accounting separation, which currently prevails in many French incumbent public enterprises, can provide an effective safeguard against anti-competitive practices. This is mainly because the incumbent has an information advantage *vis-à-vis* the regulator and because of the judgemental nature of accounting for common costs. More formal – legal or ownership – separation would reduce incentives to use soft budget constraints to drive competitors out of business while at the same time facilitating the tasks of regulators and competition law enforcement agencies.

Further privatisation of companies operating in competitive markets would, therefore, provide the best way to level the playing field in network industries, eventually leading to an increase in consumer welfare through lower prices and greater choice. Recognising this, the government has recently taken steps to change the status of public enterprises to limited companies (as for example with EDF and GDF in mid-2004), subjecting them to

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private company law and accounting rules (so called corporatisation) as well as opening up for injection of new capital.[12] While this move is in the right direction, it could have undesirable effects if it is not followed by rapid privatisation, because the new status now allows public enterprises to enter markets that are outside their major line of business. Such entry typically takes place through mergers and acquisitions, which are not always subject to an evaluation of competition effects, raising concerns such as harmful cross-subsidisation between competitive and non-competitive markets and consolidation of dominant positions. Indeed, as recognised in a recent parliamentarian report on the management of state-owned companies, in the past public enterprises have shown a tendency to expand through mergers and acquisitions, somewhat independent of considerations related to efficiency and profit maximisation.[13] These investments have sometimes led to substantial losses, such as the write-off of France Telecom's German UMTS license and EDF's investments in the Argentine energy sectors. Such market expansion strategies have sometimes been linked to the corporate governance problems of publicly-controlled companies. As a rule, when public enterprises with a public service obligation embark on a strategy of expansion, they may also engage in anti-competitive behaviour (Sappington and Sidak, 2003). Thus, unless associated synergy effects can be demonstrated to be large and positive, such expansion should only be allowed once the involved markets have been opened successfully to competition.

To address some of these problems, a State Ownership Agency (*Agence des participations de l'État*, APE) was established in 2003, which exercises voting rights in general meetings. However, the government's shareholder rights are still mostly exercised by the relevant line ministries. Securing uniform corporate governance standards across state-owned companies requires that all such responsibilities are transferred to APE (OECD, 2003). However, only further privatisation (where the state at least gives up its controlling interest) accompanied by regulatory reforms might provide a definitive solution to the competition problems associated with publicly-controlled companies.[14]

One of the goals of maintaining public control in network industries has been to secure the universal provision of high quality public services at reasonable and geographically uniform prices. With the liberalisation of network industries and the application of EC law, the French notion of "mission de service public" will have to be adapted to an environment in which many companies could in principle provide such services. W ith the increase in the number of providers, the dispersion of prices may increase.[15] This is already the case in water services, where the outsourcing of provision by local authorities to private companies has led to geographically dispersed prices.[16] Moreover, new ways of financing the cost of universal service obligations (USO) must be found to ensure that the provision of these is competitively neutral. This process has started. For example, in the electricity (and telecommunications) sector(s), a public service charge is added to prices. The associated revenue is paid into a central fund to finance the cost of universal services. The provider of the latter continues to be the incumbent, but could in principle be any operator (for example, in telecommunications a bidding process will be established to the providers of various USO). Although similar compensation systems have been established in other countries[17] a less distorting form of financing would be a fiscal transfer from the government, as the universal service charge reduces relative price differentials. In any case, the key to secure a level playing field in USO provision among several competitors is that the associated payment for providing universal services equals the difference between the cost of the USO and its associated

benefits, such as brand recognition or the sale of other services over the same network (for example taking into account that French postal offices provide postal services as well as a number of banking services). Competitive tendering for the provision of USOs (as is suggested by new EU directives), would make the assessment of cost and benefits easier and more market based.

Sector analysis

Regulatory policies for private service sectors vary in scope. Some sectors, such as retail distribution and professional services are inherently competitive. However, the intensity of competition is affected by regulations – such as those concerning the relationship between producers and large retailers – or entry requirements in the self-regulation by professional associations. Network industries, on the other hand, are characterised by "natural monopoly" segments, where competition is difficult (or even impossible) to introduce. In such cases, the regulatory framework should be directed to securing non-discriminatory third party access to the networks and opening potentially competitive segments to competition. The gains from successful regulation in these areas have been shown in other countries to be potentially very large. In cases where concerns about supply reliability and insufficient network capacity have been raised, closer inspection has related such problems to the design of the implemented reforms and not to deregulation *per se*.

Professional services

Self-regulation (or similar rules embodied in legal statutes) in professional services is relatively common in OECD countries. Proponents contend that by alleviating information asymmetries, this self-regulation protects consumers and secures high quality services. But this self-regulation may also restrict competition unnecessarily. In France, there are access restrictions, with training requirements which are comparatively strict for certain professions such as certified accountants, lawyers, notaries and architects, and especially demanding for the first three (Paterson *et al*, 2003). In addition, lawyers and notaries are also subject to strict regulation of conduct. (Figure 4.7). These restrictions have led to a fairly low supply of such services relative to the population. The fact that the restraints limit supply is revealed by the sharp increase in the number of lawyers in the 1990s after the mutual recognition of qualifications in the EU (Gromek-Broc, 2002).

Part of the strict access regulation is related to some of these professions having a semi-public status as they perform official services for the state, such as notaries' conveyance and tax collection activities – services that in other countries are provided by lawyers or by the parties in the transaction. Indeed, some professions have legal limits, such as the number of lawyers authorised to appear at the Supreme Court and at some of the lower courts. Some of the professions that undertake official services are also engaged in supplementary activities, with for example notaries having the right to perform as real estate agents. However, notaries are only allowed to be remunerated for such additional services if the transaction is registered in their office, and advertising for such services is not allowed. The participation of notaries in the real estate market has seemingly not prevented competition problems from arising in a market that is characterised by relatively low barriers of entry, but which nevertheless has uniform charges that are higher than in other countries (Catte *et al*, 2004).[18] The *Conseil de la concurrence* has addressed some of the competition problems in these sectors with, for example, the prohibition of fee scales by

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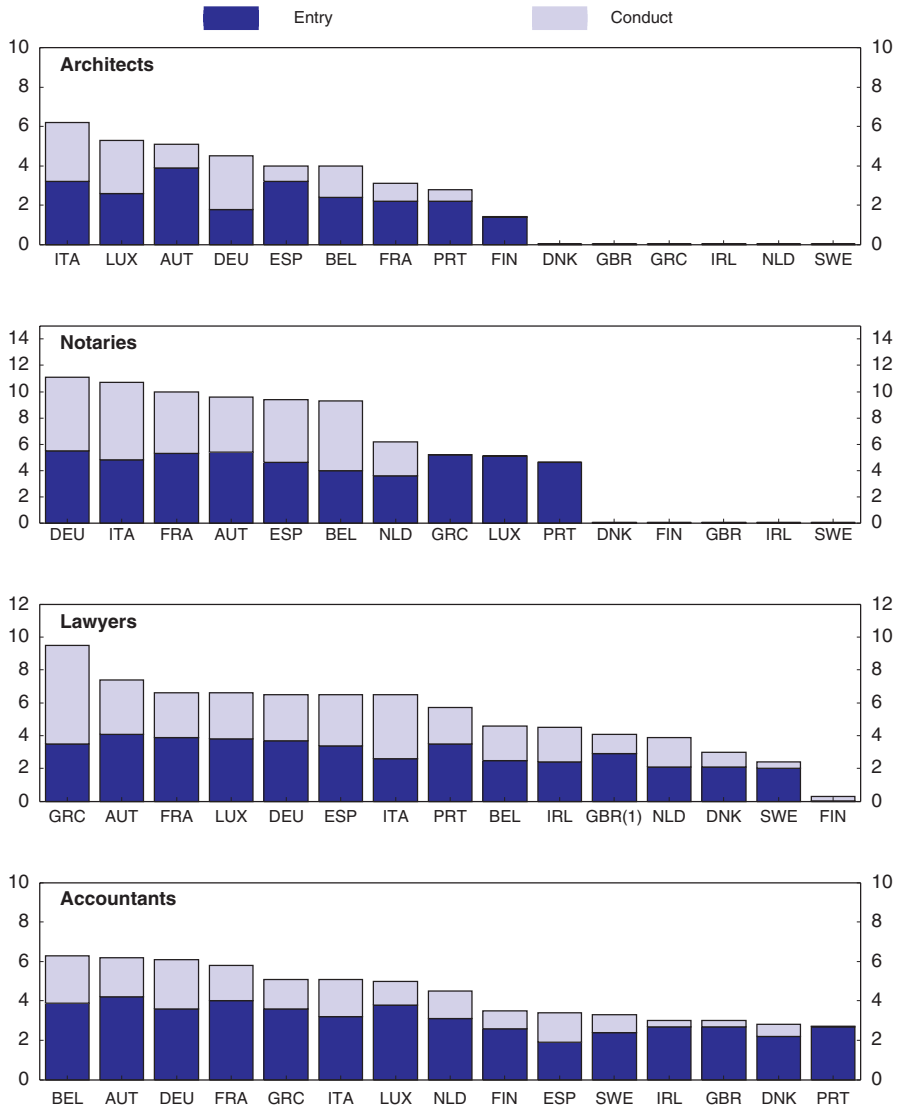
Figure 4.7. **Regulation of professional services in the EU**

Indices



1. Referring to legal system in England and Wales.

Source: Institute for Advanced Studies, Economic impact of regulation in the field of liberal professions in different member States.

the French Architects' Association (European Commission, 2004b). To sum up, there appears to be considerable scope for reducing the restrictiveness of regulation within professional services. Indeed, an expert report proposed recently to facilitate access in professional services (Cahuc and Kramarz, 2004). Competition can be further enhanced by allowing other bodies to execute official services that are currently reserved to particular professions as well as removing restrictions on the performance of market activities.

Retail distribution

Since the 1960s, the French retail sector has, as in other countries, been transformed with the growing market shares of larger out-of-town retailers (Cliquet, 2000). However, this development was seen as a threat to small retailers, leading to the introduction of commercial zoning regulations aimed at large retail outlets in 1973, which was further strengthened in 1996. This led to a merger-induced increase in concentration in both the food and the non-food segments that is higher than in most other larger European countries (Corstjens *et al.*, 1995) (Box 4.2). Thus, entry restrictions have tended to reduce competitive pressures between large retailers and protect them from entry of innovative retailers. While concentration in retailing can benefit consumers through increased economies of scale and scope, some authors have pointed to possible adverse effects on product variety and differentiation of retail outlets, especially in the presence of barriers to new entrants (Inderst and Schaffer, 2004; Corstejens *et al.,* 1995). However, over the past decade there has been another structural change of the retail market as "hard discounters" (vertically integrated chains of relatively small outlets specialised in offering a limited number of mostly own-label goods) in food retailing gained a market share of about 13½ per cent in early 2005, and as specialised stores (often referred to as category killers) in mostly suburban shopping centres gained market shares from department and other larger stores in city centres as well as from hypermarkets (Allain and Chambolle, 2003; Cliquet, 2000; Castets, 2004).[19]

The combination of increasing concentration and increasing market shares raised fears of large retailers exploiting their market power. This led to very prescriptive regulations concerning the producer-retailer negotiation process and the strict enforcement of the ban against pricing below cost (*loi Galland* of 1996).[20] The combined effect of entry restrictions and the *loi Galland* has been to increase the relative bargaining power of large-scale producers and retailers to the detriment of small producers and consumers. The regulations also have a number of negative consequences on industry outcomes and on consumer welfare.

The first consequence is to further weaken incentives for price competition among retailers. According to the new rules, the starting point for the commercial negotiations with retailers is the price list of the producers, which the law prescribes to be "non-discriminatory" *vis-à-vis* retailers: producers have to offer similar wholesale prices to all the retailers they deal with. The invoice price paid by retailers to producers also constitutes the lower bound for retail prices, as the *loi Galland* defines cost as the per unit invoice price. Given the high degree of transparency of the price lists, the strict enforcement of the ban against below-cost pricing enables retailers to gauge the invoice price paid by competitors, leading to a reduction in the scope for price competition as any additional price reduction obtained by one retailer will be passed on to competing retailers.[21] The second consequence is to weaken incentives for retailers to negotiate lower wholesale prices with producers and bolster their profits through higher listing fees (Box 4.3).[22, 23] A further problem is that tacit collusion among producers has been facilitated as diverging prices became easier to observe (Allain and Chambolle, 2004).[24] The effect of invoice prices setting the lower bounds for retail prices is that producers get a large degree of control over the retail price of their product in the same manner as if they were pursuing (the strictly illegal) retail price maintenance. This power is reinforced by their ability to take under-pricing retailers to the competition authority.[25] By the same token, producers that tacitly collude over prices are able to detect possible deviations of other producers from the tacit

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Box 4.2. **Regulation affecting the distribution sector in France**

Commercial zoning regulation was introduced in 1973 (*Loi Royer*). The creation or extension of any new large retail establishment requires the approval of a regional zoning board, composed of nine store owners (of which seven must be self-employed), two consumer representatives, and nine regionally elected politicians. The regulation used to apply to all stores larger than 1 500 m^2, except in cities with less than 40 000 inhabitants where the limit was 1 000 m^2 (Bertrand and Kramarz, 2002). However, these limits were restricted to an internationally low threshold of 300 m^2 in general in the 1996 *loi Raffarin*, though very large outlets (+6 000 m^2) became subject to special investigations. The same law also changed the composition of the boards which are now made up of 3 elected representatives, the presidents of the chambers of commerce and trades and a representative of the consumer associations. The boards have been rather restrictive, only approving about 40% of the applications submitted between 1974 and 1998. Following the setting of the 300m^2 threshold and the change in the boards' composition, the approval rate increased to 80% over the period 1997-2005. Even so, during the second half of the 1990s, only 13 new hypermarkets were opened and the number of approved supermarkets declined substantially, effectively protecting this segment against entry of innovative competitors (McKinsey Global Institute, 2002). The board decisions can be appealed to the Minister in charge of retail and crafts, who will be advised by a national zoning commission. Contrary to many other European countries, there are generally no restrictions on shop opening hours, except on Sundays, which require special permits (Allain and Chambolle, 2003). However, the effective barrier on maintaining services around the clock comes from labour market regulation.

The *loi Galland* of 1996 introduced a strict rule against pricing "below cost", which is narrowly defined as the invoice price, and is enforced by criminal penalties. The rule is moderated by regulations that permit such sales when they are confined to particular dates. Thus all outlets schedule their promotions for the same time, which tends to prevent one from gaining a competitive advantage over others. The rule and its prescription of the key reference level of "cost" have led to controversies, particularly concerning price setting. Distributors' imposition of so-called *marges arrières*, or off-invoice charges ostensibly to cover marketing services, shifts costs back to suppliers. Suppliers complain that major distributors use such opaque and questionable devices to force wholesale prices down, while some distributors complain that the rule's rigidity prevents them from passing on savings by reducing retail prices. There is an exemption from the rule as food retail shops smaller than 300 m^2 and non-food shops smaller than 1000 m^2 may sell at below costs if this is to align prices with neighbouring competitors. Such regulation confuses purchasing power with the size of stores as for example "hard discounters" may combine purchasing power and relatively small outlets. Moreover, regulation to secure "fair" competition includes provisions that producers are required to present price lists for their products in a non-discriminatory manner, meaning that all clients must be offered identical terms for similar services, including unit price and any volume discounts. Other regulations to secure "fair" competition include a prohibition of "abusively" low prices (which includes the sale of own-label goods at below cost). To further the negotiation process, a commission for commercial practices has been created to supervise the commercial relations between producers and retailers. In 2003, a Ministry circular specified that price reductions accorded to a retailer and equivalent to a similar reduction in the "*marge arrière*" should not be considered as a discriminatory practice.

Box 4.2. **Regulation affecting the distribution sector in France** *(cont.)*

For cultural reasons, a number of restrictions are placed on advertising. These are now being relaxed. The ban on using television commercials for newspapers/magazines was removed in early 2004. At the same time, large retailers were allowed to utilise local, cable and satellite TV for televised commercials and this permission will be extended to national TV chains by 2007, making nation-wide image advertising part of the retailers' competitive strategies. However, even by then retailers will be prevented from using televised commercials for promotional campaign for special offers except if they include similar campaigns in other EU members. The remaining restrictions (besides those imposed for health and public order reasons) are bans on television advertising for movies and books – though in the latter case commercials over cable and satellite TV (comprising about 10% of the market) are allowed – leading the European Commission to ask for a formal repeal of such restrictions (European Commission, 2004e).

agreement. As a result, efficiency gains and economies of scale effects are not passed on to consumers in the form of lower consumer prices, but tend to be shared between producers and retailers through the listing fees.

Large retailers have had relatively limited success in countering the increasing power of producers to maintain retail prices by developing their own brands (so-called own-label products produced either in-house or sub-contracted), which account for only about one fifth of sales (in 2000) as compared with twice that share in the United Kingdom (Allain and Chambolle, 2003). Contributing to the more limited success of own-label brands in France are the continuing restrictions on large retailers' use of televised advertising, despite

Box 4.3. **Negotiations in the retail sector and the role of listing fees**

Negotiations between producers and retailers include elements such as size and quality of shelf space and other services delivered. These elements are typically purchased through an annual listing fee ("marge arrière") from producers to retailers and as such are not included in the invoice price. Thus, the prohibition against pricing below costs creates incentives to accept similar wholesale prices as the competitors and to bolster profits through higher listing fees. The size of the latter will tend to reflect the relative bargaining positions of competing retailers *vis-à-vis* producers. Indeed, over time, the margin between retail and invoice prices has decreased as retailers' profits have been moved to listing fees, with their share of (increasing) total margins having increased to nearly 90% on average.

Retailers may bolster their profits two ways. The listing fee ("*marge arrière*") is made up of the sums that suppliers pay retailers for services linked to the resale of goods (*e.g.,* promotional schemes) and by conditional discounts. It has two components, namely discounts for commercial services (such as quality of shelf space) and conditional volume discounts, both typically paid annually. Negotiations over these elements are typically concluded at the same time as the contract, but they do not appear on the invoice. The difference between the invoice price and the final retail price ("marge avant") consists of unconditional volume discounts and the retailer's margin.

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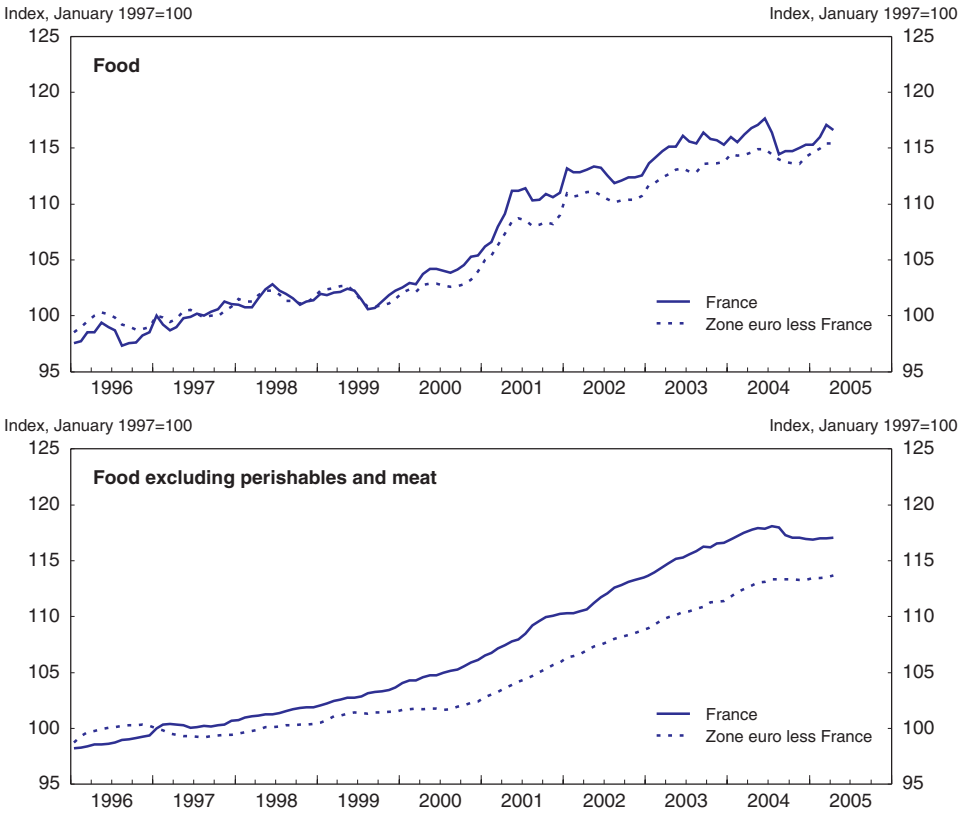
recent measures to ease such restrictions (see Box 4.2), as own-brand labels rely on such advertising to bring across the complicated high-quality-low-price message of own-labels when they are competing with established brands within the same shop. Only hard discounters in the food segment and category killers in the non-food segment have had some success in using own-label products (Séguin, 2001). By concentrating on relatively limited product ranges to penetrate the French market and compete on prices, their market share in food retailing reached 13%.[26]

Against this background, it is perhaps not surprising that regulation in retail has led to cost-push type inflation in the order of an additional 0.1–0.2 percentage point to consumer price inflation per year (Canivet *et al.*, 2004), with for example the prices of branded goods increasing by some 3% in 2003 as compared with ½ per cent for own-label products (Allain and Chambolle, 2004). Moreover, since the end of the 1990s the increase in French food prices (excluding perishables and meat) has been almost twice the pace observed in the EU area. In addition, pre-VAT price for branded goods from supermarkets have increased faster than in other EU countries over the past three years, leaving them comparatively high (European Commission, 2004d). (Figure 4.8). In this context, the Minister of the Economy sponsored in mid-2004 an agreement between retailers and suppliers to lower prices by showing a larger share of the listing fees on the invoice, thus passing on price cuts to consumers.[27] It is true that an incitement for both retailers and producers to enter an agreement was the loss of market shares to "hard discounters". However, while this

Figure 4.8. **French and EU food prices**

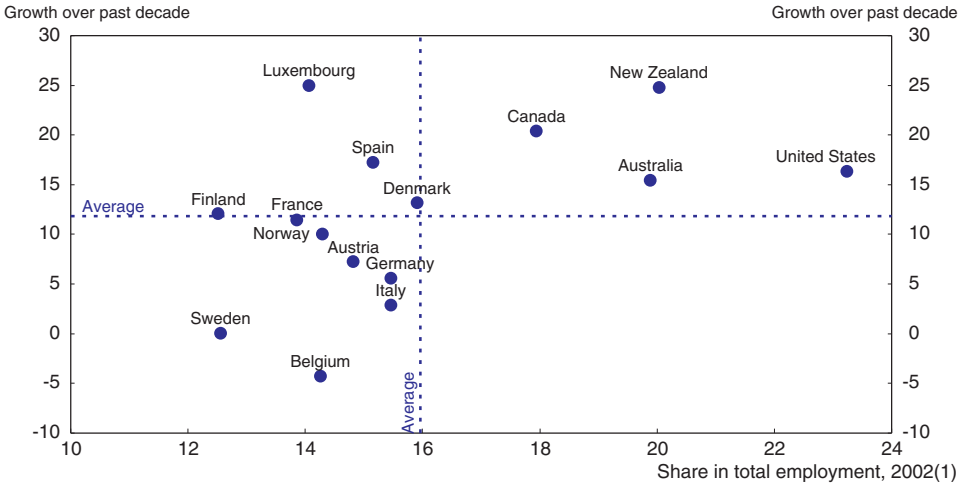


Source: Eurostat.

agreement did result in a price fall in the short run,[28] a durable solution should rely on more structural measures to level the playing field to broaden the scope for competition. For instance, according to some estimates abolishing the *loi Galland* could reduce prices of consumer goods by as much as 5%, boosting consumers' purchasing power by around 3% (Camdessus, 2004). A further negative welfare effect is below average employment, where the entry restrictions on large outlets are estimated to have reduced employment by some 1 300 jobs per year (Bertrand and Kramarz, 2002). Even though employment growth in the sector has been average over the past decade, the employment share remained relatively low [29] (Figure 4.9). The latter may also be explained by a rigid labour market entailing lower service levels (shorter opening hours and less assistance at the counter) and fewer part-time employees than, for instance, in the United States (Jany-Catrice and Baret, 2001).[30]

Recognising the shortcomings of the current system and in order to find a more lasting solution, a government-sponsored commission (the "Canivet" Commission) proposed in October 2004 to reform the existing regulation more structurally by integrating the listing fees in the invoice while retaining the ban against selling below cost. In April 2005, the government put before Parliament a bill which would appreciably alter the definition of selling below cost, but would continue to ban it. The likely effect of this legislation will be to reduce prices but not to eliminate the problems arising from the ban, even if the possibility of bigger price differences, which is incorporated in the bill, is a step in the right direction. The commercial code already contains a prohibition against abuse of market dominance, so that insofar as the regulation is aimed at repressing such behaviour, the general competition law should suffice. Predatory pricing is generally prohibited in OECD countries, but few countries try to enforce a strict ban on below-cost pricing as such, because in a number of circumstances such strategies are neither predatory nor do they reduce consumer welfare.[31] In addition, it is difficult to correctly assert what constitutes pricing below cost. Thus, consumer welfare could be expanded by relying on a general prohibition of predatory pricing and use this general principle when investigating individual cases of below-cost and abusive pricing. Additional steps to increase

Figure 4.9. **Employment share and employment growth in retail sector**



1. 2001 for Australia and the United States.

Source: OCDE STAN database.

competitive pressures in the distribution market would involve relaxing restrictions on large outlets to allow entry of new and innovative competitors, aligning televised advertising rules on those of other countries, easing the regulation on sales and abolishing remaining regulated monopolies in the distribution of tobacco and newspapers and magazines.

Network industries

French network industries have typically been organised as publicly owned monopolies with a strong emphasis on public service aspects. This approach has been successful in providing France with modern high technology networks that deliver high quality services at prices to the consumer that are generally on a par with the European average. However, the associated historical costs have been considerable and have at times led to a degree of excess investment in capacity and infrastructure. Furthermore, it is not certain that quality and the general provision are superior to what can be observed in other countries with competitive markets. International experience shows that successful liberalisation of network industries improves efficiency and often lowers prices. In France, the opening up of network industries has tended to be in response to EU directives and has been more gradual than in most other countries. Presently, France is implementing remaining EC directives, pushing ahead with liberalisation of network industries, creating an opportunity to make this part of a coherent structural reform strategy to bolster growth.[32] The main challenge in this area is that following the formal opening of the network industries, few sectors put in place market structures that sufficiently support competition. Thus, the promotion of effective competition in the network industries requires effective *ex ante* regulation and policies aimed at increasing competitive pressures through the creation of more pro-competitive market structures.

Electricity

After having trailed the liberalisation process in other European electricity markets, France is now moving forward according to the EC timetable (Desama, 2004). Since mid-2004 there has been a free choice of suppliers for all business customers and full market opening will be implemented by 2007, when households will become eligible for free supplier choice. However, formal opening will not suffice to achieve competitive markets for all customer classes due to the lack of market structures to support competition. The government-owned incumbent is effectively a vertically-integrated company with a dominant market position and a substantial degree of over-capacity in generation (Box 4.4). Over the past decade, average reserve capacity in French generation has been slightly less than 50% and during the highest peak load demand registered (during the winter of 2003) reserve capacity remained at around 30% (Figure 4.10). This level of excess capacity seems excessive as international standards would point to a requirement of an average of 15-20% when taking into account the reliability of French generation.

Electricity prices in France are below the European average (Figure 4.11). There is free price determination in the liberalised industry segment, while prices in the regulated household segment are subject to political control.[33] Electricity prices benefit from generation technology with low variable costs, reflecting past investments that benefited from subsidies, such as state guarantees. However, the over-capacity in generation indicates that there is probably scope for even lower electricity prices. Moreover, the low

Box 4.4. **The French electricity market**

The French electricity market is dominated by EDF (*Électricite de France*). The top three generators account for more than 90% of all electricity generation – a concentration that is higher than in most other European countries. In France only EDF has a market share of more than 5%, whereas in other large European countries there are at least 4 firms (and 8 firms in the United Kingdom) with higher market shares. Three-quarters of supplied electricity comes from nuclear power. The second largest energy source is hydropower with the remainder mostly coming from various fossil fuels and renewable energy. The strategy to rely primarily on nuclear power for electricity generation was developed in the 1960s, but was mainly implemented following the first oil crisis in 1973 (Hadjilambrinos, 2000). As a result French electricity generation is characterised by low variable costs and low emissions.

By some estimates EDF already had sufficient nuclear power generation capacity by 1982, but additional capacity was built in the following decade. By the mid-1990s, the overcapacity in generation translated into a substantial export of electricity and according to some observers at times below-cost prices (Hadjilambrinos, 2000). By 2002, France was – with nearly 15% of generated electricity – the largest exporter of electricity in the EU (accounting for almost half of all electricity exports in 2000, and 22% in 2004), probably held back by insufficient cross-border interconnection capacity (European Commission, 2004).

Despite the recent improvements in market opening, France has not moved as far as other European countries, either in legal terms or *de facto*. In 2002, the extent of the market that was declared open was the lowest in Europe (when five countries already had fully liberalised markets) and the expansion of eligibility to 37% in 2003 did not significantly change that ranking (OECD, 2004b). As from 1 July 2004, this proportion rose to 70%. The liberalized part of the market has seen relatively high activity with about 20% of all eligible customers having changed provider as of April 2004. Nevertheless, structural measures to support competition are less comprehensive than in other countries. The network management of the transmission grid is the responsibility of RTE (*Réseau de transmission d'électricité*), which is owned by EDF but with accounting and management separation. The head of the RTE is nominated by EDF but appointed by the government. The Act of 9 August 2004 imposes a legal separation in line with European directives by making RTE a subsidiary, but this measure does not go as far as in certain other European countries. The management separation of distribution has also been implemented, although this is less strict than the legal separation that is implemented in other EU countries; a legal separation is expected by 2007 at the latest.

The energy regulating authority (*Commission de régulation de l'énergie* – CRE) is responsible for securing non-discriminatory third-party access to the transmission system with powers to order interim protective measures and sanctions. However the authority has no powers concerning operating licenses. CRE proposes tariffs for transmission and distribution network access, which are then forwarded to the Minister of the Economy, Finance and Industry. The Minister may approve or reject them but has no power to change them. Other rates and price ceilings are submitted to CRE.

prices for low consumption households in France, as in other countries with little or no competition in this market segment, is the result of public service obligations, rather than a reflection of the associated costs.[34] Thus, cross-subsidisation is taking place at several

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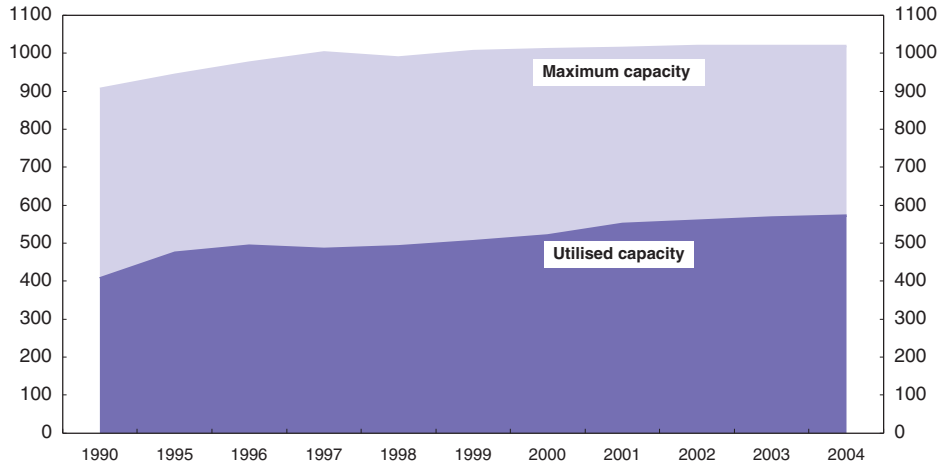
Figure 4.10. **Average capacity utilisation in electricity generation**

In Terawatt hour



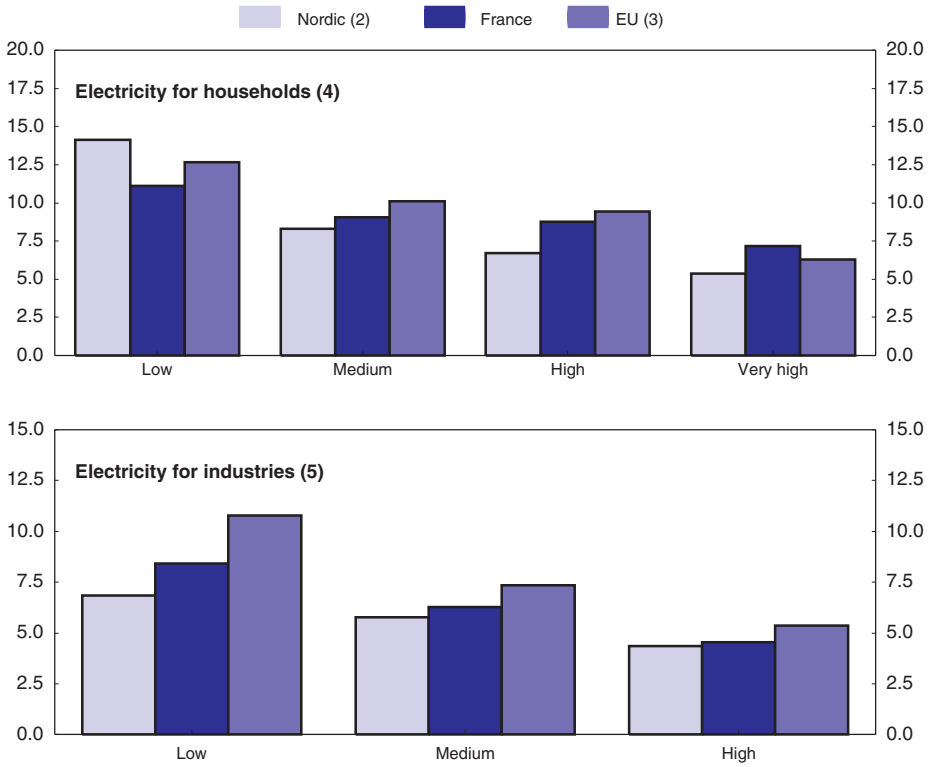
Source: INSEE, Annuaire statistique de la France, 2004, 2002 and ministère de l'Économie et des Finances.

dimensions and the introduction of effective competition will make prices more cost-reflective. For example, the integrated Nordic electricity market is (together with the United Kingdom) the most competitive electricity market in Europe and, as France, relies to a large degree on nuclear and hydropower technologies. A comparison with this market gives an indication of the possible price effects of successful liberalisation, pointing to benefits for industrial users and households with high consumption.

The introduction of effective competition requires measures that counter act the dominant position of EDF – measures that are likely to meet fierce opposition from the unions (Box 4.5). International experience shows that the accounting separation in place is unlikely to secure non-discriminatory third-party access charges as the network owner has an incentive to provide access to its own generation plants first. In addition, with accounting separation alone, non-discriminatory access charges may be difficult to verify (even if access contracts are approved by CRE) because of asymmetric information and the arbitrary allocation of common costs. The form of legal separation chosen by France may not significantly improve the situation. Thus, there is a need for formal separation of the vertically-integrated incumbent, preferably involving a transfer of ownership. The process towards a competitive electricity market could be accelerated by horizontally unbundling generation plants.[35] Such a measure would introduce incentives to better exploit the existing capital stock as exemplified by experiences in Norway, where a similar build-up of excess generation capacity was removed by the introduction of competition between publicly-owned hydro-power plants, which markedly lowered prices and boosted demand (Høj and Wise, 2004b). Moreover, the present limited international interconnection capacity should be expanded to weaken the incumbent's market power (as happened in the Nordic countries), which would also increase supply security during peak load periods (OECD, 2004c and Merlin, 2004). An additional measure to further the latter would be to allow the market to determine which generation technologies to implement and pursue environmental goals through

Figure 4.11. **Pre-tax electricity prices in Europe**[1]

Euros per 100 kWh, 1st July 2004



1. Data are taxes excluded and for some countries it is an average of various local prices.
2. Excluding Denmark.
3. EU 15, excluding Finland and Sweden.
4. The selected standard households are classified "Low" with an annual consumption of 1.2 mWh, "Medium" with 3.5 mWh and "High" with 7.5 mWh and "Very high" with 20 mWh.
5. The selected standard industries are classified "Low" with an annual consumption of 30 mWh, "Medium" with 1.25 gWh and "High" with 24 gWh.

Source: Eurostat, Statistics in focus, Environment and energy.

market-based mechanisms. In addition, privatisation should be pursued and CRE should resume full responsibility for regulated tariff setting in the relevant parts of the wholesale market.

Gas

The gas market shares many of the characteristics of the electricity market. The liberalisation process is following the same pattern and the sector is dominated by the vertically-integrated government-owned incumbent (GDF – *Gaz de France*), which controls 96% of distribution lines, 100% of entry points into the country, 75% of the high-pressure transmission system and 83% of storage. The status of GDF (like EDF) changed from a public enterprise to a limited company in 2004, just as the European gas directive was totally transposed, thus giving firms the freedom to choose their suppliers. In addition, there is a private vertically-integrated local monopoly (owned by Total) in the southwest of France. Pursuant to the Act of 9 August 2004, Gaz de France and Total transformed their transport networks into subsidiaries, creating Gaz de France Réseau Transport and Total

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Box 4.5. **Resistance to liberalisation of the energy markets**

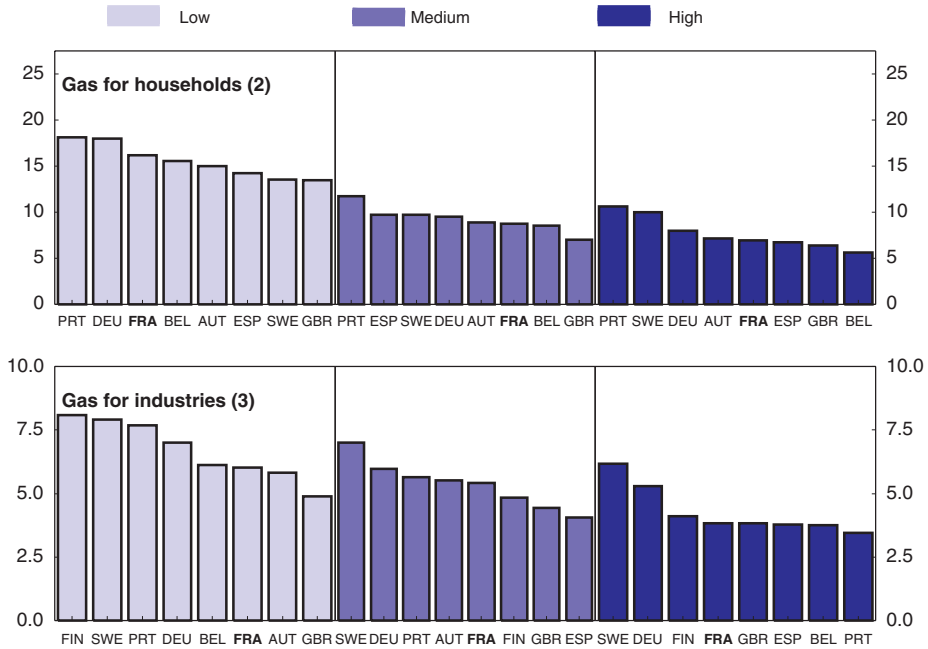
Employees of the EDF and GDF have long been opposed to a change in the status of their enterprises, fearing that any privatisation would lead to dismissals and/or to a deterioration of their working conditions. In many ways the employees, who have civil servant-like status, enjoy special benefits. These include a favourable price for electricity, which is equal to about 5% of the standard retail price (the associated tax liability is covered by EDF), housing benefits in kind, frequently a short working week, wages that are about a quarter higher than average wages. In addition, the "comité d'entreprise" – which organises social activities for the employees and their families – is run by the unions and has about 3 700 employees (large enough to have its own "comite d'entreprise") with a budget of € 400 million, which is financed by a transfer from EDF equivalent to 1% of turnover (Le Monde, 2004). Following considerable labour market unrest prior to the changing status of the energy companies, the employees received a wage increase of 6½ per cent on top of the 2½ per cent increase received a couple of months before. In addition, most of EDF's 112 000 employees are members of a generous pay-as-you-go pension scheme for utility employees. In total, EDF's pension liabilities have been estimated to be in the order of [euro] 50 billion. From the beginning of 2005, basic pensions will be paid by the general public social security scheme in exchange for a transfer of € 7.7 billion and EDF will remain responsible for additional benefits.

Infrastructures Gaz de France. Recently-introduced measures to secure non-discriminatory third party access include obligations on the grid operators to grant access and to implement accounting separation for vertically integrated companies, along with a "gas release" programme for EDF and Total. The associated tariffs are determined by the Ministry of Economy, Finance and Industry following an opinion issued by the regulator (CRE). Nevertheless, problems persist. The liberalisation process in the gas sectors in Europe is far from being completed as partly revealed by higher European prices as compared with North America (IEA, 2004).[36] Within Europe, French pre-tax prices compare favourably on average. However, closer inspection indicates that prices for households tend to be higher than in a number of other countries, while prices for small to medium industrial customers are well above those in the relatively more competitive British market.[37] (Figure 4.12). *A priori*, the relatively large number of supplier countries to France should enhance the conditions for creating a fully competitive market (Cussaguet, 2004).

Farther-reaching liberalisation of the gas market would benefit gas consumers through lower prices, which for exporters will boost their competitiveness. In addition, the role of gas as intermediate input in the electricity sector is likely to increase as that sector widens its technology choice, including gas fired turbines. However, for these benefits to materialise further measures must be implemented. As in the electricity sector, there should be a total unbundling of vertically integrated companies. Without such unbundling, third party non-discriminatory access to the network cannot be totally secured. Other suppliers wanting to connect to the networks are subject to rather detailed requirements and failure to comply may lead to heavy financial penalties (IEA, 2004). Both the regulator and competitors have complained about a lack of sufficient information to evaluate pipeline availability and new entrants have complained about access problems, particularly in the south-west of the country.[38] These problems point to the need for more

Figure 4.12. **Pre-tax gas prices in Europe**[1]

Euros per Gigajoule, 1st July 2004



1. Data are taxes excluded and for some countries it is an average of various local prices.
2. The selected standard households are classified "Low" with an annual consumption of 8.37 Gj, "Medium" with 83.70 Gj and "High" with 1047 Gj. 2. The selected standard industries are classified "Low" with an annual consumption of 4186 Gj, "Medium" with 41860 Gj and "High" with 418600 Gj.

Source: Eurostat, Statistics in focus, Environment and energy.

effective *ex ante* regulation, which, among other things, should include giving powers to CRE to determine regulated prices and tariffs. Moreover, non-discriminatory third-party access to storage facilities (currently negotiated on a case-by-case basis) should be improved. Such facilities are primarily used for public service obligations and balancing, where the latter is offered at a uniform charge despite cost differences between reservoirs and the charge is difficult to evaluate because of information asymmetries (Esnault, 2003).[39] Non-discriminatory access to storage is an important measure to stimulate new entry in the early phases of market liberalisation, as also competitors have to equilibrate supplies against the seasonal variation in demand, pointing to the need for imposing access obligation on the incumbents. Such a measure should be transitory to facilitate new entry until additional storage capacity is developed by independent operators. The principle of third-party access to storage was written into the Act of 9 August 2004.

Telecommunications

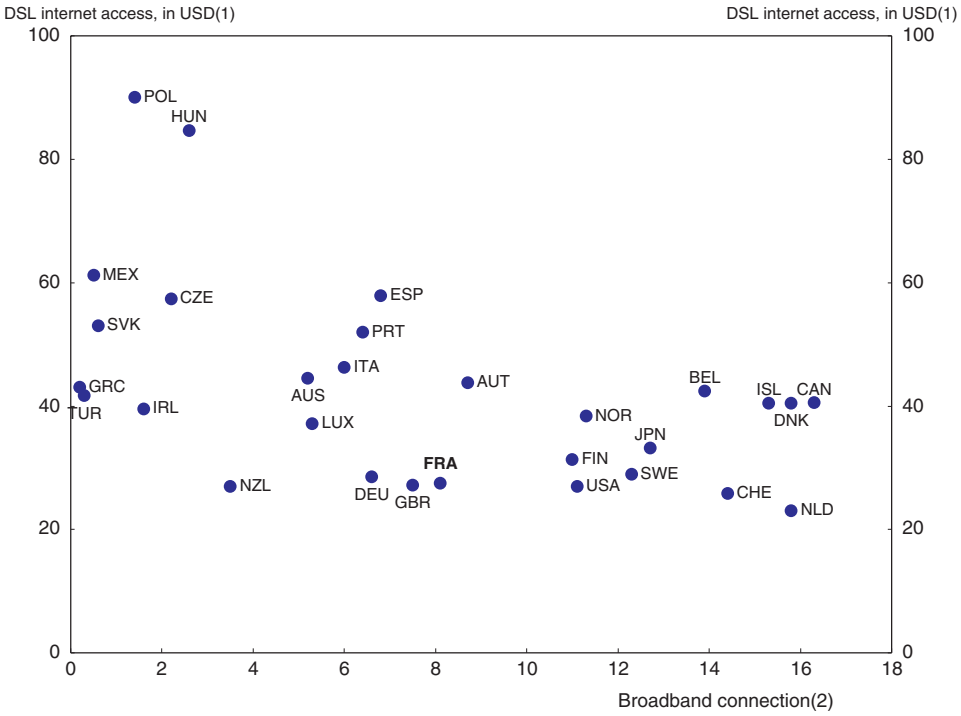
The telecommunications market was deregulated at a slower pace than in many other European countries, although by 2004 the complete set of EU directives was implemented. As a result the degree of effective competition is still lagging behind what can be observed in countries that liberalised earlier, notably the Nordic countries that opened up their telecommunication markets a decade ago. The sector regulator ART (*Autorité de régulation des Télécommunications*) is an independent regulator, with fixed-term contracts for its commissioners and the usual powers to secure non-discriminatory third party access.[40] In

2004, the new telecommunications law implementing the EC directives enhanced the powers of ART to make it responsible for regulating tariffs and for authorisation of new market entry as individual licenses will no longer be generally necessary. The Ministry of the Economy, as provided for under the European directives, has held on to certain tasks that in some other countries are allocated to the sector regulator, such as decisions concerning issues like interconnection and interoperability. ART has been active in promoting competition, particularly in lowering termination charges on mobile networks and in lowering costs of co-location and of partial unbundling of local loops.[41, 42] The latter has been instrumental in reducing retail prices considerably, leading to fast growth (albeit from a low base) in high-speed ADSL connections (Figure 4.13) (Bezzina, 2001 and Bourreau, 2003).[43, 44] In the longer term, however, competition in this area should be based on the appropriate market structures, pointing to the need for developing alternation platforms for high speed connections, like cable-TV (See Annex 4A.1, The cable-TV market in France).

Prices for telecommunications services are above the OECD average, which to a large degree can be explain by high prices for mobile phone services (Figure 4.14). The high prices are likely to be related to the highly concentrated market structure, which is dominated by the partly government owned incumbent France Telecom, which has benefited from certain support from the government (OECD, 2004b) (Box 4.6). In addition, there are fewer fixed and mobile network operators than in similarly sized other European countries (European

Figure 4.13. **Broadband penetration and user charges in the OECD**

End of 2004

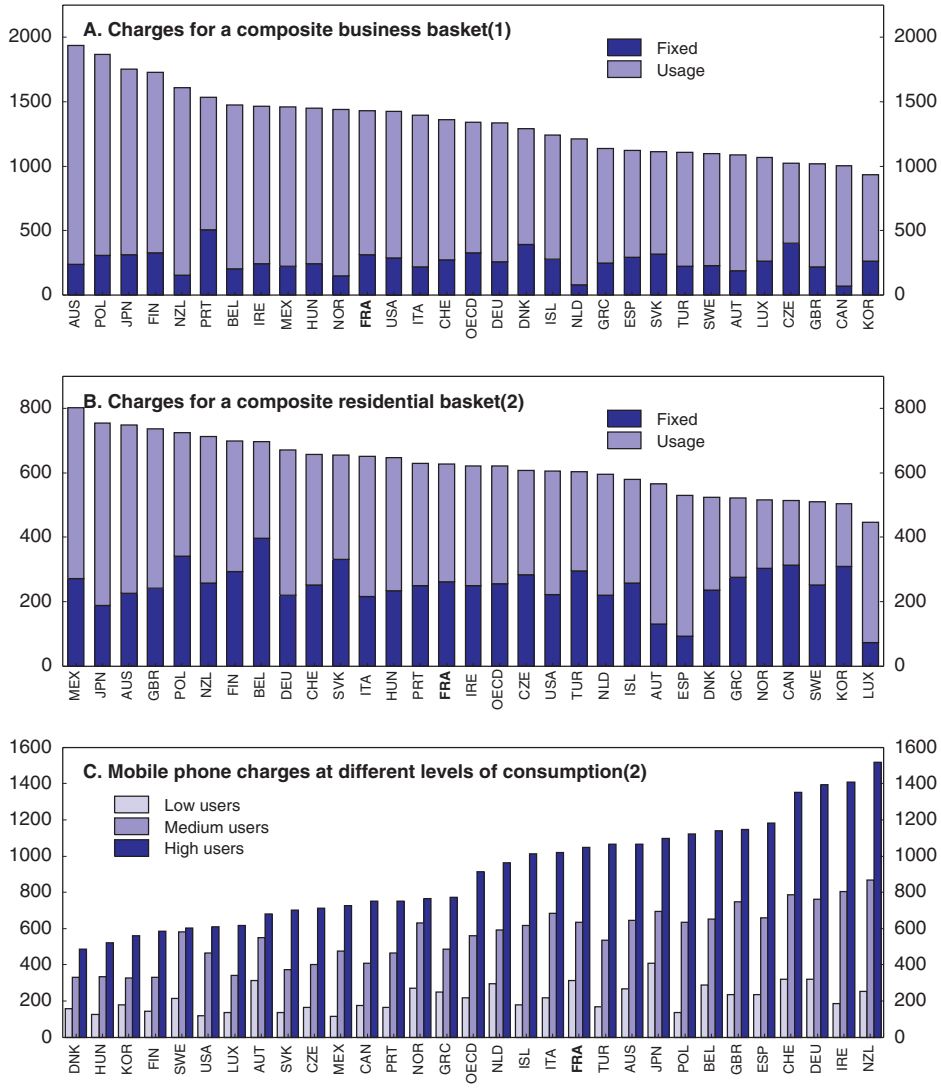


1. Monthly charges, including VAT. Modem rentals are excluded as in most countries they can be purchased by users.
2. Per 100 inhabitants.

Source: OECD, Communications Outlook Database.

Figure 4.14. **Telecommunication charges in the OECD**

In USD, February 2005



1. Excluding VAT.
2. Including VAT.

Source: OECD, Communications Outlook database.

Commission, 2003). Moreover, there has been almost no development of alternative fixed line networks in voice telephony with competition in this segment primarily targeting the general public and mostly involving pre-selection, and more recently unbundling.

Competition in the mobile phone market took off with the entry of a third operator in the mid-1990s with a focus on handset and add-ons, but a decade later almost no other entry has materialised, which is likely to explain the relatively low mobile phone penetration (Hamdouch and Samuelides, 2001, Gruber and Verboven, 2001).[45] Contrary to more competitive European markets, the French operators with substantial market power are not subject to a resell obligation. Indeed, the new entry of a re-seller in mid-

Box 4.6. **Financial aid to France Telecom**

France Telecom's indebtedness increased by a factor of nearly five between 1998 and 2000, largely as the result of an aggressive programme of foreign acquisitions, which carried heavy losses – for example the complete write-off of the investment in a German UMTS license. Another example is France Telecom's investment in the Danish mobile phone market, which led to an estimated accumulated loss of about € ½ billion as expected integration effects failed to materialise. At the end of 2002, total debt stood at around € 68 billion, for turnover of just above € 47 billion. The indebtedness prompted the majority shareholder to announce that it would be ready to open a credit line of € 9 billion as an advance on its participation in the company's capital increase. The firm never used this advance; in addition, the government requested that the incumbent management be replaced, and that France Telecom implement a plan to cut costs and divest its least profitable subsidiaries in order to reduce its debt. Vivendi, the owner of one of France Telecom's domestic competitors, Cegetel, was forced to sell assets to improve its debt situation and British Telecom, the UK incumbent, had to sell its mobile phone activities several years ago in the face of large debts. This triggered complaints to the European Commission about unfair state aid. The Commission ruled that the proposed advance did constitute an incompatible aid with the treaty but did not demand its reimbursement. The French authorities and France Telecom have filed an appeal. In an attempt to lower its debt servicing burden, France Telecom has entered negotiations about selling its cable TV subsidiary.

France Telecom has received various types of support from the government. The selection process for the allocation of the UMTS licences through a "beauty contest" was arguably biased towards French operators (Penard, 2002), as the selection criteria gave a relatively high weight to difficult-to-define elements. But the Commission found that this process had favoured neither Orange nor SFR, contrary to the assertions of Bouygues Télécom (all three being French firms). Indeed, no foreign candidates submitted a request for a licence, although this could easily be the result of the global downturn in the telecommunications market. The European Commission has estimated that the special corporate tax regime for France Telecom between 1994 and 2002 constituted state aid as the company was paying tax directly to the state whereas its competitors paid it to each municipality where they operated. The French authorities and France Telecom contested this decision by the TPI. Other support may potentially include payments for universal service obligations, where the preliminary estimate of net costs showed a doubling in 2002 although final estimate was lower. Other EU countries have legislation in place for similar funding schemes, although only one other country has activated its scheme (EU, 2003).

2004 (a so-called Mobile Virtual Network Operator) MVNO benefited from the inclusion of a resell condition in the license for the next generation of mobile networks (the so-called UMTS or Universal Mobile Telecommunications System licence) for one of the existing mobile phone operators.[46] Following the new entry, the increase in competitive pressures manifested itself in a sharp lowering of prices for mobile phone text messages (SMS – Short Message Service).[47] In addition, the lack of competition can be explained by operators pursuing lock-in strategies – that increases customers switching costs – by offering long-term contracts of up to two years that are difficult to terminate, leading to a low rate of customers changing provider (Penard, 2002; ART, 2001)[48] (Box 4.7). Thus, additional measures should be implemented to increase rivalry in the mobile phone

Box 4.7. **Mobile phone contracts**

The length and conditions of mobile phone contracts tend to bind customers to the provider with a consequent reduction in rivalry between operators. Contract length is a minimum of 12 months and is in most cases between 12 and 24 months. It is difficult to terminate a contract prior to its end-date. For example, theft of the mobile phone is not a sufficient reason, although more abusive clauses (such as those preventing customers in areas without coverage from terminating their contracts) have been removed after pressure from consumer groups and the regulator. The latter has no powers to impose modifications of contracts. Moreover, contracts are automatically renewed unless a prior notice of the contrary is forwarded to the operator. A new law in early 2005 requires service suppliers to give a month notice about contract terminations and inform that unless customers disagree the contracts will be renewed. In contrast, similar Danish contracts are limited to a maximum of six months and in Finland no contract binding is allowed. An additional issue is that the operators have varying practices with respect to terminating contracts ranging from allowing termination over the phone to requiring the use of recommended letters with notice periods from one to three months. Even finding the relevant addresses can be complicated. Unlike telecommunications authorities in other countries, ART does not provide consumer-relevant information on its homepage, such as contact points and price comparisons, measures that typically increase transparency of the market and thereby enhance competition.

market, including imposing resell obligations on network operators, shortening effective contract periods and requiring the sector regulator to publish relevant consumer information.

Railways

There is practically no competition in the provision of passenger railway services, unlike in other European countries, such as Germany, the United Kingdom, Sweden and Denmark, despite the institutional separation of network and service provisions and the third party access measures implemented in 1997. Moreover, intermodal competition from long-distance bus transport is very limited. The Ministry of Transport has refused, as a matter of principle, to authorise long-distance bus services on routes already served by trains, so as to maintain the integrity of the railways (OECD, 2001). There are a number of negative externalities (such as pollution and accidents) associated with long-distance bus transport, but a better allocation of resources would be obtained if these concerns are addressed through the tax system or through market based instruments. On the other hand, intermodal competition between the well-developed system of modern long-distance fast trains (TGV – *Trains des Grande Vitesse*) and domestic air transport is stronger than in other countries (Seabright, 2003).[49] Nevertheless, the efficiency of the railway system has been declining in the latter part of the 1990s (Friebel *et al.*, 2004).[50]

The government has taken steps to open railway freight to competition by March 2006, thus beating the final deadline set by EU directives (January 2007).[51] However, to level the playing field in the railway sector a number of measures should be implemented. To facilitate new entry by lowering associated fixed costs, the incumbent (SNCF) should be under obligation to rent out its rolling stock, preferably through the establishment of an independent rolling stock company. Moreover, presently only SNCF has the necessary

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technical expertise to evaluate whether new rolling stock fulfils security standards. In a competitive environment this would provide the incumbent with a regulatory role that should be the responsibility of an independent body. The government has planned to institute such a body by the end of March 2006. Furthermore, the incumbent is highly favoured insofar as the usage fees it pays the owner of the infrastructure (RFF – *Réseau Ferré de France*) are much smaller than the management fees it charges RFF – with the resulting deficit covered by transfers from the central government (OECD, 2003).[52] In a competition-neutral environment RFF should be made responsible for network management. This would reveal the associated true cost that should form the basis of the network setting non-discriminatory third party access fees.

Domestic air transport

Since the full opening of domestic air transport in spring 1997, achieved with the liberalisation of cabotage, the market share of the dominant incumbent (Air France) has increased from 68% to nearly three quarters as the number of domestic competitors declined, despite Air France being a relatively high cost carrier (particularly in terms of wage expenses) as compared with low-cost companies.[53] Stronger competitive pressures come from increased inter-modal competition from high speed trains and from the entry of (foreign) low-cost carriers. Prior to the liberalisation of cabotage the incumbent was recapitalised with € 3 billion (OECD, 2004b). Since then, the emergence of effective competition seems to have been slowed by the dominant position of the partly government-owned incumbent and non-competitive practices in airports, including the non-competitive provision of ground handling services and the granting of slots on the basis of the grandfather principle. The regulating authority is the Directorate-General for Civil Aviation (DGAC) under the Minister of Transport, whereas the government's ownership interests in Air France and *Aéroports de Paris* (ADP), the company managing the two main Paris airports, are administered by the Ministry of Economy and Finance. The government has gradually lowered its stake in Air France, a limited company since 1998, from 44 to 18.7%. France has therefore joined the general trend in Europe of privatising national carriers. The government has announced its intention, in the near future, to open up the capital of ADP, which became a limited company at the beginning of 2005.[54] In principle, the market is subject to the authority of the *Conseil de la concurrence*, but in reality a number of cases are outside the scope of the *Conseil* as they involve administrative decisions made in the course of exercising public service missions, which entails the use of public power prerogatives. Moreover, part of the increasing market share of Air France arose from the company investing in regional carriers, but the *Conseil* was not involved in the Minister of the Economy's decision to allow such mergers, preventing scrutiny on the grounds of competition criteria.

Reforms to further competition in this sector should aim at facilitating access for new service providers and at clarifying the role of the State by separating the functions of the regulator from those of shareholder and service provider. Landing slots are the essential pillar of access, and while the current system favours the incumbent, a pool of slots is nonetheless reserved for new entrants. Thus introducing a market-based allocation of slots would improve access conditions and provide for a more efficient infrastructure utilisation. Reduction of the government's stake in Air France to less than 20% ought to remove the conflict between the state as an owner and as a regulator together with any perceptions of an uneven playing field. Further measures would include separating out the

regulatory role of the DGAC (and increase its independence) and the role of provider of air control services, as in other European countries. The reform of the DGAC at the beginning of 2005 does in fact create a clearly identified cluster of air traffic control services. This will also facilitate benchmarking of such services, which is already carried out by Eurocontrol's Performance Review Commission, with a view to their full privatisation. Separating ADP's activities in the same way would remove some of the conflict of interest issues and increase the regulatory scope of the *Conseil de la concurrence*. This measure should be combined with the introduction of competitive tendering for ground handling services and airport concessions – if not full privatisation – which would increase their ability to develop their comparative advantages and associated airport charges, leading to an improvement in resource allocation.

Postal services

The opening of the postal service market lags behind developments in other countries. The EU postal directive from 2003 has not yet been implemented by France, resulting in a referral to the European Court of Justice. However, a law regulating postal activities, transposing that directive, has just been adopted. Once the directive is implemented, the incumbent (La Poste) will lose its monopoly on domestic mail, where the reserved area will be for letters of less than 100 grams, and there will be full market opening of cross-border mail. The market should be fully liberalised by 2009 (European Commission, 2004).[55] This new law will make ART the regulator for postal services with powers with respect to tariffs, dispute settlement and licenses for new operators. While this is a welcome measure, there remains an issue of cross-subsidies between competitive and non-competitive market segments and between La Poste's postal and financial services. The implemented accounting separation will be insufficient to resolve these problems, basically because many of the common costs come from mail sorting functions and can be allocated in a number of different ways. The accounting issue is also present in the provision of universal service obligation (USO), particularly in sparsely populated areas. The cost of the latter is compensated through a fund, which is financed through a surcharge on competitors. However, imposing a USO fee on competitors may create a cost disadvantage if the associated benefits are larger than the costs and if the USO includes other than essential postal services. This points to the need for determining the compensation for the USO through an analysis of the involved costs and benefits – the latter arising from such factors as having a nation-wide brand and a network that can cross-sell financial services, for example. Sweden and New Zealand have undertaken such cost-benefit analysis, which in both cases led to the assessment that the net costs were negligible and no compensation is paid. Moreover, if the net cost of USO is found to be positive then the compensation should be financed through a fiscal transfer, since universal services benefit the entire economy and would make the cost of USO explicit to the taxpayers.

Macroeconomic effects of regulatory reform

The macroeconomic benefits of reforms to increase competitive pressures can be substantial. The propagation and channels through which product market reforms affect the economy depend on a number of factors including changes in relative prices and profit margins, and possible dynamic effects on innovation. Assessing the impact of such reforms is a complex undertaking, but at least two simple approaches are useful to provide some rough indications. First, including synthetic indicators of regulatory stance in

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Table 4.2. **Potential effects of further regulatory reforms in France**[1]

	Long-run employment rate (% increase)	Multifactor productivity growth over 10 years (% increase in annual rate)	Inward FDI (% increase in level)
Effect of easing economy-wide regulation	1.16	0.19	57
Effect of easing industry-specific regulation	–	0.43	–
Effect of reducing state ownership	–	0.79	–
Effect of reducing FDI restrictions	–	–	10

1. Alignment of regulation on least restrictive OECD country [2003]. Effects estimated from the results of panel regressions relating to the employment rate, multifactor productivity and inward FDI to regulation and other variables.

Source: Nicoletti *et al.* (2001), Nicoletti and Scarpetta (2003), Nicoletti *et al.* (2003).

regressions of aggregate performance variables is a relatively straightforward method that does not require assumptions about the character of reforms. Following this method, Nicoletti *et al.* (2001), Nicoletti *et al.* (2003) and Nicoletti and Scarpetta (2003) estimated that if France aligns its microeconomic regulation to that of the least restrictive OECD country, then the long-run employment rate would increase by more than 1 percentage point and that over ten years multi-factor productivity (MFP) growth would increase annually by about 0.2% (Table 4.2). In addition, the measure will, together with a reduction of remaining restrictions on FDI, expand the stock of inwards FDI by about two-thirds. Aligning state control to the average level in the OECD and industry specific regulations to that of the best performing OECD country would further increase annual MFP growth by 0.4 and 0.8 percentage point, respectively. This implies an increase in annual MFP growth of nearly 1¼ per cent, equivalent to a 15 percentage points increase in the level of MFP after 10 years.

The second approach makes explicit assumptions about the potential for product market reforms to reduce price-cost margins and to enhance productive efficiency and performance. Following this approach Table 4.3 presents estimates of the possible economic effects on sectoral and aggregate economic performance of reforms in network industries, distribution and professional and community services. The estimates suggest that regulatory reform in these sectors may increase aggregate labour productivity by some 2½ per cent and could lead to a decline in producer prices of a somewhat larger magnitude. The estimates rely on judgemental assumptions about the scope for reducing price-cost margins and increasing labour and capital productivity within each sector based on realignment with international practices. The economy-wide effects are obtained by using the 1995 input-output tables. No aggregate employment gains were factored in, even though dynamic effects of regulatory reform are likely to lower structural unemployment and increase labour supply. The estimates do not include effects of increased dynamic efficiency and improved resource allocation, which means that they are on the conservative side.

Overall assessment and scope for further action

France is catching up to best practices in regulatory reforms for introducing and promoting competition. However, other policy considerations may hamper the emergence of effective competition. Available indicators point to relatively weak competitive pressures in a number of sectors, particularly in sheltered service industries. Thus, further reforms are proving necessary to promote competition, which should boost growth as well as increase the economy's resilience to shocks. The next phase of reforms should do a better job of balancing consumer welfare against the opposition of relatively small but

Table 4.3. **Assumptions and effects of pro-competitive regulatory reform in selected industries**

	Energy	Post and telecommunications	Road transport and railways	Retail distribution	Professional services[1]	Community social and personal services[2]	Total economy
Assumptions (% change)							
Costs of intermediate inputs	0	0	–5	–5	0	–5	
Labour costs							
Labour productivity	–15	–10	–10	–5	–7.5	–5	
Wages	–10	–5	–5	0	–10	–5	
Capital costs	–20	–5	–10	–5	0	–10	
Profits	-5	–10	–10	–10	–10	0	
Price elasticity of demand	–0.5	–0.5	–0.2	–0.5	–0.5	–0.2	
Sectoral effects (%)							
Direct price effect	–10.4	–7.6	–9.3	–4.9	–6.4	–8.1	
Price-induced output effect	5.2	3.8	1.9	2.5	3.2	1.6	
Employment, price-induced effect[3]	–9.8	–6.2	–8.1	–2.5	–4.3	–3.4	
Economy-wide effect on (%)							
Producer prices, direct effect	–0.2	–0.1	–0.4	–0.4	–0.4	–0.9	–2.5
Producer prices, total effect[4]	–0.4	–0.2	–0.5	–0.5	–0.8	–0.9	–3.2
Employment (after full labour market adjustment)							
Labour productivity (weighted by share in aggregate output)	0.4	0.2	0.4	0.4	0.5	0.6	2.4
Output							2.4
Memorandum items							
Share in aggregate employment	0.8	4.3	2.1	6.3	1.9	11.2	
Share in aggregate value added	2.3	4.0	1.7	5.0	3.6	22.7	
Share in aggregate output	2.4	1.6	4.0	8.2	6.7	11.0	

1. ISIC74, Other business services.
2. Effects from improving public procurement policies and greater use of competitive tendering.
3. Resulting from the direct effect via productivity and the induced (offsetting effect via higher output).
4. Combines the direct effect of the fall in prices of the sector being deregulated with that resulting from the fall in prices in other sectors due to lower input costs.

Source: Nicoletti, G. and S. Scarpetta (2003), OECD.

highly vocal special interest groups. This requires both institutional changes and further incremental measures to expand the scope for competition, by exposing larger segments of the economy to increased competition. The basic framework for general *ex post* regulation should be rebalanced. To focus their activities and priorities the competition policy enforcement units of DGCCRF should be more clearly separated from the units that apply other regulations, if not moved to the *Conseil de la concurrence*, which would also eliminate the perceived risk of political influence.

Within network industries reforms should work on two fronts: strengthening the powers and independence of sector regulators, and promoting market structures that can underpin competition. The reforms should go beyond mere accounting and legal separation in order to secure non-discriminatory third party access as well as horizontal separation in competitive segments. Additional measures in this direction would be the continuation of an ambitious privatisation programme that at least removes the government's controlling stakes, preferably after formal separation. Efforts to promote competition in network industries would benefit from a more rigorous and transparent evaluation, and competition-neutral financing, of universal service obligations. In inherently competitive sectors, such as distribution, even if the proposed reform of the *loi Galland* is a step in the right direction, the overly prescriptive regulation of price setting and entry controls should be replaced by a more general approach of countering market dominance through the economy-wide competition framework. Besides these general recommendations, a summary of the more detailed recommendations is presented in Box 4.8.

Box 4.8. **Summary of recommendations**

The competition framework needs strengthening

- The profile and priority of investigation and enforcement against anti-competitive practices should be raised. The framework of competition law should be bolstered either by transferring full powers of enforcement to the *Conseil de la concurrence*, with the resources that implies, or by more clearly separating the functions and resources from other market-surveillance functions within the Ministry of Finance.
- In merger control, France would do well to follow the example of most other OECD countries, which have placed policy implementation responsibility in this area with the competition authorities rather than with the government.
- In publicly-owned companies a clearer formal separation between competitive and non-competitive activities should be introduced. To remove the potential conflict between the state's regulatory role and its ownership interests, the ownership function of publicly-owned companies should be concentrated in APE (*Agence des participations de l'État*). The government should, however, pursue an ambitious privatisation programme.

Box 4.8. **Summary of recommendations** *(cont.)*

Excessively prescriptive regulations in retail distribution should be abolished

- Competition problems in the retail sector should be addressed under the general competition law framework and the prescriptive regulation that dampens price competition should be abolished.
- Zoning laws aimed at large retailers should be reviewed to facilitate new entry.
- Television advertising rules should be relaxed to allow a broadening of marketing strategies.
- Remaining state monopolies, as in tobacco distribution, should be removed.

Sector regulation needs comprehensive reforms

- The restrictiveness of regulation governing professional services should be reduced and measures to increase rivalry should be introduced.
- Sector regulators should have full responsibility for the determination of regulated prices and charges.
- A common approach to universal service obligations needs to be introduced, entailing cost-benefit analysis to determine the net cost of such obligations, which should be financed through a fiscal transfer.
- The introduction of effective competition in the *electricity* market will be accelerated by eroding the incumbent's dominance. This can be achieved by expanding the international interconnection capacity and through horizontal separation of generation.
- More effective *ex ante* regulation is needed in the *natural gas* sector.
- In the *telecommunication sector*, conditions for competing platforms in the high speed fixed line segment should be improved; greater resell obligations should be imposed on mobile phone network operator to allow new entry, and the effective length of mobile phone contracts should be reduced. Termination charges should become subject to *ex ante* regulation. The regulator should engage in providing relevant consumer information to increase transparency.
- In *land passenger transport*, possibilities for intermodal competition should be enhanced. Moreover, effective vertical separation should be introduced in railways – the latter would include making the network owner responsible for management – as well as securing non-discriminatory third party access to rolling stock.
- In the domestic *air transport sector*, the provider and regulator roles of the sector authority should be separated. The airport administrator for the largest airports should also be separated into management and service provider functions. The scope of the *Conseil de la concurrence* in this area should be expanded. The incumbent air transport company should be fully privatised to remove the conflict of interest between the state as an owner and as a regulator, enticing new entry. The latter could be furthered by introducing market based slot allocation as well as introducing competitive tendering for ground handling services and airport concessions, if not full privatisation.
- In the *postal sector,* the liberalisation process should be accelerated to catch up with developments elsewhere in Europe. In the liberalisation process, attention should be paid to preventing the incumbent from cross-subsidising between competitive and non-competitive market segments. Similarly, the compensation for providing universal service obligations should be based on the net cost, *i.e.,* balancing the costs against benefits, and should preferably be paid as a fiscal transfer.

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Notes

1. Bayoumi *et al.* (2004) estimate that the differences in competition can account for over half of the current gap in GDP per capita between the euro area and the United States.

2. However, there is an important interaction between policies. For example, product market reforms are likely to increase returns to skills as profits become more sensitive to cost considerations (Guadalupe, 2004). However, the French system of automatic extension of wage agreements may inhibit the materialisation of such outcomes. Ebel and Haefke (2004) find that combining liberalisation with a move towards a more decentralised system of wage determination could lower unemployment in the European Union by a third.

3. Perhaps surprisingly, the authors do not find much effect of the introduction of the euro, which could be expected to increase price transparency.

4. Empirical work suggests that European regulatory intervention is more likely to take place when European firms are harmed by increased foreign competition, indicating that European regulatory stance is protectionist and only to a little extent focused on combating monopoly power and protecting consumers (Aktas *et al.*, 2004). Moreover, other empirical work shows that lenient merger policy to create "national" champions may damage a country's international competitiveness, possible because the basis for strong international competitiveness is fiercely competitive domestic markets (Clougherty and Zhang, 2004; Høj and Wise, 2004a).

5. In addition, France has the second highest number of open infringement cases.

6. Government regulation requires France Telecom to spend 4% of unconsolidated revenues on R&D, which in 2003 was equal to about 1% of turnover. However, this is still less than what the privately owned British Telecom spends on R&D (OECD, 2005.

7. Between 2002 and 2004, the number of new business start-ups increased by some 25%.

8. Previously, creditors extending or providing new financial resources to a bankrupt company could become liable to other creditors for all financial losses associated with the bankruptcy.

9. Another explanatory factor may be the relatively high minimum wage level in France, which would tend to push up prices in labour intensive sectors. However, if such sectors were exposed to foreign competition both the wage and input structures would adjust to lower prices.

10. The title is sometimes translated as the General Directorate for Competition, Consumer Affairs, and Trading Standards.

11. Many OECD countries have pursued fairly extensive privatisation programmes since the beginning of the 1990s. However, a common feature has been that governments have not relinquished final control as privatisation has not been completed or corporate governance control has been maintained through cross-holding or special veto rights (Bortolotti and Faccio, 2004). For example, during the second half of 2004 the French government will sell an additional tranche of France Telecom shares, bringing the government's ownership share below 50%, but nevertheless the government remains the largest shareholder. For the time being, however, the government remains responsible for some 72000 staff, *i.e.* approximately 57% of the total workforce in France which retain civil servant status.

12. The corporation also removes the state's de facto guarantee of the corporatised companies' debt. For example in the case of EDF this guarantee was considered as illegal state aid by the European Commission (OECD, 2003).

13. In this connection, the Conseil de la Concurrence fined France Telecom for violating orders in both 2003 (€ 40 million) and 2004 (€ 20 million).

14. In addition to the positive effects on product market competition, privatisation also enhances stock market liquidity, improving capital allocation and thus growth prospects (Bortolotti and de Jong, 2004).

15. Currently, the dominant incumbents usually suggest a set of prices (in the monopoly segment), which is then accepted or moderated by the government.

16. Water charges are determined on various principles of cost-recovery (Bongaerts, 2002). Provision is either organised by the municipalities or by outsourcing to private operators (Garcia and Thomas, 2003). Costs are at times increased by a lack of economies of scale (Garcia and Thomas, 2001 and Ménard and Saussier, 2000). Competition issues in the sector include the repeated renewal of long-term contracts because of the costs associated with building municipal water management units and the simultaneous loss of business tax revenues (Clark and Mondello, 2000) and that the private

water companies are often engaged in delivering other services to the municipalities, creating potential lock-in effects (Elnaboulsi, 2001).

17. Specific requirements for universal service differ across countries. For example, in the case of Spain, accessibility to the postal service is ensured, but higher charges are required in remote areas.

18. Real estate agents need a professional licence, which is given on the basis of three criteria: a professional aptitude test based on a diploma or experience, a clean criminal record and professional insurance. The DGCCRF instigated an investigation of the sector in spring 2004.

19. In addition, there was a restructuring among (and a one-fifth reduction in the number of) the small retailers away from traditional family owned enterprises towards franchising, thereby benefiting from the efficiency gains arising out of vertical integration (Seguin, 2001). Contributing to this shift was a regrouping of small shops in shopping centres and around large outlets.

20. The law against selling below cost was introduced in its current form in 1963. Such practices are criticised as predatory, although they may also form part of strategies that actually enhance consumer welfare. Moreover, prohibition of below-cost-pricing can only be a partial protection of small shops against large retailers as competition between the two types of shops are taking place in a number of dimensions, including location, quality and convenience. In addition, small shops often benefit from a cluster effect as a means to attract costumers, leading to a clustering of small specialized shops around large retailers (Allain, M.-L. and C. Chambolle, 2003).

21. As a further measure to regulate the negotiations between retailers and producers the loi Galland contains a regulation that restricts the involved parties' ability to unilaterally terminate long standing contracts. In addition, producers are allowed to refuse to supply new entrants, like hard discounters, if the producers do not have a dominant position on the market and do not impose discriminatory conditions on some of their clients.

22. The prohibition of below-cost pricing has increased the benefits associated with marketing strategies based on promising lowest possible prices in the market. If customers find lower prices elsewhere, this information can be used to either obtain lower prices from the producer or to bring pricing-below-cost complaints to the DGCCRF.

23. The Delors directive of 1984 states that annual conditional volume discounts should be part of the general sales conditions, although the loi Galland clarifies that such discounts cannot be part of the below cost sales calculations.

24. An example of such collusion was found between breweries for supplies to hotels, restaurants, and cafes, leading the European Commission to impose fines of a combined € 2½ million in the autumn 2004 (European Commission, 2004c).

25. During the summer 2004, producers were complaining that some retailers had chosen to lower prices of some products below the invoice price as a way to meet the objectives of lower prices by 2% as stipulated in the agreement with the Ministry of Finance (Le Figaro, 2004).

26. For example, in the year to November 2003, "hard discounters" lowered their prices for food products by an average of 1%, while larger retailers increased their prices by an average of 2% in the same period.

27. On 17 June 2004 an agreement was entered between retailers and suppliers to lower prices by 2% in September the same year and a further 1% in 2005 by integrating a part of the "marges arrières" into the invoice through negotiations between retailers and producers. The agreement is estimated to have lowered inflation by 0.2 percentage point (INSEE, 2004). Considerable controversy has followed about the implementation of the agreement and no agreements have been established for about half of the about 5000 products concerned (Castets, 2004).

28. The INSEE index of convenience goods prices fell by 0.9% over the period March 2004-March 2005.

29. The introduction of commercial zoning regulation was followed by a substantial slowdown of employment growth in the retail sector that was not experienced in other parts of the economy (thus ruling out effects of changes in economy-wide regulation). The commercial zoning regulation acts as an entry barrier and has a negative impact on employment in the sector. The regulation also prevents positive spill-over effects arising from when a large scale store's higher customer traffic into an area increases sales in surrounding shops. Moreover, such types of regulation reduce consumer welfare by limiting the number and size of shops, as well as increasing travelling and in-store queuing time for consumers.

30. Interestingly, the sale concentration is higher in France, where half of the turnover is achieved on Fridays and Saturdays, while in the United States 45% of the turnover is achieved on Fridays, Saturdays and Sundays.

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31. Examples include when retailers have failed to correctly predict market demand for individual items and need to clear stocks or when below cost pricing is used as a "loss leader" strategy, where individual items are sold at very low prices to attract customers, which are expected to purchase other goods.

32. For a review of the economic and political issues involved in the liberalisation of network industries in France, see, for example, Varone and Genoud (2001).

33. Prices for household customers are administratively determined. EDF proposes an increase that is subsequently negotiated with the minister in charge. The role of the regulator is to evaluate whether the proposals are reasonable. Following the changed status of EDF in mid-2004 the company proposed an increase of about 2½ per cent to cover the cost increase of the provision of public services that was increased by one third (Les échos, Mardi 27 juillet 2004). The Prime Minister decided in the autumn that electricity prices should remain unchanged over the next year.

34. Included in the electricity prices are a number of charges. There is a charge for financing public service obligations, which include uniform prices for high quality electricity across all of the country (including areas not connected to the national grid), subsidised prices for poor citizens, and the purchase of electricity generated using environmentally friendly technologies. Quality of electricity is difficult to measure on an internationally comparable basis. However, measured in terms of time lost to unplanned interruptions the quality in France is higher than in southern European countries and Finland (European Commission, 2004).

35. It is difficult to assess how many competing generators are necessary for securing a fully competitive market. Green and Newbery (1992) argued that the initial creation of three competing generation companies in the UK did not suffice and at least five companies should have been created.

36. The difference in natural gas prices reflects both the degree of competition and proximity to cheap natural gas resources.

37. Natural gas pricing in the non-regulated part of the market is subject to ministerial approval. In the autumn 2004, GDF asked for price increases of 8%, but was only allowed 3%.

38. Partly in response to these concerns, rate of return regulation of 12% in real terms for new infrastructure investments connecting France and Spain and a gas release programme have been proposed.

39. In a gas importing country like France there is typically a time gap between the arrival of natural gas and its consumption, necessitating a non-discriminatory third party access to storage facilities (of which 13 out of 15 facilities are owned by GDF with the two others owned by Total Fina Elf) for competition to become effective.

40. The chairman and two members are appointed by the President of France and the other two members are appointed by the Chairs of the National Assembly and the Senate. ART can impose penalties through licence suspension or through fines of a maximum of 3% of net turnover (5% for repeated offences). However, these powers have not been used so far and are not extended to imposing fines for delays, such as in making lines available for leasing.

41. The two mobile operators with SMP (Substantial Market Power) first had to reduce their charges by 40% over a three year period. However, the retail prices for fixed to mobile phone networks remained nearly twice as high as the associated costs in other countries (Konkurrencestyrelsen, 2004). Consequently, ART imposed another reduction in termination charges by 36% over two years, starting from 1 January 2005. Mobile network operators have put in place a "bill and keep" system for termination of mobile calls on another operator's network, whereby the originating network charges the caller and there is no termination charge between the two operators. In general the charge for calling within a network is similar to those for calling other networks, although often operators will offer a special low charge for within network calls during off-hours.

42. Another factor behind the lack of competition has been timid regulatory actions in some areas. For example, operators used to charge a minimum of a full minute of connection even if actual call time was only a few seconds. Despite complaints the regulator did not act and eventually a consumer organisation took the operators to court, which led to charging by the second.

43. In addition the ADSL speeds on offer are often sufficient to support Internet as well as other services, such as IP (Internet Protocol) telephony and cable TV. One reason for the previously slow roll-out of broadband is probably the continued high utilisation of Minitel, which in early 2002 had as many users as the Internet (about 15 million) (Susbielle, 2003).

44. The lack of competition in the broad-band segment has spilled over the narrow band segment as France Telecom did not have any incentives for deviating from its standard time-base interconnection rate, inducing ART to introduce flat-rate Internet call origination (FRIACO) in 2002, allowing for important price declines for narrowband Internet access.

45. Mobile phone penetration in terms of subscribers per 100 inhabitants is at 65 in metropolitan France still below the EU average of 75.

46. The lack of network sharing in France has forced each of the three operators to create denser and larger networks than in other countries, arguably creating more unused capacity than in countries with network sharing. Part of the good coverage was reached through a government subsidy of € 44 million to the operators in the end of 2002 to reduce lack of coverage in certain areas. When the UMTS networks are being brought into operation, the capacity is set to increase further.

47. Immediately following the entry of the new MVNO, competitive pressures increased in the area of SMS with the new entrant offering SMS for 9 cents each as compared with 15 cents for the existing operators. The scope for further reduction of SMS prices is clear considering that the MVNO offer is still three times higher than comparable Danish prices (Nordic Competition Authorities, 2004) and that SMS revenues represent 12% of the mobile phone operators' turnover, but more than 30% of their overall profits (Susbielle, 2003). ART is investigating SMS prices, which could lead to regulation of wholesale prices for SMS from the beginning of 2005.

48. The mid-2003 introduction of mobile phone number portability should lower switching cost, although a year later rather few consumers had switched and the porting process of an average 2½ months is rather long.

49. SNCF is somewhat handicapped in its price setting, which is subject to approval by the Minister, as opposed to the free and independent price determination of airlines.

50. According to the government, the contract scheme introduced in 2000 between the SNCF and the regions was nevertheless able to revitalise regional rail transport, with the supply of rail transport expanding by nearly 3.3% in 2003 and by 4% in 2004.

51. SNCF is also involved in road freight transport through a subsidiary.

52. Other subsides include state aid to a number of SNCF subsidiaries (in the non-passenger transport segment) which is currently being investigated by the European Commission. Empirical investigations show that high aid intensity has a negative effect on technical efficiency at the European level, raising questions concerning the long-term effects of maintaining aid (Freideriszick *et al.*, 2003).

53. For example, in 2004 the number of competitors was around 10 – about a third of the level four years earlier – operating on about 5% of all routes, down from around 10% in 2000.

54. ADP would also be subject to general specifications stipulating the conditions under which the company would provide public services in connection with the operation of the airports it owned. The law also provides the framework for an economic regulation, the main instrument of which is the possibility for the government and ADP to conclude a five-year contract governing adjustments in airport fees.

55. Quality of postal services is difficult to measure, but there are indications that the quality of domestic mail services is among the lowest among the EU countries (European Commission, 2004g). Moreover, the regulated stamp prices are fairly low in a European context, but considerably higher than in the United Kingdom, which has one of the less regulated postal markets in Europe.

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ANNEX 4A.1

The cable TV market in France

Cable television networks are less developed than in other countries with only one-third of homes being passed by cable networks as compared with an OECD average of nearly 60%, mostly as a legacy of archaic regulation that has not been conducive to developing alternative fixed line networks (OECD, 2004b), although recent regulatory changes should allow a consolidation of the sector. Moreover, only a small share of cable TV subscribers also receives telecommunications services over the same network. There are more than 800 licensed cable operators (often commanding a local monopoly) but five of them account for nearly 90% of the market. The market is dominated by France Telecom, which is the largest service provider (as well as having a minority holding in another large provider) and proprietor, owning both its own cable-TV network and that used by one of the other large providers. However, France Telecom is trying to divest its cable-TV assets, which, together with the permission for cable-TV networks to merge into larger units, should spur developments in the market. Cable companies have operating agreements with municipalities of between 20 and 30 years and upon their termination the municipalities have the right to reclaim the cable network. Such agreements put cable-TV companies at a disadvantage *vis-à-vis* alternative platforms for providing telecommunications services, hampering investment in the segment.

The government has an objective of enabling high speed Internet access in all French municipalities by 2007, which has led the government to provide financial aid to secure coverage for the large number of municipalities without high speed Internet access. However, in addition to cable TV networks other platforms can also provide (very) high speed broad band, which include electricity utilities that uses their right of way to connect households with fibre optics, forcing incumbents to upgrade their ADSL connections. While in principle there is nothing to hinder a similar development in France, it would nevertheless imply that government-owned companies compete with each other.

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